

SBI Life Insurance Company Ltd. (SBILIFE)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Aug 2022

August 03, 2022
Assistant Vice President
Listing Department,
National Stock Exchange of India,
Exchange Plaza,
Plot No. C/1, G Block,
BKC, Bandra (East),
Mumbai -400051
Dear Sir I Madam, SBILife
Apne liye. Apno ke liye.
SBIL/F&A-CS/NSE-BSE/2223/131
General Manager
Listing Department,
BSE Limited,
Phiroze Jejeebhoy Towers,
Dalal Street,
Mumbai -400001

Subject: Transcript of Earnings Call held on July 28, 2022

This is in continuation to our intimation letter ref. No.: SBIL/F&A-CS/NSE-BSE/2223/114 dated July 26, 2022 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Transcript of the earnings call held on July 28, 2022 with analysts/ investors were uploaded on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on records.

Thanking you,
Yours faithfully,
Vinod Koyande
Company Secretary
ACS No. 33696

581 Life Insurance Company Ltd.

Corporate Office.: "Natraj", 5th Floor, M. V. Road & Western Express Highway Junction, Andheri (East), Mumbai -400069, Maharashtra

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

B: +9122 61910000, F: +9122 61910517

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"SBI Life Insurance Company Limited
Q1 FY 23 Earnings Conference Call "

July 28, 2022

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Moderator Ladies and gentlemen, good day, and welcome to Q1 FY'23 Earnings Conference Call of SBI Life Insurance Company Limited.

As a reminder, all lines will be in the listen-mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator pressing "*" then "0" on your touchstone phone. Please note that this conference is being recorded.

I now have the conference over to Mr. Mahesh Kumar Sharma, MD and CEO, SBI Life Insurance Company Limited. Thank you, and over to Mr. Sharma.

Mahesh Kumar Sharma Yes, thank you very much. Good evening, everyone. And we heartily welcome you all to the results update call of SBI Life Insurance for the quarter ended, June 30, 2022. An update on financial results can be accessed on our website as well, as well as on the websites of both the stock exchanges.

Along with me, I have Sangramjit Sarangi, President and CFO; Ravi Krishnamurthy, President - Operations and IT; Abhijit Gulanikar, President - Business Strategy, Subhendu Bal - CRO; Prithesh Chaubey - Appointed Actuary; Smita Verma - SVP, Finance and Investor Relations.

Now let me give some key highlights for this quarter ended 30 June, 2022. New business premium registered a growth of 67% year-on-year and stands at INR55.9 billion leading to a private market leadership. Individual new business premium stands at INR34.3 billion with a strong growth of 87% and private market share of 24.5%. Gross written premium stands at INR113.5 billion, growth of 35%. Protection new business premium grew by 63% to 7 billion. Profit after tax stands at INR2.6 billion with an 18% growth over corresponding quarter last year. Value of new business is INR8.8 billion, registering a strong growth of 130% over INR3.8 billion in June, 2021. And the VONB margin is at 30.4%, which is an improvement of 665 basis points over 23.7% in June '21. We have aligned the value of new business VONB for quarter ended 30th June, 2021 in line with the 31st March 2022 disclosures.

Asset under management grew by 13% to INR2.623 trillion. Robust solvency ratio of 2.21 against regulatory requirement of 1.5.

I would also like to highlight on a few key initiatives taken by the Company. Considering and keeping the pace with customer needs, we have launched SBI Life Smart Annuity Plus. It offers a comprehensive range of annuity with an option of deferred annuity pay-out.

With a view to broaden our reach, SBI Life has tied up with Paschim Banga Gramin Bank a leading RRB in West Bengal. We have also signed an agreement with major FinTechs, RenewBuy and PhonePe Insurance Broking Services Limited to be agile with changing customer behavior. With this, we have successfully delivered customer-centric profitable growth in this quarter.

We will update you on each of the key elements in detail and will start with the premium, being one of the prime focus areas of the company, individual new business has grown to INR34.3 billion with a growth of 87% year-on-year. Single

premium contribution is 28% of the individual new business premium, which is mainly attributed to growth in individual annuity product. The Company gained the private market shares by 569 basis points to 24.5%.

On individual rated new business premium, we stand at INR25.8 billion with a growth of 86% and private market leadership with the share of 24% having improvement of 511 basis points over the corresponding quarter.

Also, group new business premium stands at INR21.6 billion with a growth of 43%. As we said that we have collected total new business premium of INR55.9 billion, registering private market share of 21.9%. The renewal premium grew by 14% to INR57.6 billion, which account for 51% of the gross written premium.
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To sum up, gross written stands at INR113.5 billion with a growth of 35%. Total APE stands at INR29 billion, registering a growth of 80%. Out of this individual APE stands at INR26.1 billion with a growth of 87%.

During the quarter ended June 30, 2022, a total of 4.14 lakh new policies were issued and registered a growth of 61% over the quarter ended June 30, 2021. Individual new business sum assured registered a growth of 52% over the corresponding quarter last year, that compared to growth of 60% at private industry level. Considering the adverse impact of COVID -19 in Q1, FY '22, followed by a strong performance in subsequent quarters of FY '22, we expect a steady growth in our performance over the coming quarter and to end the financial year 2023 on a strong, healthy note.

Coming to the product mix, we are happy to report that the company has seen strong growth across all product segments. Our guaranteed non-par savings products are contributing 23% of individual new business premium, and in the total APE business, this contributes 28%. Non-par guaranteed product new business has registered a growth of 621% y-o-y, mainly due to the new business contribution of Smart Platina Plus, a new product which we launched in March last year of INR6.1 billion in the quarter ended June 30, 2022.

This product was launched in March and has seen a strong traction in the new business premium, mainly due to the product features witnessing high acceptance in the market.

ULIPs have remained one of the flagship segments for the company. Individual ULIP businesses is at INR17.6 billion, which constitutes 51% of individual new business premium and has showed a growth of 42%.

Individual Protection is at INR2 billion, registering a growth of 55%. Group protection stands at INR4.9 billion with a growth of 66%. Credit Live New business premium has grown by 73% and stands at INR4.1 billion. On APE basis, protection contributes 11% of new business, and registered a growth of 46%.

Annuity business is at INR6.5 billion and contributes 12% of new business premium.

Total annuity and pension underwritten by the company is INR11.6 billion, registering a growth of 7% over quarter 30, June, 2021.

Group Fund Management businesses at INR15.2 billion, with a growth of 93%. All our distribution partners, we have a strength of more than 54,000 CIs. SBI and RRB bank insurance business contributes a share of 55%, and grew by 107% in Individual New Business Premium. And on Individual APE basis, it stands at INR17.4 billion with a growth of 100%.

Agency, another strong channel registered new business premium growth of 50% and contribute 17% in new business premium. Agency channel individual APE stands at INR7.6 billion with a growth of 64%. As on June 30, 2022, the total number of agents stands at 1,61,923. There is improvement of 61% in the agent's productivity levels on individual NBP basis as compared to the corresponding

quarter last year, and greater use of technology is assisting in better engagement in the entire value chain from recruitment and training through to lead generation, sale and customer service.

During the quarter, other channel grew by 82%. This constitutes direct corporate agents, brokers online, and web aggregators. So this grew by 82% in terms individual new business premium, and 89% individual APE. Protection new business premium through other channels registered a growth of 23%.

Partnerships like Indian Bank, UCO Bank, South Indian Bank, Punjab & Sindh Bank, and Yes Bank registered a growth of 125% overall. These partnerships have started contributing 3% of the individual new business premium.

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Page 4 of 13 On profitability, the company's profit after tax for the quarter ended 30th June, 2022, stands at INR2.6 billion with an 18% growth y-o-y. Our solvency remains strong at 221% on June 30, 2022. Value of new business is INR8.8 billion with a growth of 130% y-o-y as against INR3.8 billion in the corresponding quarter last year. VNB margin is at 30.4% vis-à-vis 23.7% in Q1 FY '22, with an improvement of 665 basis points. Growth in VNB and VNB margin is scaled by significant new business premium growth and change in product mix with predominantly non-par guaranteed saving segment growth. With our growth targets and product mix shift, we expect to maintain the healthy VNB growth rates.

On operational efficiency, OpEx ratio reduced to 6.6% for the quarter ended 30th June, 2022 from 7.2% for the quarter ended June 30, 2021. Our total cost ratio stands at 11.2% for the quarter ended 30th June, 2022, vis-à-vis 10.5% for the same quarter last year. With respect to persistency of individual regular premium and limited premium paying policy, 13th month persistency stands at 85.6%. Company has registered as significant improvement in 49th month persistency of 403 basis points. We have witnessed fair growth in almost all the cohorts.

As mentioned in the opening remarks, asset under management stands at INR2.6 trillion as on June 30, 2022, having growth of 13% compared to the last year, same quarter.

The Company continues efficient use of technology for simplification of process with 99% of individual proposals being submitted digitally, 40% of individual proposals are processed through automated underwriting.

To conclude, we have focused on striving ahead against all odds by building a robust value system and foundation that are an amalgam of multiple forces, including our investors, customers, distributors and our own people and other stakeholders.

As we move forward, digitalization and automation will remain at the core of ensuring customer satisfaction. We continue to aim toward sustainable and profitable growth in the long term.

Thank you very much, and w

e are now happy to take any questions that you may have.

Moderator Thank you very much. We will now begin with a question and answer session. Anyone who wishes to ask a question may press "*" and "1" on the touchstone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handset while asking your questions. Anyone who would like to ask a question, please "*" and "1" at this time. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first questions from the line of Dhaval Gada from DSP Investment Managers. Please go ahead.

Dhaval Gada Yes. Hi, sir. Congratulations on strong numbers. I just had a couple of questions.

First is relating to the non-par segment. So we've seen very strong growth this quarter. And if you look at – like, FY '22, which is about INR1,700 crore of new business premium, already in 1Q we did about close to INR800 crore. I just wanted to understand this product mix shift that we see, do you see it a sustaining throughout FY '22? Like do you see far more traction of Smart Platina Plus for the rest of the year as well? Any thoughts, comments around that?

Mahesh Kumar Sharma Yes, so, this is a product which we found was customer preferred and customers wanted. Our Platina assures -- Smart Platina Assure, which we launched earlier also was doing very well. And this is a b and where you have income. So that income product, we felt that we didn't have in our bouquet. And we introduced that. And the customers have taken, I mean, it's got very good traction.

I think going forward also there will be good traction for this. And therefore I'm sure that there will be more non-par Platina being sold going forward.

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Dhaval Gada And sir, what's the margin differential between company margin and this non-par segment margin? You mentioned in the presentation that a large part of the margin shift that we've seen is...

Mahesh Kumar Sharma Yes, it'll obviously higher. We don't want to go into exact numbers. We don't give out exact numbers, but then the idea is that it is definitely very margin accretive. So it is definitely there.

Dhaval Gada Understood. And sir, the second question is around the assumption -- operating assumption change you mentioned in the margin slide, the margin walk, that there have been some negative operating assumption change. If you could just specify what drove that, that would be useful.

Prithesh Chaubey See, just to clarify, we have not made any change in our operating or methodologies. Assumptions remains unchanged as we have used in the 31st March, 2022. Since we have given this walk from the last June to this June, this March changes are coming. This is part of the normal exercise that we always do at year-end. As I said, this is mainly on account of modality of incidents that we explained in the March column.

Dhaval Gada Understood. And sir, the last question is relating to the reserve that we have towards COVID-19 pandemic. What I mean, how do you see this evolving at the end of the year? Like do we see write backs in the fourth quarter, if any? Or we'll use in during the course of the year? I mean, how do we intend to utilize these reserves?

Mahesh Kumar Sharma Frankly speaking, I need a crystal ball for this because last two years also we had made some provisions for COVID related things. There was One Wave, Second Wave, Third Wave. So we really don't know how the whole thing is going to pan out. As far as I can see there's a very strong vaccination program in the country, which is very successful. Overall hospitalization and mortality rates have come down hugely.

So naturally speaking if the trend continues, yes, this whole thing could be actually super fluid and we could actually write it back. But right now, I can't predict. So with two years experience of the pandemic, we have actually kept this reserve. I think it's a very prudent way of doing things going forward.

In any case, I think one of the things that every insurance company will do going forward, and I think every company in the world is going to do is going to keep a slightly higher pandemic reserve than we were doing earlier. So earlier in '20, when the pandemic struck, we had a reserve INR42 crore or something. I don't remember the exact number right now, but I think it was around INR42 crore. Today, we know from experience that we need much higher when actually a pandemic strikes. So even with that point of view, I think we need to keep a higher amount as reserve. So I think that is how I look at it.

Dhaval Gada Got it, sir, and wish you all the very best. Thank you.

Mahesh Kumar Sharma Thank you very much.

Moderator Thank you. The next question is from the line of Swarnabha Mukherjee from B &K securities. Please go ahead.

Swarnabha Mukherjee Thank you for the opportunity, sir, and congrats on a great set of numbers. So first question is again, sir, on the traditional savings product, and particularly through the banca channel. So I think banca has generally been heavily skewed towards the ULIP product. And this quarter that has been kind of now that mixes move towards this traditional savings. So is this a strategy that we are going to see through the banca channel going ahead also, or if the sentiment related to the ULIP comes back in general, we are hearing that there is some amount of weakness in -- for the ULIP product in the industry. So if the sentiment comes back, then will the mix to the earlier set of numbers, if you could throw some light on that?

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Page 6 of 13 Mahesh Kumar Sharma Yes, so I think my answer would be what I've been saying quarter on quarter for the last many quarters that we don't actually determine the consumer behavior. So this is a product which we have launched which has got acceptance in the public. I think there are circumstances which are encouraging people to go for guaranteed return products, but ULIP is also growing. So if you can see vis-à-vis last year same quarter, our ULIP has grown by 42%. And it's not small, even though there was a base effect. But still even if you didn't have the base effect, you'll still find that there was some growth over what would've been the ULIP numbers. So that way I don't think that we would like to fix the customer preference.

And right now as we see there is a good demand and this product probably -- people were probably waiting from our table. And that is why you see this good, very good demand. And not only in banca channel, I think you are reading it wrong. We have it -- have the same kind of demand in the agency channel also.

So -- and the agency channel is very different from the banca channel, just like chalk and cheese. So I don't think there is anything to do with the bank customer or anything as such. People are finding it a useful, good product, good returns. And that is what I think is helping the product.

Swarnabha Mukherjee Sure, sure, sir. Helpful. Sir, in terms of par also will that similar comment apply because par, what we have been seeing is that it was slightly timid in the past few quarters, and it has now come back very strongly this quarter. So has there been any new product introduction in par or...

Mahesh Kumar Sharma So par, I think there was a shift from par to non-par, I think in the last couple of years, you would

have seen, that as our non-par Platina grew in popularity, I think we had some loss in the par because I think the whole market is probably related. So right now we have a very good -- we have very good products.

I think it's only a question of the customer exercising the choice. And our training of our own agents and all does help them to refresh some of the products that are already in the table. And sometimes what happens is that you have that aha kind of movement and the agent thinks that this is something which I -- my customer would like very much. And then you start clicking.

So this is I think that is all there is to it, but I -- from what we see from the ground, and we have asked these questions very pointedly to our marketing people, and we find that there is more requirements for par. And going forward, I think this will also grow slightly more, at least. At least from this level, it is going to grow.

Swarnabha Mukherjee Sure, sir. Sir, what is the share of the new product in non-par out of the non-par APE?

Mahesh Kumar Sharma 30%.

Swarnabha Mukherjee Okay, sir. And couple of data points, if you could share, generally you have shared

this in the past calls. So the split of Group protection under Group Credit Life and Group Term Life, as well as for individual protection under TROP, if you can give the links.

Mahesh Kumar Sharma I request that we send you the figures because right now I'll have to actually look for it in the doc that I have. So can I send it across to you offline?

Swarnabha Mukherjee Yes, yes.

Mahesh Kumar Sharma Thank you.

Swarnabha Mukherjee Yes. Thank you.

Moderator Thank you. The next question is from the line of Adarsh Parasrampur from CLSA. Please go ahead line. He seems to have lost his line. So we'll move to the next question, which is from the line of Sanketh Godha. Please go ahead.

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Page 7 of 13 Sanketh Godha Yes. Yes. Thanks for the opportunity. Sir, you said the non -par business, which is 28.3% of the total APE. Out of the total non -par, 30% was contributed by new product launches, that is income plan, right, sir?

Mahesh Kumar Sharma Yes.

Sanketh Godha Yes. And what was the margin profile or income plan compared to a non -par product in that sense? And I just wanted to understand in the past, we have said that the non-par, probably not more than -- 15% if of the total APE because it spoiled the distribution setup. If we do a lot of non -par, if the product -- if the cycle is not in their favor, so now it is 28.3% of the total business. From the full year point of view do you expect this 28.3% to moderate, to like 15% to 20% for the full year?

Mahesh Kumar Sharma Yes, I don't know. I mean, looking at the trends, I think that it should be around this level, say, 25% to 30%. I think that that would be my own intuition on this. And as far as the margins are concerned, I think it's almost -- it's all comparable. It's not very different.

Sanketh Godha Got it, sir. Somewhere, we have struggled in the current quarter with respect to the annuity business because it's flat year-on-year both in APE terms and individual business terms, so it's more slowed down in the business or it is in the individual business?

Mahesh Kumar Sharma The annuity, I think, annuity has grown by...

Sangramjit Sarangi So annuity grew by 3%.

Mahesh Kumar Sharma 3%, Yes.

Sangramjit Sarangi But overall, if you see, the focus is there. And overall pension in the annuity business has grown by 18%.

Mahesh Kumar Sharma Yes. So pension and annuity business has grown by 18%. There is definitely a focus out there, but then like I said some of this will depend a lot on the customer demands

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Sanketh Godha Got it. And finally sir, just on -- when you said pension product, it is predominantly ULIP pension product that's what you're referring to, or -- because when we look at the other peers, ULIP has struggled for everyone because the market being little choppy. Everyone has struggled to grow the ULIP business. So in our case, it seems to be still -- decently very good. So sir, just wanted to understand...

Mahesh Kumar Sharma You know, ULIP business depends a lot on the returns that you give to your customer. It doesn't depend on whether -- you are not trying to actually sell ULIP to people who don't want it. We sell ULIP to people who understand the product and

therefore they also understand the -- how much they need to wait for. And also sometimes the market fluctuations will be there. And yes, they have options to choose between various funds, including debt, equity, balance. So there are so many kinds of funds that we have at each of those -- so we see some shifts going from one to the other or something.

But I have to say that right through our equity portion has grown rather than debt over some -- over the last couple of years or so. Going forward, I don't know how much that will sustain because markets have not been very good. But then if people understand markets, then maybe this is a good time to invest also.

Sanketh Godha But this -- which of the ULIP -- how much portion would be ULIP pension for that?

Mahesh Kumar Sharma ULIP pension, one second. Let me check about pension.

Sangramjit Sarangi We'll come back to you, Sanketh .

Mahesh Kumar Sharma Yes. So we'd like to come back to you with that figure.

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Page 8 of 13 Sanketh Godha And sir, last one, in the non-par, which is 30% is an income plan right now, given it's a new launch, whether it might become higher contributor in the entire non-par side going ahead given the traction will be there in this particular product? And we believe that income plans generally have a better margin profile than the non-par plan. So this 30%, how do you see it to improve going ahead, or it'll remain at these levels only?

Mahesh Kumar Sharma Well, very difficult to predict, but if you see the demand, then maybe it'll actually grow a little more on that product than on some of the other products that we have. Having said that, all other products also have -- are feel good demands. So in spite of the very strong growth, if you look at the growth figures in the segment, then it is not only this product which has grown, but this is a new product. And obviously the latent demand would get satisfied earlier than later. And then after that, it'll probably settle into a pattern. I really cannot predict the pattern, but I suppose there will be some more growth in this product going forward.

Sanketh Godha Got it. And sorry, last one sir. How much of this non-par is backed by FRA and how much is backed by PPD, sir?

Mahesh Kumar Sharma So we have both the products partially paid bonds and FRAs. And we are doing a hedging depending on the kind of requirement that we have and our own policy of hedging. So we are in line with our policy of hedging.

Sanketh Godha Got it, sir. Yes, that's it for my side. Thank you.

Mahesh Kumar Sharma Thank you very much.

Moderator Thank you. The next question is from the line of Sham. Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan Hi, good evening. And thank you for taking my question. Sir, just first one on the protection business. I think retail protection, we have seen 50%, 60% growth. So this continues to be a slightly outlier to some of the peers who are seeing decline. So if you could just walk us through some of

the dynamics around what is driving that market share, gain and ROP. Are we just harvesting our own customer pool, or are we able to compete effectively with external customers as well? So some thoughts or color there will be helpful, sir.

Mahesh Kumar Sharma Yes, so if you look at our protection growth, we have had a decent protection growth in our agency channel also. And so that is -- if you want to talk about competition, that is competition. You have to go in the market and get it. The divide is there. And our growth, if you look at the requirement in India for protection, there is a huge protection gap. So almost everybody needs protection.

Now, our growth in protection is about 47%. And that growth comes out of selling good products. So we've been saying this earlier also, I think earlier questions used to be, why are the others able to sell more? Why are you not selling as much as the others and things like that?

So we always used to say that we have a steady growth because we are looking at the customer's need and we are fulfilling that need. Again, the same question used to be for that term with return of premium. And there was this halo around pure term insurance. You can see what has happened to your term insurance. There are something which are not sustainable and something which are probably forced on people.

So this TROP is something which is an ideal product for India. And I think we have -- it's a very sweet spot where people understand this product and people also understand that if they survive, they get something back. These are two things which help to spread insurance awareness also in the market. So I think we should say that rather than being an outlier, we are the pioneers in doing this spreading of insurance in a sensible manner.

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Page 9 of 13 Shyam Srinivasan Got it, sir. That's helpful. Sir, second question is on Guaranteed. I think you called it out as 23% of total APE, right? So it seems to be related to your own pass, that number has jumped up quite a bit, quarter-on-quarter, even year-on-year, right? So what is a comfort level in the sense that you talked about your hedging, you said that it's under Casper policy, but we can't write unlimited number of such policies, right? Maybe there is unlimited amount.

Mahesh Kumar Sharma If I can hedge everything, I can write unlimited. So that is the main thing. See, we are very comfortable as far as our position right now is. And as far as we are able to do that and customer demand is there, I think we'll continue with this approach. Plus, of course, the recalibration will come in terms of pricing. So what happens is that when the interest rates grow in the market, the expectation will grow. Then you reprice the product, then it depends on how much you reprice it, whether you are in line with the market, whether you are more than the market, whether you're less than the market in repricing. So that will also determine what kind of growth comes. So these things will be determined by the demand, what the customer needs and what we can sustainably do going forward.

Shyam Srinivasan Sir, last question on this, just a technical, so average duration on this portfolio, if look at your presentation, seems to suggest a very 20 plus years kind of duration, is that right? Or you have a limited pay, which actually makes the average duration on that portfolio lower?

Prithesh Chaubey This is a limited pay. So maximum premium pay in terms of the product is 10 pay for the income plan and the 7 pay for the endowment plan. So this can't be 20 years, it will be much lower than that.

Shyam Srinivasan Got it, sir. Thank you, and all the best.

Mahesh Kumar Sharma Yes. Thank you.

Moderator Thank you. Ladies and gentlemen, in order to ensure that the Management will be able to address questions from all participants, we would request you to please limit your question to two at a time. Should you have a follow up question, please rejoin the queue. Thank you. The next question is from the line Adarsh Parasrampur via CLSA. Please go ahead.

Adarsh Parasrampur Yes. Hi sir. Sir, I'll have a follow-up on the previous question. The constraint on what you can send given that you're seeing demand will be on hedging.

Moderator So sorry to interrupt you, Adarsh, your audio is not very clear. I would expect you to come under handset mode.

Adarsh Parasrampuria Okay. Yes, I've just moved. So sir, the question was a follow-up on the previous one. So you've had a spectacular result, a lot of it driven by the mix change. The only constraint, always for every player, is the hedging. And since you believe that a lot of this momentum that you're seeing can continue, it'll really help all of us if you could, in a little bit more detail, explain your hedging policy. And because for us, it'll make your margin outlook a lot more sustainable if there isn't very effective hedging policy on this?

Mahesh Kumar Sharma Yes. So see, what happens is what are you hedging against. So we are hedging against the change in the interest rates. So what is the period that you need to hedge for? The period up to which you are uncertain about the influence? So the influence will come at future point of time and at that time you don't know what is the return you are going to get, and that is what you are hedging. So till there is visibility, let's say, in the next year, two years or whatever, at any given point of time, the kind of visibility that we have, we would be comfortable in investing directly for that portfolio. And anything beyond that, what will happen is that we'll have to wait and watch what are influences and what is the rate at that point of time?

So then instead of waiting and watching, we hedge that. So that is exactly what we are doing right now. I don't know if that gives you the clarity that you're looking for.

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Page 10 of 13 Abhijit Gulanikar Sir, what we are saying, Adarsh, is for the future outlook, for Year 3 onwards, whatever are the expected premium inflows, majority of the inflows are hedged. We will not be able to share percentage, but majority inflows are hedged, and that is as per Board approved policy.

Adarsh Parasrampuria Sir, if you just throw some light on what's the premium paying terms in most of these policies, like what you've sold this INR800 crore, approximately a ballpark number of what the premium paying term is? Are these like five, seven years only, or are these mostly longer product?

Mahesh Kumar Sharma 7 to 10 years. So the product is 7, 8, 10.

Adarsh Parasrampuria Got it, sir. Sir, now coming to the second question, obviously, if you believe you can deliver a similar momentum or in the same vicinity, maybe about six months back, you had guided to a 30% margin over a three year period and we are like fifth quarter or just starting FY '24, and your margins are north of 30%. And if you sustain this product mix, then obviously it -- the margins look sustainable. So just wanted to understand how you all are looking at it, how the Board is looking at it? Because this is a phenomenal jump in margins and just wanted to understand how sustainable it looks to you all.

Mahesh Kumar Sharma So margin is not something that we are chasing per se. We are looking at the bigger picture. We need to have the value of new business go up, we need to have the EV go up. So that is what will show that we are growing

as a company and we are doing
-- going in the right direction.

And margin is one of those factors -- so margin, I will not be stuck on a particular number for the margin because going forward, if I sell more of some of the other products, for example, ULIP, if I sell slightly more of ULIP, then the margins can slightly come down from this level also. But then the value that I deliver will continue to grow because we are looking at good growth going forward, upwards of 25% growth in premiums.

And I think that is a -- that is something which we think is sustainable as we see it now. We have done extremely well in the last couple of years given that there was a pandemic and we had virtually zero business in some of the months, at least for weeks, we had some -- much lesser business. So we think that we will be able to sustain.

Nothing is unlimited, but if you look at the potential that you have in India, it's humongous. The potential that you have for insurance is huge. Almost 82% of the people are not covered to the extent that is required. The protection gap is 82%. And if you look at the coverage of insurance to GDP is 3.2%. So the scope is vast. So it can literally -- actually the whole business can grow to anything from here.

Adarsh Parasrampuria Got it, sir. This is helpful. Thanks.

Mahesh Kumar Sharma Thank you.

Moderator The next questions from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh Yes, hi. Good evening. A couple of questions. Firstly, on your accounting profit. I mean, coming from that last year's base, when there was a kind of a few COVID Delta Wave, the profit accounting terms, of course not a very key number, but looks a bit muted. I mean, is that largely an impact of higher new business strain because of the change product mix and...

Mahesh Kumar Sharma Yes, Yes, absolutely. You got it on the button.

Avinash Singh Okay. And the second in terms of your distribution, I mean, of course you have typically a very gradual branch addition track record, and it's sustainable. Now you are close to 1,000 branches and of course your largest bank distributor is only SBI Life Insurance Company Limited
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Page 11 of 13 present almost across India. So now, I mean, in terms of branch addition is -- now you are done, or you're going to stop, or your own branch addition will also continue at the same pace you have been doing for the last couple of years?

Mahesh Kumar Sharma So we have been growing at a very, what do you call it, sensible pace, I should say. If we look at the potential that is available and any areas which we have not covered earlier, that we think there is good potential, or any area that has got very good potential and we have inadequate staff or representation out there. So that is -- those are the places that we grow. And I think we will continue to look at it in the same fashion.

We have never had to open branches and then close them. So we do have a very good approach to this whole thing. We do a very scientific analysis of the kind of business that is available, and then we grow that. So the branch network also, I think at, at least as of now into the near term or even the midterm, foreseeable future, I don't think we are going to actually stop expansion.

So expansion will be there but as you can see, the numbers are not huge. So we probably add about 30, 40 branches every year and that is, I think, very, very sustainable

Avinash Singh And one data keeping, I mean, what sort of a run rate currently your individual term is seeing on Yono platform. I mean, is some momentum continuing or has sort of the momentum come to a halt?

Mahesh Kumar Sharma Yes, Yes, there is a good traction on the Yono platform. And this year we have taken good targets to further ILS also. So that is something which we will continue to focus upon.

Avinash Singh So sir, what's the current rate on protection side. I mean, retail protection on Yono platform

Sangramjit Sarangi Yono, we are only selling protection, actually.

Mahesh Kumar Sharma Yes, right now we have only protection on Yono.

Avinash Singh Yes. What is a premium run rate. Any sort of number?

Sangramjit Sarangi Premium is small. At this moment it is very small, but we are aiming for a big number along with other products going to be introduced in this platform. So in this year we are expecting good jump as far as the Yono platform is concerned.

Avinash Singh Okay. Okay. Thank you, sir.

Moderator Thank you. Request participants to please limit your question to two at a time. The next question is from the line of Neeraj Toshniwal from UBS. Please go ahead.

Neeraj Toshniwal Hello. Congrats on huge set of numbers, sir. Just wanted to know last year in August, we did repricing of both non-par product and the term insurance plan, and we told that we -- another year we won't be changing anything especially for the non-par protection. Where are we in terms of repricing both the products now? We already have a launch of new variant of the non-par saving. Wanted your thoughts. And are we looking to maintain our spread there with the rising interest rates and with the dates going up? How we are thinking about it?

Mahesh Kumar Sharma So, like I said, for the non-par savings products, our pricing will depend on the market conditions, the interest rates. So going forward also, we'll keep a look at the interest rate movement. And we don't want to be very far away from the market.

Prithesh Chaubey Just to add that we keep mentioning that we do very active pricing for all our non-par products, particularly in view of the interest rate movement and our term and condition on which we are getting the forward rate agreement on that side. Accordingly, we are actively repricing, looking through the market scenario and our objective is to optimize available both for the customer and for us, and intention is to
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Page 12 of 13 maintain the spread that we're getting today. So as long as we're able to maintain this spread and able to hedge this interest rate, I think will continue to keep doing that. So difficult to comment that when we'll do that, we have continuous pricing. So one by one, as and when required, we will keep repricing.

Neeraj Toshniwal Okay. And, more color around the protection will be helpful, as in to understand the -- because now the whole industry is now doing ROP similar to what we're doing. Has competition really increased or it doesn't affect us, because our...

Mahesh Kumar Sharma I don't think it affects us much because we are expanding the market. We are going and selling -- these are products, which people -- new people who are not covered by insurance are buying. And if they see value in the product, we will continue to buy that. And we will keep looking at the pricing to make sure that it is sustainable for us and it is viable for the customer.

Neeraj Toshniwal Got it. And last question for ULIP, what to understand -- though we have done well in terms of y-o-y growth when it comes to low base, so where do we think the ULIP kind of settling for the full year given overall industry is struggling. We have done little bit better, but still it'll be...

Mahesh Kumar Sharma I think ULIP should be somewhere around 55% around. So it could be, say, somewhere around 50% to 60%. But ideally, my own feeling is that it would somewhere around 55% to 60%.

Neeraj Toshniwal Got it. That is helpful. Thank you so much, sir.

Mahesh Kumar Sharma Yes. Thanks.

Moderator Thank you. The next question is from the line of Madhukar Ladha from Elara Capital. Please go ahead.

Madhukar Ladha Hi, good evening, everyone. Congratulations on an exceptional set of numbers. I have a few questions and sorry, I joined in a little late on the call, so I may have missed this if it's already discussed.

First, do you have some sort of limit for how much non-par you could write? I

understand that there is a lot of demand, but internally have you sort of kept a limit for yourself that of my entire product mix, this is the extent to which I'm okay writing non-par?

Second, there is a change in assumptions which has impacted margins by about 50 basis points. What is that?

Third, on the individual annuity business, can you -- so my calculation suggests that we've done about INR60 crore, can you just verify that?

And finally, the next two quarters were very strong sort of last year, so now the base is very high for us going into the balance part of the year. And we are hearing some talk about the rural slow down. Maybe you can give us some context, some commentary around the demand environment and how confident you are of growing on this base for the balance part of the year?

Mahesh Kumar Sharma Yes. So first let me talk about your individual annuity. Yes, you have a correct figure, I think is around...

Sangramjit Sarangi INR51 crore.

Mahesh Kumar Sharma INR51 crore on individual annuity, and as far as the limit to the non-par is concerned, we don't have an internal limit, but my own sense is that we would be around this kind of a level, maybe 25% to 30% of our portfolio, because I do see the other parts also growing.

So a lot of it is growing. When you come back to growth, then Yes, as of now, we -- obviously there is a base effect to all these numbers. So I don't think we'll continue to
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Page 13 of 13 grow at 87% of something in some of the things, but our target is about 25 plus percent and then after that sky is the limit. So 25% is what we will aim to have. And my sense is that we should get there.

Yes, coming to the assumptions, I'll ask Pritesh to...

Prithesh Chaubey There is no change in this quarter. The impact that you were seeing in the -- what is the assumption is the change that we are done in the month of March at year-end. Since we're showing this walk from December to -- sorry, June to this June, this impact is coming from, but there is no change in assumption. And the changes that we have done in March is mainly account of reinsurance writing some of the things and moderating. Nothing else.

Madhukar Ladha Got it. Understood

Mahesh Kumar Sharma Thank you very much.

Madhukar Ladha So 25% on last year's base

Mahesh Kumar Sharma That is what we are targeting, yes. For the full year.

Madhukar Ladha Okay. Okay. All the best.

Mahesh Kumar Sharma Yes. Thank you.

Moderator The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.

Deepika Mundra Good evening, sir, and congratulations on a great quarter. So just want to understand at the product level margin, is there any product where the margin is changing? Particularly on non-par, are you seeing significant benefit of higher spreads which is helping the margin other than just the mix increasing?

Mahesh Kumar Sharma So like we said, we'll try to optimize the prices so that we also have a sustainable product and the customer also gets value. So I don't see sudden changes in that

kind of thing.

Deepika Mundra Understood, sir. That is my only question. Thank you.

Mahesh Kumar Sharma Thank you so much.

Moderator Thank

you. As there, no further questions from the participants, I now hand the conference over to Mr. Mahesh Kumar Sharma for his closing comment.

Mahesh Kumar Sharma Yes. So I'd like to say thank you so much for supporting. And we hope to continue to deliver all those expectations that we have from all of you, and from our customers. And going forward in this year, if we have a COVID free year, and if there are no other disruptions, which I essentially hope there won't be, I think we'll be able to come up with a good performance by the end of the year.

Once again, I thank all the stakeholders, all our friends here for – on the conference for listening patiently to us. Have great evening, and wish you a very safe and healthy future. Thank you.

Moderator Thank you. On behalf of SBI Life Insurance Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2022

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

www.sbilife.co.in

November 1, 2022 SBIL/F&A -CS/NSE -BSE/2223/260

Assistant Vice President General Manager

Listing Department, Listing Department,
National Stock Exchange of India, BSE Limited,
Exchange Plaza, Phiroze Jejeebhoy Towers,
Plot No. C/1, G Block, Dalal Street,
BKC, Bandra (East), Mumbai - 400001
Mumbai - 400051

Dear Sir / Madam,

Subject: Transcript of Earnings Call held on October 21, 2022

This is in continuation to our intimation letter ref. no. SBIL/F&A -CS/NSE -BSE/2223/244 dated October 19, 2022 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Transcript of the earnings call held on October 21, 2022 with analysts/ investors were uploaded on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on records.

Thanking you,

Yours faithfully,

Vinod Koyande
Company Secretary
ACS No. 33696

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"SBI Life Insurance Company Limited Q2 FY23
Earnings Conference Call"

October 21, 2022

MANAGEMENT : MR. MAHESH KUMAR SHARMA – MANAGING DIRECTOR AND CEO.
MR. SANGRAMJIT SARANGI – PRESIDENT & CFO.
MR. RAVI KRISHNAMURTHY – PRESIDENT OPERATIONS & IT.
MR. ABHIJIT GULANIKAR – PRESIDENT BUSINESS STRATEGY .
MR. SUBHENDU BAL – CHIEF RISK OFFICER .
MR. PRITHESE CHAUBEY – APPOINTED ACTUARY .
MS. SMITA VERMA – SVP, FINANCE & INVESTOR RELATIONS .

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY 2023 Earnings Conference Call of SBI Life Insurance Company . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mahesh Kumar Sharma – Managing Director and CEO, SBI Life Insurance . Thank you and over to you sir .
Mahesh Kumar Sharma: Thank you very much. Good evening everyone. And we heartily welcome

you all to the results update call of SBI Life Insurance for the half year ended September 30 th, 2022. The update on our financial results can be access ed on our website, and as well as on the websites of both the stock exchanges. I have along with me , Sangramjit Sarangi – President and CFO; Ravi Krishnamurthy – President Operations and IT; Abhijit Gulanikar – President Business Strategy, Subhendu Bal – Chief Risk Officer ; Prithesh Chaubey – Appointed Actuary; and Smita Verma – SVP, Finance and Investor Relations. Now, let me give you some key highlights for this half year ended 30th September 2022 : New Business Premium registered a growth of 27% Y -o-Y and stands at Rs.130.9 billion, leading to private market leadership. Individu al New Business Premium stands at Rs.84.6 billion with a strong growth of 31% and private market share of 25.3% . Gross written premium stands at Rs.279.7

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billion a growth of 21%. Protection New Business Premium grew by 32% to Rs.16 billion . Profit after tax stands at Rs.6.4 billion , 36% growth over corresponding same period last year. Value of new businesses Rs.21.2 billion registering a strong growth of 53% over the Rs.13.8 billion in September 2021. VONB margin is at 31% with an improvement of 630 basis points over 24.7% in September 21. Embedded value of the Company as of September 30 th, 2022, stands at Rs.424.1 billion . Assets under management grew by 16% to Rs.2.83 trillion, robust solvency ratio of 2.19 as against the regulatory requirement of 1.5.

I would also like to highlight a few key initiatives taken by the Company , considering the various requirements of the customers :

We have launched SBI Life Retire Smart Plus product which is a unit linked pension savings product. This product offers a comprehensive range of pension savings, with varied fund option s with an option to defer the vesting date as compared to our earlier version of Retire S mart which didn 't have this feature. W ith a view to broaden our reach , SBI Life has tied up with India Post Payment s Bank, a leading bank in rural markets. With this , we will be able to reach to our custo mers, especially the section living in unbanked and underserved are as, to become financially secure and empowered.

We will now update you on each of the key elements. Let me start with the premium , Individual new business has grown to Rs.84.6 billion with the growth of 31% Y-o-Y. Single premium contribution is 32% of I ndividual New Business Premium which can be attributed to growth i n our I ndividual annuity product. The Company gained private market share of 196 basis points to reach 25.3% market share. On Individual rated new business premium stand at Rs.60.5 billion with a growth of 21% and private market leadership with a share of 23.7%. Also , Group new business premium stands at Rs.46.3 with a growth of 21%. In all we have collected total N ew business premium of Rs.130.9 billion registering private market s hare of 22.6% . Renewal premium grew by 16% to Rs.148.8 billion which accounts for 53% of the gross written premium.

To sum up:

GWP stands a t Rs.279.7 billion with a growth of 21%. In AP E terms, premium stands at Rs.68.3 billion registering a growth of 22%, of which I ndividually APE stands at Rs.61.2 billion with a growth of 22%.

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During the half year ended, September 30 , 2022 , 9.29 lakh new policies were issued and this registered a Y-o-Y growth of 21% . Individual N ew business sum assured registered a growt h of 14% over the corresponding period la st year, as compared to a growth of 7% at private industry level. Considering our robust performance for H1 FY23, we continue to expect healthy growth in our performance in H2 FY23.

Let me give you details about the product mix; we are happy to report that the Company has steadily moved towards a more balanced product mix. So, on a half year basis our guaranteed Non-Par savings products are co ntributing 20% of the Individual N ew busin ess and on APE basis, this constitutes 26% . Non-Par guaranteed new business premium has registered a growth of 221%, Y-o-Y mainly due to the new business contribution of smart platina plus which

is Rs.12.69 billion in the half year ended September 30, 2022. This product was launched in March 22, and has seen a strong traction in the new business premium, mainly due to the product features, which are having a high acceptance in the market. ULIP has remain one of the flagship segments for the Company. Individual ULIP premium is at Rs.43 billion, which now constitutes 51% of Individual new business premium. Individual protection is at Rs.4.3 billion registering a growth of 17%. Group protection stands

at Rs.11.8

billion with growth of 38%. Credit life new business premium has grown by 36% and stands at Rs.9.1 billion. On APE basis protection contributes 11% of the new business and has registered a growth of 23%. Annuity business is at Rs.19.8 billion and contributes 15% of New business premium. Under annuity, the Company is offering immediate as well as deferred annuities. Individual annuity business is growing at 136% over the same period last year. Total annuity and pension underwritten by the Company is Rs.32.8 billion registering a growth of 7% over the half year ended September 30, 2021. Group Fund Management business is at Rs.31.1 billion with a growth of 39%.

On our distribution partners with a strength of more than 54,000 CIFs, SBI and RRB Bancassurance business contributes 67% and grew by 38% in Individual New business premium. And on Individual APE basis it stands at Rs.41.3 billion with the growth of 24.5%. Agency, our other major channel registered a new business premium growth of 24% and contributes 18%. In new business premium, agency channel individually APE stands at 17.1 billion, with a growth of 12.5%. As on 30 September 2022, the total number of agents SBI Life Insurance Company Limited
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stands at 1,78,357. During the half year, the Company added nearly a net of 32,300 agents.

During the half year, other channels grew by 52%, which includes direct, corporate agents, brokers, online and web aggregators and 45% in Individual APE. Protection new business premium through other channels registered a growth of 38%. Partnerships like Indian Bank, UCO Bank, South Indian Bank, Punjab & Sind Bank and Yes Bank registered a growth of 62%. These partnerships have started contributing 3% of the Individual new business premium.

For profitability, the Company's PAT for the half year ended 30th September 2022 stands at Rs.6.4 billion with 36% growth Y-o-Y. Our solvency remain strong at 219% as on 30 September 2022. Value of new business is at Rs.21.2 billion with growth of 53% Y-o-Y against Rs.13.8 billion in the corresponding period last year. VNB margin is at 31% vis-à-vis 24.7% in H1 FY22, with an improvement of 630 basis points. We have aligned the value of new business and VNB margin for half year ended 30th September 2021 in-line with 30th March 2022 disclosures. Growth in VNB margins fuelled by change in product mix with predominantly non-PAR segment has contributed and of course the business volume. With our growth targets and the product mix shift we expect to maintain a healthy VNB and VNB growth rates.

Coming to operational efficiency, OEPX ratio reduced to 5.6% for the H1 FY 23 from 5.8% for a similar period last year, our total cost ratio stands at 10.2% for the first half compared to 9.5% for the last year, same period. With respect to persistency of Individual regular premium and limited premium paying policy, 13-month persistency stands at 85.2%. The Company has registered a significant improvement in 49th month and 61st month persistency by 276 basis points and 363 basis points respectively. We have witnessed improvement in persistency ratios across all the cohort. As mentioned in my opening remarks, assets under management stands at Rs.2.8 trillion as of September 30, 2022, having grown 16% as compared to September 30, 2021. The Company continues efficient use of technology for simplification of process. 99% of the Individual proposals are being submitted digitally, 43% of Individual proposals are processed through automated underwriting.

To conclude, we continuously endeavor to maintain our leadership position and continue to further increase our market share by offering innovative products
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that meet s the evolving needs of our customers . With a w

idespread robust

distribution network complemented by digital technology, our innovation strength and above all, our people power, we are well placed to make the most of the abundant growth opportunities offered in India 's under penetrated insurance sector. We will continue to leverage existing partnerships and explore new partners and launch new products to meet customers needs.

Thank you very much for a patient listening and we are now happy to take any questions that you may have.

Moderator: Thank you very much. The first question is from the line of Swarnabha Mukherjee from B&K securities. Please go ahead

Swarnabha Mukherjee: I have couple of questions. First one, I would like to have your comments on how do you see growth panning out in the second half, given that you have focus on diversification now and what is the expectation on ULIP now as it is slightly lower proportion of the mix than it used to be earlier. Given that, in Ulip generally the average ticket size will be higher than your rest of the product segment , correct me if I 'm wrong in case that is not correct. So, how do we see growth panning out , APE going ahead for the second half that will be my first question. Second is on the margin side , so this particular quarter sequentially there has been an increase in contribution for ULIPs . And that has been the major change in the product mix along with non -PAR contribution also going down slightly. So, despite that focusing on expansion of the margin, just wanted your thoughts on how to repump into this. A gain a function of the cost ratios being lowered this quarter , how should I look into this . And what is the operating assumption changes that have been shared in the VNB if you can throw some light on that, those are my question sir.

Mahesh Kumar Sharma : If you are looking at growth for the second half, our second half has always been very, very strong. So, if you see historically, Q 3 and Q 4 are extremely strong for SBI Life and we don 't imagine that anything that should actually change all that . So our own projections are based on our historical trend of Q3 , Q4 being the strongest quarters for us . So we look forward to a good robust growth there . ULIP have been maintaining earlier also.

Swarnabha Mukherjee: Yes, sir please go ahead, I just wanted if you could quantify what would be our growth guidance for the year at least.

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Mahesh Kumar Sharma : So, I have already said earlier that we would like to grow at 20 % to 25%. And that remains, and we are working towards that directionally we are going right. And like I said, Q3 , Q4 being strong quarters for us, we are very confident that we'll be able to achieve our projections . ULIP, I have said earlier also in , I think I remember in all my earlier calls I have said this, that ULIP growth will be there, we see a lot of traction already happening for demand for ULIP , and ULIP will also continue to grow. Obviously, the non-PAR product that we have launched was a super hit with our customers and as a result of that, it appears as if the focus is slightly off ULIP , but ULIP will continue to grow because it 's a very, the products that we have are very customer friendly products. You will also recollect that I just shared about a new product that we have launched Retire Smart Plus and that 's also ULIP linked product and that is also expected to do very well going forward. So , the growth and the whole idea about ticket sizes and all you are right, the ticket sizes of non-ULIP products may be slightly lower. But then our whole idea is that ULIP will also continue to grow according to its usual pace , that we grow with at least that is the minimum that we would expect it to grow. And therefore, we don 't see any major reduction in ticket sizes or in our ability to meet our targets.

Last que

stion about the VNB margins, you were asking about margin how come the margins continue to be robust , even though you said that non-PAR has gone down or something like that no such thing has happened, non -PAR has grown.

Swarnabha Mukherjee: Non-PAR, I was pointing towards the mix change, so non -PAR sharing .

Company Speaker : Yes, but if the volume grows obviously that thing is going to be there , the contribution is going to be there. So, the volume has grown overall so if you

see the growth, non -PAR has grown in this quarter.

Company Speaker: Also, just to add what our MD sir has mentioned , that you may see some slight reduction in this quarter, a quarter in non-PAR thing but within a non -PAR saving it also depends on the combination because you have several non-PAR products which having the higher margin, even the new product that last year we have launched they have a different option and each option has a different margin. So, there is a shift happening on that part so would optimize those margin within non-PAR and also in case of annuity we have different annuity on individual platform , which we launched subsequently and that is also
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helping us to enhance our margin. So, if you see this does contribute, and help us to maintain the margin that at current level.

Management: So, just to clarify the product mix change is only 2% compared to the other product mix has moved from non -PAR to ULIP only by 2% in this quarter, so it's not very material change. And Prithesh has answered the remaining parts.

Swarnabha Mukherjee: Yes, sure that's very helpful. Just a follow up on the growth side sir, the growth number s guidance that you gave , is that on AP E basis or NBP basis ?

Mahesh Kumar Sharma : You can take it on APE basis.

Moderator: Thank you. The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.

Deepika Mundra: Sir, just I believe that on the VN B side on the base number there has been some restatement right for 1H 22?

Mahesh Kumar Sharma : Correct. What we have done is , whatever we had projected in March 22. That same methodology we have used on September 21, so you will remember that we had a, we were stating on a different basis, and we change d the methodology in March 22 and so to compare the September 22 figures, we have done the same thing with September 21 and come up with these figures. So, 24.7% that you are seeing is as per the new methodology .

Deepika Mundra: Right. So , could you help us with this that breakup for June 21 and September 21 or if you have it handy?

Mahesh Kumar Sharma : Breakup of what?

Deepika Mundra: Sorry, the second quarter number for VNB margin, which equates to the 31.5 in another same methodology .

Mahesh Kumar Sharma : We can calculate and give it to you, but I don 't think we have it, I don 't have it at this moment. Prithesh will answer.

Company Speaker : So, see earlier what MD sir mention ed that earlier we need to show the base number and then you have to give some sensitivity and effective price of things that we are model subsequently in the month of March and model was reviewed by TW at that point time. So, what we did that , just to be comparable
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number we have rebased those number s and th at is the reason those numbers become 24.7 and hence we are comparing our VNB margin growth from 24.7 to 31 %. Now if you look into June as well, June Q1 also we have rebased same approach. So, while June opening number was 21.2 and base we have reinstated to 23.7 and closing numbers are 2022 was 30.4. So, if you want to compare the comparative number by June 21 the rebase number by 23.7 and September 21 it is 24.7.

Deepika Mundra: Okay, sir very clear . Sir this question on the EV sensitivity, it has gone

up to

4% in the first half of versus 1.8 which was in FY 22 any clarification on that , what is driving the higher sensitivity in EV?

Company Speaker : So, this is basical ly on the base effects. So, if you see the March, if you see the EV from the March to September has gone up significantly and when you do the sensitivity from current level base has change d and result you see higher sensitivity coming from the interest rate side.

Deepika Mundra: Sir sorry, w ould you mind elaborating a little bit on that?

Mahesh Kumar Sharma : So, what happens when you the yield is on 31st March was lower and when you do the sensitivity for 1% up, you do the sensitivity from that level. What happened from the March to September the yield has gone up and if you look into the shorter duration, yield has gone up more than 100 basis points and as

a result there would be MTM losses coming from as compared to the March 2022. And that will become your base and when you do sensitivity, you start with a lower MTM base. As a result, you'll see the base number will change.

The major contribution coming from those funds included particularly the shareholder Fund, where there is no corresponding liability. So, while other LOB has a corresponding liabilities so it will get offset on that basis. In shareholder funds there is no subsequent liability so all MTM will impact your sensitivity. Subsequently, if you also look into this discounting because EVs are run out of business of future and initial year your base has increased. So, when you, it is not linear impact on the income business or EV. So, when you go and start looking with the higher number the impact will be different. And that's the reason you see higher sensitivity is coming out.

Moderator: Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

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Avinash Singh: So, the first question, of course numbers are too good, but in terms of improvement of course, you have hired a good amount of agency workforce over the last one, two years. Now, at this juncture, what kind of productivity improvement, how do you see the growth across agency channel comparing vis-à-vis banks that of course has been firing. So, what are your sort of plans around agency and how do you see this performance improving, that's one. And second within Banca, ex-SBI what would be the contribution because some of the public sector banks, we are already almost with them for two, three years now. And they have of course a larger account. So, what is overall ex-SBI contribution in the Banca, these are the two questions. Thank you.

Management: So, agency, you are right we have recruited so what has happened is that in the COVID basically there were a lot of agents who were not able to perform, and we are not actually removed any agents from our rosters in the last, last year only we started that process once again to rationalize the number so, but what we have done is, we are going all out to get more and more agents and to increase the agency business. So, as you can see we have the biggest agency in the private sector by long margin, and our productivity, per agent productivity is two and a half lakhs, I don't think anybody else has got anything near that. And this is what we would like to grow. And it can go higher also, there's already been a growth of about 6%, 7% in productivity. But there is a lot of scope there and plus the numbers, if you see the net number have gone up by 32,000 and this is not my target, we are targeting a much higher number. So, once these agents in the same proportion start getting productive. I'm sure agency will contribute much more in the future.

The other question regarding the non-SBI Banca, so I can say that right now we have got 3% of the business comes from these

banks. And our idea is that

this should go way up, because if you look at the way SBI has grown, these public sector banks partnerships that we have if they can only, even take that same trajectory, the growth is going to be huge but having said that, you will notice that these relationships have grown by much bigger amounts, so almost 63% growth across the other partners. So, that's something which we have already achieved.

Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

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Neeraj Toshniwal: Yes, I wanted to understand our outlook on last quarter we spoke about that we'll be looking for passing on some benefits in terms of yield, over the course of time so where are we and how much would if any at all effect on our margin expansion. That is the first question, and second is on the Bima Sugam wanted to know that, that we are not too active on third party platform but would there be any change of strategy with the opening of this online exchange by the regulator?

Mahesh Kumar Sharma: Yes, so see outlook on interest rates it's a, basically a thing that we keep calibrating. Now if you look at the movement of interest rates, you really don't

know whether there are going to be any more interest rate hikes. So, this is something which we are looking very closely and the product itself has got a very good demand that we have the non -PAR guaranteed , the guarantee that we are offering is finding very good uptake . Right now we are evaluating so we'll see how it goes. Obviously if I increase guarantee rates, the margin is going to go down by that much amount. There is no way you can increase the interest rates paid to the customer and increase the margin. So, that is not happening , but having it will be, we will keep close look on the interest rate movements and decide whether we want to do a ny such thing , obviously the customer is king and if the customer will buy only if there is a higher guarantee then obviously we will re-price and we will give a better guarantee there.

Bima Sugam is a good initiative by the regulator, it is going in the right direction with that kind of a thing we'll have to see what the contours of the platform are going to look like. And what kind of business can happen out there. But prima facie it's a very good idea and we were not on these earlier pla tform, because they were very expensive to be on, frankly speaking. So, I don 't think it has got anything to do with our reluctance to be on a public platform. But we don 't like to be on fixed platforms. So, platform which are fixed by somebody else, so therefore we were reluctant to be on other platforms. But Bima Sugam coming from the regulator and having all the right credentials , I don 't think we will have any hesitation in going all out on that platform.

Moderator: Thank you. The next question is from the line of Anirudh Shetty from Solidarity. Please go ahead.

Anirudh Shetty: My first question was on our non -PAR book it 's grown quite well. I just wanted to get a sense of you see enough availability of hedging instruments to ke ep growing this book at the pace that you all would look like to desire. And also, SBI Life Insurance Company Limited
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typically what percentage of this book is hedged for us and also, could you give a sense of what is the average tenure for this book , like how much would be different and how much is immediate?

Mahesh Kumar Sharma : So, the availability of hedging obviously we would like to hedge any kind of such a guarantee product, we can 't go ahead without hedging unless you have a crystal ball and you kno w exactly how the interest rates are going to behave . So, failing to do that, we would like to hedge and we will continue to hedge so long as the availability

is there. So, right now we don 't see any problem with the availability, and we are able to hedge to the extent that we want to cover and I wouldn 't like to give any percentage out here, it's something which we do at our end, but suffice to say that we are well hedged to take care of the uncertainties of the nature of the product it 's a long term premi um paying product. So, it goes from seven to 10 years, and therefore we are properly hedged there and we would like to continue to be hedged there and right now we are able to get what we want .

Anirudh Shetty: Got it. And sir there 's a lot of opportunity t o grow within the SBI branch network, can you just give us a sense of what is the share of branches that are activated , what is the long term number that we can kind of get to add and.

Mahesh Kumar Sharma : Almost all branches of SBI are generally active. So, maybe it may vary from month -to-month but on an average all the branches of SBI would be active with some minimum number of policies being sold. So, that is something which contributes to our growth in SBI, and that has been very steady if you can see over the past .

Management: And see our number are just under 40 lakhs per branch is what we have achieved and which is lower number than some of our leading private competitors, we hope to bridge that gap over years .

Anirudh Shetty: So, that was very helpful, what do you think is the right this productivity of 40 lakhs how do you see that trending over time , where do you think what is a more healthy number?

Mahesh Kumar Sharma : It can go up , see what happens is in India it is not a qu estion of the availability of people to who need insurance, it is a limit of the people to understand that they need to buy insurance so, you keep talking to people and like any sale, you talk to 100 people , you get two, three sales. So, in insurance it is probably SBI Life Insurance Company Limited
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on the lower side there. So, you have to talk to a lot of people, it is not a very easy conversation to have. So, when you start the conversation saying that, suppose you die tomorrow, who will take care of your family. It's not a very easy conversation to start. So, that is why insurance business in India is taking a little while to actually reach that penetration level, which is there in many advanced countries. But having said that, there's huge scope. So, there's a lot of scope and if you ask me, I will tell you the global figures, over all figures that you see there is a 82% protection gap in India. So, the amount of protection that Indians need overall, only 18% of that is fulfilled. So, you know the kind of potential that exists out there. And that's true of SBI customers also.

Anirudh Shetty: Absolutely sir. And one final question, typically at these SBI branches how many SBI Life employees would be stationed over there as a rule of thumb?

Mahesh Kumar Sharma : So, I would like to say, but every branch should have one person who sells, who should typically be able to sell insurance.

Management: So, what happens is, we have support given to each and every branch of SBI.

And unlike other players, we have multiple bank branches being handled by one BDM, of course there are some

Mahesh Kumar Sharma : No, not our employees he is asking about SBI employee. You are asking about SBI employees?

Anirudh Shetty: No sir SBI Life employees.

Mahesh Kumar Sharma : No, sorry I was talk about SBI employees, typically there should be one per branch at least that is the minimum that we need. And in bigger branches, there would be more, our own employees we have a very different kind of structure. So, there would be about one employee per 10 on an average, per 10 branches on an average, so that can change depending on the distance and all for example Northeast, I can't say that I will have 10 branches covered by one person, be

cause the branches may themselves be 100, 200 kilometers away.

Anirudh Shetty: Do you see the need to add more because as you mentioned it's a tough, protection is a tough product to sell. So, do you think

Mahesh Kumar Sharma : Our people not, see the whole idea of our model and why our model is cheaper is because we are following the regulatory instructions of the bank

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people doing the sale and our people are trading, hand holding them, helping them with the sale process. So, that is the model that we are following and that is why we are the lowest cost if I were to put one person per branch to sell from my side that I would be beating, I will defeating the requirements of regulation also and at the same time it would be a very, very high cost model.

Moderator: Thank you. The next question is from the line of the Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Two questions from my side. One is you alluded to the change in product mix within the non-PAR segment which kind of supported the margins during the quarter. So, do you like to throw some more color into the mix of the products in terms of policy term or customer age or tenure. And second, on credit life last year you have been guiding that you're focused on increasing the attachment rates at SBIs counter. So, what is the kind of progress that you see out there on that particular segment?

Mahesh Kumar Sharma : So, see the non-PAR, basically what Prithesh was trying to say is that there are products and therefore, you can't really put a figure from outside on what it is, we do the exact calculations and then we arrive at the margin. So, there are different products, there are different tenure for example even the non-PAR guarantee product it would have a tenure, 10P product and there would be an 8P product, then there would be a 9P product or a 7P product. So, every one of these will be having different margins. So, even a right shift in that demand would change the margin and really speaking. So, it's a very big deal what Abhijit said very clearly there is only a shift of 2% in the overall mix towards ULIP, and on top of that their credit life has grown very robustly. And also if you look at, so that can be explained by the inter product changes in margin, etc it would be very difficult. We would have to sit with an Excel sheet and talk about how many of each of those products got sold and all that. We know that but I don't think we can, we need to this on the call but the other thing is Credit

Life like to say , yes we would like to increase the attachment rate s. And we have increased the attachment rate from 47 % to 48% in the similar period , last year we ended with 50% attachment rate. And this year, we would want to take it much higher. SB I has also taken high er targets because they feel that this is a very good product for their customers to protect themselves and their families. And in fact, the product itself is called a Smart Family Protect. So, this is something which we will try to increase the attachment s rates .

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Moderator: Thank you. The next question is from the line of Sanketh Godha from Spark Capital . Please go ahead.

Sanketh Godha: Sir the EBITDA of higher base impacted the growth in second quarter. And we all also have a higher base problem in third quarter of FY 22. So, what makes you to tell you confidently that the growth of 20% or 2 5% can be achieved for full year , because we ha ve a decline in the second quarter and same is possible in third . Even if we grow by 20%, or in the fourth quarter still the guidance of 20%, 25% seems to be tough to achieve . So, if you can give a little more color on that thing it will be useful sir .

Mahesh Kumar Sharma : Yes, absolutely you got a very good

question. But , what you probably have

ignored is that there was a peculiar circumstance in the last year in which you had April, May being totally washed out. So, that pent up demand spilled over into part of it, of course everything doesn 't get fulfilled because people forget , people don 't buy , people don 't fulfill, but part of it gets fulfilled in the next quarter. So, that was the spike that I was talki ng about and not the normal spike. Normally, we have a seasonality which we take for the first quarter, the second qu arter, the third quarter and fourth quarter . The third and fourth quarter generally we get the highest seasonality because the numbers, the demand and the sale everything happens in the third and fourth quarters , in fact whole of India work s on the basis o f a busy second half rather than the first half. So, the Kharif season is always less busy than the Rabi season. So, that is where all the money comes, that is where all the harvesting takes place, that is where all the things happen. And as a result of th at, the money flow , the demand and especially the year end demand, by before the year end people want to do a lot of things within their budget. So, as a result, naturally during the last two quarters, there is always more activity and last year also having it's not a question of the base, the base is only to explain the lack of , happening lack of growth in the second quarter . If you look at the numbers, they are very robust numbers in the second quarter also, only thing is when you compare it with a quarter of only last year, there is an issue out there where it is not showing a growth, but if you look at sequentially, it is a very good growth. So, going forward every quarter three and quarter four has been stronger than quarter two , always in the past for SBI L ife. So, that is where our confidence comes.

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Sanketh Godha: Got it sir, a nd last quarter Q1 quarter you mentioned that income plans of non - PAR in Platina contributed almost 30% of the total business , if you can put a color how much it contributes either for only for second quarter. And can I say when you said that the product within the product , product within the non -PAR design helps in margin expansion. So, is it higher contribution of income plan or higher spreads you made in the current quarter contributed to the margin expansion ?

Management: So, non-PAR, Prithesh go ahead.

Prithesh Chaubey: So, are absolutely right that non -PAR income plan is higher margin and has help us to enhance the margin as well . And you see that, depending on the premium paying term, we have the seven , eight and 10, so 10 has higher margin that 's really help us , now we have other non-PAR products which is endowment , and if you compare d to the endowment versus the income plan. Their income has high demand and this year, this quarter particularly Q2 while we see this slight decline in the non-PAR proportion overall, the proportion has increased more towards the Platina Plus with the income plan and that 's really

help us to give this margin .

Sanketh Godha: Sir what that number sir, last quarter it was 30% if you have that number handy?

Management: So, 22 to 25 somewhere around.

Management: So, if you see this quarter it is around 25% .

Sanketh Godha: Okay, got it sir. And the another question which I had was sir, we started VNB based on the revised methodology which you applied for FY22 full year numbers. Can you restate that which you reported in 1H FY 22 not based on the methodology we use in FY 23, because if I use that number of H1 FY22 what you have reported and look at EV growth it looks muted 10% so naturally the growth should be better than the 10 because assumptions may probably not appropriate ly in FY22 on that . So, sir if you can recheck that number would be very useful sir and, relat

ed to it wanted to understand how much EV got impacted in 1H FY 23 because of MTM .

Mahesh Kumar Sharma : So, see we have not published our AOM from a EV and since we have not published our AOIM work , we have not restated number publicly, we 're not
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disclosing those numbers . End of the year for the financial year we will go and do that so you get a ri ght comparison from the March and in next March because March number are already under new base. S o, we have not done that so we don 't want to force those number at this point in time.

Sanketh Godha: Okay.

Mahesh Kumar Sharma : And s ame question on your M TM as well , because again this is economic variance coming from that. So, since we have not publicly disclosed those numbers, we do not want to comment on M TM, but the moment you will see this, our M TM losses would be similar to the sensitivity that we saw in 31st March not different than that. Second point is , if you look into the EV growth which you might be seeing as a muted , the first six months of the year EV grow th of 10% is quite significant, because most of t he business will keep improving in the second half. So, EV growth will be much higher everyThird point though we have not given the AUM, I can confirm that in operating variance all the aspects including the mortality , expenses, and persistency we have a very positive variance , we are expecting even better, because we are putting assumption as far as mortality is concern. And we have not diluted our COVID provisioning as on 31st March 2022, we still have that carry forward . So, by end of year we see more operating variance and you might be seeing more of robust ROAV . But at that point in time, we have to wait till our year end March 23 we will do that.

Sanketh Godha: Got it sir. And the last one from my side, see we are seeing improvement in the cost ratio, we are seeing improvement in the persistency. Our VNB which is 31% is for first half is still based on last year cost and persistency we have not touched assumptions yet . Sir, even just want ed to understand that lever itself is still available for you to report a margin even better than what you had reported in 1H sir?

Company Speaker : See, we can expect that margin would be better in same product mix, but if you see the pr oduct which will be changing over the next six months. So , while margin will be more or less similar I do see there will be some investment coming from but , I don 't see any risk downside margin from the current level. I'm currently it is not exactly 31% , we are looking for some range of 29 % , 28%, to 30 % , 31% range . But definitely in the March sign we expect .
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Mahesh Kumar Sharma: Yes. So, basically, this is largely conjecture because like I keep saying and I've said this till I will am also bored of saying it that we are basically selling products which that customer wants. And that doesn 't change , I'm not pushing anything down anybody 's throat because it has got higher margins. Obviously the margin will depend a lot on the demand that is there, but we will continue to give meaningful products to our customers and they will find it useful and as a result we will grow, we will grow our VN B, we will grow our EV. And margin, of course, will be a high healthy margin.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Elara Capital . Please go ahead.

Madhukar Ladha: So, most of my questions have been answered just , I wanted your comments on the new draft, regulations on commission and expensive of management. Our expenses of management are significantly lower than that 70% limit, I believe that will go to 50 % to 55%. So , what I wanted to understand is, how can this impact us and could it lead to a scenario where

our largest distribution

partner and parent, then demands for higher commission payouts, your sort of thoughts.

Mahesh Kumar Sharma : I cannot speak for our distribution partners. But the whole idea is that a business is good, as long as it is sustainable. And so long as it is, it 's like nobody would want to kill the golden goose. So, if you 're doing good business and you 're getting good results out of it, good revenue out of it, I don 't think you will want to kill the business by saying that you give me everything and leave nothing for growth. So , I don 't envisage such a situation first thing . Secondly, what is being attempted is , that there are a lot of companies which have been constrained because of these regulations. And they would like to have more freedom in the way they spend the expenses of management. So , that is where the regulator is looking at giving some higher degree of freedom, but I'm very, very confident that the regulator will still be looking very carefully at how it is being spent and how it is being managed. So, that there are no wrong practices coming in. So , I'm very confident that the regulator would think about all these things and there would be a good framework for that. Having said that, we have never been challenged in terms of either UM or commission payments so we don 't think it is going to affect us directly. But, like you were saying the scenario that you were thinking about , any such scenario looks like coming up then you see what we need to do.

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Madhukar Ladha: Sir, while SBI may not take all of it as commission, but there can definitely be a scenario where there is some sort of payout in crease , have there been any discussions, anything on that?

Mahesh Kumar Sharma : This is all very conjectural, because this is very, very conjectural so, I wouldn't like to comment on this , if there is something concrete that comes up then we will discuss this.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: I have two questions on the annuity product, so first like what is really driving such strong market share gain in this business, like I want to understand how important pricing is behind the growth of this product, like you have always said that ROP product the customers are not so price sensitive, and they want money back in return. So, how competitive this product is when it comes to pricing and if you can also provide some color on distribution mix in respect to this specific line of business ?

Mahesh Kumar Sharma : So, annuity product it is something which is very transparent in the sense that everybody , a person can go and search for annuity products and he will know what kind of returns he will get. So, if I'm able to sell a product it has to be competitive. So, that's what we have , we have a very competitive product and we are giving value for money and that's why it 's selling .

Management: And all channels are selling, both saving and annuity products.

Mahesh Kumar Sharma : Yes, all channels are selling.

Nitin Aggarwal: Okay. And sir how do you see the growth going further in this product as interest rate rises and banks are also increasing deposit rates which can go up sharply ?

Mahesh Kumar Sharma : So, see I don 't think there is a direct connection between deposit rates and these products, because these products are totally different in structure.

Deposit you will get for three years or maximum 10 years, today you can get a deposit for 10 years and you can lock in a rate of interest for 10 years back . In their annuity product you 're getting for life. So, that flavor is totally different , in the deposit you get the money back and you have to deploy it again. So, there

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are two things out here, one is liquidity that you have the money, but again you will have to deploy it, and there is no guarantee what rate you will get it in. So, if it is a Euro, if you see in the last 30 years, the rates of interest have gone down to zero and minus also. So, if somebody imagines that after 10 years we will put it in F D, and then he will put it again at a better rate or something like that after 10 years, he will not get interest at all, you 'll have to probably pay interest to do that , in the annuity product I cannot afford to do that, I have to give him whatever I have committed today, I have to keep paying him till somebody certifies that he is no longer there. So, there is a huge difference I don't think that this is driven only by interest rates . It is driven by the returns that are generated and the guarantee. So, you are able to give a guarantee that 50 years down the line if you 're alive, I will give you this much amount. That is what is driving that business and it 's a totally different demand and supply thing to fix deposits or any other investment , you can compare it probably with a 40 year bond or something but that 's about it.

Management: We do see a lot of growth in this annuity business and particularly we see the....

Mahesh Kumar Sharma : Yes, because most of the India is not covered

Management: It is maturing so we 'll get a lot of NPS is converted to annuity products and retirement is happening for the people will buy .

Management: Most people don 't have any pension or protection.

Management: In terms of demography , so this is on a small base, but the fastest growing demography in India. People above 50, 60 years age.

Moderator: Thank you. The next question is from the line of Ans human Deb from ICICI Securities . Please go ahead.

Ansuman Deb: I have two questions , one is that you mentioned you had a tie up with India Post Payment Bank, and so has been the case for another leading private life insurers. I just wanted to understand the competitive intensity around, the tier two distribution or tier two kind of a places , has it increased. And, how comfortable is SBI sharing an open architecture with a leading private life insurer that is a question number one. And the question number two is , our sensitivity have increased , sensitivity interest rates so in terms of strategy do SBI Life Insurance Company Limited
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we have a strategy to kind of lower it down, or by changing the what you mentioned about products being decided by the consumer, but changing the product mix or changing other things to keep a control on the sensitivity to interest rates. These are the two questions.

Mahesh Kumar Sharma : So, see when you 're talking about open architecture and with private insurer you're already in that kind of a situation with some of the banks. So, we are already in competition with other insurers in three public sector banks and two private sector banks, apart from this IPBP relationship that we have just started. So, there is no question about that we are the leading insurer in all these relationships , so we have the leading share in all the se relationships so I don 't think we are bothered with open architecture, per se . We got a very strong brand name, we have got very strong products, and they 've got very good servicing and we have got a very good Company . So, I don 't think we are bothered about that too much and of course we will keep pace with whatever developments are there.

So, coming to India Post Payment Bank Limited, basically the idea is that these are, this would expand our reach into the hinterland, into the deep rural areas , into the unbanked areas or underserved areas. So, State Bank is one such medium. So, we have about 23,000 branches then we have about 9000 branches of RRBs and so , this is another attempt on our side to cover all those

black dark spots that we would like to think, where we don 't have our complete presence in rural semi urban areas. And this would help us to do that and also in the urban areas also, then we could probably expand this whole thing . The idea is that there are more than 600 branches of 635 plus branches of IPBP, which are then connected to all the post offices . So, we are trying to have a model which we can then scale up and this is not going to happen overnight, we'll work on it. But we think it 's a very exciting opportunity. And for a country

like ours, we have two purposes out here one is of course, to grow the Company and to make a sustainable profits and all that, increase the customer base but very importantly to develop insurance in India, we would like to be known as a Company that actually grew insurance in India. So, that is something which we will take a lot of pride in. If we are able to achieve this objective of giving more and more Indians insurance cover.

Management: And sensitivity is just to aid that we explained earlier as well. This is a shift on account of the base effect. And particularly the shift in the is not parallel shift

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because it has gone up on sizable. And something happened on account FRA of writing guarantee product. Having said that, we should not be worried about the sensitivity by interest rate because this investment that we are making, we are making by held to maturity and in case interest will go subsequently, we will be able to make more money on the side as far as the EV growth is concerned. So, there is no strategy that we are going to change in the performance, visually we will be able to manage that.

Mahesh Kumar Sharma: But you have said it yourself very clearly, that the consumer is at the center and therefore there is no attempt to fix the whole product mix what we would probably do is we'll try to introduce more products, which will find a better acceptability with the customer to try to influence their buying decision, but not the other way around trying to push our existing product where they are not suitable. So, firstly we find what is suitable for the customer, what he needs and then we'll give it to him. And if his needs are slightly different than we will develop a product and give it to him.

Ansuman Deb: I was just coming from the perspective that you also said right, for example in the first half. If I were to calculate the economic variance, you said you can use the sensitivity to calculate it.

Mahesh Kumar Sharma: Yes, absolutely.

Ansuman Deb: So, what I'm trying to say is that let's say I am projecting a two-year EV and I'm assuming or let's say the hypothetical year 200 basis point increase in interest rates, then your sensitivity is the highest. So, I'm trying to say that on that perspective as a business strategy we truly have a benchmark sensitivity that it should not go above that or something like that.

Mahesh Kumar Sharma: But basically the sensitivity is a concern so basically you use it to free what is likely, what could likely happen in the unlikeliest case, like for example the sensitivity is done on say plus 2%, minus 2% and all that. And that is not something which we are anticipating to happen in the next say one year or so. But if it does happen, what happens so the 4% sensitivity out there is three gauge maybe, higher than 2%. But it is still not something which will affect the Company negatively in the long run.

Management: See, there's two point we'd like to mention here. One is that our sensitivity when 4% is similar to our other peers as well as the market. So, not very high

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sensitivity. Second point we need to look into that, if you look into our public disclosure in the past, we have successfully able to reduce our sensitivity vis-à-vis in last four to five year. This as we mentioned earlier, is the sensitivity at this point of moment and that also reflects some of the movement in the yield curve and how the same yield curve had changed. When anyone has to look into the longer term, you can look into March or even give a longer period. I am not going to change this strategy because six month we have not seen a lot of things in fact some impact coming from the FRA. But if you see other side because non-PAR saving were writing, we're getting priority value. So, this sensitivity is in our mind while framing our strategy in the product mix and other though our first preference is to customer. At the same time, we always adopt a long-term view in each and every places that we mentioned. And hence we are not to worry about the start or movement in the case of sensitivity and interest rate and that's the reason I mentioned that we should not be more worried about this recent particularly for the interest rate of scenario because we are writing the product annuity with longer term and able to lock in this thing,

able to cope even the un-hedged book , we are able to reinvest our coupons on a higher yield, ultimately it is going to help us in the economic positive variance in future.

Moderator: Thank you. Ladies and gentlemen this was the last question for today. I would now like to hand the conference over to Mr. Mahesh Kumar Sharma for closing comments.

Mahesh Kumar Sharma: Thank you very much everyone. For all the questions, the questions that we get in the conference always keep us on our toes and it gives us an opportunity to understand our Company even better than we ourselves could . So, thank you very much once again, wish you all a very Happy Diwali and hope that going forward we all keep ourselves insured and safe. Thank you .

Moderator: Thank you. On behalf of SBI Life Insurance Company that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

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January 27, 2023 SBIL/F&A -CS/NSE -BSE/2223/38 2

Assistant Vice President General Manager

Listing Department, Listing Department,
National Stock Exchange of India, BSE Limited,
Exchange Plaza, Phiroze Jejeebhoy Towers,
Plot No. C/1, G Block, Dalal Street,
BKC, Bandra (East), Mumbai - 400001
Mumbai - 400051

Dear Sir / Madam,

Subject: Transcript of Earnings Call held on January 21, 2023

This is in continuation to our intimation letter ref. no. SBIL/F&A -CS/NSE -BSE/2223/ 367 dated January 17, 2023 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Transcript of the earnings call held on January 21, 2023 with analysts/ investors is also uploaded on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on records.

Thanking you,

Yours faithfully,

Vinod Koyande
Company Secretary
ACS No. 33696

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"SBI Life Insurance Company Limited Q 3 FY23
Earnings Conference Call"

January 21, 2023

MANAGEMENT : MR. MAHESH KUMAR SHARMA – MANAGING DIRECTOR AND CEO
MR. S. VEERARAGHAVAN – DEPUTY CHIEF EXECUTIVE OFFICER
MR. SANGRAMJIT SARANGI – PRESIDENT & CFO
MR. ABHIJIT GULANIKAR – PRESIDENT BUSINESS STRATEGY
MR. SUBHENDU BAL – CHIEF RISK OFFICER
MR. PRITHESH CHAUBEY – APPOINTED ACTUARY
MS. SMITA VERMA – SVP, FINANCE & INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY '23 Earnings Conference Call of SBI Life Insurance Company. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Kumar Sharma , MD and CEO,

SBI Life. Thank you and over to you, sir.

Mahesh Kumar Sharma : Thank you very much. Good evening, everyone. And we heartily welcome you all to the results update call of SBI Life Insurance for the period ended December 31, 2022. Update on our financial results can be accessed on our website, as well as on the websites of both the stock exchanges. Along with me, I have Mr. S. Veeraraghavan, Deputy CEO; Sangramjit Sarangi, President and CFO; Abhijit Gulanikar, President, Business Strategy; Subhendu Bal, Chief Actuary and Chief Risk Officer; Prithesh Chaubey, Appointed Actuary; and Smita Verma, SVP, Finance and Investor Relations.

Now let me give some key highlights for this period ended 31 December 2022. New business premium registered a Y-o-Y growth of 14%, and stands at

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INR 215.1 billion, leading to private market leadership. Individual new business premium stands at INR 152.4 billion, with a strong growth of 31% and private market share of 27.2%. Gross written premium stands at INR 473 billion, a growth of 15%. Protection new business premium grew by 25% to INR 25.5 billion.

Profit after tax stands at INR 9.4 billion, with 13% growth over corresponding period last year. Value of new business is INR 36.3 billion, registering a strong growth of 44% over INR 25.3 billion in December '21. And VNB margin is at 29.6%, with an improvement of 478 bps over 24.8% in December '21. Assets under management grew by 17% to INR 2.99 trillion.

Robust solvency ratio of 2.25 as against the regulatory requirement of 1.5. I would also like to highlight on a few key initiatives taken by the company, with a view to offer whole life saving products and keeping in mind the evolving needs of customers.

We have launched SBI Life Smart Lifetime Saver, an individual, non-linked, participating, whole life insurance savings product, especially designed for customers who are looking for a product with income for whole of life. The product offers annual guaranteed as well as non-guaranteed survival income. We will now update you on each of the key elements in detail. Let me start with the premium. Individual new business has grown to INR 152.4 billion, with a growth of -- Y-o-Y growth of 31%. Single premium contribution is 30% of individual new business premium, which is mainly attributed to our growth in our individual annuity product. The company gained the private market share by 262 basis points to 27.2%.

On individual rated new business premium, we stand at INR 111.4 billion, with Y-o-Y growth of 23% and maintaining our leadership position with private market share of 25.7%. Also, group new business premium stands at INR 62.7 billion, with a share of 29% in new business premium. We have collected total new business premium of INR 215.1 billion, registering private market share of 23.1%.

The renewal premium grew by 15% to INR 257.9 billion, which accounts for 55% of GWP. To sum up, the gross written premium stands at INR 473 billion with a Y-o-Y growth of 15%. In terms of APE, premium stands at INR 122.6 billion, registering a growth of 20%. Out of this, individual APE stands at INR 112.4 billion with a growth of 23%.

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During the period ended December 31, 2022, a total of 15.67 lakh new policies were issued, and it registered a growth of 20%. Individual new business sum assured registered a growth of 14% over corresponding period last year, as compared to growth of 5% at private industry level. Considering our robust performance for the period ended December '22, we continue to expect strong growth in our performance for Q4 in FY '23.

Now something about the product mix. As on December '22, our guaranteed non-par savings products are contributing 17% of individual new business and on individual APE basis, this contributes 24%. Non-par guaranteed product new business has registered a Y-o-Y growth of 147%, mainly due to the new

business contribution of Smart Platina Plus of INR 19.4 billion in the period ended December 31, 2022.

This product was launched in March '22, and has seen a strong traction in the new business premium, mainly due to the product features witnessing high acceptance in the market. Individual ULIP new business premium is at INR 83.7 billion, which now constitutes 55% of the individual new business premium. Individual protection new business premium is at INR 7 billion, registering a Y-o-Y growth of 12%.

Group protection stands at INR 18.5 billion with a growth of 30%. Credit life new business premium has grown by 27% and stands at INR 14.5 billion. On APE basis, protection contributes 10% of the new business and registered

growth of 18%. Annuity business is at INR 33.6 billion, and contributes 16% of new business premium. Under annuity, the company is offering immediate as well as deferred annuity option. Individual annuity business is growing at 139% over last year. This is mainly due to new business contribution of Smart Annuity Plus of INR 25.3 billion. Total annuity and pension new business underwritten by the company is at INR 60.4 billion, registering growth of 10% over the same period last year.

With strength of more than 54,000 CIFs, SBI and RRB Bancassurance contributes a share of 69% and grew by 37% in individual new business premium. And on individual APE basis stands at INR 78.2 billion with a growth of 25.3%.

Agency, one of our other strong channels, registered new business premium growth of 22% and contributes 18% in new business premium. Agency channel individual APE stands at INR 29.5 billion, a growth of 15.1%. As on December 31, 2023
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31, 2022, the total number of agents stands at 1,93,635. During the period, the company added 47,578 agents net.

During the period ended December 31, 2022, other channels, including direct, corporate agents, brokers, online and web aggregators grew by 48% in terms of individual new business premium and 42% in individual APE. Protection new business premium through other channels registered a growth of 36%.

Partnerships like Indian Bank, UCO Bank, South Indian Bank, Punjab & Sind Bank and YES Bank registered a growth of 49% in individual new business premium. These partnerships have contributed 3% of the individual new business premium.

Now to come to profitability, the company's profit after tax for the period ended December 31, 2022, stands at INR 9.4 billion with 13% growth Y-o-Y. Our solvency remains strong at 225% as on December 31, 2022. Value of new business is at INR 36.3 billion with a growth of 44% Y-o-Y as against INR 25.3 billion in the corresponding period last year. VONB margin is at 29.6% vis-à-vis 24.8% for the period ended December 31, 2022, with an improvement of 478 basis points.

Growth in VNB and VNB margin is driven by change in product mix, predominantly in non-par segment and business volume. With our growth targets and the product mix shift, we expect to maintain a healthy VNB growth rate. Operational efficiencies parameters are robust. Opex ratio stands at 5.2% for the period ended December 31, 2022. Our total cost ratio stands at 9.7% for the period ended December 31, 2022.

With respect to persistency of individual regular premium and limited premium paying policy term, 13-month persistency stands at 84.6%. Company has registered a significant improvement in 49th and 61st month persistency by 178 basis points and 491 basis points, respectively. We have witnessed improvement in persistency ratios across major cohorts.

As mentioned in my opening remarks, assets under management stands at around INR 3 trillion as on December 31, 2022, having growth of 17% as compared to December '21. The company continues efficient use of technology for simplification of processes, with 99% of individual proposals being submitted digitally. 45% of individual proposals are processed through automated underwriting.

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To conclude, we continuously endeavor to maintain our leadership position and continue to further increase our market share by offering products that meet the evolving needs of our customers. With our widespread robust distribution network complemented by digital technology, our innovation strength and above all, our people power, we are placed to make the most of abundant growth opportunities offered in India's underpenetrated insurance sector. We are committed to enhancing digital ex

periences for our customers, distributors and employees. Further, we shall continue to explore new partners, leverage existing partnerships and launch new products that meet customers' needs and provide seamless customer experience.

Thank you very much for a patient hearing. And now we are happy to take any questions that you may have.

Moderator: The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: A couple of questions. First one on the FFA build up. This -- I mean, of course, till Q3, you generally have a FFA build up in Q4, you release something. But the kind of quantum of FFA build up in the Q3, it seems to be on the higher side. So can you just please explain why this sort of a bit of a FFA you're building is something to do with your product mix or something else that I'm not getting? That's one. Second, if I am understanding it correctly, the VNB sensitivity to reference rate is negative. But if I see the VNB margin walk Y-o-Y, there I see a positive impact of risk free rate going up. So what am I missing here? That's the second.

And thirdly, if I look on the commission side, I mean, of course, you are much lower versus peers. But I mean, overall, if I see even kind of a factoring in the new business growth being higher, a bit higher growth on the commission side. Is it something to do with the product mix changes or have you sort of increased some bit of commission in existing product in existing channels? So, 3 questions.

Mahesh Kumar Sharma : Yes. I'll take the last question first. So the product mix has changed and therefore, the commission mix has changed. So this is purely on the basis of product mix. We have not changed. Largely, we have not changed anything significant in the commission rates as such. Coming to the other points, Prithesh kindly go ahead with the FFA build up and what's missing on that.

Company Speaker : Let's take the VNB one. So when we compute the VNB, we don't take any assets backing. So that's the reason why interest rate goes up, you see the SBI Life Insurance Company Limited

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positive variance coming from. When you do the sensitivity, we do take the asset backing benefit. So if you see, we are writing a lot of non-par products and to hedge the interest rate risk, we do write forward rate agreements. Now, when interest rate will go up, MTM losses will incur on the FRA. And that's the reason you are seeing the sensitivity is giving a negative direction in upward scenario, whereas in normal walk, you are getting a positive. In general, if I have to remove this FRA benefit, you might be seeing the positive sensitivity on the interest rate as well.

Avinash Singh: So if you can help me on FFA, yes?

Company Speaker : And FFA, you see the FFA we normally assess our asset share calculation, declare the bonuses and recommend in the third quarter. But certainly we see a lot of improvement in the par persistency over the period. And when a policy gets revived, you will get significant premium and then you have to ultimately go and declare those bonuses. So, these are natural things.

And second thing, you see, the par business has not grown to that extent that need to happen. So more par business you write, more FFA you utilize. So that's the reason FFA is building up. There is no change done to build up the FFA. It's a normal thing. And end of each year, we will review these things. And additional FFA will be utilized to distribute the bonus to the policyholder in the current year and the future as well.

Avinash Singh: And one just a small data keeping if you can allow. Can you, I mean, give a

broad idea of number of in-force policies currently in SBI Bank channel? I mean, I just want a broad sort of a number to get broadly that, okay, where -- I mean, we could be where it's a potent

ial. So number of in-force policy in SBI Bank.

Mahesh Kumar Sharma : I think we will send you the information, okay, because, I'll have to dig it up.

Avinash Singh: Okay.

Moderator: The next question is from the line of Ansuman Deb from ICICI Securities.

Ansuman Deb: Yes. My question is on the product trends that you're seeing. So, we have seen a little bit of improvement in the ULIP mix in this quarter. So, I just wanted to understand the sense of demand that you're seeing on ground, be it protection because some of our peers have indicated that there has been an inflection point in terms of quarter-on-quarter growth in protection. And also non-par SBI Life Insurance Company Limited
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segment because of the higher interest rates and you have shown improvement in ULIP. So if you could give a broad outlook on the demand outlook on each of these segments.

Mahesh Kumar Sharma: So, see, basically protection is something which is growing. And so for us also it's growing. And till December end, we have 25% growth over last December. So, this is a good trend that we have. And we think that it will be there for some more time, even though there is no COVID effect like last two years, when there was a sudden spurt in the demand in some of the quarters. But we have been growing steadily over the last four years in protection quarter-on-quarter. So, we will continue to keep growing at a good pace in protection. Now coming to ULIP. So, we had said earlier also that when other things are all equal, then, obviously, we have got very good ULIP products, which have been in good demand.

So, ULIP demand will be back. And even though it was growing always, but I think the growth has slightly accentuated in this quarter. So, that is definitely there. Going forward, I think non-par guaranteed will continue to see a good traction. ULIP, of course, will definitely, because right now the markets are also good. And I think people have come out of that fear of the markets suddenly moving or something. So maybe the demand will go up, but we had earlier also seen good traction. Even when the markets were doing so many things, we were seeing good traction in ULIP. So, we will continue to see good growth in ULIP.

Ansuman Deb: And one just follow up on that. Any particular channel where you are seeing an improvement in ULIP and if you have any overall margin guidance for this margin and volumes guidance for this year?

Mahesh Kumar Sharma: It is across the board. So the ULIP growth and the business growth, both is there in all the channels. So, I don't think we will pick out any particular channel for any particular product.

Ansuman Deb: And would you have any margin or volume guidance for this year FY '23?

Mahesh Kumar Sharma: Yes. So margins have been very good for us. So it will, of course, change a little bit here, there with the product mix. But largely, it is going to be around what we have right now.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.

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Swarnabh Mukherjee: Sir, so couple of questions. First one on the product mix. So now ULIP mix for the third quarter is quite close to what it used to be earlier. Now, I wanted to understand, would we be having some kind of a target mix in mind or we will kind of offer the products to the customer and then let the product mix take the shape? What would be our strategy in this because earlier I thought -- yes, so just...

Mahesh Kumar Sharma: Last, what you said is what I've been maintaining for a very long time now. We actually have the entire product suite and we offer to the customers and whatever comes out of that. Of course, we get the feedback from the customers, what products are good, what are -- and we do keep changing or

adding products to t

he bouquet. But largely, we don't really aim for a particular product mix.

But then what we would be looking at probably is about 60% around, thereabout ULIP and remaining to come from the other products. So that's largely around. So, I wouldn't be worried about 4%, 5% here and there, because finally what the customer wants and if it is giving good margins and it's giving a good product to the customer, then I think it's a win-win for both us.

I think you must have got my reply.

Swarnabh Mukherjee: Sir, Yes, broadly got it. So I just wanted to understand that between second quarter and third quarter, what had changed that resulted in this appetite for ULIP? Is it only the markets or anything in the product that we have done or any commission structure we have changed for our channel?

Mahesh Kumar Sharma: We have been maintaining all along, I don't know if you were on the call last quarter and the quarter before. I have always been maintaining that ULIP demand will be there. It has always been there. It's only that the pent-up demand for non-par was probably very high in the beginning couple of quarters because we didn't have that product in our suite. And now that we had that product, we had a huge demand for that and that growth sort of probably overshadowed all the other growth. But otherwise, our ULIP has been growing steadily. And I think it's just part of that, continuation of that. There is nothing spectacular about it.

Swarnabh Mukherjee: Okay, sir. That's helpful. In the non-par product, this new variant, what would be the contribution in terms of APE within the non-par basket?

Mahesh Kumar Sharma: 23%. 22%?

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Company Speaker: 26%.

Mahesh Kumar Sharma: 26%.

Swarnabh Mukherjee: 26%. And given that, this environment, I mean, this particular segment is very competitive and few players have also increased pricing.

Mahesh Kumar Sharma: I'm sorry. 22%, yes. 22%.

Swarnabh Mukherjee: Okay. So given that this segment has become very competitive, so how are we -- in terms of margin, are we able to maintain the margin or are we taking some amount of impact on the margin to ensure that there is a pickup in our product?

Mahesh Kumar Sharma: I don't think we are taking any impact on the margin or anything of that sort. And really, that -- the non-par product, like I said that there was a demand and there was a pent-up demand and that was what we saw earlier and I think the demand will go on.

Swarnabh Mukherjee: Okay. And sir, just to clarify, because these are all income products and longer duration, would it be fair to assume that they will have a margin profile, which would be much better compared to the endowment variant that we had, the older version?

Mahesh Kumar Sharma: Yes. It will be slightly here or there, slightly high.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one on the SBI productivity per branch, I think we had about...

Moderator: Good afternoon, Mr. Shyam. But we are unable to hear you clearly. Your voice is sounding little muffled.

Shyam Srinivasan: Okay. Is it better now?

Moderator: Yes. Please go ahead.

Shyam Srinivasan: Yes. So the SBI productivity per branch, the number was about 40 lakh last first half. We've seen it jumped to 62 lakh. Is it just seasonality that the bank starts doing more in Q3, Q4? Is that the explanation or have we done anything in terms of a strategy to kind of push up the productivity in the SBI branches?

Mahesh Kumar Sharma: The seasonality takes care of that. It is normal.

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Shyam Srinivasan: So when I look at you and compare versus some of the private peers, this number we are now closer to where some of them are. Do we think there is

upside he

re from a productivity per SBI branch perspective and what's working for us? Because we have now bridged the gap between them. But if I were to look at penetration numbers of SBI Bank customers, I don't think it's the same. So just if you could help us understand what's happening at the branch level?

Mahesh Kumar Sharma: So, we have been expanding the market. If you look at the number of policies that we sell, the growth has been huge. I'll just give you a sense of the number. NOPs growth over last...

Company Speaker : Policies? Number of policies growth was 22%.

Mahesh Kumar Sharma: Yes. 22% policies growth. And in a market, where almost -- if you look at the industry, the policy growth has been negligible. So in that industry, like you look at 1 -year CAGR, 3 -year CAGR, our number of policies growth is huge. So that explains the slight difference in productivity that you may find with other players.

So, we are selling everywhere, not only in Mumbai , Delhi, but we are selling in all the places across the country. And we are introducing newer, newer players to the market, newer buyers to the market, newer people who are insured. Obviously, the ticket sizes are going to change a little bit and therefore, the productivity is going to be slightly lower. But going forward, we would track the number of people that we cover the NOPs, plus the average ticket sizes, which are increasing and plus the number of branches that are selling. So, all these parameters will keep increasing.

Company Speaker : Shyam, to just clarify further, we do expect our productivity per branch of SBI to go up. And you rightly pointed out that we have not penetrated the customer base of SBI. There is still some leeway there for us to catch -up and increase our business through the SBI channel.

Shyam Srinivasan: Is that just data point? Is that number like 2% of SBI Bank customers have an SBI Life policy? Is that...

Mahesh Kumar Sharma: It is very rough because we don't have the exact data of SBI customers. I wouldn't...

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Shyam Srinivasan: Fair enough, sir. Second question and last question. Yes. Got it. Second and last question just on protection. Just going back to some of the earlier participants. 9 months we have got 18% APE growth, but retail has been slower than group. But if I look at Q -o-Q like Q3 versus Q2, there is actually no growth. In the sense, it's flat. If I were to look at Y -o-Y on retail, Q2 was a 3% or 4% decline. Q3 is just plus 4%. So just want to understand competitive dynamics here, sir. I think many of our peers now have launched the ROP product. Some of the peer 2 days back has 30% coming from ROP versus 0, 3 or 4 quarters back. So anything that you're seeing from a competitive standpoint that is leading us to lower retail protection growth ?

Mahesh Kumar Sharma: See, our customer base is totally different from what the others are selling to. So, I'm not trying to sell to the same people. So the question of somebody preferring somebody else's TROP over mine is like very vague because our agency is one of the strongest and we are there in so many banks. So, really speaking, when I'm pitching to the customer, I'm pitching to him and we have been selling TROP for such a long time. It is probably some kind of a catch -up that many of these people may be doing on the TROP because they didn't have this product.

And now they are able to pitch that product or something like that. But having said that, our protection growth has been quite strong. If you compare the particular quarters that you are comparing right now, you will find that they have grown -- our protection has grown in those quarters. And that is why you may find that the comparison is like flat. So that is the only reason I can ascribe to it. Our demand for protection has not been affected by any other company bringing

g in any product, singular product.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Financial Services.

Madhukar Ladha: Congratulations on a good set of numbers. I had two quick questions. One,

what are the margin buffers you have? I know that you change your assumptions at the end of the year. So, I wanted to get a sense of, if there are there any areas where you could see some positive or negative variance, some color on that, persistency, mortality expense assumptions that could help or drag margins? That -- and second, your agency continues to do very well and you've beaten peers by a big margin, if I look at it over a longer duration of time. So, can you help us understand what really has driven this good performance?

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Mahesh Kumar Sharma: So about the margins, really speaking, we don't have anything to say. So, we have given you color about the products that we are expecting to sell and all that. So, I wouldn't like to add anything to that. But about the agency, see, the idea is that we are doing a lot of things there. We have increased the agency force and now we have not yet got the entire fruit of the efforts that we have put on the ground.

So, we have increased the agency force by a huge number this year, almost 45,000, 46,000 people we have increased this year. And that -- the benefit of that is going to come now. So really speaking, whatever we see in the agency, we'll probably see the growth coming -- heavier growth coming forward -- going forward. So, we are doing the right things out there. We are taking care of our agents.

We could say that we are generating so much employment out there. And our training philosophy and our training methodology is very good. And we have a very good sales force for supervising these agents. So, I think these are the things. You do the right things and you'll get the right results.

Madhukar Ladha: Sir, one more question on -- with the new framework coming or at least right now in introductory phase, commission caps are expected to be removed.

Wanted to understand how is SBI thinking about it? Have we had any discussion? Could SBI come and increase commission rates for us?

Mahesh Kumar Sharma: So, really speaking, that you'll have to ask SBI. But right now we don't expect any such thing. More importantly, it's not only the commission cap that matters. It is a whole other host of things that are actually involved in that. And then even if the caps are gone, it is not as if you can simply pay through the nose to get business. You have to have a Board approved policy, and then there will be so many other things that are to be taken into it. So, I don't think that it is going to change the ground reality too much.

Moderator: The next question is from the line of Sanketh Godha from Spark Capital.

Sanketh Godha: Sir, when we see the non-par business which you said, pent-up demand led to the growth, but if you look at from second quarter to third quarter, the growth seems to be plateauing around INR 950 crores and INR 960 odd crores. So given the deposit rates are moving up across the bank, is it required that we need to up the IRRs in the non-par product to probably drive the growth further from what you have achieved till date? That is the first question what I have.

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And the second question, sir, is that our ticket size in non-par is 60 percentage of probably ULIPs. So if we really want to achieve the growth what we have guided somewhere around 20 to 25 percentage for the entire year and subsequently. So ULIP still remains the core given the ticket size is higher. Sir, really, given this quarter growth is driven by ULIPs predominantly or more importantly by ULIPs, sir, you believe that ULIP is core in the entire thing

to manage the growth, otherwise we will have a quarter like second quarter where we struggled to grow?

Mahesh Kumar Sharma: As you know, the first 2 quarters were almost entirely driven by non-par product. So, I don't think that it is -- we have to fall back on ULIP or something like that. I think it's a very, very drastic statement to make. What I would say is that as we have said before, we will let the customer determine what he wants. And if we find that the demand is not there or demand has gone down because

we are also talking to the people on the ground, we are talking to the customers. It is not as if the customers are buying it blindly or something. Our people are talking to the customers.

And when we get the feedback that there is a question of the pricing involved, then, obviously, we'll take a calibrated look at that because we'll have to look at the market, how we see the long-term interest rates going. All those things we will calibrate and then we'll take a calculated call on that. But right now, if you tell me whether I believe that only ULIP can grow, I'm sorry, I don't think that is the correct position.

The other thing is, will I say that I will grow my non-par irrespective of how -- what the customer wants, no, I will not do that. I will -- we will try to strike a good balance between what the customer wants and what we will be able to offer. So, that is how we will try to do, create value for the customers, at the same time not actually burning a hole in our pocket.

Sanketh Godha: But, sir, are you getting an incremental feedback from the customers or your branch managers or agency channels that now you need to increase the IRR because your products' IRR looks a little -- not competitive versus the bank deposit rates?

Mahesh Kumar Sharma: I have not received any such feedback.

Sanketh Godha: And sir, couple of more questions. One question is that there was a news article or there was a diktat from the Finance Ministry that PSU banks should avoid

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miss-selling. So taking the statement on face value, do you think there could be some cautious approach by the State Bank of India to incrementally grow given it has come from the Ministry?

Mahesh Kumar Sharma: Our miss-selling ratios are the lowest in the industry, period. So, I don't really need to think about miss-selling as one of the reasons for any reduction in growth.

Sanketh Godha: And the last one, sir. If you can tell us, at the end of nine months FY '23, what is our hedging coverage ratio? What are the future cash flows based on persistency what you expect? How much you have hedged with all the possible instruments like forward rate agreements and PPTs today?

Mahesh Kumar Sharma: I think it's too much of a futuristic kind of a....

Sanketh Godha: Sir, I'm asking current coverage ratio, sir. So today what -- based on the anticipated cash flows, what is the coverage ratio you have today?

Mahesh Kumar Sharma: Yes. So, we have hedges -- enough hedge, sufficient hedge according to our policy.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS India.

Neeraj Toshniwal: Sir, I had few questions. First is on group protection. If I look at it on sequentially, it has actually come off. Is it coming from GTI or credit life? So if you can split the growth numbers for both credit life and GTI?

Mahesh Kumar Sharma: Yes, I'm sorry. Yes, the growth is mainly from credit life.

Neeraj Toshniwal: Can you substantiate it? How much would that be in the growth number? And GTI, we are cutting down on -- the kind of mix, if you can give the numbers?

Mahesh Kumar Sharma: I think we'll have to give it to you later.

Neeraj Toshniwal: And what is the attachment rate now? Have we seen -- because of the improving disbursements, has the attachment rate started moving up?

Mahesh Kumar S

harma: About 50%.

Neeraj Toshniwal: About 50%, that's interesting. And the second question was, if I look at the data in terms of channel mix, what we have given in presentation, ULIPs are actually down on agency channel. While I was expecting that because the SBI disclosure would have picked up. So have we -- any kind of KPIs we have kind

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of given to different channels because there is sharp improvement in ULIP from the Banca channel, while on a Y-o-Y basis, there has been some decline on ULIP from the agency channel. Can we have some color on that?

Mahesh Kumar Sharma: There is some kind of a difference. Even though we would like to believe that

all the channels have a similar profile of customers, there will be some differences between channels. So that sort of accounts for it. But having said that, ULIP demand as we have seen has -- is already there. So if it is there in Banca, it will also be there in agency. So maybe you will see it in this quarter.

Neeraj Toshniwal: Yes. But it has actually declined by 8% on Y-o-Y. So might be last year was very strong, could be an impact of these?

Mahesh Kumar Sharma: I don't think there is any specific reason for it.

Neeraj Toshniwal: Sure. And can we substantiate the growth from other Banca channels, if you can give that number?

Mahesh Kumar Sharma: Yes. I think it's 54%, we have grown in the other banks. So, that is other banks and other corporate agents.

Neeraj Toshniwal: Are we seeing any stress? Sorry?

Mahesh Kumar Sharma: It's on a lower base. It's a 54% growth.

Neeraj Toshniwal: Coming from a lower base, you have kind of mentioned. So is it that the other banks have been focusing more on deposits, is this the case? What we are hearing that deposit acquisition is a focus for few of the banks because we have SBI support, is fine.

Mahesh Kumar Sharma: I think I said that we are growing faster, that is by 54% in the other banks.

Neeraj Toshniwal: Yes that I got it. But I just wanted to understand, if there is any pressure of deposit accretion across the industry, not particularly in the Banca channel.

Mahesh Kumar Sharma: Actually deposits, I think all the banks are now looking for deposits. But I don't think it directly affects insurance sale because that would imply miss-selling. So, I don't think there is any -- our own ratios of miss-selling are very, very low, lowest in the market. I have already said that to the last caller.

Neeraj Toshniwal: No. This wasn't my question on miss-selling that I'm aware it's very low, next to LIC. It's lowest for us. The question was more on deposit accretion, nevertheless.

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Mahesh Kumar Sharma: Yes. So there is no competition between life insurance purchasing and deposit accretion.

Neeraj Toshniwal: And the last question is on the composite license. What are your thoughts? And if we will...

Mahesh Kumar Sharma: These are exciting times where there are a lot of changes happening. So, we'll take a look at what it entails and what it means and we'll evaluate.

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So just a few questions from my side. First is you have reported very strong growth in the individual annuities business. So just wanted to get some sense of the price sensitivity in that segment and are you seeing some pressure, especially when the market leader has been consistently raising rates?

Second, you mentioned about the new par product. So, just wanted to get some sense of the margin profile on that product compared to your other products that were there earlier?

And last, I think, on the SBI channel part, I think there have been a lot of discussion in this call also. You have mentioned that your attachment rates have been going up. B

Let's say, on a medium-term basis, what is the strategy to increase the mining of the captive customer base that SBI is setting out there? Are you trying to deploy more manpower? Or is it just the ecosystem benefits that you want to accrue? So just wanted to get some perspective on these three parts?

Mahesh Kumar Sharma: Yes. So the first point, I actually -- I'm sorry, I was not able to note down. So what was the first question?

Dipanjan Ghosh: The first was on the individual annuities business, so we have seen the...

Mahesh Kumar Sharma: Yes. Sorry. That's fine.

Company Speaker: Annuities has been growing throughout the year, and we have changed the rates couple of times. But in annuities, there has been strong demand across all areas and across all channels. So annuities has been growing. It is not so much rate saver, if you ask me very frankly.

Mahesh Kumar Sharma: Yes. Coming to the par product, so the margins are positive. It gives us -- delivers a good margin. But for any mix that we have, I think it's always good

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to have -- offer all the kinds of products to the customer because the traditional products, especially par products have very good role to play in both insurance and also savings build-up. So, these are very good products. So, this product is -- we've got new features in this product. We think it will do very well. So that is as much as the par piece is concerned.

At SBI, see, what happens is that SBI has a lot of customers and insurance awareness is something which we are trying to create. And as and when we are able to create more and more awareness, more and more demand comes and we are able to do better. So, I think that is one of the things. The other thing is, of course, SBI does a lot of analytics on its data and they also come up with, who will buy what kind of thing. So, they have a very strong technology background.

Dipanjan Ghosh: Sure. Can I squeeze in one more question?

Mahesh Kumar Sharma: Yes. Sure. Go ahead.

Dipanjan Ghosh: Sure. So just on the non-par. Let's say, over the past few quarters, over the past 3, 4 quarters, what would be the change in, let's say, tenure pay variant between regular or single or pay out variant between lump sum income variant, I mean, or ticket sizes? I mean, if you can just give some color on -- with the rising rate regime and questions on deposit mobilization, how has the customer behaviour changed in terms of product constituents or product contours out there?

Company Speaker : So the income product has taken up a significant part of the growth that we have delivered this year. And we were among later players where the pent-up demand was large. And that trend continues till now. So the income variant has more demand than the lump sum variant.

Dipanjan Ghosh: But if -- just wanted to get some sense. On sequential basis, have you seen any change, let's say, over the last 60 -- let's say, 60 days to 120 days or something?

Company Speaker : No. I think, what happened in the last few days of the last financial year, we have launched income plan. We do see a lot of traction. So income going up and then endowments both up. Last nine months, we have not seen any change in the mix between the income and endowments. So, there are different customers who are looking for the endowment and deferred income. So both the needs we have provided.

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Only one benefit we got in this that now we have a complete suite in the non-par income side, both in income and endowment and annuity. So, I think that's the change happened. But to be honest, last 128 days or last few days, we have not seen any change on this side.

Moderator: The next question is from the line of Nidhesh from Investec.

Nidhesh: Sir, firstly, can you talk about

operating variances experienced during the first nine months on persistency and mortality?

Company Speaker : See, we have not disclosed this AOM variant for the period, normally its disclosed in the year end. So once we declare, then we will be able to comment on that. Just to give confidence to you that both the persistency -- all three operating variance, persistency, mortality and expenses, there is a positive variance coming from. So there's not a single operating variance where we see any challenge in terms of the profitability perspective.

Nidhesh: And secondly, at the SBI Bank, how many manpower that we have deployed?

Mahesh Kumar Sharma: See, I'll tell you, we have 54,000 SBI people who are selling SBI Life products.

Nidhesh: But we don't have any manpower supporting those.

Company Speaker : We have.

Mahesh Kumar Sharma: We have manpower. We don't want to go into that details.

Nidhesh: And lastly, if I look at the VONB margin walk, there is a positive benefit of economic assumptions. If we look at it, as interest rate increases, our ULIP margin should come down. And since non-par is already hedged, there should not be any margin uplift. So what is giving us margin uplift because of interest

rate going up in nine months?

Company Speaker : See, there are two things happening. You see this nine-month yield curve move up significantly. Secondly, we do sell higher nonpar product, the proportion of nonpar product is much higher. Thirdly, we are able to sell the product to the customer in the growth without repricing. So we are able to optimize the interested uplift in our margin. And that's the reason we're getting the upside on that.

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Nidhesh: I think all those things should be a part of new business profile, right? As interest rate moves up, ideally, the margin should come down?

Company Speaker : No, it's not necessary because in case of ULIP, you'll get down. In non-par products or even the traditional one, you will get upside because you are guaranteed certain things and you're getting certain results. So interest rates up, you'll get a positive uplift in that side. Interest -- ULIP, you will get a negative variance. Depending on the composition of your margins, VONB composition, you'll get the uplift. So we have the very positive composition coming from the non-linked products. That's where you are seeing the positive products.

Moderator: The next question is from the line of Amit Jain from Axis Capital.

Amit Jain: Yes, Sir, I had a question on margin. So if we see that your new business margin for H1 was 31%, whereas for 9m it is 29.6%. So is this decline due to some change in assumptions? Or are you seeing some margin pressure on some particular products? And for full year, will it be fair to assume that we should take like sort of 30%, 31% margin? Is it fair to assume?

Company Speaker : No. See, basically, this change has happened only on account of the product mix change. So if you see the six month versus nine month, you see the ULIP proportion increased. And ULIP has the margin lower than the company average margin. And that's the reason we see some movement happen from the 31% to 29.6%. There are no changing assumptions.

Amit Jain: And for full year, will it be fair to assume that it will be in this range, say, around 30% or so?

Company Speaker : Yes. Hopefully. We always keep saying there is a margin. We drive the VONB and margin outcome. But we expect the margin will be around in range of 28% to 30%, up and here and there. So partly maybe you can assume that what margin we declare, we will be able to contain that.

Moderator: The next question is from the line of Deepika Mundra from JP Morgan.

Deepika Mundra: Sir, just on a slightly more medium-term perspective, at the product level, do you see margin expansion opportunities

in specific products and which would those be?

Company Speaker : Difficult to comment, Deepika. I think in non-par segment, depending on the customer demand, I think if you're able to hold up, then there will be certain expansion happen. Secondly, in case we revisit our assumption and because

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we see improvement coming on the persistency side and also on mortality side, so there is a possibility some expansion happen.

And thirdly, which is most important that we continue to reprice the product and coming with a different segment. And if there we are able to do some particular segment with higher margins, I think we can get uplift on that side. But not specific to any -- difficult to comment on any specific product, but yes, definitely product line, there will be possibility of uplifting the margin.

Deepika Mundra: And we're slightly moving towards more open architecture in the industry, do you see cost of new customer acquisition going up? Or do you think that with SBI you don't -- as a majority channel, you don't face that kind of an expense pressure?

Mahesh Kumar Sharma: No. So, see, SBI being a major channel is a reality. So, I will not comment on that. But if you look at our cost structure, the way we have structured our business, both Banca and agency, we have lower costs than other players. So that advantage we will hope to carry forward. The other thing is for acquisition

of new customers.

Now -- so what happens is that if there are expectations of higher payoffs from partners whom we may try to acquire or something, then we'll have to see whether that is going to be profitable for us. So, obviously, that we'll have to take it case by case.

Deepika Mundra: And sir, last one on health insurance, if any thoughts on if this is allowed for life companies, how we can leverage the opportunity?

Mahesh Kumar Sharma: Yes. So health and life -- so the mortality, morbidity, the actuarial side of it, there are a lot of commonalities. There is a lot of synergy out there. So, that is something worth looking ahead. But then having said that, we will have to take a view looking at our business model, which is right now and then to see whether we want to have a totally different business model going forward. So, that is something which we will sort of evaluate internally. And then if such a thing, possibility comes up, then we will see what we need to do.

Moderator: The next question is from the line of Nischint Chawathe from Kotak.

Nischint Chawathe: Yes. Just one question from my side. On the VONB walk, can you just sort of call out the negative change in operating assumptions?

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Company Speaker : So just to clarify that we have not made any assumption in this period because we are showing this walk from the December '21 to '22. So in March, we have made the assumption changes. So the corresponding effect is reflecting this walk.

And if you remember, in March, we had just made those changes on account of the reinsurance rate and the prospective. So absolutely, there is no change in any assumption for this walk.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Dutta: So, just wanted to understand on the other channels that has declined year-on-year by around 30%. So just wanted to understand what's happening there?

And a second part to that question is, you take into that channel includes all the non-SBI banks. And you said that has grown by around 50%. But just wanted to understand what the strategy there is to increase this APE share from 3% to 6% or 10%? If you could please help me with those two questions?

Mahesh Kumar Sharma: Yes. So the other bank channels -- can you repeat the question, the second one?

Supratim Dutta: Yes. Sure. So

the second one was that currently the non-SBI bank channels that is around 3% of your APE, it's growing at 50%, but it's still very small and you have around 10,000 to 12,000 branches. So just wanted to understand how you are looking at penetrating into that branch network?

Mahesh Kumar Sharma: Yes. So, I'll take that first. So basically, we show the potential to the bank and then we also do the same kind of thing that we do always. So the branch, the bank, the bank teller or the bank employee will pitch to their customers for insurance. So we develop them, we develop their capabilities, we give them training, we give them the knowledge, we show them the products and we show them what product will be suitable for which customer.

And they go and they do the selling to the customer as they come across the counter or whichever way they would like to do that. And so the potential, as you can see, the growth is huge and that is on a smaller base. But, however, if you look at the last two years, we have been growing at this frenetic pace, both the years. So, there is nothing, which prevents us from continuing to grow at this kind of a rate for some more time to come till the low-hanging fruit has, so to say, is all taken up.

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The first one...

Company Speaker : So the group business is where the growth has not been very high this quarter and that will -- that seems to be lumpy, group fund business. That's why you see outside of the individual business where we are showing good growth in other channels. The group business is why the overall growth looks muted.

Mahesh Kumar Sharma: Yes.

Supratim Dutta: And if I could just ask one follow-up question to your answer on that non-SBI bank channel. So just wanted to understand, given these are banks, which are an open architecture, so you have other life insurance companies also competing. So can you impress upon that bank sellers to sell SBI Life policies and not other company policies?

Mahesh Kumar Sharma: So, see, we don't tell them not to sell other bank policies or other insurer policies. That is the first thing. We show them the product which is good. We show them our miss-selling rates are the lowest. We show them that our delivery is the best. We show them the strength of the company. We have been there for 21 years and we have been -- we were the first to make -- start making profits.

We have been continuously improving our delivery, our service and our products. That sort of really works. I mean, if you go back to the basics, you don't need to be too cynical about it. Actually, good work on the ground will actually get you good business.

Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: Yes. Just wanted to understand this. On the persistency side, we've seen a drop in -- over the first half for the 13-month persistency. And secondly, on renewal premium growth, it seems to lag one of the large players, which has reported yesterday. So just wanted to understand the...

Mahesh Kumar Sharma: Which growth?

Pallavi Deshpande: The renewal premium growth is lagging HDFC Life to be specific here. So just wanted to understand what would be explaining that slower growth in renewal premium? And if it could be linked to the persistency question which I asked earlier, the 13-months persistency?

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Mahesh Kumar Sharma: Very simply, the persistency has not fallen down. If you look at the last...

Pallavi Deshpande: I'm looking at 13 months and I'm looking quarter-on-quarter.

Mahesh Kumar Sharma: Yes. So, see, our persistency in nine month FY '23 was -- so it is 84 point -- see, against 83.9% last year.

Pallavi Deshpande: I know, sir. I'm looking quarter-on-quarter, 85.2% for the first half.

Company Speaker : Actually, you should not look into the...

Mahesh Kumar Sharma: Yes. So the behaviour of each of the quarters is different. If you look at March, every time March will be higher than December or June or September. So that is how you look at it, because a lot of people end up paying up by March. There is a tendency to sort of delay the payments, but in March, it all gets crystallized. So, that is the trend that we always see.

Pallavi Deshpande: So year-end we should have similar persistency on a year-on-year basis?

Mahesh Kumar Sharma: Yes. Absolutely, we would want to improve the persistency over last year.

Pallavi Deshpande: And sir, secondly would be on the renewal premium growth at 15% year-on-year.

Mahesh Kumar Sharma: So renewal premium growth, I don't know about the peers. I don't look at the peers data so much in detail. So, I really don't know about them. But what I can say is that the renewal premium growth will depend a lot on what was sold last year.

So to that extent, whatever was sold last year, we are able to get the collection to the same efficiency that we had last year or better than that, we are happy with that. And let me tell you that we are at a better collection efficiency than last year.

Company Speaker : So, persistency will drive renewal premium. Renewal premium is outcome of persistency. However, our endeavour is to...

Pallavi Deshpande : Yes. That's why I linked the two questions. So, now you said about the product mix, so would it be that we've been increasing our share of protection and would that be also a cause for the renewal premium not to grow that fast?

Mahesh Kumar Sharma: See, in protection, we would to increase the share of protection, but...

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Pallavi Deshpande: But renewal in protection would be lower. Basically, it's persistency in protection lower.

Mahesh Kumar Sharma: Not really. We have various products with various persistency, but on average, I think it all levels up.

Moderator: Ladies and gentlemen, this will be the last question, which is from the line of Madhukar Ladha from Nuvama Financial Services.

Madhukar Ladha: So, can I get a sense of what is the back book -- how much the back book surplus has grown versus the new business strain? Your surplus has grown about 50% year-over-year. And if we were to exclude the COVID impact which was there last year in the nine months and I'm looking at nine months numbers, not only for the quarter, so what would the surplus growth be if you could give that data points?

Company Speaker : So normally, we don't disclose this thing, but you can make a sense that we are growing faster than compared to last year and our profit is also growing. This means our back book is generating enough surplus. That's not only absorbing our new business -- for the new business, but also helping to grow the profit as well. So, very healthy growth in -- profit is coming from existing book.

Madhukar Ladha: And how much is the new business strain grown by?

Company Speaker : We don't disclose that. But it is similar to the year as well. So sometime depending on the product mix and all, keep changing, and we don't disclose. So, we don't want to comment on that.

Moderator: Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Mahesh Kumar Sharma for closing comments.

Mahesh Kumar Sharma: So thank you very much, ladies and gentlemen for a very patient hearing, for very interesting and very intelligent questions. And we hope that we have been able to answer your queries. But if there is anything for a follow-up, you can always get in touch with the company. And once again, thank you very much. Stay protected. Have a good night.

Moderator: Thank you. On behalf of SBI Life Insurance that concludes this conference.

Thank you for joining us. And you may now disconnect your lines.

Call: May 2023

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

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May 03, 2023 SBIL/CS/NSE -BSE/2324/19

Vice President General Manager

Listing Department Listing Department

National Stock Exchange of India BSE Limited

Exchange Plaza,

Plot No. C/1, G-Block – BKC, Phiroze Jejeebhoy Towers,

Dalal Street,

Street Bandra (East) Mumbai - 400 051 Mumbai - 400 001

NSE SYMBOL: SBILIFE BSE SCRIP CODE: 540719

Dear Sir / Madam,

Subject: Disclosure of Earnings call Transcript under SEBI (LODR) Regulations, 2015

This is in continuation to our intimation letter (Ref. No.: SBIL/CS/NSE -BSE/2324/06) dated April 24, 2023 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

An audio recording and said transcript of the earnings call held on April 26, 2023 with analysts/investors were uploaded on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on records.

Thanking you,

Yours faithfully,

Vinod Koyande

Company Secretary

ACS No. 33696

Encl: A/a

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"SBI Life Insurance Company Limited Q4 FY '23

Earnings Conference Call"

April 26, 2023

MANAGEMENT : MR. MAHESH KUMAR SHARMA – MANAGING DIRECTOR AND CEO

MR. S. VEERARAGHAVAN – DEPUTY CEO

MR. SANGRAMJIT SARANGI – PRESIDENT AND CFO

MR. RAVI KRISHNAMURTHY – PRESIDENT , OPS & IT

MR. ABHIJIT GULANIKAR – PRESIDENT , BUSINESS STRATEGY

MR. SUBHENDU BAL – CHIEF ACTUARY AND CHIEF RISK OFFICER

MR. PRITHESH CHAUBEY – APPOINTED ACTUARY

MS. SMITA VERMA – SVP, FINANCE AND INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the SBI Life Insurance Company Limited Earnings Conference Call. As a reminder all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during

the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mahesh Kumar Sharma, MD and CEO, SBI Life Insurance. Thank you, and over to you, sir.

Mahesh Kumar Sharma : Thank you very much. Good evening, everyone and we welcome you all to the results update call of SBI Life Insurance for the year ended March 31, 2023. The update on our financial results can be accessed on our website as well as on the website of both the stock exchanges. Along with me, I have S. Veeraraghavan, Deputy CEO ; Sangramjit Sarangi, President and CFO ; Ravi Krishnamurthy, President, Ops and IT ; Abhijit Gulanikar, President, Business Strategy ; Subhendu Bal, Chief Actuary and Chief Risk Officer ; Prithesh Chaubey, Appointed Actuary and Smita Verma, SVP Finance and Investor Relations.

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Today's numbers are the direct outcome of the scale, quality and spread of the SBI Life business across the regions and the fundamental requirement of maintaining high-quality, consistent and sustainable business model. Now let me give some key highlights for the financial year 2023.

New business premium registered a growth of 16% over the previous year and stands at ₹295.9 billion, leading to private market leadership. Individual new business premium stands at ₹209.1 billion, with a strong growth of 27% and private market share of 24.3%. Gross written premium stands at ₹673.2 billion with a growth of 15%. Protection new business premium grew by 19% to ₹36.4 billion. Profit after tax stands at ₹17.2 billion with 14% growth over last year. Value of new business is ₹50.7 billion, registered a strong growth of 37% over the ₹37 billion in March 2022. VoNB margin is at 30.1% with an improvement of 420 bps over 25.9% in March 2022. Embedded value stands at ₹460.4 billion, registering a growth of 16% over the ₹396.3 billion in March 2020. Embedded value operating earnings stands at ₹90.5 billion, and operating return on embedded value stands at 22.8%. Assets under management grew by 15% to ₹3.07 trillion. Robust solvency ratio of 2.15 against the regulatory requirement of 1.5.

I will now update you on each of these elements in detail. So let me start with the premium. Individual new business premium has grown to ₹209.1 billion, with Y-o-Y growth of 27%. Single premium contribution is 30% of individual new business premium which is mainly attributed to growth in our individual annuity product. The company gained private market share by 92 basis points to 24.3%.

Individual rated new business premium stand at ₹152.2 billion with a growth of 18% over the previous year, while maintaining our leadership position with private market share of 22.3%. Group new business premium stands at ₹86.8 billion with a share of 29% in new business premium. We have collected total new business premium of ₹295.9 billion, registering private market share of 21.3%. The renewal premium grew by 13% to ₹377.3 billion, which accounts for 56% of the gross written premiums.

To sum up, gross written premium stands at ₹673.2 billion with a Y-o-Y growth of 15%. In terms of APE, premium stands at ₹168.1 billion registering a growth of 18%. Out of this, Individual APE stands at ₹153.8 billion with a growth of 19%. During the year ended March 31, 2023, total 21.98 lakh new policies were issued and registered a growth of 14% over the previous year. Since 2010, the SBI Life Insurance Company Limited

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company has maintained its leadership position in a number of policies issued and consistently delivered year-on-year growth for the last 10 years. This reflects the clear goal of the company to increase the penetration and achieve holistic growth. Individual new business sum assured registered a growth of 13% over the corresponding last year as compared to growth of 12% at private industry level.

Let me give you details about the product mix :

As of March'23, our guaranteed non-par savings products are contributing 18% of individual new business. And on individual APE basis, this comes to 24%. Non-par guaranteed product new business has registered Y-o-Y growth of 116%, mainly due to the new business contribution of Smart Platina Plus of ₹27.35 billion in the year ending March, 31, 2023. Individual ULIP new business premium is at ₹111.4 billion, which now constitutes 53% of the individual new business premium. Individual protection new business premium is at ₹10 billion, registering a Y-o-Y growth of 6%. Group protection stands at ₹26.4 billion with a growth of 25%, Credit Life new business premium has grown 23% that stands at ₹20.7 billion. On APE basis, protection contributes

11% of new business and registered growth of 16%. Annuity business is at ₹49.7 billion and contributes 17% of new business premium. Under annuity the company is offering immediate as well as deferment option. Individual annuity business is growing at 134% over last year, this was mainly due to the new business contribution of smart annuity plus of ₹38.1 billion. Total annuity in pension new business underwritten by the company is at ₹84.2 billion, registering a growth of 16% over the same period last year.

Insights from the distribution partners, with strength of more than 58,000 CIFs, SBI and RRB Bancassurance business contributes a share of 67% and grew by 31% in the individual new business premium. And on individual APE basis, it stands at ₹104.2 billion with a growth of 19.3%.

Agency, one of the strongest channels registered new business premium growth of 19% and contributes 19% in the new business premium. Agency channel individual APE stands at ₹42.3 billion with a growth of 15%. As of March 31, 2023, the total number of agents stands at 2,08,774, a growth of 43% over the previous year. During the year, the company added a net of 62,717 agents.

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During the year ended March 31, 2023 other channels, including direct corporate agents, brokers, online and web aggregators grew by 44% in terms of individual new business premium and 32% in individual APE. Protection new business premium through other channel registered growth of 25%.

Partnerships like Indian Bank, UCO Bank, South Indian Bank, Punjab & Sind Bank and Yes Bank registered a growth of 26% in individual new business premium. These partnerships have contributed 3% of the individual new business premium. During last quarter, we signed corporate agency agreement with Karur Vysya Bank. We are confident that these partnerships will further enable us to expand the insurance market across the country.

On profitability, the company's profit after tax year ended March 31, 2023 stands at ₹17.2 billion with 14% growth Y-o-Y. In the month of March, the company had declared and paid an interim dividend of ₹2.5 per share.

Our solvency ratio remains strong at 215% as of March 31, 2023. We are happy to share that we have more than doubled the VNB in a span of three years. Value of new business is ₹50.7 billion with growth of 37% as against ₹37 billion in the last year. VoNB margin is at 30.1% for the year ended March 31, 2023 as against 25.9% in the previous year, showing an improvement of 420 basis points. Growth in VoNB and VNB margin is driven by product -- a change in product mix, predominantly in the non-par segment. Embedded value stands at ₹460.4 billion, a growth of 16% over the previous year.

Embedded value operating profit stands at ₹90.5 billion. Operating return on embedded value is 22.8% as against 20.6%. With our growth target and the product mix shift, we expect to maintain the healthy and sustainable VoNB growth rates.

Coming to operational efficiency, our opex ratio stands at 5.1% for the year ended March 31, 2023. Our total cost ratio stands at 9.6% for the year ended March 31, 2023. With respect to persistency of individual regular premium and limited premium paying policy, 13-month persistency stands at 85.5%. The company has registered a significant improvement in the 37 month and 61st month persistency by 236 basis points and 612 basis points respectively. As mentioned the opening remarks, asset under management stands at ₹3.7

trillion as of March 31, 2023, having a growth of 15% as compared to March 31, 2022. The company continues its sufficient usage of technology for simplification of process with 99% of the individual proposals being submitted

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digitally. 45% of individual proposals processed through automated underwriting

g.

To conclude, we continuously endeavor to maintain our leadership position and continue to further increase our market share by offering products that meet the evolving needs of our customers. With our widespread robust distribution networks, complemented by digital technology, our innovation strength and above all, our people power, we are placed to make the most abundant growth opportunities offered in evolving insurance sector. Company as well as other industry players are in line with the regulator's vision of increasing penetration and offering insurance to all. The company is committed to enhancing the digital experiences of customers, distributors and employees and offer right products to the customers. Further, we will continue to explore new partners, leverage existing partnerships and launch new products that meet customer needs and provide seamless customer experience.

Thank you very much for your patient hearing. And now we are happy to take any questions that you may have.

Moderator: The first question is from the line of Avinash Singh from Emkay Global. Please go ahead

Avinash Singh: Yes, hi, good evening. Great set of performance, strong numbers all across.

Couple of questions. The first one is more around the growth outlook for FY

'24, considering what has happened or what is happening around the regulatory front or tax front and how your sort of quarter 4 has gone by?

Because if I recall correctly, last year we started with a strong growth momentum, but growth towards the end has slowed. So in this backdrop, some directionally the growth and margin trajectory for FY '24, again, I am not going to see quarter-on-quarter that's one.

Second is again, more around your key distribution channel that's SBI. So now with all sort of a regulatory changes happening, particularly on the commission front and all, so there's some kind of a doubt or question in mind about exclusivity of the channel and also any sort of a pressure on payouts, if at all, that has sort of an impact on your either growth or margin trajectory? Thank you. These are my two questions.

Mahesh Kumar Sharma : Yes, thank you very much, Avinash. The growth outlook, if you ask me, we expect, what we were expecting last year. So the growth will continue and we will have a 20% to 25% growth this year also. So we ended up with slightly less

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than 20%. But then that is largely on the back of various other factors. But if you ask me, the outlook remains similar because the demand is there.

Insurance is a product which needs to be distributed and with all the regulatory changes, I think it has become easier to create better products, distribute them across. And with all these regulations, with the commission regulation changes, the EOM, all these things will lead to creatively designed products which can be beneficial for both the customer and the distributor and obviously for the company, because that ensures sustainability. So we look to continue the trend of growth. And as far as the commission payouts, etc are concerned, we will definitely be looking at all our distribution partners and how, we can increase the distribution of insurance products. The regulator has a vision of insurance for all by 2047, but then, the aspiration is that it should be, it should happen before that. And to do that, we need to actually expand the market.

And you will notice that we are the, probably one of the few companies which is actually selling more number of policies. If you look at the NOP growth, we have a very healthy NOP growth at 14%. And I don't believe anybody else has got a strong NOP growth. It's all mostly like, in the industry, if you see, we are

the ones which is growing the NOP. And on top of that, if you look at the kind of products that we are distributing and the, principle behind our distributi

on,

we keep the customer at the center. And therefore, anything that will be value - accretive for the customer, which, will be the guiding principle for us as always, the customer has to like the product, he has to need the product, and then, we'll be distributing that.

So, obviously, every distributor will have expectations of some good returns for the d istribution that they do. But then what we would like to see is that the value that we create for distributors who actually, sell products with need -based products , to the right kind of customers with more persistency, where value is created for the custom er as well as for the company. So, there we may look at, some kind of a new creative products which can, share a higher amount with some of the distributors. So, that is something which we will be definitely looking at with the new flexibility that are ava ilable to us.

Avinash Singh: Okay, sir. So, I mean, SBI and SBI Life relationship remains as it is?

Mahesh Kumar Sharma : Well, what I would like to say is that, like I said, we will design products that will be good for the customer and which can be distributed well , and there if we see that the value is increasing and we are able to penetrate the market much SBI Life Insurance Company Limited

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faster, then obviously distributors will also be rewarded without losing the customer's value proposition.

Avinash Singh: Okay, thank you.

Moder ator: Thank you. The next question is from the line of Supratim Dutta from Ambit Capital. Please go ahead.

Supratim Dutta: Thank you for the opportunity. So, I would like to start off on the protection side.

So, your individual protection, while overall fo r the year it has grown, for the quarter four it seems like it has declined slightly compared to PCP. So, could you tell us what's going on there because, the other peers appear to be reporting a strong growth on the retail protection side. So, just wanted to understand what's happening with SBI Life?

Mahesh Kumar Sharma : Yes, so, our protection has been growing year -on-year. So, every year we have grown. So, this time we have grown 6% for the year. Yes, you are right.

So, for quarter four we have seen a sl ight decrease of about 5%. But then, if you look at the general mood around the last quarter, so, I think there was a little bit of talk, more talk about tax and things like that. And therefore, there were some, some of the things that did not sell as much as the others, the focus definitely is around what is happening around people's minds, the customer should be thinking about it.

But we feel that going forward protection being one of the areas which we feel is a very good product for the customer. So, we will continue to have our focus on protection and that, it's a win -win for everybody. The customer gets maximum protection for the minimum outlay and we also, the value that it gives to the company is also good. So, therefore, protection focus will be the re going forward. It is a good customer value proposition.

Supratim Dutta: Got it. And a second question from my side. So, SBI Life as can be seen from the numbers, has not really benefited from the high ticket size policy demand.

And, which gives you a mu ch cleaner base in FY'24. But, from the government's perspective, it looks like we are also moving away from the old tax regime to a new tax regime which will have no deduction. So, could you let us know what proportion of your customers will really be ben efitting from the 80C benefit and what could be the impact if that goes away?

Company Speaker : Sir, we don't know about how many customers are claiming 80C. Our only anecdotal thing is the seasonality of the insurance business is coming down SBI Life Insurance Company Limited

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every year. So, 80C, according to us, is not such a big driver of insurance business as co

mpared to past.

Mahesh Kumar Sharma : So, one of the other things is that, earlier there were only a few instruments which actually, gave the 80C benefits. So, that was the time when people used to either go for a NS C or an insurance policy. But I think now the people are realizing the need for insurance and most of the people who buy insurance are people who want to buy insurance. So, more and more, I mean, more and more you will see people buying insurance because they want insurance and they feel the need for insurance and not to save taxes. And in any case, there are many avenues for 80C saving. But insurance, is a unique product which gives, it is the only product which gives you insurance.

Supratim Dutta: Got it. And last final, one data -keeping question. Could you let us know within your ULIP product basket, how many people have premium size or ticket size of more than 2.5 lakh and how many will be lower than 2.5 lakh?

Mahesh Kumar Sharma : So, right now, we don't have the information. I can't give you the information at this point. So, I'll let this pass.

Supratim Dutta: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Yes, good evening and thank you for taking my question. I guess the first one on ULIP in general, to fast -forward, we have not seen any growth for ULIP this fiscal year. And I'm looking at all the channels as well, which is either bank or agency, others, we have seen a decline throughout. So, our significance of ULIP in our overall AP E has also come down. So, I just want to understand the thought process here around ULIP being a top product and how should we look at it for next year?

Mahesh Kumar Sharma : So, ULIP continues to be a very good product offering that we have. We have a very wide choice of products. And if you see, it's flattish. You know, at best, if you see, it's not really a decline or something like that. It is rather flattish. But then you will also see that we have some other product offerings which we didn't have earlier, like, for example, the Smart Platinum Plus. And that has got very good traction last year. So, the emphasis, especially from some of the customer's side, given that the markets have not been setting things on fire, SBI Life Insurance Company Limited

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has been towards some kind of guaranteed products. And, the COVID effect is also there. A lot of people are worried about the future.

And so they would rather go for guaranteed products. So, really speaking, it's not a very large shift. But, Yes, there is a significant shift that we can see. That is because we have these other products also. So, the product range that we have, overall, we have a growth in our business. And it's only a question of, interfaith. There has been some shifting here or there. But ULIP continues to be strong and going forward, I don't see that ULIP, will lose its relevance or something. It is a very good product. These are very good products that we have for various segments. And therefore, probably this year we should see some growth in ULIP as well as, of course, the strong growth in other products.

Shyam Srinivasan: Got it, sir. And my second question is just on the VNB margin at 30%. Can you comment a little bit about the ULIP margins as well? Where are they stacking up? And, do we have further levers for margin expansion for next year? We have not seen any growth in this product. So, how should we think about margins for next year?

Mahesh Kumar Sharma : Margins, we feel that margins are a question of what the, like I said, the customer value proposition. So, really speaking, the, margins are, you can take margins only up to a particular point. And that is as far as the margin growth is concerned. So, we expect margins to be around these levels. You know, we have been say

ing this for some time now. So, it could be 29, it could be 30, I am really not bothered about that because as far as, as long as my VNB is actually growing, value of new business is growing, as far as my EV is growing, I am not really bothered about the exact number that comes out there.

To your question about ULIP, we have a significant positive margin for ULIPs and we will continue to, sell ULIP profitably and also, give a good value proposition to the customers.

Shyam Srinivasan: Okay, sir. And last question, just I will be very quick about it. ULIPs, you typically had like a debt -to-equity ratio of 52%, 48%. In this whole changes

related to debt, mutual funds, indexation going away . Does this value proposition of the way we are used to sell our product, does that change going forward?

Mahesh Kumar Sharma : See, our, what we have noticed is that our equity -to-debt in terms of ULIPs has actually increased. So, we used to have a 60 debt, 40 ULIP equity kind of thing. Now we are more like 52, 48 in terms of equity -to-debt. So, I think it's, SBI Life Insurance Company Limited
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there may be some changes here, there, depending on the time, exact time when, if the rates are going up or down or the markets are performing better or not. But given that we are giving very strong long-term returns on all our products in ULIP, I think the equity story is definitely likely to continue for some time.

Shyam Srinivasan: Got it, sir. Thank you and all the best.

Mahesh Kumar Sharma : Thank you.

Moderator: Thank you. The next question is from the line of Madhukar Lada from Nuvama Wealth. Please go ahead.

Madhukar Lada: Hi. Good evening. Thank you for taking my question. So, I see, on a quarter - quarter basis, there is a lot of volatility in the product mix. So, for example, the share of ULIP was about 51% in Q2, which went to about 65% and is back to about 52% in Q4. And what exactly sort of has played out? Is it by designing that you operate in a certain way? Or I just want to understand better as to how you do your planning and what sort of products are actually -- how sales is actually generated?

And second, I know that this question has been sort of asked before, but do you have, any broad product mix in mind? And are there any sort of limitations as to how much non -par you can sell? So, that would help us understand what sort of product mix we should be modeling and where margins could actually come up at?

Mahesh Kumar Sharma : Yes, you said it right. You know, it's an old question. I'll answer your second question first. It's an old question and I'll give an old answer, that we sell according to the customer's need and not what we want to sell. So, sometimes ULIP will be in demand, sometimes non -par guaranteed will be in demand. And as you will see, the proportions are largely, within a particular kind of range. And as we have said earlier, our non -par pickup was mainly on the back of a product which we didn't have in the portfolio, which we introduced last year, year before last, in fact, in March.

And actually worked very well for our customers. So, that would be one of the things, which you can see. ULIP, like I said, is a very good, basket of products that we have. And these products will find favor with, people who are aware of the financial markets, people who are looking for good returns , and we have given good returns in the past. And therefore, that demand is going to be there. SBI Life Insurance Company Limited
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We have a plan overall for the year, and it has played out largely according to our plan. So, coming back to your volatility, so that is the whole thing. That is why the volatility that you may see a little bit of ULIP selling more here or there. So, it will depend a lot seasonally, geographically, depending on where people are having the demand, where

people get the money, where people are thinking of doing their investments, along with the insurance, we should not forget the insurance proposition in all these products.

So that insurance need is felt and then there is a savings element along with it. And whichever way they want to take it, we are there to provide these products because we have all these products. And right now, we don't have any limitation to the amount of what we will sell. So non -par, I don't think I have a number limit on how much I'm going to sell non -par.

Madhukar Lada: Understood. And you mentioned that you're targeting 20%, 25% APE growth.

Would you say that your VNB would also track that kind of growth number?

Mahesh Kumar Sharma : Obviously. So the VNB is definitely a product of volume. One of the things is

volume, one of the things is the product mix. So, obviously, VNB is going to be there.

Operator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: A few questions from my side. First, if you could just take up the investment variance number into the subparts for the year. Second, if I look at your real - world assumptions over the last few years as a percentage of your investments, it seems that from FY 2021 onwards, it has increased a bit. So I just wanted to get some idea of how confident are you on some of these assumptions. And lastly, on your non -SBI banca partnerships, if you can give some colour on the counter shift that you have across some of these open architecture partners? And how do you intend to scale those partnerships up over medium -term?

Mahesh Kumar Sharma : Yes. So, non -banca I'll take your last question first. As far as the non -SBI partners are concerned, they are growing. The bases are smaller, but the growth is good. The need is there. The customers are there. And they are the ones who need insurance and they have not bought insurance earlier. Obviously, this is the time to sell insurance to them. And I think a lot of the partners are also feeling the need to provide all the financial services to their customers.

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And this is an opportunity for them to increase their stickiness also. And also to provide a customer with a need, which otherwise, we would have to satisfy from some other stable, so that is likely to grow. And continue to grow. And we would also like to have new partnerships as we have already said. We are taking in new partners. And we are doing pretty well in terms of the existing partnerships that we have.

And we will continue to grow those partnerships, especially because the customers are there, they need the products. So, that is the answer to the third question. Now coming back to one and two, I'll request Prithesh to give you a colour on those numbers.

Company Speaker: Sure. On your other question where you're referring to the real -world's scenario basically, you're looking to the unwinding rate, I think we see the unwinding rate is basically expected yield of your portfolio. It is a portfolio weighted yield which is a function of basically composition of your portfolio and yield curve.

So, if you look into that, in the recent three years, what you're referring to, we are moving our composition also going towards the non -par business. So there is a mix coming in, which is longer duration

And you also see the yield curve is also going up. As a result, you see the expected unwind ing yield has gone up. But if you see, if you compare it to the matter of significant change, so' 21 we have been 7.85. Last year, 8.17. This year, 8.60. You see the composition is coming, increasing, and that so the yield curve. So, we are very sure that what we are assuming is a thing. This is no assumption coming from your actual portfolio, actual yield curve, and your logged in yield. So, there is no assumption that we need to be

worried about.

Coming back to your economic variance, I think you're referring to, which is around 2418. I think, in my view, if you're not showing economic variance, I think you should be asking more questions. If you're showing less, you should be asking more questions because this is the reality. If you see today, there is a lot of economic volatility. And this economic volatility really is reflecting to the, resulting into this economic variance. We should not worry about those things. We should worry more about the ALM aspects and cash flow making perspectives.

Dipanjan Ghosh: Just, 1 small follow -up on the second question. Just wanted to get some idea on whether you have changed your expected equity return assumptions for the back book?

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Company Speaker: No, no. Nothing.

Operator: The next question will be from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: It was reflected in 1H number, also FY '23, how much EV sensitivity to the interest rate seems to have gone up because that number in FY '22 was less than two percentage. Today, it is four percentage, closer to four percentage. And, if I look along also the economic variance number, which is almost six percentage of the opening EV which for others who have looked at the numbers is less than 4 percentage. Sir, just wanted to understand, it seems that we have SBI Life as a company has become more sensitive to the macro requirement compared to competitive peers. Is it to do anything with respect to the hedging strategy what we are using or something we need to read in between these numbers?

Company Speaker: I think the economic variance I've already explained. The sensitivity, this increase is happening only on an account of the net worth. So, if you see that we have a net worth and net worth is, there is no corresponding liability. So, you see the sensitivity is going up. We also look into that, we are writing some non-par products as compared to unit linked things. Now what is happening in non-par is your reserve, your reserving ratio would be higher than your base estimate liability. And then you have the excess assets. So, these excess assets will have some volatility in terms of the interest rate.

And also you rightly said that we are having the FRA. So our objective is to do the cash flow matching, which is a real world matching. That we try to do that. In that process, you do hedging and then you get some economic higher interest sensitivity. So, I would just to give a comfort to you that because it is a product of two things. One is that we try to do as much as close hedging in the real world so that our economic balance sheet and real balance sheet should not be getting impacted. And secondly, in view of the excess net worth, which is not having liability, that's giving some of the sort of higher sensitivity. So there's no work, we shouldn't be worried about the asset liability. Matching is very perfectly matched and liability is adequately provided for.

Sanketh Godha: Just a follow-up to it, because the net worth issue was even there in FY22. But the sensitivity was just 2%. It has almost doubled in the current year. Actually, the concern comes from there. And I understand that net worth doesn't have any liabilities and they are exposed and the market impacts those investments.

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But given the number has doubled compared to the last year, so and on a bigger base. So that's the reason I was just trying to understand.

Company Speaker: So let me explain other things. What's happened? You look into both the part. One is the portfolio mix. So in non-par portfolio, when you are writing non-par portfolio, you are having the reserving requirement more than unit linked. Because in unit link, your asset equal to liability and you are having, you need

not to do any excess asset in your book. In case of non-participating products, you keep excess assets to match those statutory liability. And this excess assets are keeping as a part of statutory balance sheet. This is giving higher sensitivity. Nothing else. So this is just a function of two things you can say.

Sanketh Godha: Can you quantify that excess assets in the non-par book? How much portion we'll have?

Company Speaker: See what's happened is, it is not because what's happened is there is a best estimate liability. There is a requirement that you work out, you put some prudence. So, if you are writing high margin product, you have additional prudence. And then there is a regulatory requirement you need to generalize and other aspects. So, difficult to quantify. So we are not going to quantify that.

Sanketh Godha: And the last one on margin. As you know, as you write to that every fourth quarter, you change the assumptions with respect to operation. So that led to 80 bps improvement in the margin. So, sir, just wanted to understand this 80 bps. What was the biggest contributing factor, whether it was opex or persistency or something else which led to that additional benefit?

Company Speaker: So it is a mix of all of these. What's happened is you see this in all operating fronts. So, that you can see the EV AOM. We made a positive operating variance in all the fronts. Be it the mortality, be it expenses and be it the persistency. What we did that is a mix. So we, some part of those we have capitalized. So in these 80 basis points, there is some element of the

expenses, some element of the persistency and some element coming from the reinsurance side. Because we get a better term on the reinsurance that we have included that. So that's the reason we get 80 basis points on the new business.

Sanketh Godha: Got it, sir. And last one, we reported 30% margin based on 22% non -par mix.

So, is it fair to assume that going ahead not to significantly deviate from our margin guidance, is the non -par contribution to remain in this range? Or are you expecting it to come down or go up if ULIP demand picks up? I know you

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answered this question, sir, but I just wanted to understand that still we try to toggle the business so that non -par will continue to contribute around 22 plus kind of a number.

Mahesh Kumar Sharma : I understand your anxiety to understand the whole way the margin will go up or remain the same or whatever. But we don't have a magic crystal ball to see that thing. What I have said is still stands. We will sell the products which the customers want. These are products which the customers really seem to like. The ULIP products, the non -par guaranteed products that we have. We have some very good protection products, the TROP products. So, you know, the mix will change slightly here, there. And I'm not going to be able to guarantee to you that this will be at some particular percentage or the other. So, if that will answer your question.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal: Hi, sir. In the opening remarks, you mentioned that you missed the 20% or shy of 20% APE growth because of some factors beyond your control. Wanted to know what were those factors and how confident you are on delivering 20% - 25% for the coming year? Or for the FY24 rather?

Mahesh Kumar Sharma : So, you know, I can't point out a single factor or anything. There are many multiple things that have been taking place. So, as a company, you know, we try to grow and if you can see my agency force. My agency forces increased a lot this year. And, we are like, if you ask me, there are a lot of development things that we are doing. And based on that, we feel that going forward,

we will

be able to achieve this 20% -25% that we are looking for.

Neeraj Toshniwal: My question is more to the strategy because the banca growth has been very, very weak if I look at the numbers. Has banca focus has been on the deposits or how should one think about it? Because obviously, quarter four last year also it was weaker. But this time, on a lower base also, it is a weak outcome. So, anything to read there?

Mahesh Kumar Sharma : So, I look at the business as a, whole year kind of thing. There are seasonal variations. There are variations geographically and all. I wouldn't read too much into all these. 19% growth is very strong. I think on the kind of base that we have, a 19% growth and then to keep a margin of 30.1% on the value of new business. And to grow the new business, VNB by, how much is it, 37% and the EV by 14%. I think all these things are a very good indicator of growth.

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And I mean, I can always look at a particular one week or something and say that, the business was not there or went up or down or whatever. March is one of those things that you will see. But there is growth in March and it's a minor point here or there. It's been probably not as spectacular as we have been able to grow earlier. But then that is also a factor of what happened last year. So the growth over March last year, so if the March was good, then obviously we don't expect spectacular growth over that all the time. But overall, I would still say that my own idea is that with all the things that we are doing in the company, we should be seeing 20% to 25% growth.

Neeraj Toshniwal: Got it. And on interest rate sensitivity, coming back to that, how much would this have been coming from group savings? Because that wouldn't have been properly or might not be as close to non -par savings business what we do. So

any color on that?

Mahesh Kumar Sharma : Which one?

Neeraj Toshniwal: On interest rate sensitivity, I wanted to know what has been the contribution or higher since we've been coming from group savings business.

Company Speaker: So not much. I think we don't look at much line of business wise. So basically, our objective is to look into it in total. So you have the balance, the total balance, not a similar thing. And we try to manage that. So in group, particularly, when you're referring to, we closely match our asset to the liability. And there's not much sensitivity coming from.

Neeraj Toshniwal : Got it. And on the credit life, do we have the numbers handy? How much would have been the share of credit life within the group?

Mahesh Kumar Sharma : Yes, that I can give you. Credit life. In terms of AP E? `200 crores AP E.

Neeraj Toshniwal: And what was the corresponding last year? Same number?

Company Speaker: Fully, you want full year numbers, right? So last year was `1,600 crores, `1,700 crores, roughly. This year, it is `2,000 crores. This is not rated. So rated, you take one. Yes, 10%. This is for full financial year.

Neeraj Toshniwal: OK, I was actually asking for Q4?

Company Speaker: Q4 `540 crores last year and `620 crores current year. That is 23. FY 23.

Neeraj Toshniwal: Got it. Got it. Thank you, sir.

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Mahesh Kumar Sharma : Yes, thank you.

Moderator: Thank you. The next question is from the line of Akshen Thakkar from Fidelity.

Please go ahead.

Akshen Thakkar: Congratulations, sir, on concluding a great year. Just two follow-ups to the comments that you made earlier. One was around the growth. Could you just, you know, you always targeted that high growth. But could you just help us understand what are the products, what are the channels that make you hopeful for achieving the 20%, 25% growth that you outlined? That was one. And second was to the question on

relationship with the SBI bank, you did

make a comment that you are sort of amenable to looking at new products, which could be a win-win both for the customer and also for the channel partners. But I just wanted to understand from SBI life, you know, P&L or margin point of view, if you do these products or terms of trade with SBI were to change, one concern that investors do carry is that does that land up impacting your VNB margin? Those two questions from my side, sir. Thank you.

Mahesh Kumar Sharma : So one of the things that I always say is that the whole idea of doing business is that it should be beneficial to the customer and all the stakeholders. So if you keep that in mind, then I think you get your answer out there. We will make sure that the customer gets a good value proposition. And distributors are rewarded well for the kind of good selling that they will do. If they get good customers, if they get good persistency, if they get good product mix, which then gives us a good margin, obviously, the distributor also gets a good proportion of that. And as far as channels for growth are concerned, like I said, we have very strong channels. So three channels that are very strong now, SBI, agency, and other banks.

Other banks are a smaller base, but they are likely to grow very well because the customers definitely need all the products that we have. Agency, as I said, today we are ending with the march with 2,08,000-plus agents. And this is an increase of over 62,000 agents over last year. And when these agents are developed and activated, and they will be activated over a period of time. Some of them have become active. Some of them will become active over time. And they will be more and more productive. We have one of the most productive agency sales forces in the country. So in the private sector, we have the most productive agency. And therefore, and of course, SBI as a channel, so we have the potential out there. There are a number of customers who need to be

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covered with insurance. So going forward, I don't see any dearth of avenues for growth.

Akshen Thakkar: All right, thank you, sir.

Mahesh Kumar Sharma : Thank you.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Thanks for taking my question. I'm looking at your average policy term. And I believe on the non-par side, your average policy term is closer to around 27 odd years for the last four quarters as compared to around 19 - 20, the previous year. So what would be the reason for this? And do we expect this to sort of sustain?

Mahesh Kumar Sharma : So when you see this is a product change, so you have more of traditional non-par guaranteed. This is a longer term product.

Company Speaker: Payout period. So earlier, it was endowment where one time money was getting paid. Now it is getting paid or spread.

Mahesh Kumar Sharma : Yes, so we have a product that goes, you pay 10 years. And then after from the 11th year, 25 years, you get returns. So overall, it becomes a 35 year product.

Nischint Chawathe: And the margins between both the products would be substantially different?

Company Speaker: No, no. Margins are similar to the things that this product is the income variant of the endowment. So earlier, we are having only endowment variant. Now we have launched the income variant, which is selling more. And margin is, you can see the margin because we are selling more proportion coming from this product. And we're growing the margins. So margin is similar to both the variants.

Nischint Chawathe: So incrementally, do you see a challenge in hedging this product as this kind of thing?

Company Speaker: Not at all because we restrict to the premium paying term max to the 10 year.

And most of the business coming from 7 to 10 years. So that perspective is we're getting this hedging. So we don't see any challenge in that perspective.

Nischint Chawathe: Got it. Thank you very much.

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Company Speaker: Thank you.

Moderator: Thank you. The next question is from the line of Sneha from Star Union Daiichi. Please go ahead. Ms. Sneha, the line for you is unmuted. You may go ahead with your question.

Sneha: How do you see the overall on the distribution mix? Which are the focus areas we're planning to grow more over there? Bancassurance or other parameters, could you guide us?

Mahesh Kumar Sharma : Yes, I think I already answered this question before. Maybe you were not there on the call. What we have done is we have more than 2,08,000 agents today. And this is an increase of 62,000 agents this year. So that's one of the things that we are doing. And the other is, of course, in SBI and the other banks. So we have a good number of customers out there who still need insurance. So these are the main channels around which we will be selling. Obviously, we'll be selling some people directly online and through other channel partners.

Sneha: Okay. Got it, sir. Thank you.

Mahesh Kumar Sharma : Yes, thank you.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I would now like to hand the conference over to Mr. Mahesh Kumar Sharma for closing comments. Over to you, sir.

Mahesh Kumar Sharma : Yes, thank you very much. In fact, thanks to all the participants on the call who have given us so many insights and given us this feedback and also asked very relevant questions. And we hope that all of you have a very good time investing. And stay safe. And have a good evening. Thank you very much.

Moderator: Thank you. On behalf of SBI Life Insurance, that concludes this conference call. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jul 2023

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

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July 31, 2023 SBIL/CS/NSE -BSE/2324/76

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National Stock Exchange of India Limited, BSE Limited,
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Plot No. C/1, G Block, BKC, Dalal Street,
Bandra (East), Mumbai 400051 Mumbai 400001
NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q1 of FY 2023 -24

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2324/75 dated July 25, 2023 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Tuesday, July 25, 2023

The transcript of the earnings conference call with analysts/investors is hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Vinod Koyande
Company Secretary
ACS No. 33696

Encl: A/a

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"SBI Life Insurance Company Limited Q1 FY '24
Earnings Conference Call"
July 25, 2023

MANAGEMENT : MR. MAHESH KUMAR SHARMA – MANAGING DIRECTOR AND CEO
MR. S. VEERARAGHAVAN – DEPUTY CEO
MR. SANGRAMJIT SARANGI – PRESIDENT AND CFO
MR. RAVI KRISHNAMURTHY – PRESIDENT , OPS & IT
MR. ABHIJIT GULANIKAR – PRESIDENT , BUSINESS STRATEGY
MR. SUBHENDU BAL – CHIEF ACTUARY AND CHIEF RISK OFFICER
MR. PRITHESH CHAUBEY – APPOINTED ACTUARY
MS. SMITA VERMA – SVP, FINANCE AND INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day, and welcome to the SBI Life Insurance Company Q1 FY '24 Results Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Kumar Sharma, MD and CEO, SBI Life. Thank you, and over to you, sir.

Management : Thank you very much. Good evening, everyone. We welcome you all to the results update call of SBI Life Insurance for the quarter ended June 30, 2023.

We thank you wholeheartedly for your time invested in our analysis. Update on our financial results can be accessed on our website as well as on the website of both the stock exchanges.

Along with me, I have S. Veeraraghavan, Deputy CEO; Sangramjit Sarangi, President and CFO; Ravi Krishnamurthy, President, Operations and IT; Abhijit Gu Ianikar, President, Business Strategy; Subhendu Bal, Chief Actuary and Chief Risk Officer; Prithesh Chaubey, Appointed Actuary; and Smita Verma, SVP, Finance and Investor Relations.

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As you are aware, the Board of Directors has appointed Mr. Amit Jhingran as the MD and CEO designate of the company for a period of 2 years, subject to the approval of IRDA and shareholders' approval. Amit has been my colleague at SBI, and I want to assure you all that the company's growth trajectory and objective of creating long-term value will remain unchanged. And my team and I personally will ensure the smoothest leadership transition of the company.

Moving to performance update, our comprehensive product suite aligned with customers' need, coupled with our continued focus on improving the quality of business, maintaining a best-in-class cost ratio and persistency levels has led to a decent performance on an exceptionally high base of last year's June quarter.

During this quarter, we have taken a few tactical calls like stringing market portion in annuity business and investing in capacity building for employees and distributors with respect to handling the emerging needs of the customers and to support long-term growth. Now let me give brief highlights of our performance for this June quarter. New business premium registered a growth of 11% over the previous quarter and stands at INR62.1 billion, leading to private market leadership.

Individual new business premium stands at INR40.6 billion with a strong growth of 18% and private market share of 26.8%. Gross written premium stands at INR135.6 billion, a growth of 19%. Protection new business premium grew by 12% to INR7.8 billion. Profit after tax stands at INR3.8 billion, with 45% growth over the last period. Value of new business stands at INR8.7 billion. New Business Margin is at 28.8% in June '22. Assets under management grew by 25% to INR3.28 trillion. A robust solvency ratio of 2.15 as against the regulatory requirement of 1.5.

We shall now update you on each of the key elements in detail.

Let me start with the premium

Individual New Business Premium has grown to INR40.6 billion with a Y-o-Y growth

of 18%. Single premium contribution is 38% of Individual New Business Premium, which is mainly attributed to growth in our individual annuity products. The company gained private market share by 229 basis points to 26.8%.

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On individual rated new business premium, we stand at INR26.7 billion with a growth of 3% over the previous period and maintain our leadership position with private market share of 23.0%. As mentioned in the opening remarks, this is on the high base of last year's quarter 1 performance, which was one of the industry best with a growth of 86%.

Also, group new business premium stands at INR21.5 billion with a share of 35% in new business premium. Having said that, we have collected a total new business premium of INR62.1 billion, registering private market share of

22%. The renewal premium grew by 28% to INR73.5 billion, which accounts for 54% of the gross written premium.

To sum up, gross written premium stands at INR135.6 billion with a Y-o-Y growth of 19%. In terms of APE, premium stands at INR30.3 billion registering a growth of 4%. Out of this, individual APE stands at INR27.1 billion with growth of 4%. During the quarter ended June 30, 2023, total 4.19 lakh new policies were issued. Since 2010, the company has maintained its leadership position in the number of policies issued and consistently delivered year-on-year growth for the last 10 years. This reflects a clear goal of the company to increase the penetration and achieve holistic growth. Total new business sum assured registered a growth of 44% over corresponding period last year as compared to a growth of 42% at the industry level.

Let me give you the details about the product mix

As on June '23, our guaranteed non-par savings product contributed 14% of individual new business premium and on individual APE basis it is 22%.

Individual ULIP new business premium is at INR19.3 billion, which now constitutes 48% of individual new business premium. Growth in ULIP is attributed to positive movement in equity markets. Individual protection new business premium is at INR2.1 billion, registering a Y-o-Y growth of 5%.

Again, this is against the previous year quarter 1 strong growth of 55%, where individual production was showing a downward trend for the industry.

Group production stands at INR5.7 billion with a growth of 15%. Credit life new business premium has grown by 8% and stand at INR4.5 billion. On APE basis, protection contribution was 12% of new business and registered a growth of 17%.

Annuity business is at INR13.1 billion and contributes 21% of new business premium. Under annuity, the company is offering immediate as well as

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deferred annuity auction. Individual annuity business is growing at 129% over the last year the same period. And this is mainly due to new business contribution of Smart Annuity plus of INR11.4 billion.

Total annuity and pension new business underwritten by the company is INR18.3 billion, registering a growth of 57% over the previous period.

Moving to our distribution partners, with a strength of more than 58,000 CIFs. RBI and RRB bancassurance business contributes a share of 66% and grew by 21% in the Individual New Business Premium. And on Individual APE basis, it stands at INR18.5 billion with a growth of 6%.

Agency-registered new business premium growth of 23% and contributes 19% in new business premium. Agency individual APE stands at INR7.2 billion as on June 30, 2023. The total number of agents stands at 222,832, a growth of 38% over the previous period. During the quarter, the company added a net of 14,048 agents.

During the quarter ended June 30, 2023, other channels, including direct corporate agents, brokers, online and web aggregators grew by 62% in terms of Individual New Business Premium and 18

% in Individual APE. Protection

business through other channels registered a growth of 63% on APE basis.

About the company's profitability, the PAT for the quarter ended June 30, 2023, stands at INR3.8 billion, with 45% growth Y-o-Y. Our solvency remains strong at 215%. Value of new business stands at INR8.7 billion. VoNB margin is at 28.8% for the quarter ended June 30, 2023. The shift in VoNB mainly on account of increase in share of ULIP business as compared to the previous year.

Operational efficiency

The opex ratio stands at 6.8% for the quarter ended June 30, 2023. Our total cost ratio stands at 10.8% for the quarter ended June 30, 2023. With respect to persistency of individual regular premium and limited premium paying policy, 13-month persistency stands at 85.1%. The company has registered a significant improvement in the 37th and 61st month persistency by 262 basis points and 645 basis points, respectively.

As mentioned in my opening remarks, Asset under Management stands at INR3.28 trillion as at June 30, 2023, having growth of 25% as compared to SBI Life Insurance Company

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June 30, 2022. The company continues efficient usage of technology for simplification of process with 99% of individual proposals being submitted digitally, 52% of individual proposals are processed through automated underwriting.

Before I conclude, on behalf of the management, I would like to clearly state that the company's aspiration of FY '24 growth remains unchanged, and our endeavour is to deliver better than industry growth. Secondly, our Promoter and Bank Partner SBI is aligned with our holistic growth target, and we have set out detailed plans to further leverage the network in depth through data analytics, clear performance benchmarking, segmented approach to wards niche market segments, etc

Our agency channel has been a flag bearer and has outpaced the private industry in many parameters. Our aim is to maintain the undisputed leadership position among private players through capacity building, both in terms of quantity, that is number of agents as well as quality that is financial advisory considering the needs of the customers.

Lastly, as mentioned in my FY '23 annual results call, the value of new business will continue to grow at a healthy rate and margin will be range bound. To conclude, we continuously endeavour to maintain our leadership position and continue to further increase our market share by offering products that meet the evolving needs of our customers with our widespread robust distribution network complemented by digital technology. And above all, our people power, we are well positioned to capitalize the growth opportunities offered in the dynamic insurance landscape. The company is aligned with the regulator's vision, and we'll continue to focus on various reforms, enabling deeper penetration of life insurance industry.

Thank you all and now we are happy to take any questions that you may have.

Moderator : Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh : Two questions. The first one on growth. I recall your closing remark just now, yet I just want some clarification that in FY '23 , your growth had a different pattern. And of course, you did not have a high ticket non-linked share like your peers. Now in that backdrop, if I recall, a 20% kind of an individual rated premium growth was the ambition FY '24.

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Is that 20% kind of a number you still hold to? So that's one question, because your product mix has been different than peers that's why I'm going for absolute rather than talking of relative numbers. So that's on growth. On distribution, my question is if you can provide some color on non-SBI banks, I mean, the non-SBI

Bank, how they have been doing in terms of growth, what their share in the mix?

And second, related to that, agency -- I mean, you have been very, very kind of a proactive in augmenting your agency network in the last 1.5 years. I mean, in that backdrop, I mean, do you expect this agency channel growth to accelerate further over the year or will it be flat, this growth is going to be muted this year.

Management : Yes. Thank you very much for the question. Let me assure you that we are looking at the same kind of growth that we have been talking about 20% to 25% is what I would like to see. But yes, 20% is definitely what we would expect. So that is the first thing regarding growth. Now coming to the agency channel, so agency, we have been growing the number of agents, and we have made some structural changes.

So the results will be visible over the next 3 quarters for this year. You will see in Q2 itself, the results of what the changes that we have brought about in agency. And this has always been the most productive agency, I think, in the private industry. And we will continue to be at the very forefront of productivity, activation and also the number of agents that we have.

So already mentioned, we have 2.23 lakh agents. And we are improving the

productivity and activation. Now coming to the other bank partnerships. So we have excellent business there. Right now, we have 5% growth in the first quarter.

But going forward, like you would have noticed that we had a fantastic first quarter last year, which was like record breaking. I should say, we had 86% growth overall in the individual rated. And then we had overall 55% growth in the total NBP. Now to top that is very difficult, and we have still managed a slim growth over that.

But this just shows the kind of potential that we have, and we continue to perform at those levels. And so the last year number they were coming on the back of some not so good performances for the first quarter. But this performance, it comes right after the good performance of last year.

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So I think that pertains very well for us. In terms of the other bank partnerships also, the first quarter is always to be compared with what growth we had last year. And going forward, we aspire to have a good growth number, plus 20% in any case is what we are looking for.

Avinash Singh : Okay. If you can help contribution of other banks in AP terms, I mean, what their percentage currently?

Management : 3%. Approximately 3%.

Moderator : The next question is from the line of Adarsh from CLSA.

Adarsh : So the question was, sir, the expenses management guidelines have been revised. So there is chatter around what payouts can you do to SBI, can one expect renegotiations and commissions or cost ratios to go up? If you can clarify if you have any discussion thought process around it?

Management : So see, the whole business of insurance, it depends on what value you create for the customers and what value create for the distributors.

Obviously, it's going to be a balance there. With the changed regulations, we will be reevaluating. And IRDA requires us to have a policy around that. So, our policy is under formulation. The moment we have a clear policy on that, we will take it forward.

Adarsh : And...

Moderator : Sorry to interrupt, but the line for you is breaking up in between. We are not able to hear what you're saying. If you could please use the better connection, sir?

Adarsh : Yes. I'll try, otherwise, I'll come back, right? So just wanted to understand if these increased payouts will affect our VoNB margins. I think with lower VoNB margins you could indicate, even if the payouts are higher.

Management : This is a very fluid kind of situation, not just because of these EOM guidelines or something, earlier, also we were very comfortably placed in terms of the

percentage of expenses that we had, considering our EOM limits and also we never went up to the EOM limit in the past also.

And we are not looking to these guidelines as an excuse to change the way we look at business. So, our business will continue to be fair to our partners and our customers. So, I will not put any numbers out here. And I will

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definitely not like to commit to any kind of a drastic change in my way of doing things.

But what we will ensure, which we have been doing in the past, and that is why we have been so successful as a company is that we will make sure that there is enough on the table for the distributor and the customer.

Adarsh : And from a shareholder perspective, I just wanted to understand...

Management : Sorry, I'm not able to hear. Can you kindly come back for the next question? I'm very sorry about it, but we really can't make out -- this is breaking a lot.

Moderator : Yes. Sir, the line is breaking up in between. We request you to please rejoin the queue after you connect with a better connection, sir. Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha : Sir, as I see the product, the margin compression largely happened, it seems to have happened because of your non-par contribution coming down. And

that's the only product which has declined on a year -on-year basis while all other products seems to have done well. So j ust wanted to understand this is a conscious decision to not to grow?

Because I'm trying to link this number with the persistency also because persistently in the near -term cohort that is 13 month and 25 months have had deteriorated, compared to the last y ear or decline compared to the last year. Is the experience being for and that's why you're conscious to not to grow this particular business?

Or how do we read it? Because along this question, if the expense towards the pare nt channel is supposed to increase and non -par is not going to grow, then it will have an impact on the margin. I just wanted to understand your view on this particular point, sir.

Management : Yes. So Sanketh, good question. What I would like to say is that you have noticed very correctly that it is a non -par component, which has actually led to a reduction in VNB margin. So that is absolutely correct. But now to read too much into that would be, I think, slightly jumping the gun because like I said, last year, the same quarter, we had a huge growth in our premiums. And one of the contributing factors was that we had this huge pent -up demand for non -par guaranteed income product, which we did not have SBI Life Insurance Company

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earlier. We had a non -par guaranteed lump sum payment product, which was doing very well, Smart Platina Assure. But we launched Smart Platina Plus last year around March and March and to be precise, about seven, eight days in March and then the first quarter.

So the huge pent -up demand that we had and the agents and our distributors had already gauged due to which we had launched that product. That got taken up in the first quarter, and that is why you are seeing a de -growth in this quarter with respect to the non -par product.

But going forward , we are looking at a very steady growth in our non -par portfolio. And there is no conscious effort to reduce or change the mix. You will probably recollect that every quarter, I keep saying that we keep the customer at the center, and it is not a joke. We do keep the customer at the center. We offer products which are suitable. This quarter, we have seen a good traction for ULIP product returning. ULIP has always been a good product for us. ULIP has returned. One reason could be the market's excellent perf ormance and our own funds excellent performance over the last five years. And this is som

ething which people are looking at.

Last year, with the COVID uncertainties, non -par guaranteed was very favoured kind of product. And I don't see the demand going away anywhere. It is only that compared to last year first quarter, which again, I'll emphasize was one of the highest growth quarters that we had. That is the only reason why we are seeing a slight dip in that.

Management : So Sanketh, just to clarify, last year, non -par was -- in the first quarter was about 30% of our business. By the time the year ended, it was about 24%. And this quarter, there is a very slow start, we are at about 21%, 22% of our business coming from non-par. So we would expect around similar 24%, 25% of our business coming from non -par. So last year, first quarter was a little aberration , like our MD just explained.

Sanketh Godha : Got it. The reason I was asking, sir, the number absolute number, if I see it is INR5.8 billion or INR580 crores seems to be meaningful lower compared to the run rate of INR900 crores to INR1,000 crores what you did last year in every quarter.

So that is the reason I was just thinking t hat INR580 crores seems to be meaningfully low number in AP E terms , compared to what you did every quarter last year. And I also was trying to understand the persistency falling SBI Life Insurance Company

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13th and 25th is something to read there, or any reason for the persistency fall?

Management : Yes. So that is something which we think that every year, we have this

whenever we see that there is a dip or in persistency or there is no growth in persistency really up our efforts for renewals. And it's only a question of renewal, a lot of people were stressed in the last three years in terms of premium payments, et c. And I think the priorities also keep shifting -- so it's only a question of how much follow-up we continue to keep doing. And I think you will see within the next quarter, all these things normalizing.

Sanketh Godha : Got it. And just one on the previous question. If you can -- honestly, I just wanted to understand because our E OMs are substantially lower compared to the peers. And given now there is no commission cap, honestly, to any product. Sir, there is a likely possibility that to pay out to our distribution channels, especially parents, could go up and it could have a potential impact on the margin or any measures you have taken to counter that impact if it happens?

Management : See, I'll only say one thing that our partners and especially SBI as a partner has been very responsible in looking at the customers' requirements and also in growing the business responsibly. We do not envisage a situation where we are putting a position where we will have to dip into the customers' value to pay commissions or anything.

And we think that the payouts that are being made right now are largely in line with what should be paid out. There will be people in the industry who will probably try to gain market share or whatever. And there will be distributors who will demand more and more just because the leeway is available somewhere.

But I think IRDAI has also come out with a vast set of guidelines on what we need to look at before we formulate our policy with regard to commission payment and E OM. It is not that IRDAI has permitted companies to pay the entire E OM as commission and then go around because a lot of senior management compensation and everything is tied up with the kind of performance that each of these companies is going to have.

So I think IRDAI, as a regulator also recognizes & realizes that there is a potential for some kind of a misunderstanding in these guidelines, and therefore, we have come up with very, very extensive guidelines on what we SBI Life Insurance Company

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should look at while arriving at the commission rates and the policy, the Board -ap

proved commission policy. So, I don't see a drastic change coming up.

Like I said, we will keep calibrating what constitutes good value for the customer and what constitutes good value for the distributor. And obviously, like you said, the shareholder, so all these have to be balanced.

Sanketh Godha : Got it, sir. And last one, SBI productivity in the presentation is being mentioned as INR4.7 million per branch in NBP terms, which is almost one of the best in the industry. So I just wanted to understand the State Bank of India growth incrementally will be driven by productivity gains. I mean is there other room for productivity gains?

Management : Everything is there. All the possibilities are there. There is enough scope.

India is hugely underpenetrated as an insurance market. So there is no dearth of growth. It is to increase awareness and to reach out to each and every person with a product that will suit his needs, do the analysis properly explain the product properly and you have a customer.

Moderator : Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala : A couple of questions. So firstly, on retail protection. So, while we did really well in FY '22 when most of the other peers were struggling to grow protection, over the past four to five quarters, if you really look at it, the growth hasn't been that robust given the kind of under penetration we see in retail protection. And we are also seeing some of our peers who were lagging earlier have started to pick-up in terms of growth on weaker base of course. So just wanted to understand, I mean, what is it that we can do to accelerate it or the things there any particular reasons why this thing is slightly tepid than where it could be?

Management : Look, we have been continuously growing protection. So there is not a single quarter, I believe, when we have actually had our protection dip or have a

negative growth. So we have been constantly growing. Right now, we have grown at 6%. And going forward, like we see the same trajectory like the previous years.

Whatever we have grown in the previous years in protection, we will grow. Protection has got a good potential, I should say. But what does happen is SBI Life Insurance Company

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that when you have very good growth in all the products, then it is quite possible that in percentage terms, there may be slightly lower growth seen here in protection because everything is growing, so everything grows at 20% or something. So protection, even if it grows slightly less in terms of actual numbers, appears to have decreased in percentage terms. So that is the only thing that I would say. I don't think there is any particular thing to be read into the protection growth numbers.

Rishi Jhunjhunwala : Understood. And just secondly, on the margin trajectory for fiscal '24. So just wanting to understand, is there any particular kind of mix that you are thinking would play out through the course of the year, given the kind of changes that have happened on taxation on EOM and everything, which could potentially change the mix of the margins, especially on the product side?

Management : I don't think so because I may sound very boring, I will again say that we do not push a margin down the throat of a customer. We ask the customer what he wants, offer him his needs. And then we have a whole bouquet of products. So, he selects from that.

It's not as if I'm saying that I have good margin in this product so I will sell this only. So that is not the approach that we take at all. And I don't think that we are going to change it right now. The thing with margins is that it cannot keep going up and up. Somewhere the customer value proposition will actually take a hit if the margin keeps rising. To give a very small example, if you get 100% margin, then

there is no way the customer is going to get any value out of it.

So obviously, there is going to be some kind of a limit to the margins that we can achieve.

Now having said that, what do we do to maximize the margin given the product mix that we think our customers would take. So then we design the products in such a way that they are beneficial to the customer as well as to the distributor and obviously, leave some margin for us. And the margin is left only because there is a long-term value associated with that product. And so to answer your question, we would be looking to continue our non-par product, then we have a very good demand in ULIP. We will continue with that. We have a positive margin on ULIP also. And that is a very good thing. Protection we will continue to grow. And I think with this Protection, Credit life, non-par and the kind of product mix that we have, we should be able to

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continue to have these margins. And I think our current margin is also very good at 28.8%, I think it's a good margin.

Rishi Jhunjhunwala : Sir, so just to clarify, have we reached up equilibrium on -- at a product level margin? And so as a result, from here on, the margin expansion would largely be driven by the mix change? Is that a fair way to assume?

Management : Possible, but I don't see the mix change and all. See what happens like last year, we had a mix change and we had a jump in the margins. But this is not something which we can expect again-and-again because there is a certain kind of a demand that is available in the market. Maybe if tomorrow, we come and see that there is another product or something which contributes a better margin, which has got a great demand. Maybe there is another spike coming up at that point of time. I can't see anything right now. We would have been very happy to be around this range.

Rishi Jhunjhunwala : Understood.

Management : More on organic basis, by improving other parameters.

Management : Not only that, I mean, I don't think margin is a very big thing. It's a good story to write. But I still think that you sell more-and-more. That is the way to make a company more profitable. You sell more-and-more. It's like a supermarket

and boutique store.

In a boutique store, you will sell to and you get a fat margin on that. In the supermarket, you sell everything and you get steady margins on that. You have more customers coming in, customer who buys flour today will buy pista tomorrow. But in a boutique store, he comes to buy only pista and if he gets pista from the department store, it doesn't even come to your store to buy pista. So I do n't think that it works that way. We are not looking at the margins per se, but we are looking at the sustainability of the business in the long run, how many customers, new customers we can get, how we can put them up the ladder of the margin journey.

Moderator : Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh : So just two questions from my side. First, on the annuity business, if you can give some color on the individual annuity part. Was there any product repricing? Or what is the strategy around that going ahead? And second, I

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think on the agency, you mentioned there has been some strategic changes, which should give higher growth or deliver from 2Q onwards. So, if you can kind of elaborate on that part?

Management : Yes. Thank you. On the annuity, if you look at the individual annuity, we have grown by 128% in individual annuity. So basically -- there are two parts to it : one, I think the annuity rates were pretty decent last year. So that contributed. But it also contributed that our people reached out and created awareness, and they were able to get people to think about the post

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retirement life and were able to sell more annuity. So that is as far as the annuity piece is concerned, there is nothing much to do there. Only thing is that we will be looking at these products very carefully and align the rates with the market so that we are not too much on either side of the market.

Coming to your question on the agency, we have made certain changes. I would not like to elaborate on all the changes that we are making. But some of the changes is that we are recruiting more -and-more agents, and we are having more engagement with the agents, and we are also helping them to garner leads.

So, we are doing a lot of activities where the agents can get leads. We are also showing them. We are training them much better, and we are having more -and-more closer interactions with our agents to show them that they already have a good market around in their own environment so that they can go and prospect for business much better. So, these are the two changes there will be a huge difference that you see in the days to come. As regard numbers, we have already started growing the numbers, the productivity will follow.

Moderator : Thank you. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : You reported a fairly impressive 17% growth in unit linked policies. So, I was wondering what is driving this? Is it just that because equity markets are doing well? Is it just that the offtake is strong or is there a conscious push from your side for ULIP?

Management : No, I don't think we have ever pushed or stopped pushing for ULIP. It is a function of the overall market, the way people are perceiving like you would see in the last couple of years, a lot of non-par guaranteed got sold. So, it was purely a function of the experience of the last three years where you

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were uncertain about your income and all and the first thing that you wanted to protect was future income.

And then now the people are thinking about the markets going up. And a lot of people we already had a very good customer feel around our ULIP products. We always we're doing very well. In fact, some of the products and other products that we got in was because we were slightly overweight on ULIP, I should say. So, that is why we got many of the other products now.

So therefore, the mix has become much better, but we are confident that ULIP will continue to do well because it's a very good product. We have been giving excellent returns to the customers over three years, five years if you see our returns they have been fantastic.

We keep explaining to our customers that the longer you stay with us, the more money you can make. And also, you stay protected with insurance. So, that is the most important thing. While you are building up your corpus, you are covered with insurance, which no other investment will give. So, this is something which actually works for us, and we will continue with that.

Nischint Chawathe: You're looking at share of non-par to kind of increase from 23% to like 25% by the end of the year. I mean if you're looking at the direction of the market, I think in all possibilities, non-par will remain here or go down given the way interest rates are headed. And probably ULIP will kind of continue to do well. So, in that sense, is it kind of fair to say that maybe the business mix of last year may not really be what this year would look like?

Management: So, the business mix is not really going to change much. I mean, like unless there is a sudden spurt in one of the demands for any of these products, sudden spurt in demand for ULIP or sudden demand, otherwise, like the non-par product is a guaranteed product, it's a very good product and when rates are going down also, then there is a very good need to lock into the higher rates. So, that

is something which definitely will play on the minds of people, and there will be a demand for that product. There are different kinds of people. Some people would like to get into the market-related kind of return. Some people would like the safer kind of returns. And the non-par product still offers a tax benefit if it is below INR5,00,000 in a year, and our big market is in that segment. So, I don't see a drastic change in the -- yes, I mean, like with patterns and all, you can never say. Today, I say 60, 25, 15 or something and tomorrow it turns out to be 58, 28 something, I mean, like it's SBI Life Insurance Company
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okay. I mean like we are okay with that because we have the risk management strategies, and we also know where to invest and get good returns.

Nischint Chawathe: Okay. The second question is essentially on group protection that has grown pretty fast. So this is all group credit?

Management: Yes, group protection, it's a lumpy kind of thing. I mean, you get -- you work on various corporates for some time and then you get the business. So it's a big function of two, three things. One is connect, your ability to service. You have to prove that your product is well serviced quickly, your employees when they come for a claim or something, they will be serviced very fast and will not have to go through trouble and all that. So, that once the corporate is convinced, then the business comes up in a big amount.

Sometimes it's 1,000 people who are covered, sometimes it's 10,000 who are covered, I mean, like it's a very lumpy kind of thing. You can't say -- the effort for each corporate would be approximately the same kind of effort, but the numbers that you get will be different from different corporates.

Nischint Chawathe: How much would be the growth in group protection?

Management: Group protection sir we have credit life. So, credit life that is something which has been growing very well for us and I think it will continue to grow very well because disbursements are going to keep growing as the market grows as everything, as everything economy grows, the disbursements will grow. And as the disbursement grows the attachment rates will be better. And even with the same attachment rate, the amount of credit life we sell will be higher.

Nischint Chawathe: Perfect. That answers my answers. Thank you very much.

Management: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Hi. Thank you for taking my question. Sir, a couple of things. One, see on persistency, any particular cohort where persistency is lagging? Is it in the non-par segment or because we sold a lot of non-par last year, so 13-month persistency, is it getting impacted because of that, some color over there would be helpful? Second, what is the timeline for all this discussion with SBI on the increased commission payouts if at all and related to that, have we

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started building any part of it? So, based on whatever your expectation is, are we building any part of it in our current VNB that we have declared right now at 28.8%? So, and finally the agency channel this quarter year-over-year has declined by about 5%. Any color on that, what has resulted in that happening?

Management : Yes. So, persistency, I think we agree that there is a slight dip in persistency in the 13th month and a slightly higher dip in the 25-month cohorts. But like I said, it's something which we should be able to remedy with closer calling and explaining to our customers, we have a very good team that does this. And in the past also in the last three, four years, we have always seen that whenever there has been some kind of a flatness in the persistency, we have always been

able to increase it and right now if you compare the persistency with what we had three years back, we have very good persistency, we have improved the persistency like anything. It's if you are comparing with March 23' yes there is a slight dip in 13th and 25th

No particular product contributing significantly to this thing as far as my own analysis is concerned. Of course, we will be looking at even more granular data and trying to see if we need to do something, some follow-up somewhere much more but that's about it.

Coming to the timeline, I never said that we were in discussions with SBI or anything. So, I don't think that whole question arises. SBI is a very close partner. And we have many other partners also now in banks. Discussions do keep happening all the time on all the aspects of the business. So, I will not say that we are talking about commission or whatever or whatever. So, there is nothing for me to say at this point of time on that. I think my earlier answer was very, very comprehensive on the EOM and commission.

So I don't want to say anything further to that. Agency, yes, you are right, there is a 5% drop in agency numbers. But as I said, we have initiated a number of steps. And we have grown the numbers quite healthily. And our initiatives are already there to keep the distribution engaged and also to train them and to make them. So it is by design that we have the best agency in the private sector. It's not by luck or by chance that we have the best agency. In spite of having one of the strongest bank relationships, we still have the biggest agency. Our agencies crossed INR4,000 crores last year, which is much more than many of the company's total business in the industry. So, SBI Life Insurance Company

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really speaking, there is nothing much to say about agency, development efforts are going on to take the agency channel to the next level. And yes, I would say that this is kind of flattening that comes when you are doing a lot of development efforts.

Madhukar Ladha : Sir, just one thing. Have you built in any increase in EOM in your margin reporting of this quarter?

Management : I would request Prithesh to answer this question.

Management : Thanks, Madhukar. See, if you see our EV disclosure on 31st March, each year we'll do that. You see that we make the operating profit even on account of the persistency and we always keep saying that when we set our best estimate assumption, we always use the assumption which is sustainable in longer term. We don't capitalize the movement up and down. To that extent, our VoNB margin and assumption used in computing VoNB margin is well stabilized. And with the certain fall in the persistency it is not going to impact our persistency assumptions.

In fact, if you recall, in the March, we have explained that there is a further scope to further improve the persistency on account of the experience. So, to conclude, I don't see this experience will have any adverse impact on our VNB margins.

Madhukar Ladha : Sir, my question was more with respect to EOM. So, are we building any increase in EOM in our VNB assumptions?

Management : The EOM, I think if you see we always use the expenses. So, what our MD

also explained on the EOM part that our expense, we have most efficient company we use experience. And I don't see there will be much impact will come on the EOM prospective. We have not built up anything that going to be impact adversely.

Management : See, typically you see we don't change our assumptions in the first quarter. So, we change it once a year when we do that we will have a review of everything including any expenses that might come.

Madhukar Ladha : Understood sir. Okay, alright. That's it and all the best, sir.

Moderator : Thank you. The next question of MW Kim from JPMorgan Securities, Asia Pacific Limited.
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Myung Wook Kim : Thank for the opportunity. I have two questions. The first is about the new business by movement. So, could you briefly share a bit detail on your operational assumption changes for the year? So would this be more related to the year better than expected loading margin due to the bigger scale or are there other factors like persistency as already mentioned or the mortality. So, just want to understand that, where will you see the positive delta on the total margin? And the next question is about the vision on the higher surrender ratio. Is it due to your previous product related to the savings policy? Yes, that's two?

Management : So, I will explain the margin is coming on account of product mix, and then we explained that we don't change any assumptions in the quarter end. What we do that, we look into the year in experience. Based on that, we set our assumption. Our assumptions are truly aligned to the relevant actual experience and emerging trend to that extent. So, to that we have incorporated and, in this quarter, we have not seen any assumptions because we're comparing with the last June to this June. And in the month of March when we closed our year-end, we make the assumption change. That's the reason we see VNB walk there is an impact reflecting in the assumption change.

Management : On the surrender ratio, which you have mentioned about higher as compared to last quarter, it was predominantly due to the four years back products of the ULIP, which have been surrendered and the payouts are happening now. And because the market is on a higher side, so the AUM of those funds have been gone up substantially. So, that is the reason the spike, which has been seen here as a surrender ratio is being higher side. Otherwise, there is no difference between the current surrenders or the previous surrender.

Myung Wook Kim : That's all clear. Thank you.

Moderator : Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta : Thanks for the opportunity. So, I have three questions starting with the first one. So, you have indicated that productivity for SBI branch is around INR47 lakh. Could you let us know what is the productivity in the metro branches versus the non-metro branches, that would be one. Number two would be, when I look at VNB walk, I can see that there has been a 110-basis point SBI Life Insurance Company
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negative impact from operating economic assumptions and that typically translates into a 100-basis point risk free movement.

So, just wanted to understand what has resulted in this movement because when I look at the yield curve I don't see that there has been a significant movements, so that's number two. And lastly, on the group protection side, could you give us a split between group term and credit life and what is the attachment rate in SBI Life, so those are the three questions? So, the last one, if you -- I take the first one, about INR45 cr is coming from credit line and the remaining is from group GT.

Management : Yes, the first one was regarding the breakup. So, really speaking, it's a very vast kind of thing. So, we give the average, I think it is very indicative. I don't think there is anything to read into individual metro figures...

Supratim Datta : On economic assumptions, Prithesh will speak to you.

Management : So if you see the economic assumptions, if you see the yield curve as compared to the Q1 previous year, Q1 FY '23 versus Q1 FY '24. In the shorter end, you see there is yield curve is steeping up whereas in the longer term, there is a yield curve have flattened. So, what happened because in this quarter, we have the higher proportion of unit linked business. So that will have some impact -- adverse impact on that on the ULIP, whereas later during

when yield curve has flattened this have another negative impact on some of a other traditional business. So, that's the reason we see this impact. We're comparing this from the last quarter Q1 FY '23 versus Q1 FY '24.

Supratim Datta : Got it, got it. Thank you.

Moderator : Thank you. The next question is from the line of Neeraj Toshniwal from UBS India.

Neeraj Toshniwal : So sorry , I'm harping on the same question, likely payout increase to SBI Bank. Also wanted the color on the payouts to other than SBI Bank, what does the likely terms will be -- or will be having some revisions there as well?

Management So, I wouldn't like to discuss individual relationships or the rates at this point of time. I can say that we have been sticking to the guidelines issued by the regulator, and we have been able to do excellent business all along. And I don't see us coming under any pressure just because there is a change in the rules, like I said, we will keep the customer value and the distributor value in SBI Life Insurance Company

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mind. Obviously, I have to think about my shareholder value also. So, all three things put together will determine what we do. We have been doing extremely well. I don't see a sudden drastic change in our course.

Neeraj Toshniwal : Can we expect contribution from the non SBI Bank to increase going forward, given there will be might be less different between the two banks now?

Management : See, I'll tell you one thing, wherever -- whatever relationships we already have with the bank, many of them we have a good percentage of the business that they are doing. So we have been adhering to all the rules earlier, and we have still been able to manage to do very good business with the other banks. So I think going forward also, we can expect good growth.

Neeraj Toshniwal : Okay. And in your opening comments, you did mention on data analytics. What are we doing there? And...

Management : Could you repeat what you were saying on opening comments, what did I say?

Neeraj Toshniwal : You did mention data analytics as one of your points. So wanted more color? What are we doing there? And can it lead to...

Management : It works in many, many ways. One of the ways that it works is that our bank partners, we work with them and we do data analytics like, for example, YONO, the app that we are able to do. So in this first quarter, we have covered 2.3 lakh lives with term insurance.

How do we do it? Very simple, the bank, along with our analytics, algorithms, they pitch to the customer a particular product. And the customer can buy it in three clicks. So that's one of the examples that I have. The other thing is that we use it on our own data to make sure that we give the next best product to our customers to pass it on to the distributor that this is a product that you should be selling to the customer now. This is the need for the customer, etc . A lot of ways in which we are using data analytics. So Abhijit, would you like to add something?

Management : On persistency also, we are using data analytics.

Management : Yes, propensity to pay -- so we follow more on wherever we find that the analytics show that somebody has got a lower propensity to pay the premiums on time, then we work on those people and then we get to -- sort of 100 million ways in which we are using it.

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Management : Persistency analysis is one of them. So just what kind of profile and what kind of products we can offer today in terms of more product...

Neeraj Toshniwal : So basically, why I'm asking is because we were setting call center apart from getting the business from the local channel because we do very

extensive or much higher than the ROE costin g. I just wanted to understand the...

Management : I don't understand anything. There is a lot of break.

Managemen

t : I think it's not about our data analytics. It's not about the call center. Our Data analytics means...

Management : Yes, so call c enter, see, what you are saying Prithesh, I think what he means to say is whether we are using the contact centres also along with the analytics. Our model is that we don't directly sell when we get a customer through a particular channel. So the channel w ill sell for us. Any analytics is done through the channel.

Moderator : Thank you. We have the next question from the line of Swarnabh Mukherje from B&K Securities. Please go ahead.

Swarnabh Mukherjee : So, three questions from my side. First of all, so SBI h as shown a little bit softer growth compared to what it was historically in the last two quarters. So just wanted to understand what is going on there? Is there any change in stance for the distributor towards a particular product segment, which is resulti ng in this? So, some insights on that would be helpful. That is the first one.

Secondly, in terms of the growth guidance that you have mentioned around 20%. So just wanted to check whether this is in terms of total APE? And if so, given that this quarter was a slow growth quarter, I think for the remaining three quarters, you need to grow at fairly strong rates to meet this guidance. So I wanted a little bit more granularity on your thoughts on from where do you expect this growth to come from? And also given that third quarter last year was a pretty strong quarter. So, you will have a high base there. So, I wanted to understand that.

And thirdly, sir, you had mentioned in the opening comment that margins going ahead would be range bound. So, I just wanted to kno w from you, where do you see the lower limit of that? For example, since we have SBI Life Insurance Company

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mentioned that ULIPs have seen a lot of traction this quarter. If the mix of ULIP goes up, then can we see margin levels go down further? So yes, these are broadly three things that I wanted to understand.

Management : So SBI, like I said, we have grown some 7% growth in SBI. And in this quarter, over the last quarter. And the June quarter was a high growth quarter over the 2021 quarter, June quarter. So, to maintain that growth and further grow it even by 7% is a very decent thing.

And going forward, because the growth over the previous years was not so much in the later quarters, not 86% at all. So, I don't think there should be an issue with our growth because the n umbers are already coming. And like we said, it's just a question of the first quarter generally used to be weak. Last year was very, very good. But every year, the subsequent quarters are very good, especially the second and third quarters are very good. And the fourth quarter has been also very good for us almost always. So, this is a pattern that we see. And therefore, we will end up achieving the target that we are looking for.

Coming to the next one, the margin. So, for margins have always maintaine d, and this is not the first time that I'm saying this, I have been asked this question every quarter, and I always say that we are happy with margins around 28% to 30%. And we continue to hold that view. We are not going to be held hostage by any particul ar number.

We are not going to change our entire business philosophy just to maintain say, 30% or 29% or some notional number. I think 28.8% is a very good number. But at the same time, we would like to be around this place. So that is why I said the range bound thing.

Swarnabh Mukherjee : Understood. Sir, in terms of SBI as a channel, if you could give some color? What is going on there?

Management : Yes. So SBI, already told you, that SBI has been growing very well. Over a very large growth, we have been able to grow by 7%. Going forward, we will continue to grow.

Moderator : Thank you. Ladies and gentlemen, we will take one last questi

on, which will
be from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
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Prayesh Jain : Just a question on ULIP . Have we seen any mix towards debt products more compared to equity? Or is there a demand for right now? And how does in case the way that matrix has moved, do you think that the debt product will be more in demand? And how would that impact your margins on ULIP in particular?

Management : So we don't see any movement towards debt or equity in fact, it's a reverse. Over the last three years or something, we have seen a massive shift towards equity.

Prayesh Jain : Yes. Okay. My question was more related to the way that it has moved on the mutual fund side and is there a demand for that you foresee that will come up from ULIP for debt products. And that could have some implication on the mix and resultant...

Management : I don't think my product is directly comparable to the mutual fund product at all. We assure, we have insurance. So, somebody who wants to build up a corpus, he builds up a corpus for say, he decided to build up a corpus for his child for 10 years or something. And he dies after two years, we give him the sum assured, which make sure that the goal is reached by his family even without his presence. There is no other industry financial sector, which can give this protection. So, the first thing is to disassociate the normal kind of investment from insurance. Insurance is totally different.

So, having said that, what we see is that as a trend, people who are going for ULIP products with our company are seeing extremely good performance of our funds, and they are taking more -and-more equity portion in their portfolios.

Prayesh Jain : Great. And mainly on the ticket side, while you had a very low share with regards to the 50 000-plus ticket size. What has been your experience in 1Q with respect to that cohort? How is that kind of seen -- what is the kind of tail of that particular cohort?

Management : See, one thing is that the tax angle, there was some kind of a tax arbitrage for probably some people. I don't believe that INR5 lakh, anybody who was investing INR5 lakh was actually getting a very huge tax arbitrage or something. But yes, possible that people who were investing more than INR10 lakhs or INR15 lakhs or something could have been looking at it from that kind of angle.

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But really speaking, all these people would have been those who would have either got annuities or invested in some similar kind of a thing, and that was already taxable. And now that this non-par guarantee is also taxable. They'll probably have a mature choice between the two.

Moderator : Thank you. I now hand the conference over to Mr. Mahesh Kumar Sharma for closing comments. Over to you, sir.

Management : Yes. So thank you, everyone. So kind of you to have come up and interacted with us. You may get in touch with our Investor Relations team in case you have any follow-up questions. Have a great evening, and all the best.

Moderator : Thank you. On behalf of SBI Life Insurance Company, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity . Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations

of such expressions may constitute 'forward -looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy

and other future conditions and are not guarantees of future performance. Because forward -looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward -looking statements .

Call: Oct 2023

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

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Assistant Vice President General Manager

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Plot No. C/1, G Block, BKC, Dalal Street,

Bandra (East), Mumbai 400051 Mumbai 400001

NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q2 of FY 2023 -24

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2324/158 dated

October 23, 2023 and in compliance with the provision of Regulation 30 read with

Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015, we enclose transcript of the earnings conference call

held on Friday, October 27, 2023 .

The transcript of the earnings conference call with analysts/investors is hosted on the

Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Vinod Koyande

Company Secretary

ACS No. 33696

Encl: A/a

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Q2 FY '24 Earnings Conference Call

October 27 , 2023

MANAGEMENT :

MR. AMIT JHINGRAN – MANAGING DIRECTOR & CEO

MR. S. VEERARAGHAVAN – DEPUTY CHIEF EXECUTIVE OFFICER

MR. SANGRAMJIT SARANGI – PRESIDENT & CFO

MR. RAVI KRISHNAMURTHY – PRESIDENT , OPERATIONS & IT

MR. PRITHESH CHAUBEY – APPOINTED ACTUARY

MS. SMITA VERMA – SVP, FINANCE & INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the SBI Life Insurance Company Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran , MD and CEO, SBI Life Insurance Company Limited. Thank you, and over to you, sir.

Amit Jhingran: So good evening, everyone, and I welcome you all on my personal behalf as well as on the company's behalf, SBI Life Insurance Company Limited, for the results update of quarter 2 and half year ended September 30, 2023. We appreciate and thank you wholeheartedly for your time.

An update on the financial results can be accessed on our website as well, as on the

websites of both the stock exchanges. Along with me present here are Mr. S. Veeraraghavan, Deputy CEO; Mr. Sangramjit Sarangi, President and CFO; Mr. Ravi Krishnamurthy, President, Operations and IT; Mr. Prithesh Chaubey, Appointed Actuary; and Ms. Smita Verma, Senior Vice President, Finance and Investor Relations. So, with respect to our performance for the half year ended September 30, 2023, our comprehensive product suite aligned with customer's needs, coupled with our continued focus on business growth, maintaining our best-in-class ratio and persistency levels, led to a decent performance on an exceptionally high base of last year during the same period.

During this half year, we have strengthened our market position and invested in capacity building for the employees and distributors with respect to handling the emerging need of the customers and to support long-term growth.

Now let me give you brief highlights of our performance for this half year ended September 30, 2023.

The new business premium registered a growth of 24% over the same period of last year and stands at INR162.6 billion and this maintained a private market leadership with share of 24.7%. This registered an increase of 209 bps. Individual new business premium stands at INR101.7 billion with a strong growth of 20% and a private market share of 27.3%. The gross written premium stands at INR337.3 billion with a growth of 21%. The protection new business premium grew by 25% to INR20 billion. The profit after tax for this period stands at INR7.6 billion with 19% growth over last period. Value of new business stands at INR23.6 billion, registering a growth of 12% over last period. The VoNB margin stands at 28.6% for half year ending September 30, 2023. The embedded value stands at INR512.6 billion, registering a growth of 21% over INR424.1 billion in the last period. The asset under management grew by 22% Y-o-Y to

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INR3,451.5 billion. Robust solvency ratio of 2.12 as against a regulatory requirement of 1.50 as at the half year ended September 30.

We will now update you on each of the key elements in detail.

Let me start with the premium:

Individual new business premium has grown to INR101.7 billion with a Y-o-Y growth of 20%. Single premium contribution is 34% of individual new business premium, which is mainly attributed to growth in our individual annuity product. The company gained the private market share by 169 basis points to 27.3%.

On individual rated new business premium, we stand at INR70.6 billion with a growth of 17% over previous period and maintain our leadership position with private market share of 24.6%.

Also, group new business premium stands at INR61 billion with share of 37% in new business premium.

Having said that, we have collected

total new business premium of INR162.6 billion, registering private market share of 24.7%.

Renewal premium grew by 17% to INR174.7 billion, which accounts for 52% of the gross written premium.

To sum up, the gross written premium stands at INR337.3 billion with a Y-o-Y growth of 21%.

In terms of APE. Premium stands at INR82.6 billion, registering a growth of 21%. Out of this individual APE stands at INR71.4 billion with a growth of 17%.

During the half year ended September 30, 2023, total 9.84 lakh new policies were issued. Since 2010, the company has maintained its leadership position amongst private market in number of policies issued and consistently delivered year-on-year growth over the years. This reflects the clear goal of the company to increase the penetration and achieve holistic growth.

Total new business sum assured registered growth of 48% over corresponding last period as compared to growth of 45% at industry level.

Let me give you details about the product mix:

So as on September 23, our guaranteed non-par saving products are contributing 14% of individual new business and on individual APE basis, it contributes 20%. Individual ULIP new business premium at INR54.5 billion now constitutes 54% of individual new business premium. Growth in ULIP is attributed to the positive movement in the equity markets.

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Individual protection new business premium is at INR4.3 billion. Group protection stands at INR15.7 billion with a growth of 34%. Credit life new business premium has grown by 12%, hence stands at INR10.2 billion. On APE basis, protection contributes 13% of new business and registered growth of 39%.

Annuity business is at INR28.6 billion and contributes 18% of new business premium. Under annuity, the company is offering immediate as well as deferred annuity options. Individual annuity business is growing at 50% over last period, and this is mainly due to the new business contribution of smart annuity plus of INR24.3 billion.

Total annuity and pension new business underwritten by the company is INR41.8 billion, registering growth of 27% over same period of previous year .

Moving to update on distribution partners :

With strength of more than 59,000 CIFs of the State Bank of India and the regional rural banks, bancassurance business contributes share of 65% and grew by 16% in individual new business premium and on individual APE basis. It stands at INR47.2 billion with growth of 15 %.

Agency channel registered new business premium growth of 32% and contributes 19% in new business premium. Agency channel individual APE stands at INR20.6 billion as on September 30, 2023 the total number of agents stands at 236,978 a growth of 33% over previous period. During the half year, the company added net of 28,204 agents. During the half year ended September 30, 2023, other channels, the direct, the corporate agents, brokers, online and web aggregators grew by 56% in terms of individual new business premium and 22% in individual APE. Linked business through other channel registered growth of 48% on APE basis.

The updates on profitability are :

The company's profit after tax for the half year ended September 30, 2023, stands at INR7.6 billion with 19% growth Y -o-Y. Our solvency remained strong at 212% as on September 30, 2023.

Value of new business stands at INR23.6 billion with growth of 12% as against INR21.2 billion in the last period. VoNB margin is at 28.6% for the half year ended September 30, 2023. The shift in VoNB is mainly on account of increase in share of ULIP business as compared to previous year.

Embedded value stands at INR512.6 billion, a growth of 21% over previous period.

Embedded value operating profit stands at INR44.4 billion. Operating return on embedded value is 20.2%.

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On operational efficiency parameters, the opex ratio stands at 5.4% for the half year ended September 30, 2023. Our total cost ratio stands at 10.0% for the half year ended September 30, 2023.

With respect to persistency of individual regular premium and limited premium paying policies, 13th month persistency stands at 85.4%. The company has registered improvement in 49th month and 61st month persistency by 92 basis points and 509 basis points, respectively.

As mentioned in the opening remarks, assets under management stands at INR3.45 trillion as on September 30, 2023, having a growth of 22% as compared to September 30, 2022.

The company continues efficient usage of technology for simplification of processes with 99% of the individual proposals being submitted digitally. 50% of the individual proposals are processed through automated underwriting.

Before I conclude, on behalf of management, I would like to clearly state that the company's aspiration of financial year '24, growth remains unchanged and our endeavour is to deliver better than industry growth . With our widespread, robust distribution network complemented by the digital technology and above all, our people power, we are very well positioned to capitalize the growth opportunities that is offered in the dynamic insurance landscape. The company is aligned with the regulator's vision and will continue to focus on various reforms, enabling deeper penetration of life insurance industry.

Thank you all. And now we are happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee : I guess my first question is on the VoNB margins. So just wanted to understand that if I look at the margins say from first quarter vis -a-vis that from the second quarter, you see that the product mix now has a fairly large share of ULIP compared to what it was last quarter. Despite that, I think the margins have remained steady , of course, group protection has gone up also a bit.

So just wanted to understand that is group protection the only offsetting component for the increase in ULIPs? Or are there other factors, say maybe some cost element that is there or some kind of assumption changes which is helping us to sustain the margin profile? So that will be my first question, sir.

Management : Thank you so much for your question. I think margin side, you're right that despite the higher ULIP in Q2, how margin is steady? So, you have to take a note that margin accretion comes not only on account of the product mix, but also due to the change in the profile and the products sold within the product segment mix.

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During this period, we have sold higher protection. We also sold the annuity and even lower non -par, but we have repriced our annuity product and non -par product, thus giving higher margins. So, if I look into , there is a fall coming on the margin on account of the product mix, but due to better profile and better product within this product segment, has helped us to gain those margins. And that's the reason we see that the adverse impact on the margins is not too much.

Swarnabha Mukherjee: Okay, sir. So, if I understood correctly, so even if I see in the APE mix that your non -par has gone down or your annuity has gone down, but the impact on the margin is not so much. It has been offset by product level margin improvements. That is a right assumption, right?

Management: Yes, that's correct.

Swarnabha Mukherjee: Yes. Okay. And also, sir, just wanted to understand that when you give the VoNB walk between last year's first half versus where it is right now, there is this additional benefit coming from operating assumption changes.

Is there something new that you have added or is it what you have done at the end of fourth quarter, that is basically reflecting there?

Management: So, we have not made any assumption changes . The impact that's reflecting is the same that we have made in year -end as on 31 st, March 2023. So operating assumptions there's no change. Absolutely, the impact is coming because you're comparing from the September last year to this September, so that you're getting this impact.

Swarnabha Mukherjee: Okay, sir. Got it. And a couple of bookkeeping question, sir. If you could give us a breakup of the group protection APE between credit life and group term life. And also, the INR1 10 odd crores positive operating variance that is there, if you could give us a breakup of that?

Management : Just to give you the bifurcation between the group and individual protection. Overall, I can tell you that both group credit life plus GTI together consists of almost 60% of the protection portfolio and the rest is from individual, so 40 -60.

Swarnabha Mukherjee: Sir, I actually wanted the breakup between the group portfolio. So, between group credit life and group term life, if you could give us?

Management: No, I don't have rightly in front of me, but we will discuss later on this.

Swarnabha Mukherjee: Okay, sir. All right. And on the positive operating variance, if you could give us the breakup?

Management: So, if you see even at the year -end, we have disclosed the component of the operating variance. So being a most efficient company and we have done a lot of good work in terms of improvement in the persistency and others. So, our operating variance and most of the positive operating variance, both on mortality side, significantly higher on SBI Life Insurance Company Limited

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mortality side, then we have expenses and then coming on the persistency. And we expect as and when we move to the year -end, operating variance will further improve from this level as well. So just to confirm, all component is giving a positive variance on

this.

Swarnabha Mukherjee: Perfect, sir. Got it. And just one quick follow-up on the first response, sir. So, within the Ulip category also, is there any kind of margin change because of product profile or that remains kind of steady state?

Management : Not significant, but I think there will be some products which will not be able to replicate exactly last quarter profile coming to this quarter. But most component is coming on the account of non -ULIP products.

Moderator: Thank you. We have the next question from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Thank you. Sir, I have two questions. First is on the growth outlook. So in the first half on the individual APE, you've delivered 17% growth on a 21% base. So sir, can you help us understand what is the outlook for second half and which will be the key products that could drive? Where you're seeing better demand? And will we be closing the full year on 20% growth guidance that you had spoken about in the last quarter?

My second question is on the number of policy growth. So, for the first half, the number of individual policies is up 6%, while the individual APE growth, like I said, was 17%. So, sir, can you help us understand what exactly, where is the ticket size growth? And is there more potential for NOP growth going ahead? These are my two questions. Thank you.

Management: Okay. So, we stand by the growth projections given at the start of the financial year.

And as you know, there is some seasonality. So, although our growth in this first half year is around 16% - 17%. But we stand by the 20% projection and we are working in that direction only. So, by the end of the year, we stand by the 20% growth.

Now coming to your second question regarding ULIP, of course, the increase in share percentage of

ULIP has also led to increase in the ticket size, as you rightly mentioned.

And the growth in number of policies at 6% is lower because of this higher ticket size.

Going forward, though we welcome the increase in number in the ULIP sales but we are also working internally to increase the share of non -par and protection plans and also par plans, so that a healthy mix is maintained.

Shreya Shivani: Sure, sir. And just following-up on the first question. So, I believe that the growth of 17% on individual APE for the first half largely is because of the bancassurance only growing at 16%, right? So, should we expect that, that would be the one of the key channels that could pick-up in second half?

Management: Yes, go ahead.

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Management: Just to add here, this quarter, if you have seen agency has grown by 35%. Bank has also grown by 16%. And generally, our O ND and JFM are very high composition of business mix of almost 60%. And the way SBI channel has been poised to do now, we expect that not only as MD said about the product mix, but also the growth will be in tandem as we have guided, it will be the range bound between 19% to 20% for FY '24.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: My question actually pertains to channel-wise business. We have seen that agency has grown quite impressively this quarter. And there is a fair bit of increase or almost doubling of business of ULIP business from the agency channel.

Now when you speak to some of your peers, their argument typically is that the persistency of agency may be somewhat lower than the bancassurance channel and which is the reason they would and ULIP being a product which is extremely sensitive to persistency, they would probably resist or pushing ULIPs through the agency channel.

And I think you've grown ULIPs pretty aggressively through agency. So I was just trying to understand how are your persistency ratios in ULIPs versus banca? And how comfortable are you with this kind of growth of ULIPs through agency?

Management: So, in fact, our ULIP persistency in the agency channel is better than the banca channel. So, there is no challenge on this front, and we will continue to push the products in the agency channel. You would have noticed that our agency growth was 35% compared to banca. So, the focus remains on having a healthy mix of all the channels.

Nischint Chawathe: The 13-month persistency on agency versus banca?

Management: Yes. So, 13-month persistency in agency is better than the company average. So, agency used to be always far better than the company average as far as the 13th month is concerned. Secondly, our agency persistency is one of the best in the industry and

which we will continue to explore on this particular 13th month. Not only on 13th month rather, now our agency channel persistency for 37th, 49th and 61st also have been growing significantly for us and which is almost kind of one of the best in the industry. We don't see much instance on the side of the ULIP business coming down because of persistency because our ticket size and our geography where we present in India, it has been helping, and that is what is our USP in the success of agency channel for SBI Life. And we will continue to monitor that and continue more penetration will be there for our Tier 2, Tier 3 cities going forward as far our agency is concerned.

Nischint Chawathe: On the product mix side, I think in the last quarter, you had guided that the overall share of ULIPs will sort of moderate down for the year. So would you still kind of go with that sort of a guidance? I know it's gone up in this quarter. But separately, as we go towards the end of the year, how do you see the mix panning out?

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Management: So, while we continue to work towards some intended ratio of 55 :45 kind of ULIP and non-ULIP, but you will appreciate that this mix is somewhere & sometimes also directed by the market conditions. Equity markets are doing pretty well. So generally public are more inclined to go for ULIP in this scenario. But our focus on other products remains the same and our intended goal also remains the same for getting a 55 :45 kind of mix.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: So, a couple of questions. Number one, see market conditions are good and that helped you achieve a pretty good growth in Q2 and partly also offset the bad performance or the subpar performance in Q1. So, but market conditions now are not that good, right? So, markets have become a lot more -shaky. So, in that context, if ULIP does not do well and even the IRRs on some of the non -par products have come off given the interest rate curve has flattened quite a bit. Would you see that as a challenge in the second half to growth, right? So that's question number one.

Second, a very large growth has come also in your group APE, if I'm correct. So in first half, the growth from group APE is pretty solid and a lot of it happened in Q2. So it will be important to just understand where is it coming from? How much is sort of credit life and how much is GTI? And if a lumpy GTI business has contributed to this?

And third, we've got some feedback that commissions for the agency channel have also gone up, in general commission rates have gone up. So how are we reacting to the market condition? And how has this sort of managed to get such a good growth in agency? Yes, these would be a few of my questions. Thank you.

Management: So first of all, I will say that the first quarter, you cannot say it was bad. It was maybe a little subdued. But we have made up that in the second quarter and the first half overall is pretty good. As far as market conditions, you are saying this temporary kind of volatility will always continue. These market corrections keep happening every quarter, every half year at frequent intervals. So exactly, I will not say that the market conditions have gone adverse.

And in any case, this is an insurance, this is not purely investment. So, we will continue to push it insurance products and our channels, various channels, including the predominant bancassurance channel, they continue to work to push insurance and they tap all the available opportunities. So, as I earlier also said, we stand by our 20% growth projection. And we are sure that with the right kind of product mix and right use of channel, we will be able to achieve our intended growth numbers.

Madhukar Ladha: Right. Sir, just a follow-up. See, your ULIP is predominantly debt, so almost, I guess, about 68% of the linked AUM is debt AUM, still market conditions have such a big impact. So that's the conundrum, which I'd like to just, if you can explain that a little bit that how are we selling this to be a market product, but with equity component being much lower?

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Management: See, just to give you the perspective about our new business inflows, it is not debt dominant. You are referring to the AUM. That is the reason you are seeing this debt to equity. As far as our new business inflow or the renewal businesses are concerned, it is quite balanced. So, we don't see any challenge per se, as such for SBI Life, and we

are pretty confident, as MD said, we have been spread across India from the SBI network as well as for our agency channel.

We are quite confident that, our mix as well as debt equity to the various strata of the customers whom we are catering, we are quite confident that

we will be able to maintain

our composition in the debt equity. So, there is no challenge per se, either of the market going up and down.

Madhukar Ladha: Right. And on the group business side, if you could help me understand, this quarter, we've seen a very strong growth?

Management: In fact, in the group business, we have done very strongly on some of the segments. So particularly on the GTI, we have done good. Group Credit Life, as you know, we have been doing good. So that is also growing in double digit. So overall group business, if you see group protection is around 15%. And this is the overall at this moment on the group business side and group credit life has been growing at 12% to 13%.

Madhukar Ladha: Okay. And finally, on the commission rates in the agency channel and what is happening over there?

Management: See, as far as our commission structure is concerned, there is no change as we have been very consistent about all our channels commission payouts, and we'll continue to do that. And specifically, to the agency, there is no change, as I said, because across our channels, the same rate of commissions is being paid. When it is required, we will discuss. And accordingly, we take a call based on the sentiment at that point of about the market. If it's a non-par or ULIP or any other segments, we will appropriately take. But at this moment, there is no call taken about any commission restructuring as far as the products are concerned.

Madhukar Ladha: And 1 final question, sir. Any change or any update on the thought process at SBI in terms of increasing the commission payouts given that the EOM caps or the commission caps have gone. So, any update over there which you would like to share?

Management: So, CFO just confirmed that as of now, we have not looked into any changes in any of the commission structure, be it agency channel or banca channel. So, we will respond to the situation as the things pan out going forward.

Madhukar Ladha: Got it, all right.

Management: And if you see, the required whatever we plan to pay based on our own assessment and based on the various other features, we have appropriately taken into our accounts also. So, it is appropriately disclosed.

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Madhukar Ladha: Understood. Thank you, sir. All the best.

Management: Thanks.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. Hi, thank you for the opportunity. Firstly, on the banca channel, particularly SBI, what would be the number of branches of SBI that would be selling SBI Life products today? And how do you plan to increase this going ahead?

Management: You see all the branches are authorized to sell and all branches continue to sell, but what we can say is that in any given month, say, from 55% to 65% branches are active. They actively sell every month. So that mix keeps changing. All our branches are authorized.

Prayesh Jain: Okay. Coming to the product mix. In the individual protection business, what's the mix of ROP and non-ROP?

Management: It is same, which has been every quarter -on-quarter, we used to publish between 85% to 15%.

Prayesh Jain: 85% is ROP and 15% is non-ROP?

Management: Yes.

Prayesh Jain: Okay. Got that. And what are the new product launches pipeline that you would have for the second half?

Management: So, we are working on the quite a few products. So maybe we will introduce one or two products in the non-par savings segment. We're also working on the comprehensive review of this rider portfolio because that will help us to not only increase the protection, but also in some of the saving product if you are having the waiver premium rider & other benefit rider then also enhance to sale up those products. So, we're working on that line.

We're also working

g on one or two ROP protection product. ROP on higher ticket size.

Because, as you know, we continuous updating and we are saying that 86% is coming from ROP. So, if we have to do better , object ive is to introduce another segment in the ROP things for a higher segment and then that will come. And also, we're looking to some of the things on deferred annuity side, so that will come concurrently.

Prayesh Jain: Okay. And last question from a protection supply standpoint, are we back to pre -COV ID levels or in terms of medical underwriting or financial underwriting, back to pre -COVID levels or what is support from reinsurance companies. Where are we standing there?

Management: So, on the reinsurance side, we have seen a lot of improvement coming there. So, this is because now people have stabilize d, the COVID claim is more or less stabilized,

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though we're not getting full benefit but we do see a lot of support coming from the reinsurance side, both in terms of the higher nonmedical limit also in terms of the premium reduction. So quite a few places where the reinsurer has in case of premium paid on account of COVID, they either looking case by case basis reducing that to some component like credit life , we have got some reduction, that's also helping us in the margin enhancement.

So we expect that going forward, maybe six months to eight months, we may get further support from the reinsurance, plus our ability to reach to the cross border insurer has also increased, and we're getting a lot of benefit and support from the reinsurance market.

So, COVID is though very difficult to assess this but in the corner and going forward, once the improving trend will get stabilized, we'll get some more benefit as well. As of now, both the reinsurer and we are also taking a cautious and prudence approach before going to the significant reduction on the premium base.

Prayesh Jain: Got it. Thank you so much.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, sir. Good evening, sir. Few questions. First, if I look at your non -par product and see the growth in non -banca and non -agency basically the other channels, that has been relatively robust on your non -par and protection growth. So, could you give some color on what will be the cha nnels and whether it's non -par or par that is growing in this channel? And also, from a policy versus premium perspective, our ticket size perspective?

Second, in your other channels if you can give some color on what the mix would be of non-SBI banca ? And how the growth has been shaping up and if you're planning on adding a few more banca tie -ups that may be there in the pipeline?

Lastly, in your last quarter, you had highlighted that you are taking certain strategic steps to improve productivity at agency , we see some granular data during the quarter, but if you can give some more granular information on how agency is shaping up from both near and from a medium -term perspective out there?

Management: You were talking about non -agency, non -banca channel, ri ght?

Dipanjan Ghosh: Yes.

Management: So actually, the base there is pretty small. So, the growth percentage -wise looks pretty good. And we will continue to work with our existing partners as well as we are always on the lookout for the new partnership in this area. And as you know, we will continue

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to drive the business in all product segm ents, ULIP as well as non -par, par and protection. So new partners, of course, discussions are always on. And as and when they add up, the numbers will start increasing further.

Dipanjan Ghosh: Sure. Sir, I was asking more from the non -par and protection perspective, you gave the

segmental breakup. It seems that on a low base also, while other channels have witnessed decline in non -par it seems that -- the non -banca, non -agency have seen some imp rovement. So, I just wanted to get some color on that?

Management: See, non -par others, which is our Smart Platina, so that is almost kind of a significant growth in the other banca partners, which is almost kind of 41%. In case of protection also, they ha ve been growing in a good rate, which is almost kind of a 12% -plus and

annuity also, they have been doing growth in the double digits.

So in the IA, which is being the other than agency and banca channel is doing overall good as compared to last year with a balanced product segment. And we expect that they will do better in this next six months because the composition, which we are expecting from them is better non-ULIP as compared to ULIP.

Dipanjan Ghosh: Got it, sir. And if you can give some color on if you're looking for incremental banca tie-ups or if anything that is in the pipeline?

Management: So, as I said, that there are discussions always going on. And as and when we onboard new partner, we will let you know.

Dipanjan Ghosh: Sure. And lastly, sir I ask question on agency, your strategic initiatives and how they are shaping up and how agency is geared up for 2H and for medium term?

Management: If you see the numbers, the growth in agency channel in the second quarter is much better. And now they are more aligned to our annual growth targets also. The one thing is that the number of new agents added in the second quarter is pretty high. And as these new agents get active, they will start contributing to the top line of the company in a much better manner in the second half.

Dipanjan Ghosh: Sure. Thank you and all the best.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: Thank you, sir. Thank you for the opportunity. I had three questions. Starting with the first one. Now if I look at your commission to premium ratio and compare second quarter FY '24 with last year, there seems to be a 60-basis point impact in your commission to gross premiums.

But when I look at the product mix, the ULIP, which has typically had lower commissions, that has increased. So how should I think about this? Why has the SBI Life Insurance Company Limited

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commission into gross premium ratio increased? That's one. Number two is on the individual protection, that has declined in the second quarter, just reasons why that has been the case because your peers are seeing growth in that category?

And lastly, on the agency, you one of the key drivers for your agency growth has also been agent additions last year, on a gross basis, you added around 75,000 agents. This year, you have added till date around 50,000 agents. So how should we think about agent addition going forward? Can this pace continue? And what has been driving this significant agent addition because previously, you were not adding agents at this rate? So, if you could help me with these three questions that would be very helpful.

Management: See, first one is the commission percentage which you have mentioned about to the GWP. In fact, the commission has come down is due to the product mix. ULIP has gone up and non-par has come down. And that is the reason only the commission rate has been come down. Otherwise, as we already discussed, we will be focusing on the non-par and protection and par. So, this will take up the commission ratio further going forward.

Second one is the protection. Protection, particularly on the individual protection, we can say that it is flat. So, we anticipated a good growth, which already the second half numbers have started doing well. And we expect that we will achieve whatever targets we have

fixed for ourselves in the FY '24 in the individual protection.

And as Prithesh has already mentioned about the new products, which we are planning to launch, that will also help us to achieve our numbers but that is continuously in the focus for us, and we will continue to deliver the numbers which we have planned for FY '24.

Agency channel, particularly, just to give you a perspective, we have been adding and we are the one of the best in the agency channel, particularly not only on the performance but also on the additions. There're two factors to it. One is the additions for us is being very consistent. This year, we have added already in the books in SBI Life as far as the agency is concerned, we have crossed 2,36,000 agents, which is a growth of 33% over last year. And the gross additions if I can tell you, this is almost touching 50,000 in the first half itself. And the productivity also has gone up for our agency channel year-on-year.

So from the productivity as well as from the number of agents, we are very focused. And parallelly, what we are also focusing for agency channel is that the branch activation and the branches of SBI Life should be there across regions so that they get

the assistance whatever is required for our agency channel. So comprehensively, the agency channel is being very, very focused for us and we wanted to take agency for higher growth. At this moment, they're growing at 20% plus on YTD, H1'24, but it will definitely grow for the bigger numbers in the going forward.

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Supratim Datta: Got it. Sir, just to clarify one point. So, on the commission to gross premium, it has actually increased from last year. So last year, it was 4.4%, this year it's 5%?

Management: See, commission last year, if you see, as far as my number is concerned, it is 4.6% vis-à-vis 4.5% and that is almost flattish. That is what I said, it has almost kind of a flat number, commission is concerned.

Moderator: Thank you. The next question is from the line of Mahek from Emkay Global. Please go ahead.

Mahek: So, I have a couple of questions. So first one would be, sir, if we look at the margin trajectory, it will be dependent on the product mix, operating expenses and external factors such as interest rates. So now looking at the possible product mix, including some uptick in the credit life and non-par saving products. How do you see the margin panning out for the rest of the year? That would be the first one. The second one would be, I mean, the other channels have been doing well. So, can you help us understand what's going on there? That would be the two questions from my side.

Management: As far as margin projections are concerned, we stand by the guidance that we had provided about it being in the range of 28% to 30% and we continue to stand by that. As you see, our first half year margin is also at 28.6%. So, within the same range, depending on some basis points here or there depending on the product mix and the channel, it will continue to be in the same range.

As far as product mix is concerned, as I already said, earlier that ULIP because of the market conditions may be selling more, but they are more than welcome. What we have to do and what we are focusing upon is increasing the number of policies in the non-par and protection so that the healthy mix is preserved. And this same product mix, we are trying to push through all our channels, be it banca, agency or other alliances, other banks and all.

Mahek: And sir, on the other channel one?

Management: Channel is a small part, but definitely, it also includes the digital part, digital channel, where we have some presence and the base is very small. So, the growth that is shown in digital channel that is on a lower base. So, the percentage-wise, it shows very high, but we will continue to focus on this channel,

keeping future in mind and we are

also going to offer some more products on the digital channel in the digital market. As far as other relationships are concerned, we will continue to look for more opportunities with other banks as well as NBFCs wherever possible on the group side.

Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS India.

Please go ahead. The line for the current participant seems to have disconnected. We will proceed with the next question, which is from the line of Raj Saya from Agam Capital. Please go ahead.

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Raj Saya: Just wanted to understand on the SBI Bank channel. Just wanted to know is there any threat of new participants or partners in that channel like we are seeing in other banks in terms in the context of the open architecture? Do you see any threat there?

Management: So, State Bank, of course, is our strongest partner, and we don't foresee or I don't think there are any discussions going on at the current time for any other partnership in that sphere.

Raj Saya: Got it. Okay. Related, in the SBI bank channel, can you give any indication of what the sales in terms of rural versus urban area's branches? Or at least an indication of how this is going in terms of mining the rural area and the penetration?

Management: See the overall for SBI as a channel, it is kind of a 50-50. So, 50% rural and 50% urban. So, we have got four classifications within that. But in the broad terms, it is like metro, urban, semi-urban and rural. So, if you see, then it is kind of a 50-50 composition.

Raj Saya: Okay. 50-50 in terms of sales, sir? New business sales?

Management: Yes. New business.

Raj Saya: Okay. Great. Great. Another unrelated question. Just wanted to understand in the context of the long-term savings products that we sell, which are extremely long-term, sometimes more than 20 years. My understanding is that we may not have liquid hedging instruments for these kinds of products that we sell to protect the long-term risks. So, what is the strategy there? Or is it kind of a probability-based thing? Because we see that in the Western developed markets, there have been cases where insurance companies themselves have gone bankrupt because of losses on these long-term guaranteed products.

Management: So on this, when we are referring for the long-term saving product 30 years, 26 years in the policy term, what we do, we don't offer the regular premium long-term savings product, we do offer the limited price saving product. And if you look into our maximum policy premium paying term that we offer is 10 years. So, if you first premium you miss, you have to hedge only maximum to nine premiums. And as of now, we don't see any challenge. We are getting appropriate hedging. And our strategy is we'll keep writing this product till we get hedge.

If there will be challenge coming from the hedging perspective and revisit our strategy and we will work upon. No way we are going to take undue risk. And just to assure you and others that at SBI Life, whenever savings in a non-par guarantee product, all are hedged. We are taking appropriate ALM positions and there is no undue risk on account of interest rate movement in the future. So very secure product and that's the reason we are offering these products.

Moderator: Thank you. The next question is from the line of Prashant Kothari from Pictet. Please go ahead.

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Prashant Kothari: Okay. Yes. I'd just like to understand in the last earnings call, this was asked about the kind of new guidelines by IRDA on commissions. And you mentioned that you'll be coming up with some new policy regarding that, any kind of update on that? And any kind of conversations going on with SBI on any potential

kind of change in the
commission structures?

Management: See, the overall commission structure for across partnerships, we have accordingly considered and under the new Expense of management guideline. And appropriately, wherever it is required, we have communicated and provided in the books. So, you can see it from the financials or whatever has been already provided is clearly mentioned there. So, the discussions with all the partnerships are being very productive and wherever required, we have appropriately provided for that.

Prashant Kothari: So, should we expect any change in the overall margin structure for the company, sir?

Management: No. So, we don't see anything any change in the margin structure at all because it is based on the product mix and various other parameters as already have been prescribed in our internal policy. So, we don't see any change in that.

Moderator: Thank you. The next question is from the line of Vivek Khanjode from Aditya Birla Sun Life Insurance. Please go ahead.

Vivek Khanjode: Sir, the first question is on credit life. So, I wanted to understand the portfolio mix for the credit life new business premium, how much of it -- the percentage of it coming from the captive SBI Bank and the other partners?

The second question is on the GTL front, where the group GTL has shown high growth. Is this because of the strategic any strategic calls that have been taken recently or is it because of some other reasons? And the third question is on the group annuity front. So, what is the percentage in terms of group fund, what is the percentage of annuity that has been contributed for the new business premium?

Management: Credit life generally is being done through our SBI channels. And this consists of almost around 15% of our total group business. And second one, you asked about?

Management: GTI business?

Management: GTI business, this quarter, we have done and which has been very significantly in the higher side. And there are some deals which have been fructified, which we have been trying for last two, three months. And that is the reason this group GTI has gone up significantly as compared to the previous period.

The third one you asked about the group annuity. Group annuity at this moment, you see, it is growing at around 20% plus. And we see both in the individual as well as group annuity, there is a good traction and we continuously focus on annuity business as we have been doing it for a few quarters now. And at this moment, group annuity is growing at 20% plus and individual annuity is also growing significantly more than that.

Management: Just to add on your question on the GTI business on account change in strategy. We'd like to clarify, there's no change in the strategy from our side. We are very much there in the group protection business and we are very much there today. So, depending on the profile that we're getting is making sense for us in terms of the profitability and the claim ratio, we do accept that.

And I think you look back in the COVID period, as and when most of our peers were hesitant taking any group business, we do participate in the GTI business. So, our strategy remained intact. There is no change. We look in the group business case -by-case basis, scheme -by-scheme basis and if scheme makes financially viable for us, we do participate and take on our book.

Vivek Khanjode: Okay, sir. And on the group front side, what is the mix on trad and ULIP for the new business premium?

Management: I think mostly coming on the group front mostly coming on the traditional part.

Management: Yes.

Moderator: Thank you. The next question is from the line of Roshan Chutkey from ICICI Prudential Mutual Fund. Please go ahead.

Roshan Chutkey: Essentially wanted to understand how should one think about the increase in surrende

ratio that you are seeing for the last two quarters?

Management: See, the surrender ratio which you have seen, which is in the increasing trend, it is not due to anything other than the market movement. So, it is an MT M impact. So, because those who have surrendered during the last few years, after five years completion, we need to pay them out. So that is the reason at this moment, the market is quite significantly higher as compared to the previous period. So, the surrender ratio it's been seen in the highest side. Otherwise, we don't see any challenge as far as the surrenders are concerned.

Management: Even you compare the surrender as a percent of AUM is more or less similar.

Management: Yes.

Moderator: Thank you. The next question is from the line of Mohit from BoB Capital. Please go ahead.

Mohit: Yes. A couple of questions. So, if I look at the rewards within your policyholder account, we see that there is a substantial jump even sequentially and annually. So wanted to understand why the rewards have increased so significantly?

Management: See, as I said earlier, we have accordingly provided for depending upon our partnerships and the relationship with the various intermediaries. And this is based on our internal policy, and that is appropriately provided for in the books.

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Mohit: All right. So, going forward also in the second half, we would see the rewards also, I mean, this amount being a little higher?

Management: See, this will be very technical because as you know, previous years, this was not available now since it is available. So obviously, the comparison for this year, we'll see in a little higher side.

Mohit: All right. Secondly, in terms of persistency, so we have seen a very -- increase in the 61st month persistency and our ULIP is also inching up. So, you see the ULIP, the customers actually holding on to SBI Life products quite longer, well that's why the 61st month has been higher? Any color on that?

Management: So, persistency is one area where we continue to work very diligently to improve the percentage because lower persistency not only harms the company, it also harms the customer more. So, we keep running various revival campaigns, various renewal campaigns and all to make the persistency high. And we are very happy that our efforts in this regard are paying good results. And of course, with the market on the high, the customer has more propensity to submit his instalment timely also to gain the market advantage.

Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Sir, I just had one question on the non -par savings product, the Smart Platina Plus. So in the industry, what has been seen in the past six months, everybody has taken a cut

on their IRRs. Sir, if you can help us understand how many rounds or if any rounds of cuts that you have on the IRRs that you were offering on your non-guaranteed product? Management : So difficult to comment on what our peers and others are doing in the industry. We always have been offering the sustainable return, where some of them might be offering optimal or very competitive things. And when they're not able to meet, they have to go and reduce those returns.

We are always prudent in our offerings. Our approach is to offer any return to the customer which is sustainable in longer term. So that's that. Now responding to a question that we have just done one modification and that reduction is maybe five to 10 basis point reduction in the return on the customer not much. So that's all from our side.

Shreya Shivani: Okay. So just 1 round of cut is what you have done in recent times?

Management: Yes. Not very significant, only 10 to 15 basis point reduction in the IRR for the customer, not much.

Shreya Shivani: Sir, and just one

follow up question on this. Whatever rate you offer, it's the same in all channels, right? If I go to an agent or a bank RM, I'll get the same for my product, right?

Say, if I go for 10 years ?

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Management: Yes. All customer, we offer the same.

Shreya Shivani: Yes, yes. So, I'm saying that on your product structure, is it very long-term in nature or is it like up to a 10 year pay and then up to 25-year income? Or is it the usual product is very -- is it very long-term or is it a shorter-term income?

Management : No, no, it's not very long-term. We don't offer the whole life of a product. So, it's a 20, 26 years, 30 years, not beyond that.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to Mr. Amit Jhingran, MD and CEO, for his closing comments. Over to you, sir.

Management: I thank all of you very much for the time you gave to SBI Life and all the queries. I hope all of you are satisfied with our responses. And if you have any more queries, you may get in touch with our investor relations team and we will definitely try to get back with the right clarification at the earliest. Thank you. God bless you all.

Moderator: Thank you. On behalf of SBI Life Insurance Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward-looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward-looking statements.

Call: Feb 2024

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

www.sbilife.co.in

February 01, 2024 SBIL/CS/NSE -BSE/2324/ 216

Assistant Vice President General Manager
Listing Department, Listing Department,
National Stock Exchange of India Limited, BSE Limited,
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Plot No. C/1, G Block, BKC, Dalal Street,
Bandra (East), Mumbai 400051 Mumbai 400001
NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q3 of FY 2023 -24

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2324/ 208 dated January 22, 2024 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Thursday , January 25, 2024.

The transcript of the earnings conference call with analysts/investors is hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Sangramjit Sarangi
President & CFO

Encl: A/a

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"SBI Life Insurance Company Limited
Q3 FY '24 Earnings Conference Call"
January 25, 2024

MANAGEMENT : MR. AMIT JHINGRAN – MANAGING DIRECTOR AND CEO
MR. S. VEERARAGHAVAN – DEPUTY CHIEF EXECUTIVE OFFICER
MR. SANGRAMJIT SARANGI – PRESIDENT AND CFO
MR. RAVI KRISHNAMURTHY – PRESIDENT , OPERATIONS AND IT
MR. ABHIJIT GULANIKAR – PRESIDENT , BUSINESS STRATEGY
MR. SUBHENDU BAL – CHIEF ACTUARY AND CHIEF RISK OFFICER
MR. PRITHESH CHAUBEY – APPOINTED ACTUARY
MS. SMITA VERMA – SVP, FINANCE AND INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of SBI Life Insurance Company Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran, Managing Director and CEO.

Thank you, and over to you, sir.

Amit Jhingran : Good evening, everyone. We welcome you all to the results update call of SBI Life Insurance Company Limited for period ended December 31, 2023. We appreciate and thank you whole heartedly for your time here.

Update on our financial results can be accessed on our website as well as the websites of both the stock exchanges. Along with me present here today are Mr. S.

Veeraraghavan, Deputy CEO, Mr. Sangramjit Sarangi, President and CFO; Mr. Ravi Krishnamurthy, President, Operations and IT; Mr. Abhijit Gulanikar, President, Business Strategy; Mr. Subhendu Bal, Chief Actuary and Chief Risk Officer; Mr. Prithesh Chaubey, Appointed Actuary; and Ms. Smita Verma, Senior Vice President, Finance and Investor Relations.

With respect to our performance for the period ended December 31, 2023, our comprehensive product suite aligned with customers' need coupled with our continued focus on business growth, maintaining a best-in-class cost ratio and persistency level led to a decent performance on an exceptionally high base of last year's period.

During this year till date, we have strengthened our market position and invested in capacity building for the employees and distributors with respect to handling the emerging needs of the customers and to support long-term growth.

Now let me give brief highlights of our performance for the period ended December 30.

Our new business premium registered a growth of 21% over previous period and stands at INR260.0 billion and maintained private market leadership with a share of 25.3%.

Individual new business premium now stands at INR177.6 billion with a strong growth of 17% and a private market share of 29.1%.

Gross return premium stands at INR561.9 million with a growth of 19%. Protection new business premium grew by 17% to INR29.7 billion.

Profit after tax stands at INR10.8 billion with 15% growth over corresponding period last year. Value of new business stands at INR40.4 billion, registering a growth of 11% over last period. VoNB margin stands at 28.1% for period ended December 31. A sset under SBI Life Insurance Company Limited

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management grew by 24% to INR3,714.1 billion. Robust solvency ratio of 2.09 as against the regulatory requirement of 1.50.

We provide comprehensive insurance catering to customers' unique needs and aspirations. In addition, we enhance their experience through personalized and innovative solutions, and this has been acknowledged by prestigious awards and accolades. The company had bagged Quality Award in Service Industry, Indian Merchant Chambers Ramakrishna Bajaj National Quality Award 2022 and became eligible for Global Performance Excellence Award. We are happy to announce that the company was awarded as World-Class in Service Category at 23rd Global Performance Excellence Award 2023 held in November 2023. These awards demonstrate our commitment to achieve excellence across all spheres of its activities and operations. Last week, we launched two new return of premium products: Saral Swadhan Supreme and SBI Life Smart Swadhan Supreme, which offer higher sum assured as compared to previous versions at affordable pricing. As we move forward, we aim to deliver a strong

performance and drive positive impact.

We will now update you on each of the key elements in detail. Let me start with the premium. Individual new business premium has grown to INR177.6 billion with a year-on-year growth of 17%. Single premium contribution is 31% of the individual NBP, which is mainly attributed to growth in our individual annuity products. The company gained in private market share by 184 basis points to 29.1% and industry market share by 173 basis points to 17.8%.

On individual rated new business premium, we stand at INR127.9 billion with a growth of 15% over previous period, and maintaining our leadership position with private

market share of 26.5% with a gain of 80 bps. And at industry level, we gained 115 bps with a market share of 17.9%. Also, group new business premium stands at INR82.4 billion with a share of 32% in new business premium and growth of 31% over previous period.

Having said that, we have collected total new business premium of INR260.0 billion registering private market share of 25.3% with a gain of 219 basis points. And at industry level also we gained 240 bps and market share stands at 10.4%. Renewal premium grew by 17% to INR301.9 billion, which accounts for 54% of the gross written premium. To sum up, the gross written premium stands at INR561.9 billion with a Y-o-Y growth of 19%.

In terms of APE, premium stands at INR143.9 billion, registering a growth of 17%. Out of this, individual APE stands at INR129.1 billion with growth of 15%.

During the period ended December 31, 2023, total 16.42 lakh new policies were issued. Since 2010, the company has maintained its leadership position amongst private market in number of policies issued and consistently delivered Y-o-Y growth over the

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years. This reflects the clear goal of the company to increase the penetration and achieve holistic growth.

The company is aligned with regulators vision and we'll continue to focus on various reforms, enabling deeper penetration of life insurers industry. Number of lives covered during the period ended December 31, 2023, is 25.8 million, registering a growth of 104% over corresponding period last year. Total new business sum insured registered a growth of 32% over corresponding last period as compared to growth of 29% at industry level.

Let me give you details of our product mix. As on December 23, our guaranteed non-par saving products are contributing 14% of individual new business and on individual APE basis, it attributes 19%. Individual ULIP new business premium is at INR101.7 billion, which now constitutes 57% of individual new business premium. Growth in ULIP is attributed to positive movement in equity markets.

Individual protection new business premium is at INR6.7 billion. Group protection stands at INR23.1 billion with growth of 25%. Credit life new business premium has grown by 11% and stands at INR16.0 billion.

On APE basis, protection contributes 11% and registered growth of 24%. Annuity business is at INR44.4 billion and contributes 17% of new business premium. Under annuity, the company is offering immediate as well as deferred annuity options. Individual annuity business is growing at 35% over last period, and this is mainly due to new business contribution of smart annuity plans of INR38.7 billion. Total annuity and pension new business underwritten by the company is INR67.9 billion registering growth of 12% over the same period last year.

Moving to update on distribution partners. With strength of more than 59,000 CIFs, State Bank of India and RRBs, bancassurance business contributes share of 67% and grew by 13% in individual new business premium, and on individual APE basis, it stands at INR89.6 billion with growth of 15%.

Agency channel registered new business premium growth of 21% and contributes 18% in new business premium.

Agency channel individual APE showed a growth of 14% over same period last year and stands at INR33.7 billion. As on December 31, 2023 the total number of agents stands at 243,590 with a growth of 26% over previous period.

During the period ended, the company added net 34,816 agents.

During the period ended December 31 2023, other channel that is direct, corporate agents, brokers, online and web aggregators grew by 55% in terms of individual NBP and 20% in individual APE. Linked business through other channel registered growth of 45% on APE basis.

Coming to profitability. The company's profit after tax for the period ended December 31, 2023, stands at INR10.8 billion with 15% Y-o-Y growth. Our solvency ratio remains strong at 209% as on December 31, 2023.

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The value of new business stands at INR40.4 billion with growth of 11% as against

INR36.3 billion in last period. VoNB margin is at 28.1% for the period ended December 31, 2023. The shift to VoNB is mainly on account of increase in share of ULIP business as compared to previous year.

Update on Operational efficiency, the opex ratio stands at 5.1% for the period ended December 31, 2023. Our total cost ratio stands at only 9.9% for the same period. With respect to persistency, our individual regular premium and limited premium paying policy 13th month persistency stands at 85.3%. The company has registered improvement in 61-month persistency also by 449 basis points.

As mentioned in my opening remarks, asset under management stands at INR3.71 trillion as on December 31st, 2023; having a growth of 24% compared to December 31, 2022. De ath claim settlement ratio now stands at 98.8%. The company has registered an improvement of 148 basis points over last period in claim settlement ratio.

We are committed to deliver need-based solutions that addresses the ever-evolving customer needs based on customer profile, life stage and goal prioritization. The company continues efficient usage of technology for simplification of processes with 99% of the individual proposals being submitted digitally. 47% of individual proposals are processed through automated underwriting.

Before I conclude, I would like to clearly state that the company's aspiration to expand its distribution reach, branch network, product suite, investment in digital technology bringing larger customers in ambit of insurance coverage and improving customer experience remains unchanged, and our endeavour is to continue delivering better than industry growth. Our company is well positioned to capitalize the growth opportunity offered in the dynamic insurance landscape.

Thank you all. And now we are happy to take any questions that you may have.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Good set of numbers, particularly on the margin, in the backdrop of how the product mix had changed and everything. A couple of questions here. First one on agency channel. I'm cognizant of the fact that the quarter 3 is typically more a banca-dominated, however, on a year-on-year basically the seasonality is added, but somehow agency channel growth seemed to have slowed down meaningfully in quarter 3. So, what is happening there and how are you trying to improve in the next quarter and going forward on the agency channel? So that is question one.

Second piece is more on the cost, of course your costs are by far better in the industry and among the peer set. However, I mean, if we were to look at the numbers, there seems to be certain increase happening. I mean, of course, in the total premium ratio, it will not reflect, but in the absolute basis, the costs, I mean, commission and rewards as well as the opex seems to be increasing.

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So, what is leading to this, is it because of headcount increase or certain commission reward structure, linking across partners? So, what is sort of leading and where should one see it going forward? So, these are my two questions.

Management: So, agency channel growth you were talking about, we have grown in the 9-month period by 15%. And if you look at the overall growth, that is also around 15%. Our banca channel growth is also on the same numbers almost. So, I don't see any slowdown in the agency. Rather agency is more of a focus area to strengthen our distribution total mix. So that continues to be a focus area.

As far as increasing expenses you are talking about, there is no such perceptible increase. There is only minor tweaking and commission here and there, but there is no major change in our stance on commission payment also. So, the overall opex ratio marginal bps here and there. Otherwise, we are in almost in the same ratio.

Avinash Singh: Okay. Sir, actually, yes, so agency actually are referring. In the first half, the agency channel was growing at close to 20-odd percent in retail APE -- individual APE terms. That 20% has gone to 15% whereas banca is more or less like maintaining at 15% and others are kind of maintaining in and around 20%. That's why what I was referring that in the first half, it was like 20%, now in the 9 months, it's 15%. So basically, the quarter gone by has seen a material sort of a slowdown so that's why.

Management: You, yourself, acknowledged that quarter 3 usually is more of the banca focus, and agency comes back strongly in Q4. So that is what we are expecting in the current year also, and we are expecting good numbers, same growth numbers in Q4 of this year.

Moderator: The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Congratulations on a good set of numbers. Sir, I have two questions over here. So, we've seen many players are now refocusing or pivoting their business model to enter into the Tier 2, 3, 4 cities, right? So clearly, the competition in these geographies are set to rise. Sir, in the backdrop of this, knowing that next year onwards, many more private players who were more metro city focused are going to be in your geographies, what gives us an edge in competition versus these players, what would be our guidance for next year, or at least for the medium term, if you can help us understand that, it will be useful?

Sir, second is on the surrender value regulation. While we understand that things are currently under discussion, but what is your view on how things are moving? What will be the timelines? And what could be the impact on your overall margins with the way the regulation comes in? These are my two questions.

Management: This Tier 3, Tier 4 cities you are talking about, almost 39% of our business is from rural and semi-urban areas. And you are aware that our main banca partner, SBI, has the largest presence in the rural and semi-urban areas, 3, 4, or even 5, 6 kind of cities, also, cities or towns or villages, whatever you say. So, we don't see much challenge on this

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front, although the other players are moving to that market, but it will take them a while to match our strength.

And in the meantime, we are also strengthening our network in those towns and cities and villages by employing more agents and ensuring better coverage by our existing and the branches that we are going to open.

Shreya Shivani: Sure, sure. So, does that also mean that you will also expand your presence in SBI branches? And sir, any guidance for growth for next year?

Management: So, there is no question of expanding our SBI branches because we are present in all branches of SBI. So, all SBI branches are authorized to sell insurance business, and

that is what they are doing also currently. Of course, we will make maybe more and more branches active.

Shreya Shivani: Sir, I had a question on surrender value regulation also.

Management: Would you like to answer that, Sangram?

Management: Surrender value regulation currently it is under draft stage. So, we have given our representation in both ways, one is to the regulator as well as to the Life Insurance Council. But we don't see any much big impact to SBI Life per se because it all depends on what kind of product mix and what kind of product feature we have already built-in in our system. So, we will wait that in which avatar it will come finally from the regulator. But at this moment, we are not having any concern as far as this regulation is concerned.

Shreya Shivani: Sir, any timelines on that?

Management: We are awaiting the final...

Management: Final guidelines from the regulator are still under works and the discussions are going on in that direction. But I'm sure that the regulator will take a very balanced view of people who are cashing out in the short term and the long-term persistency, that is the stated goal of the insurance products. That is the long-term investment and risk protection.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Congrats on a good set of numbers. Firstly, as a follow-up on previous participants' question, I just wanted to understand from you why agency 4Q generally would be a larger quarter and 3Q would be relatively tepid because if I understand currently in 3Q, particularly in December, it is the MDRT period and agents would also try to focus on increasing volume. So, is there any difference how the focus would be on banca versus agency in the third quarter from your distribution point of view? So that is the first question.

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Secondly, sir, I had questions on the protection segment. So, first of all, in group protection, if you could delineate the growth which has come this time from which segment it has come, credit life or term life, what are the trends you are seeing in those

areas?

And in retail protection, given that you have mentioned that you have introduced ROP product that we had a tepid quarter now. Going ahead, do we expect growth coming back to this segment on the retail production side?

And also, just couple of confirmations I wanted to take was one is on persistency. So, if I just look at 3Q persistency versus 2Q persistency reported, the numbers in that case look a slight dip. Is there anything to read into that, apart from the fact that maybe in all third quarters, there is a higher mix of ULIP that hits the persistency number?? Anything else to read into that?

And on the changes in assumptions that we see in the VNB walk, is there anything additional you have done or is this what we had done at the end of 31st March, that is what is visible? That would be my questions.

Management : So, Abhijit here. So, I'll take on the channel. As of now, I don't see if we would read too much into quarter -on-quarter channel numbers. There could be some fluctuations here and there. Like Mr. Jhingran already explained that the focus remains strongly both on agency and banca channel and we don't see any meaningful difference in the expected growth rate from the current levels for both channels for the financial year. That was your first question.

On the second, on protection, yes, we would expect some growth coming from individual protection in quarter four. That is our endeavour, that we will try and grow, the flattish growth we have seen in individual protection to take it higher because this year, growth has come primarily from group. So, we would also want to work on individual protection to

to increase our individual protection share.

Swarnabh Mukherjee: Right, sir. On group protection, if you could spell out which are the segments -- which segment is driving the growth?

Management : It's group term mainly at the moment. So, both are growing, but group term is growing faster in this year so far.

Swarnabh Mukherjee: Okay. Sir, one of your peers who report they have highlighted that there is a price correction in group term. So, in your case, is this more volume led? And if so, where the volume is coming from, if you could give some colour ?

Management : No comments on that.

Swarnabh Mukherjee: And on the persistency and the economic assumption changes if you could highlight.

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Management: So, assumptions, just to clarify that we have not made any changes in assumptions at this time. Assumptions remain unchanged. And the assumption impact that you are looking into is the same as assumption that we make at year end. As a process we review the assumption once in a year. So, we'll do in the March. As of now we have not changed that.

Second part on the persistency, I think persistency is good. I think there is nothing specific to read into numbers. And quarter -on-quarter, maybe 10 basis points here. We will get even better in the other one. And even when you look into the other than 36 - month persistency, all persistency has improved over the periods.

Swarnabh Mukherjee: Okay, sir. Got it. Thank you so much for your answers.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth.

Please go ahead.

Madhukar Ladha: Hi. Congratulations on a good set of numbers. So, most of my questions got answered, but I wanted to understand, first, at the product level, are we seeing any changes in margins? Because some of the competition in life insurance is talking about that.

Second, within channels, and especially my understanding is also that within the agency channel, there has been some increase in commission payouts. So, has there been any increase in competitive intensity to acquire business that also probably may have impacted your growth in Q3? So, I wanted to understand if any of these things are playing out and how do you see that?

And lastly, obviously, again, we see that the proportion of ULIPs had gone up. And I know that you constantly talk about giving what the customer wants or selling what the customer really wants to buy. But again, in terms of our margins that will keep our margin subdued. So, I know that I'm probably asking this question again, but any sense on how our product mix could shape up over the next two, three years? That will also be helpful. Thanks.

Management : As far as product level margins are concerned, there is no perceptible change or we have not noticed any perceptible change. They are more or less in the same range. And

agency channel, we have not made any changes in the commission structure other than minor tweaking that I already answered to one of the previous analysts, and we are confirming that again that there have not been any major changes in our commission structure.

Madhukar Ladha: So, is that sort of resulting in some sort of loss in our share in that channel and resulting in a little lower growth?

Management: No. We continue to be #1 in agency channel also in the private industry. And our growth rate is also comparable some of the smaller players may be having a smaller base.

They may be having larger percentage-wise increase. But overall, our growth trend in agency is as per our earlier guidance.

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When you were talking about the customer preference and ULIP share and all, so while we honour the customers' preference of ULIP and we do not stop anybody from buying or stopping our agents from selling any particular product. But for the benefit of the

entire insurance industry, our focus on other insurance products, the protection products will continue, and we will continue to work to improve the protection business in our overall business scenario also.

Madhukar Ladha: Right. Got it. That's all from my side. All the best.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Hi. Thanks for taking my question. Going back to the surrender charges...

Moderator: Sir, your audio is not clear. May we request to kindly use your handset, please.

Nischint Chawathe: Sure. Is this better?

Moderator: Yes, sir. Please continue. Thank you.

Nischint Chawathe: Thanks. Going back to the surrender charges proposed regulation. Surrender charges do have kind of a contribution to the overall VNB. And I guess that's obviously a big point of discussion in the industry. So why do you think that this kind of does not really have an impact on SBI Life?

Management: Before I comment on this, what the draft regulation coming from regulators, I think we'll wait, what state it will come, but ultimately, it is in the best interest of the industry itself both for the customer, insurer and distributor as well.

Like one point we'd like to always mention that, our objective when we price the product is to ensure that we offer the long-term sustainable rate and fair return to the customer.

And in this process, we also ensure equity between the surrendering policyholder and continuing policyholder.

So, to that aspect, we are not saying there will be no impact. I think there will be some impact, but not to that extent that our peers might have. The reason being if you see that in our process, our return that we offer the customer is not entirely backed by the surrender value, surrender penalty and other parts.

So, if you see our return to even the non-par saving product is not too aggressive as compared to others. And in that process, a reason being that we assumed very sustainable persistency on that perspective with objective improvement in this persistency from the current level, given that persistency has been continuously improving.

To that extent, some contribution coming to the VNB, we can't say that there is no contribution available. But in our case, that will be on the lower order, first thing. Second part would be, if we look at the product mix, our non-par contribution is much lower as

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compared to others. We continue to sell the ULIP, it is still dominated, and ULIP you see the surrender charge is much lower, still we are doing.

So, from that perspective, we conclude all the things. I think we don't expect there will be significant or material impact in our margin. I think even the regulation will come.

Appropriately, we'll price those products and objective would be to, again, bring the balance between the customer return and our margin.

Nischint Chawathe: And what would be average ticket price in the non-par product? Or if you could give the average ticket size across par, non-par, and ULIPs?

Management: Around 90,000 approximately.

Nischint Chawathe: This is in the non -par?

Management: Yes.

Nischint Chawathe: And on ULIPs?

Management: It's more than 100,000.

Nischint Chawathe: Okay. And par would be?

Management: Par will be slightly lower side. And par depends again on product because some par has high things, but would be slightly lower from the non -par.

Nischint Chawathe: Sure. Just one small question. If I look at Slide 14, your surrender ratio has gone up in the last nine months. How should we really read that?

Management : See, Nischint, the surrender value has two aspects to it. One is that it depends on the market because it is predominantly ULIP products. And those products which are

already five -year premium paying term and the policyholder has the option to surrender.

And at this moment, when the returns are good, market is good. So, it has the implication into the surrender ratio to the AUM.

Nischint Chawathe: Sure. Got it. Great. Thank you very much. Those are my questions. All the best.

Management : Thanks, Nischint.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Hi. Good evening, sir. Two questions from my side. Firstly, if you can kind of mention the product pipeline for the next three months and maybe for next half year. Second, when you say that your agency payout has been tweaked here and there can you give some colour on that? Is it like more product mix being changed or you have been doing payouts to operational performance of products, or is it just payouts of change, etcetera? And lastly, you have added a lot of agents over the last few years and again

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market sharing that. But can you give some colour on how the vintage -wise agent productivity has changed historically versus, let's say, the last one or two years and currently?

Management : So, in terms of vintage -wise, there is a marginal improvement in agent productivity over a period of time, as I would not want to comment on vintage -wise agency productivity. That is what we would want to say as far as agency is concerned. On the product margin, I think Prithesh can build.

Management : I think product side , if you are looking for the products and pipeline, so basically, as you know, we always endeavour to offer a complete suite to the customer. So recently, we have launched this TROP product. We are working on some of the savings product in non-par segment. We're also working on par, individual par. And some of the selling through bank, like YONO, we are looking into the ease of sale prospective to long -term pure term product as well.

So, it's depending on the need. We're also evaluating bringing some new feature in our deferred annuity products as well. So, it will be difficult to comment earlier, further too for longer perspective, but currently three to six months, this is the target we are looking into.

Dipanjan Ghosh: On the agency pay -out strategy, are there any variables or is it linked to mix change or operational performance or something?

Management : No, there is nothing specific like that for our agency channel. So, what we have been doing, we are continuously being focusing on our agency, as Abhijit said, on the productivity as well as the activity levels, and we'll continue to focus on the recruitment also and training.

Dipanjan Ghosh: Got it, sir. If I can just squeeze in one small question. Your non -SBI non-agency channel growth has been quite strong, Y-o-Y, YTD. So, is it like you're gaining some higher volume from the PSU bank or is it from any broker or corporate agency partnership where you are gaining counter -share or higher volume? Can you give some colour on that? Thank you.

Management : No, that is predominantly on our own website where the volume has gone up as compared to last year. So that has reflected in that overall number for that particular channel.

Dipanjan Ghosh: Got it. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Yes, thanks for the opportunity. A couple of questions . So firstly, are there any considerations or pressure in terms of increasing payouts for your banca and agency

increased commission payouts by 2x to 3x over the year, especially on the traditional

plan.

So, any discussions around that for us as well?

Management: So, you have seen our commission payout numbers for the quarter, for last half year also. And I think the last half year results, post that also, the same questions were asked to us. And we had confirmed that at the present time, we are not going into any commission enhancement for our partners as of now.

Yes, we continue to be the lowest cost player in the industry and our cost of acquisition, we don't want to increase as of now. And since this strategy is giving us comfortable growth numbers as of now, we will stick to the present structure only for the time being.

Rishi Jhunjhunwala: Okay, sir. And secondly, just in terms of the margin mix that has changed over the last 12 months or so, you have indicated 200 basis points decline has come from the business mix and profile. And if you really look at APE mix change, it's predominantly a four to five percentage shift from non-par to ULIPs, so I just wanted to understand, I mean, is it primarily to do with just shift or at a product level also there might have been some compression on the portfolio side?

Management: It is mainly on the shift on account of the product mix because there has been shift in non-par by 5% to the ULIP. And there is no compression on the margin, in fact, if you see this within the line of business within the non-par, we have seen some enhancement in the margin and the perspective. So, as we always mention that we reprice actively in trying to maintain the margin. So, in that perspective, the shift is coming only on account of the product mix.

Rishi Jhunjhunwala: Understood. Okay. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity. Sir, if I see the numbers, your first-year commission ratio in nine months is around 14%. Last year, it was around 12.4%. And if I look at the product mix, naturally the product mix has moved in the favour of ULIPs. And ULIPs typically have lower commissions compared to non-par or par and even protection investment.

Sir, just wanted to understand what led to this increase in commission ratio in first year, again, maybe you are harping on the same point, but whether the payouts to the channels have marginally gone up? That's point number one. And related question is, since you report VNB margin based on last year cost.

If the commission payouts have gone up, the current year cost structure will be different compared to the last year. So, when you will revisit your assumptions in fourth quarter is there a probability of negative impact coming in because of the higher expense towards first year business on the margin?

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And similarly, I just wanted to understand given the surrender rates have gone up, last year, it was benign at 4.3%. Today, it is at 6.1%. You might have reported last year margin based on surrender rate of 4.3%. Today, it's 6.1%. So, if you bake in 6.1%, whether it will have a negative impact on the margin.

So just wanted to understand this part very clearly why the payouts have gone up in first year? And second, any implication on the margins given the payouts have gone up and surrender rates have gone up?

Management: And so, one by one, I think if you look at the commission has gone up despite increase in Ulip, this is mainly a function of the product, and within the product, what PPT has been sold, despite you see the non-par proportionally has come down. There is a shift from the shorter pay to longer pay. And like we mentioned in September as well, we have some of the products that are operating in 6-pay, more shift has happened to 7-pay and 10-pay. And in general, the longer term has a higher commission. So that's reflecting in that part

perspective. So, this is one part.

Sanketh Godha: Sir, if I understood it right, what you're trying to say is that you are selling more long -

term plans compared to what you sold last year. Given the long-term plans have higher payouts, that resulted increase in the commission ratio, right?

Management: That's right.

Management: Sanketh, just add one thing here that in this quarter, our non-par also has shown a growth and the PPTs have been actually based on that, the commissions have been fixed. So that is the reason for this quarter, the overall commission ratio has gone up.

Sanketh Godha: Sir, I was referring to nine-month to nine-month numbers, nothing to do with the third quarter. So, I was just referring nine-month to nine-month, 12.4% going to 14%. So that was the point.

Management: Sanketh, so my response was on year-on-year basis. So, if you look into the last nine months to this nine months, there is shift coming to the longer pay so that is explained. Second part, question on the assumed expenses, I think except the renewal expenses that we looking into might be, but all actual expenses you consider that while computing the VoNB.

So, there is no possibility that we will get any hit on that account. So that's out of the question. Responding to the third question on the persistency, like we always mentioned that we, while setting the assumption, we take a longer-term view and not frequently changing. So even last year, we see the persistency has significantly improved over the previous year.

We have not changed the assumption to that extent. So even fluctuations will keep coming. But when we set the assumption that will reflect the long-term change, long term is not just current experience, looking to last three years, five years and other

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prospects, so that perspective, there's some change here and there in surrender ratio will not happen.

I think another aspect is that this circulation also considered in the projection. So, some of the cases particularly surrender coming on the unit-linked product where after lock-in period you see some spike in the surrender that already accounted for. So that prospect, if we don't see much any fallout impact that we may expect in the assumption process.

Sanketh Godha: And the reason I'm asking this question, sir, is that in last three years, this number hovered around four percentage. Suddenly it jumped to 6.1%, the surrender rate that is happening after a 5-year lock-in. So given your long-term trend is around 4%, now it is 6%. So just wondering whether it will have an implication or not?

Management: Sanketh, the way to look at it is, actuary will build persistency ratio into this; this surrender will have multiple generation of policies built into it, somebody which is a 10-year-old could also get surrendered right now. So, you see what is our persistency rates, that 60-plus month is also showing improvement.

And our longer term also, though we don't disclose it are showing improvement. So, to that extent, and as we said, we are conservatively budgeting while doing VNB, so we don't see any major concern on 31st March arising from the surrender rate.

Sanketh Godha: Perfect, sir. Sir, one more question I had. Again, on the productivity, if I look at banca channel productivity, it seems to have just grown by six percentage in the current nine months compared to last year, last year nine months it was around INR6 million. Today, it's INR6.6 million.

So, anything to read there, sir? There is something kind of plateauing in the banca channel? Are they expected or productivity levels actually can go meaningfully higher from some of the current levels?

Management: So, you're looking at productivity in what way, per branch? Or how do you want to look at it?

Sanketh Godha: Yes, the way you disclosed it

in the PPT sir. The PPT number says that branch productivity is INR66 lakhs. That number was INR62 lakhs last nine months FY23. So, I was coming from that perspective.

Management: So, you see our penetration in the banca channel in State Bank customer group is less than 2%. So, there is a huge opportunity out there. And there are huge opportunities to grow, which will affect the branch productivity also. So, there is immense opportunity and we are ready to tap that. We don't see any challenge on the branch productivity growth front.

Sanketh Godha: Okay, sir. And lastly, I just wanted to understand whether you will ever pursue an inorganic growth opportunity? Or you're happy with the channels which give you the

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growth? Because there were some articles few days back in the paper that probably there is an inorganic opportunity you are scouting for. So just wanted clarity from you, from a strategy point of view, whether you are okay for inorganic part of growing the company? Or you think that your own channels will give the growth, no need to chase for inorganic part?

Management: No comments on that as of now.

Sanketh Godha: Okay, sir. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal: Hi, sir. Just wanted to understand in terms of product mix, we obviously have moved much higher in the ULIP, but our margins have actually kind of quite sustained and you're saying the margins have been quite similar. So, there's some disconnect, I just wanted to understand how the margin movement have supported the outcome what we are seeing currently?

Management: So, there are two parts to this. One is that when it is coming from the product mix, from the non-par to ULIP, there is a downward impact coming on the margin. At the same time, within the non-par, within the protection, within the ULIPs, within the particular line of business there is a margin enhancement coming from. So, remember last time also September, we mentioned that we have revisited, I think, three times our annuity price on the non-par products and other protection product as well.

Objective is to realign, maintain the margin. So like I mentioned, we have responded to earlier questions as well that while product mix being down by margin, within the LOB, particularly for longer-term policy having higher margins, that we have some comp off those part, that's the reason you're seeing, if you commensurate the margin fall on account of product mix might be looking lower as per your estimate.

Neeraj Toshniwal: So, there have been some enhancements in terms of the product level margins, which I think in the recent comments got missed out probably, is my understanding correct?

Management: No, your understanding is correct, there is a margin enhancement within the product and within the particular profile because depending on the policy term, what kind of combination we are selling, what kind of business happens. So, the margin will vary 100%, so we get some of the offsets to compensate the fall in the margin on account of higher term mix.

Neeraj Toshniwal: Got it. And hopping on this last question again because of the increase in cost and increasing surrenders and since the assumptions have not been changed since last year. Do we maintain the guidance range of between 28% to 30%? Or do we see that we could be little off to that because there could be some impact with the change in recent higher cost, what we are seeing currently here?

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Or this already baked in? Because as we are seeing we look at the longer-term trend more rather than the short-term volatility, so how should one think about the overall VNB margin? And also, if y

ou can give some guidance in terms of next year growth channel-wise, which channels, which will be the most accretive for us given the current changes and mis-selling news which is coming from the banca side and PSUs, if you can also throw some light on that?

Management: So, as you see, there are no such cost pressures seen in our results for the first nine months. And we stick to our guidance of, say, around 28% of VoNB margin in the coming this quarter also. So, we don't see any perceptible change, some bps here and there depending on the product mix, of course, we do not deny that, but 28% is something that we are sticking to.

Neeraj Toshniwal: And the growth guidance for next year in terms of APE?

Management: Pardon? I didn't get it.

Neeraj Toshniwal: APE growth guidance for next year?

Management: So next year, we are growing at around 15%, and next year is still a quarter away. We will be finalizing our numbers shortly. But seeing the industry trend and all and our past trend, we continue to stick to around the same number in the coming years.

Neeraj Toshniwal: And just...

Moderator: Mr. Toshniwal. I am sorry to interrupt. Sir I would request you to kindly re-join the queue

for follow-up questions please. There are several others waiting for their turn. Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi. Good evening. And congrats on a good set of numbers. Just a couple of questions. Firstly, the new product that you've mentioned in the opening remarks, you mentioned that the sum assured is higher and the pricing is lower. So, do we assume that the margins on this product would be lower and that so how do we look at that? And secondly, there is a lot of talk about growth in deposits that some of the banks are that would be looking at. So do you think that the life insurance segment growth in the banca channel could be at some risk in possibly next year or in the next couple of quarters, those are my questions.

Management: So, on the product, that what we mentioned in the two products that we launched in the TROP category. You see that as a company we will sell around 86% TROP. This product, has come as a minimum premium size of INR25 lakhs where average will be approximately INR75 lakhs. So, when we're saying the premium rate is lower which is not that lower and priced that way. What we are saying is that when you compare the product, our existing term product which has been allowed to sell at INR5 lakhs and SBI Life Insurance Company Limited
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above, when we launched our higher sum assured product we have profiled, customer profile is much better.

To that perspective, we have, again, reemphasized our approach for segmented pricing and we priced those product. So, through that perspective, this product is competitively priced in these things with adequate margin. So, we expect that one side, this product will be able to attain the better profiling in the book. Also help with the higher ticket size, will help in the growth on the protection business. At the same time, it is competitive and it will be margin accretive to the company, as you know we keep mentioned protection product has a higher margin and sell will help us to further enhance this market.

Management : So as far as deposit growth you're talking about, if you look at the industry level also, the total new business of the life insurance industry is a fraction of the deposit growth. So, two as such are not very comparable. And in addition to that, the regulators vision, the government's target for increasing insurance penetration, I don't see a very perceptible or meaningful negative effect on the industry numbers in the coming quarter or the year also.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

head.

Supratim Datta: My first question is on a recent article in the newspaper, which talked about how SBI has stopped promotion in its circles until 31st March. Just wanted to understand how does this impact our growth in the fourth quarter?

And two, wanted to understand what kind of sales practice or changes in sales practices you will have to bring about to address some of the recurring concerns around big mis-selling, which keeps coming up? I understand that your ratios are low, but these are concerns which keep coming up. So, from a sales practice perspective, what are the changes that you are trying to bring about to address these?

Management: If you look at the newspaper reports and compare it with the numbers being reported by us or by regulator also regarding mis-selling, you will see that SBI Life is the lowest number of complaints and mis-selling complaints are only at around 0.03%. So that is almost negligible.

Having said that, compare it with the opportunities available in the banca channel, I'm sure that the growth rate that we have registered in the nine months will continue in this quarter also. And the first 20 days, we are not seeing any perceptible change in the sales that are being made in banca or agency channel.

Supratim Datta: Thanks for the answer. Just wanted to understand that if the current set of awards or remuneration for the agents or bank reps cannot continue then how do you go on rewarding them for the sales?

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Management: So, I'll clarify here again that the individual levels, CIF level or branch manager level

awards in the banca channel have been stopped by State Bank of India since 2017 end. And this is not something that has come up now. And there was no blip even at that time. We the bank has not been giving any individual awards to its employees or neither the insurance company is giving any direct benefit to any of the bank employees.

Moderator: Thank you. The next question is from the line of Ashish Agarwal from BNP Paribas. Please go ahead.

Ashish Agarwal: I just wanted to catch up on the growth guidance that you gave for FY'24 on the APE part?

Management: See, as we have already mentioned so we just wanted to reiterate that we will continue to see the same kind of growth which we have seen in the current fiscal and it will be a range bound as Mr. Jhingran said, it will be in the range the APE basis is around 18%. And we will focus on the product mix as we have always been very clear on that. So overall, we expect that next FY'25 will be a similar kind of growth for SBI Life.

Moderator : Thank you. The next question is from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: I have a few questions. So firstly, around the cost structure. So, if I look at our expenses of management other than the renewal commission to the APE ratio, it has moved up from 35% last year, 9 -month period to 37% this year despite a huge deterioration in our product mix, if you can help us understand that what is playing over there?

Another thing is you mentioned that despite the equity markets being performing we see higher surrender towards the ULIP side. So how much of business are we able to channelize back in the form of new business there, means is the churning in the new business -- in the ULIPs surrender helping us in fuelling our growth?

Also, we understand that due to IRDA regulations, we can now attach some of the riders along with the ULIP products. Are we doing that? And what is that percentage, if we can understand as an attachment? Thank you.

Management: See, as far as the cost structure for the company is concerned, there is no change during the last quarter or vis -a-vis this 9 months to 9 months. Whatever numbers you are mentioning, it is predominantly due to the normal business expenditure,

which has

gone up, which we have appropriately taken into account that, for example, like some infrastructure costs and the cost towards the digital adoption and related to our employees are concerned. So, the employee strength also have gone up.

The new branches have gone up, and our digital adoption also has gone up. So, the predominantly increase of around 1% to 2% is immaterial as far as the overall expense structure of the company is concerned.

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As far as this high ULIP surrenders you are mentioned about that I think it is a factor of the market and plus the product feature. So, as we already mentioned that if the product feature allows you to post 7 years of PPT, you can surrender and based on the market scenario today, and the best time to capitalize that opportunity. Some of the investors or the customers have done it. So that is the reflection, which has been shown here. But we don't see any concern per se at that point of view. So, we will continue to focus because our revival campaign as well as our surrender prevention measures, which we have been taking, that has also given us some good result and we're able to convert some of the surrenders also either by restricting them or by converting into the new business. So that has also given us a good number for us.

Shobhit Sharma: Sir, any number around this new business churn we are getting? And also, sir...

Management: No, no. There is no churning per se. So, what I meant to say is that the product feature allows you to surrender after 7 years. So, then the customers get convinced to put in money into the other products of the company.

Shobhit Sharma: Yes. So is there -- what kind of amount of, let's say, the surrender is INR100 crores. How much of percentage are we able to get back in the coming new business?

Management: No, very, very specific number. We are not tracking that kind of a number.

Shobhit Sharma: And sir, last question is on strategy towards the individual retail protection. We are seeing that on quarter -on-quarter basis we have been slowing down Q1, Q2, Q3. So, what is the strategy going forward? What are we doing to bring it back on track?

Management : So, as we said this quarter, our focus on increasing protection in the business mix is always there. And this quarter, we are taking some concrete steps. We are also introducing some products which can be easily sold online also and on the digital channel of SBI also. So that, particularly, we expect good numbers in the current quarter.

Shobhit Sharma: Okay, sir. And the attachment ratio in case of ULIP attaching the rider, any numbers around it?

Management: No, no, we don't have any specific number for that.

Shobhit Sharma: Okay. So, you also mentioned that the costs have increased because of shift towards a longer period. Can you give us some numbers around it, whether it is towards the 10 PPT or the 5 PPT, how it has moved in percentage terms?

Management: No, we have not exercised any number, but basically a longer -term product offers better returns because good for us as well because we are getting an instrument to lock in for longer term, we offer better returns to the longer term, and the customer -- hence, customer off on that perspective. So, there's nothing specific in that, we give the full bouquet of that, within the product 5pay, 7pay to 10pay to looking particular ramp up or

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that customers are looking to. We don't track those shifts moving from. But we do see traction coming from the longer -term product definitely on account of the better customer return to the longer PPT.

Moderator: Thank you. The next question is from the line of Mohit from BoB Capital. Please go ahead.

Mohit: Sir, first is the non -par, wanting to understand what the IRR

that you provide? And have

we repriced the products over the last 9 months? That's point number one.

Point number two. While we understand that retail protection, you are introducing new products and other things to increase the growth. But just wanted to understand, is there a scope to reprice the existing product line? So those were my two questions.

Management: I think on non -par, when you price a product, would try to optimize this value for that, so as we mentioned earlier as well the non -par product, we have repriced, twice or thrice, depending on the interest rate movement perspective. And there is a both the side momentum happened, some of the product IRR has increased, some of the product IRR is going down, so there is always opportunity to reprice it.

Looking to the second question, for all other products, we continuously reviewing our product portfolio, both customer value perspective, shareholder perspective, and institution perspective, particularly for demand and other prospects. And as when required we do that. I thanks to the IRDA and that perspective will allow us to reprice the product in several events. And as a result, we have been very active in that perspective. And as when required we do reprice those products. So, there is always the opportunity we revisit and reprice the products, particularly for the guaranty products.

Mohit Mangal: Understood. Sir, just wanted to understand what was the IRR earlier and what it is now? If you can just throw some colour, that would be more helpful.

Management: So not much impact. I will not give any specific number because it's very difficult, weren't tracking that because even the non -par product we have repriced 3 times agreed, so version 1, version 2 and version 3. Its our reflection, just to clarify that the regulator allowed us to reprice the change in the interest movement as and when the interest movement happen, I'll be able to lock in the better return instrument. We increased the IRR. As and when it goes down, we also protect the shareholder value by revenue perspective, we reduce the IRR perspective.

Mohit Mangal: All right. So just wanted to confirm, we have repriced this product 3 times over the last 9 months. Is that right?

Management: Yes.

Moderator: Thank you. The next question is from the line of Aditi Joshi from JPMorgan. Please go ahead.

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Aditi Joshi: Most of my questions are answered. But just one quick one, can you please elaborate the reasons why we saw a good pickup in the non -par business, as you mentioned earlier? And also, can you also help explain the reasons behind the weakness in the participating products, please? Yes, that's it. Thank you.

Management: So, as we mentioned, the focus was on the product mix and which we have been ventured into this since the last 2 years. And this year, in the third quarter, particularly, we have seen a good traction in the ULIP plus the non -par. And as already mentioned

by Mr. Jhingran, we will be focusing on the product mix in this last quarter also. And our focus is that definitely on the non-par segment within non-par, it will be non-par savings and protection. So, this is our focus area for the company on this particular FY'24 and going forward also into FY'25.

Moderator: Thank you. The next question is from the line of Sahej Mittal from 3P Investment Managers. Please go ahead.

Sahej Mittal: Sir, just one data keeping question. What would be your lapse rate for non-par guaranteed policy for 13, 25th and 37 months?

Management: We don't disclose those LOB levels persistency, the company-level persistency we already disclosed on that. And there's no specific differential in the persistency.

Persistency they are more similar to the particularly by initial year more or similar to the ULIP and others. So, company-level persistency and non-par persistency are more or

less similar part of that initial year. Later you can say the persistency is much better in non-par because ULIP there is no surrender charge and people will go up and probably we'll see the value on that persistency. Whereas in non-par products, you see much better value coming on the maturity. So, customer will keep sticking to these policies.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now request Mr. Amit Jhingran to give us the closing remarks. Over to you, sir.

Management: Okay. So, thanks a lot to all of you for taking out time this evening and being with us. I hope all your queries and curiosities have been satisfied by my team here. And for any other clarification, you may get in touch with our Investor Relations team. Thanks a lot. God bless you all.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of SBI Life Insurance Company Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

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Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward-looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward-looking statements.

Call: May 2024

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

www.sbilife.co.in

May 03, 2024 SBIL/CS/NSE -BSE/2425/28

Assistant Vice President General Manager
Listing Department, Listing Department,
National Stock Exchange of India Limited, BSE Limited,
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Plot No. C/1, G Block, BKC, Dalal Street,
Bandra (East), Mumbai 400051 Mumbai 400001
NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q4 of FY 2023 -24

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2425/13 dated April 18, 2024 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Friday, April 26, 2024.

The transcript of the earnings conference call with analysts/investors is hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Girish Manik
Company Secretary
ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited
Q4 FY '24 Earnings Conference Call"
April 26, 2024

MANAGEMENT : MR. AMIT JHINGRAN – MANAGING DIRECTOR AND CEO
MR. S. VEERARAGHAVAN – DEPUTY CHIEF EXECUTIVE OFFICER
MR. SANGRAMJIT SARANGI – PRESIDENT AND CFO
MR. ABHIJIT GULANIKAR – PRESIDENT , BUSINESS STRATEGY
MR. SUBHENDU BAL – CHIEF ACTUARY AND CHIEF RISK OFFICER
MR. PRITHESH CHAUBEY – APPOINTED ACTUARY
MS. SMITA VERMA – SVP, FINANCE AND INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the SBI Life Insurance Company Q4

FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran, MD and CEO, SBI Life Insurance. Thank you, and over to you, sir.

Amit Jhingran: Good evening, all. We from SBI Life Insurance Company Limited welcome you all to the results update call of the company for year ended March 31, 2024. We appreciate and thank you wholeheartedly for your time this evening. Update on our financial results can be assessed on our website as well as on the website of both the stock exchanges. Along with me present here today are Mr. S. Veeraraghavan, Deputy CEO; Sri Sangramjit Sarangi, President and CFO; Abhijit Gulanikar, President, Business Strategy; Subhendu Bal, Chief Actuary and Chief Risk Officer; Mr. Prithesh Chaubey, Appointed Actuary and Ms. Smita Verma, Senior Vice President, Finance and Investor Relations.

We are pleased to inform you that we have successfully maintained the new business thrust and have again delivered enduring performance in this year as well and we continue to be the market leader across individual and total business. We have sourced highest number of policies in the private industry. This aligns with regulators objective of insurance for all and our goal of broadening our customer reach through our customer-centric product offering.

The performance of the company demonstrates our distribution strength and expansive outreach to the customers in a cost-efficient manner. Our commitment is to deliver sustainable long-term returns and a holistic growth for all our stakeholders.

During the financial year 2024, we continue to remain focused on growing our business at sustainable rate, offering varied products in our basket to align with the customer demand, creating a balanced distribution mix and maintaining a best-in-class cost ratio and persistency levels.

Let me give you some key highlights for the financial year 2024. New business premium registered a growth of 29% over previous year and stands at INR382.4 billion and maintained private market leadership with share of 24.6%. Individual new business premium stands at INR238.3 billion with a strong growth of 14% and a private market share of 25.8%.

Gross written premium stands at INR814.3 billion with a growth of 21%. Protection new business premium grew by 15% to INR41.7 billion. Profit after tax stands at INR18.9 billion with 10% growth over last year. Value of new business stands at INR55.5 billion

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registering a growth of 9% over last year. VO NB margin stands at 28.1% for year ended March 31, 2024.

Embedded value stands at INR582.6 billion, registering a growth of 27% over INR460.4 billion in March 2023. Embedded value operating earnings stands at INR100.5 billion with a growth of 11% and operating return on embedded value stands at 21.8%. Assets under management grew by 27% to INR3,889.2 billion. Robust solvency margin of 1.96 as against the regulatory requirement of 1.50.

Customer satisfaction is at the heart of our operations. We constantly strive to exceed expectation and enhance the overall experience for our policyholders. The improvement in our Net Promoter Score reflects the growing trust and satisfaction among our customers, highlighting our dedication to their financial well-being. It gives me immense pleasure to say that we have recorded NPS score of 7

2 in the current year

as against 59 in previous year.

We will now update you on each of the key elements in details. Let me start with Premium. Individual new business has grown to INR238.3 billion with a year-on-year growth of 14%. Single premium contribution is 31% of individual new business premium, which is mainly attributed to growth in our individual annuity product. If we exclude the annuity business, single premium contributes 12% of individual business. The company gained in private market share by 14.9 basis points to 25.8% and industry market share by 144 basis points to 15.9%.

On individual rated new business premium, we stand at INR172.3 billion with a growth of 13% over last year and maintaining our leadership position with private market share of 23.3%, with a gain of 107 basis points and at industry level, we gained by 118 basis

points and market share stands at 15.8%.

Also, group new business premium stands at INR144.1 billion with contribution of 38% in new business premium and a tremendous growth of 66% over last year. The company gained in private market share by 635 basis points to 22.8%. Having said that, we have collected total new business premium of INR382.4 billion, registering private market share of 24.6% with a gain of 326 basis points. And at industry level, we gained 213 basis points with a market share standing at 10.1%.

Renewal premium grew by 14% to INR431.9 billion, which accounts for 53% of the gross written premium. To sum up, gross written premium stands at INR814.3 billion with a growth of 21% over previous year. In terms of APE, premium stands at INR197.2 billion, registering a growth of 17%. Out of this, individual APE stands at INR174 billion with growth of 13%.

During the year ended March 31, 2024, total 22.6 lakh new policies were issued. This reflects the company's intent to increase the penetration and achieve holistic growth.

The company is aligned with the regulators vision of insurance for all and will continue to focus on various reforms, enabling deeper penetration of the life insurance industry.

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Number of lives covered during the year ended March 31, 2024 is 37.9 million, registering a growth of 84% over previous year.

Total new business sum assured registered a growth of 25% over corresponding period last year, as compared to growth of 19% at private industry level and a growth of 22% at total industry level.

Let me give you details of the product mix. As on March '24, our guaranteed nonpar saving products are contributing 19% on individual APE basis. Individual ULIP new business premium is at INR137.8 billion, which now constitutes 58% of individual new business premium. Growth in ULIP is attributed to positive movement in equity markets and change in customer preferences.

Individual protection new business premium is at INR9.5 billion. Group protection stands at INR32.1 billion with growth of 22%. Credit Life new business premium has grown by 9% and stands at INR22.6 billion. Other group protection business stands at INR9.5 billion and has registered a growth of 66%.

On protection business contributes 11% of APE and registered a growth of 18%.

Annuity business is INR60.2 billion and contributes 16% of new business premium.

Under annuity, the company is offering immediate as well as deferred annuity options.

Individual Annuity business is at INR50.7 billion with a growth of 22% over last year.

Total annuity and pension new business underwritten by the company is INR89.3 billion, registering growth of 6% over last year. Moving to update on distribution partners with strength of more than 59,000 CIFs, SBI and regional rural banks, bancassurance business contributes a share of 64% and grew by 9% in individual new business premium. And on individual APE basis, it stands at INR117.2 billion with a growth of 12%.

Agency

Agency channel registered new business premium growth of 22% and contributes 18%.

Agency channel individual APE showed a growth of 14% over last year and stands at INR48.4 billion. As on March 31, 2024, the total number of agents stands at 246,078, a growth of 18% over last year. During the year ended, the company added net 37,304 agents. The share of agency business in individual rated premium has increased from 27% in previous year to 28% in current year.

During the year ended March 31, 2024, other channels like direct, the corporate agents, brokers, online and web aggregators, grew by 49% in terms of individual new business premium and 17% in individual APE. Linked business through other channels registered growth of 49% on APE basis.

The share of other channels in new business premium has increased to 31% in current year from 21% in previous year. We are focused to strike optimum balance among various distribution channels, and we expect to grow by leveraging these multiple drivers and further strengthen our distribution network.

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The updates on profitability are as under. The company's profit after tax for the year

ended March 31, 2024, stands at INR18.9 billion with 10% growth as compared to previous year. Our solvency remained strong at 196% for financial year 2024. Value of new business stands at INR55.5 billion with growth of 9% as against INR50.7 billion in last year.

VONB margin stands at 28.1% for FY 2024. The shift in VO NB is mainly on account of increase in share of ULIP business as compared to previous year. Embedded value stands at INR582.6 billion, a growth of 27% over previous year. Embedded value operating profit stands at INR100.5 billion with a growth of 11% over previous year and operating return on embedded value stands at 21.8%.

The operational efficiency comments for the year are as follows. Opex ratio stands at 4.9% for the year ended March 31, 2024 and our total cost ratio stands at 8.9% for the year ended March 31, 2024. With respect to persistency of individual regular premium, 13th month persistency stands at 86.8%. The company has registered improvement in 13th month and 61st month persistency by 126 basis points and 295 basis points, respectively.

As mentioned in my opening remarks, assets under management stand at INR3.89 trillion as of March 31, 2024 having growth of 27% as compared to March 31, 2023. Death claim settlement ratio stands at 99.2%. The company has registered an improvement of 78 basis points over last year. We are committed to delivering need-based solution that addresses the ever-evolving customer needs based on customer profile, life stage and goal prioritization.

The company continuous efficient usage of technology for simplification of processes with 99% of the individual proposals being submitted digitally. 45% of individual proposals are processed through automated underwriting. To conclude, we will continue to focus on long-term sustainable profitable growth, enhanced automation, and digitalization to ensure customer satisfaction in the long run, along with great value to all our stakeholders.

Thank you all. And now we are happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha : Congratulations on a good performance. I have a couple of questions. I'm just looking at the EV movement. And there's a very big release in the mortality, morbidity and operating variance. So can you explain what really helps that? And we've seen 2 years of good reserve releases of that.

The other thing on the monthly numbers that come out Jan and Feb were very strong months, what actually sort of went wrong in March because we would have expected a stronger March

to come through as well. And can you also comment a little bit about product level margins. So are we seeing any changes in the nonpar and par business
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sort of margin at the margin level. So, yes, those would be my three questions to begin with.

Management : Yes, Prithesh, go ahead.

Management : Yes. On EV part, if you look at the operating variance we have made the mortality positive variance, this is a similar thing last year as well if you look into that. And as we keep mentioning that we adopt a prudent approach while setting the assumptions. And our experience is much better than what we assume and that's the reason you are seeing the positive variance.

Other point that we've mentioned last time as well that in the group platform we always wanted to take the schemes which are profitable and those schemes also contributed. We are not just seeking to get the market share in the group term business or credit life business. So both the places you are seeing higher mortality variance coming into.

On the product level margin, I think we don't disclose on the product level, but I can say you that each and every time we review our product in terms of movement in the interest rate and all other experience. And within the product, we try to optimize the value both in terms of the margin for the shareholder as well as the better return and better offering to the policy holder as well.

And some of the things that we keep adopting the segmented approach in terms of the product offering. So different segments had different experience and we try to reflect those segmental experience in our product offering and that is also helping to get the margin enhancement.

Last quarter we have launched two pure TROP products in higher segment which is 25

lakh and above , which has been attractive in the market and that's also helping enhancing our margin. And we expect this is going to further enhance our margin on that level.

Madhukar Ladha : If I get you correctly the mortality morbidity releases are more from the group business and from the retail protection business?

Management : This is across all because it's a reflect of our composition of existing business. So not coming specific for any particular line , it keeps coming across all the lines including protection, including unit linked or even traditional product as well because we keep selling traditional individual TROP. So all perspective they're getting this positive variance on that.

Madhukar Ladha : Okay. But would it be more from the group business , any sense on the contribution?

Management : I don't say this is especially coming from the group business. I think overall basis is coming from.

Madhukar Ladha: Okay. Understood. Thank you.

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Moderator: Thank you. Our next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Hi, and congratulations on a good set of numbers. Just could you repeat the point on the VNB margins, what has contributed to improvement in margins?

Management : No, we are not saying that what has contributed in margin. I think if you look into the last March to this March there is reduction in the margin especially on the account of product mix. If you look into the December to this December our margin stands at the same level.

So what we tried to explain in the earlier question when asking for opportunity on the product level margin, we say that we always optimize these things on the segmented approach reflects the experience of that segment. And within the product line, there is a lot of opportunity to optimize the value both from the customer as well as shareholder in terms of margin.

So that's the reason within the line even we'll do the similar level of

business as we are

slightly business. There is a possibility for enhancing those value for the shareholder and that's the reason we're getting to able to maintain this margin.

Prayesh Jain : And just structurally how should we think about margins and growth for SBI Life from FY '25 perspective , which are the product segments that would kind of see growth and particularly whether the nonpar segment would start contributing to growth again in FY '25, how do you see the product mix kind of playing out in FY '25? I understand, generally you all say that it depends upon what customer demands, but still ULIP has been picking up momentum , whether that momentum should sustain or how should we think about product mix and profitability for FY '25?

Management : If you look at the product mix and you yourself said that ULIP was flavor of the season last year which you very well understand was coming from the very good performance of the stock market. So the equity market performance reflected into the increased demand for ULIP products. Going forward, while we continue to offer all kind of products to all segments of customers, and it all depends on the customer's choice. Having said that, we will definitely like to grow our protection and nonpar business also in the coming year for a healthier product mix.

Prayesh Jain : And that should reflect -- ideally, if that translates, that should reflect into better margins?

Management : Yes, definitely, that will affect our margins and that effect will be for the positive, I must say.

Prayesh Jain : Okay. And sir, could you give some granularity on the individual annuity, which has been growing very strongly for you? And how does the annuity impact your VNB margins?

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Management : So on the growth , as you know , retired people is the fastest growing segment of Indian population and the NPS scheme is also giving good feel to the annuity business. So in terms of volume growth, we expect annuity to be a long-term growth story in India. Prithesh, anything on margin.

Management : I think this annuity is a very profitable business for us. And it is helping us to enhance the margin for the company. So we try to reprice actively, try to get the business at a cost which is reflecting to the investment return and margin enhancing.

Prayesh Jain : Okay. Would the profitability be higher than the company level?

Management : We don't disclose, but the moment I'm saying that it is helping us enhancing the margin is giving this rate as well.

Prayesh Jain : Can I squeeze in one last question. The private players, all the other private players as well are now looking for more granular growth where in they would be entering Tier 2, Tier 3 cities branch expansions. SBI Life, I think has a better presence in those cities and geographies. Would you see increased competitive pressure with respect to commission payouts and resultant also some pressure on margins because of the kind of competition that could come in. And, your thoughts on competition increasing in Tier 2, Tier 3.

Management : So our presence SBI Life's presence through SBI branches as well as our agency network has already been strong in not only Tier 2, Tier 3 cities, but also in the rural areas. So even now there exists a lot of scope. Having said that, we also say that we don't play the commission game to increase the top line and we will go forward also stick to that. We will meet the customers' expectation. We'll provide them better experience and that will drive our business in the coming year also.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark.

Please go ahead.

Sanketh Godha : Yes. Thank you for the opportunity. Sir, actually the biggest question what I have is that in the current quarter, your banca channel seems to

have been muted, very muted

actually because you don't have a base problem what other private companies had.

And the growth has been pretty weak in the banca channel low single digits. Sir just wanted to understand what led to that muted trend in the banca channel growth both in SBI and other banca relationship?

And I think one of the participants asked that question why March suddenly fell off the cliff when Jan and Feb were good. So I just wanted to understand how do we read these numbers? And how you expect banca to do going ahead in that sense. That's my first question. Maybe after you answer that, I might squeeze in one more.

Management : So if you have been following the company, you will be aware that the banca channel, over the 4 quarters, December quarter is always the best, and that was true this year also. Last year also, the banca channel after December performance, this is the SBI Life Insurance Company Limited

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seasonality of the company and the banca channel, which reflected in this month also.

As far as March month is concerned, the industry figure, if you consider then our performance vis-a-vis industry has been at satisfactory level. The industry has gone muted in the month of March.

Sanketh Godha : We understand that point, but other players had the problem of high ticket policies of a bigger base. We did not have that problem, but still the growth was pretty honestly, no one in the industry would have expected a negative growth in the month of March as realized. So just wanted to read that in conjunction with the lower banca growth. So anything to read there that SBI intentionally slowed down or some dictat came from some which led to that muted growth is the whole point, which I want to conclude.

Management : Nothing like SBI slowing down or anything. Month-on-month number, I think the quarter number, if you compare, it will be better. We had a 6% growth over the quarter over last year. So there is nothing like that SBI is slowing down or something, SBI is our parent and we'll continue to have strong relationship with that banca channel.

Sanketh Godha : Okay, sir. Fine. I mean, because the reason I'm asking is that others which is nothing but your other PSU bank relationships that has been also muted at 8 percentage for the quarter year-on-year means that actually do sequentially very well. So again, and sorry for harping that point, whether banca has some kind of a stress, especially PSU Bank from a growth point of view.

Management : No, banca is a very strong channel, and we should not read too much about one quarter's performance. It's a long history.

Sanketh Godha : Okay. And you're confident of the next quarter growth will be more than 15 percentage, sorry for next year growth will be more than 15 percentage or do you still want to maintain that guidance of 20% growth?

Management : So as of now we are not putting any number for the current quarter growth, but our long-term growth targets and our CAGR we will definitely like to maintain.

Sanketh Godha : Okay, sir. One more question just on the protection business. See your individual protection was muted for the entire year. Credit Life was also muted. Individual protection declined 5 percentage, Credit Life just grew by single-digit 9 percentage, but large part of the growth came from GTL which grew 67 percentage. So just wanted to understand whether this mix or color will change next quarter -- next year I mean to say or you see on a bigger base individual protection is struggling to grow?

Management : So individual protection is one line where we will continue to remain focused and we want to increase that business. The lower proportion in the last year, maybe a reflection of the customer's choice for the ULIP during the year as other analysts have also pointed out. So I would like to clarify that protection remains our focus area. And we are

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also going to introduce some more products in this year for growing the individual protection business.

Sanketh Godha: Abhijit, you are confident that the INR9,500 crores will be still repeat next year with the 67% growth?

Management : No. The overall protection is INR2,099 crores, Sanketh.

Sanketh Godha : No. I'm referring to only GTL which you said is INR950 crores for FY '24. That number which is 67% growth year-on-year, you are confident that number of INR950 crores will sustain going ahead too?

Management : Sanketh, we are focusing on as MD said for the overall growth of each segment within the protection, so it starts with individual protection. And Credit Life and GTI both it comes as per the planned numbers. And we expect that we will try to improve upon those numbers, but GTI as you know this is based on some specific transactions. And it depends on the geography to geography. So we will be focusing on overall growth. As Abhijit said, we have already launched two products during this quarter and we expect that the individual protection will grow in a better proposition than the group.

Sanketh Godha : Perfect sir. Thank you very much. That's it from my side.

Management : Thank you Sanketh.

Moderator: Thank you. The next question is from the line of Mahek from Emkay Global. Please go ahead.

Mahek: Thank you for the opportunity. Congratulations on the good set of numbers. I have two questions. One is, what would be the reason for a negative INR285 crores of rewards in the quarter 4 results? And secondly, if I see that 37th month persistency it is at 71.3% which has seen a drop in this year. So I wanted to move the reason for the drop. That's all?

Management : So there is this cohort of the COVID period. Last year, if you have noticed, if you remember the number, the drop was in 25th month and that COVID cohort has moved to 37th month and we have seen some fallout there. But there is nothing much to read. We have other persistency in all cohorts, 13th month, 25th month, 49th month and 61st month, everywhere it has increased. So that 37th month is one exception related to the COVID cohort. And you will like to answer about this?

Management : Yes. So as you know we have also communicated previously that we appropriately made some provisions as far as the discussions going on with our respective bancapartners. So which has actually we've seen that as per our estimates which we have designed or defined or we have achieved. So then the remaining we have reversed that. So this year, we will again see how it will shape up. And accordingly, if it is required, then we will provide it.

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Mahek: Thank you sir.

Moderator: Thank you. Our next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta : Thanks for the opportunity. So firstly, I wanted to understand on the group savings side there has been a significant jump this year. Just wanted to understand what is driving that. And the second question was on SBI. I know you have answered this before, but I just wanted to understand that we have seen significant productivity gains there at a branch level. Now that seems to be plateauing.

So would it be fair to assume that now further penetration within the branches could become more limited and you should be growing more in line with the bank as compared to ahead of the bank? Is that a correct assumption to make? Those are my two questions.

Management : Look at the branch penetration in SBI. Our penetration in the overall customer base of SBI is only around 2%. And if you see the insurable kind of people with more than say 10,000 balance, there also our penetration is between 3.5% to 4%. So that leaves us still a very, very

large population of customers of 96%. So you cannot say that it is plateauing.

We are making cautious effort to improve insurance penetration in the entire population. And there is our 96% kind of cohort where we have ample scope to improve the productivity further.

Management : On the part of group savings as you know these are all lumpy businesses. So depending upon the corporate's requirement we get across the year and as principally we have been restricting our this number between around 18% to 20% of my total NBP so which I think we are under very much control. So we will look into on year on basis how this business will flow.

Supratim Datta : Got it. And sir, just one follow-up to that penetration question. Just wanted to understand, do you have any idea about how many of these insurable customers may have an insurance policy with some company already? And how many would not have any insurance policy? Do you have any data on that front?

Management : I don't think we have that kind of information available with us.

Supratim Datta: Okay. No problem. Thank you sir.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec Capital. Please go ahead.

Nidhesh Jain : Thanks for the opportunity. Two questions. Firstly, what all is constituted in other channels that we disclosed in bancassurance I think only SBI Bank is considered, but all channels are included. And secondly, if you can give the breakup of protection -- SBI Life Insurance Company Limited
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group protection APE between group protect between GTI and Credit Life for FY '24 and FY '23?

Management : See, other channel consists of my all banker relationships excluding SBI and corporate agents, brokers and the other online channels also and the bifurcation of the group protection on the difference is around 55% of the total protection is coming from this Credit Life and GTI.

Nidhesh Jain : Yes. Between GTI and Credit Life it will give the number what is the contribution from Credit Life and GTI in the APE individually?

Management : So for GTI, it will be INR930 crores. And for Credit Life, it will be INR226 crores.

Nidhesh Jain : So these are all APE?

Management : APE.

Nidhesh Jain: Thank you sir. That's it from my side.

Management : Thank you.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh : Hello. Good evening. Hope I am audible. So two, three questions from my side. First, a data-keeping question. If you can split your expected return on the existing business in your EV work between the unwinding at the reference rate and unwinding on real-world excess returns. I assume you used to report it historically.

Second, on these other channels which has been the non-SBI non-agency channel which has been reporting quite a strong growth. I just wanted to get some sense of how do you think of the payout shaping up at these counters once you start expanding at a very fast pace at some of these counters?

And lastly, on the margin front, let's say, next year when ULIPs, for example, let's say, we have to compress, do you see competitive pressure rising in some of the other channels in terms of the pricing pressure that maybe your competitors are willing to offer. So is there a risk to your product level margins? So those were my three questions.

Management : Prithesh?

Management : So on this EV basically, expected return perspective, we don't have readily available this number. So we need to reflect that. I think to be fair & comparable to the market we have used that. I think is the RFR what is coming from and then expected if you look at

the total basis the return is more or less similar as last year. So it is coming on that perspective.

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On the margin perspective I don't think much pressure will come on anyone launching the product at all. We try to be reviewing and actively repricing our products. So our endeavour is either to maintain the margin or try to enhance those margins. So we don't see any stress coming on those products level margin.

Management : And on the partners even this year we have some agreements with our partners for which we had made provision. So next year also, we will have some parameter-based numbers. So we don't see any significant pressure coming from that side.

Dipanjan Ghosh : Sir, just one follow-up on the first question. Will it be safe to assume that your excess returns, I mean, the real-world excess returns, the assumptions have not changed meaningfully this year. Would it be a safe assumption to make?

Management : Yes it is. That it's not changed much because as you mentioned the expected return and basically you look into your blended return that you expected, depending on your asset mix for existing portfolio and what do you expect in the future. So our approach is unchanged except might be some impact might have on account of the change in yield curve that accounted for the new investments. Otherwise, it's fairly safe. You can assume that at a similar level.

Dipanjan Ghosh: Got it sir. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Neeraj Toshniwal from UBS India.

Please go ahead.

Neeraj Toshniwal : Hi, sir. Congrats on good set. Wanted to understand again on the product level margin, are we seeing improvement in any of the product margin because even we are ULIP heavy, so we have managed to deliver a decent set and would this mean that this will become base margin going ahead, you can see further improvement with the mix improving in FY '25?

Management : I think, yes, there is an improvement in the margin within the line of business. That's also helping us both on the non-par and protection side, even that we mentioned that we launched protection products where margin is slightly higher than what it used to be earlier.

So we continue reviewing that. So we'll see the enhancement coming from. And if you summarize that if you're able to get the better product mix from the current levels that we are aiming for, I think there will be upside from the current level rather than any downside.

Neeraj Toshniwal : So another two products which you talked about which you have launched in this quarter, which means April running quarterly are basically focusing on the pure protection plan rather than ROP if I get it correct?

Management : No, this is a two plan that we have launched in Jan. It is mostly on the TROP for the higher segment level with 2.5 lakh and above and we are in the process of reviewing

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this and coming out with a pure protection product as well. As our MD also mentioned that objective is to continue to focus on protection. So we will be continuing reviewing the portfolio and coming out of other products, two or three products are already in pipeline in the protection side.

Neeraj Toshniwal: Sure sir. Thank you so much.

Moderator: Thank you. Our next question is from the line of Anurag Mantry from Oxbow. Please go ahead.

Anurag Mantry : Just one question from my side. So there was total number of policies, the individual number of policies in FY '24 based on the IRDAI data has grown only 3% this year. This used to be like mid double digit last 2 years. So anything specific to understand from this?

Management : See, overall we have been growing in a better shape as far as the number of policies are concerned during the last few years. This year, our improvement for the ticket size has shown growth over the number of policies. And we have anticipated a better number in our non-par portfolio, which

h is consisting of both protection and nonpar guaranteed savings which has not come up as you have seen from the numbers. But we expect that this will correct in the coming years because as already mentioned, we are focusing on the product mix, which will go towards non-ULIP, so the number of policies will also enhance in the coming years.

Moderator: Thank you. The next question is from the line of Aditi Joshi from JP Morgan. Please go ahead.

Aditi Joshi : Thank you for taking my question. Just my first question is on the economic assumption change. So when I compare this economic assumption change the impact of this in the embedded value movement versus the NBV movement, the economic assumption change is positive for EV whereas negative for VO NB. So can you please help explain this difference?

And just a related one that before you change your assumptions, how many years of experience you observed as in the last 2 to 3 years or 5 years before you think that it's time to make the changes in the assumptions? And my second question is related to the growth differential between Tier 2, Tier 3 and Tier 1 cities, if you are able to share some growth numbers as in where the growth is higher in NBV. Is it higher in Tier 1 as compared to Tier 2 or Tier 3 or vice versa?

Management : Prithesh, can you respond to the first part.

Management : Yes. So I will respond to two questions on the perspective. When you set the assumptions we do look into the historic experience, we look into that trend and in terms of the trend we look into the 5-year trend and 3-year trend. And objective is to look into SBI Life Insurance Company Limited

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what is the emerging trend. And all our assumption reflecting to the emerging trend to reflect the demographics assumption recommendation.

Other question, you are looking for economic impact of the economic assumption change. So when you look into this impact when you go to the EV, it reflects on existing book and that's changed from the point to the point. So if you look at the March changes, 31 March 2023 to 2024, so when you look to the VO NB perspective is the average and that's reflected the new business composition.

And as you know that our also indicates the interest rate movement will have a different impact as unit-linked business and non-linked business. That's the reason we see slight variation coming from that prospect.

Management : In terms of growth, it is more not Tier 1, Tier 3. It is more state and other customer segment growth, which has varied. We've not seen any significant difference between growth of Tier 3 terms compared to Tier 1 terms. There is no pattern that we can see there.

Aditi Joshi : Okay. Just one follow-up on the experience. I think I remember just one of your peers they observed the last 2 years' experience before making any changes to the assumptions. So is it last 2 years experience for you as well or you wait for more years before changing any assumptions?

Management : So we do take some longer period to ensure that our experience that we are going to use are assumptions safely is the credible enough. Now credible enough will also depend on the exposure of those lines of business, as we said that. But our view is not to make year-on-year changes. Our view is to make an assumption, which is sustainable for a longer period of time, and to some extent is a prudent seller.

And second point, just to add to your question on this. When you look at the economic assumptions, EV and other. Other part is if you read this chart the economic assumptions for EV is not only economic assumption, it's also includes most of the economic variance and most of the things are coming on account of economic variance. That you expect it will return a much more than what you expected in the yield curve.

Aditi Joshi : Okay. Got it. Thank you so much.

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Moderator: Thank you. Our next question is from the line of Anirudh Shetty from Solidarity Advisors Private Limited. Please go ahead.

Anirudh Shetty : Thanks for the opportunity. So my first question is around the GTI business. You shared the AP E figure for FY '24, could you share that for the FY '23 as well?

Management : So it is around INR600 crores.

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Anirudh Shetty : Got it. And sir, this business while we're calculating our VNB for this, do we assume it to be a yearly sort of business or do we also make an assumption that the business could get renewed and so we kind of take it on a more multiyear type of recognition?

Management : We use this is a yearly renewal business and this is a very lumpy business. This year, it is with you, next year might be gone to other thing and particularly as a company we try to acquire or renew the business from a profitable type of things. So we always assume this is one year business.

Anirudh Shetty : And sir on the individual protection business you explained some challenges there this year because of ULIP doing well. But aren't the products serving very, very different needs, so was the challenge more from the customer demand side or was it more from the push side, from the distribution side where in they prioritized pushing ULIP?

Management : So there is no change from the push side. We want to offer all our products to all our customers and we provide all solutions for every life stage cycle of the customer. It is customers' choice. And as I told earlier also in response to some other question, this year, the flavor was ULIP because of excellent performance of the stock market.

So people preferred and were attracted to the equity returns. The kitty of investable surplus with the people is same. So if they are preferring ULIP, obviously, the other line of business, the share goes down. But from the company side, our focus is on all the products and we offer all the products that lay out in front of the customers.

Anirudh Shetty : Got it. And just one final question is when you think about the opportunity within. You had mentioned 2% penetration. Is that just for insurance or for all our savings products put together and you had also mentioned more -- the target customer, someone with -- correct me if I'm wrong, but more than INR10,000 savings balance. So I just want to understand that how did you -- how have we arrived at this INR10,000 saving balances a potential customer?

Management : So that basically is SBI's internal data, and they run internal data analytics. That is what they have informed us. We don't have that customer list with us. That is the data analytics that SBI runs. And this 2% is for all the products, not only the protection product, for all products that we offer through SBI branches.

Moderator: Thank you. The next question is from the line of Punit Bahlani from Macquarie Capital. Please go ahead.

Punit Bahlani : So just on an APE growth basis. Your peers have said that they are expecting APE growth in line with industry level, but what would be your expectation sir? I know you don't want to give an explicit guidance, but will we be expecting higher than industry growth or in the high teens or what are your comments?

Management : See, if I understand clearly you're talking about the APE growth vis-a-vis the peers comment on that subject, correct?

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Punit Bahlani : Right.

Management : See, if you have seen our trend in the past and current year also, we have been better off as compared to the industry within the industry also among the private players. And we will try to maintain that position going forward. And as we have mentioned, the growth trajectory will be similar what we have been seeing in this year and we'll continue to

focus on the leadership as far as the private industry is concerned.

Punit Bahlani : Got it. And sir, just confirming one thing on the margins front, you highlighted that going forward, growth will be driven by an improvement in the protection mix, you do expect further levers for margin expansion, right?

Management : There is a probability because it depends on the product mix. If this switch will happen from ULIP to non-ULIP. So expectation is that if it goes as per the plan then there will be a positive shift in the margin.

Punit Bahlani: Okay. Thank you sir.

Moderator: Thank you. The next question is from the line of Roshan Chutkey from ICICI Prudential. Please go ahead.

Roshan Chutkey : Thanks for taking my question. I just wanted to understand from a regulatory standpoint, what do you worry now? How should one think about it?

Management : I think worry is the wrong word. Our regulator, the sector regulator is very active and he is taking, the regulator is taking all the right steps for improving the insurance penetration, overall sum assured, taking care of long-term, short-term customers, everybody. So we don't feel any challenge. The regulator is working for the customer satisfaction and the company's policy fully aligns with the regulator's policy.

Roshan Chutkey: Thank you.

Management : Thank you Roshan.

Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. Amit Jhingran for closing comments.

Amit Jhingran : So thank you very much everybody who was here and we had very fruitful discussions and the insights into the industry. I thank you again for all the time and all the queries.

I hope we have provided you with satisfactory answers. If you need any clarification, you can reach to our Investor Relations Department and we will be happy to satisfy any other queries regarding it. Thank you. Good bless you all.

Moderator: Thank you, members of the management. On behalf of SBI Life Insurance Company, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward -looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward -looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward -looking statements.

Call: Jul 2024

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

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July 31, 2024 SBIL/CS/NSE -BSE/2425/89

Assistant Vice President General Manager
Listing Department, Listing Department,
National Stock Exchange of India Limited, BSE Limited,
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Plot No. C/1, G Block, BKC, Dalal Street,
Bandra (East), Mumbai 400051 Mumbai 400001
NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q1 of FY 2024-25

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2 425/71 dated July 19, 2024 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Wednesday , July 24, 2024.

The transcript of the earnings conference call with analysts/investors is also hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Girish Manik
Company Secretary
ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited
Q1 FY -25 Earnings Conference Call"

July 24, 2024

MANAGEMENT : MR. AMIT JHINGRAN – MANAGING DIRECTOR AND CEO
MR. SANGRAMJIT SARANGI – PRESIDENT AND CFO
MR. ABHIJIT GULANIKAR – PRESIDENT , BUSINESS STRATEGY
MR. SUBHENDU BAL – CHIEF ACTUARY AND CHIEF RISK OFFICER
MR. PRITHESH CHAUBEY – APPOINTED ACTUARY

MS. SMITA VERMA – SVP, FINANCE AND INVESTOR RELATIONS

SBI Life Insurance Company Limited
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Moderator : Ladies and gentlemen good day and welcome to SBI Life Insurance Company Q1 FY25 Earnings Conference Call.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran – Managing Director and CEO, SBI Life Insurance. Thank you and over to you sir.

Amit Jhingran : Good evening, ladies and gentlemen. We welcome you all to the Result Update Call of SBI Life Insurance for Quarter ended June 30th, 2024.

We appreciate and thank you wholeheartedly for your time. Update on our financial results can be assessed on our website as well as on the websites of both the stock exchanges.

Along with me present in this room are Mr. Sangramjit Sarangi – President and CFO, Mr. Abhijit Gulanikar – President, Business Strategy, Mr. Subhendu Bal – Chief Actuary and Chief Risk Officer, Mr. Prithesh Chaubey – Appointed Actuary and Ms. Smita Verma - Senior Vice President Finance and Investor Relations.

I am pleased to share that we have seen progress in several key areas as compared to previous quarter of corresponding period, demonstrating the strength and dedication of our teamwork. We are building a strong base for the year ahead by registering growth in Banca and Agency productivity, onboarding new agents and digital initiatives. This is a testament to the hard work and strategic initiatives we have implemented, ensuring that we not only meet but also exceed our goals. Moreover, our efforts in New Business development have been fruitful. We have seen a notable increase in our New Business Premium, especially in the linked and saving products. With higher insurance awareness there is a positive trend insurance industry and higher focus on financial planning and long-term savings.

During the period 99% of our business is sourced digitally. We will continue our digital initiatives by embracing agility and innovation in meeting the evolving needs of customers in the digital age and fostering brand differentiation. It has been a good start to the year and during the year ahead, we will continue to accelerate on this momentum, striving for excellence in everything we do. We remain confident of navigating the winds of change, ensuring a future where insurance is not just a product but a pillar of financial security and empowerment for all.

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Now, let me give you some key highlights for this quarter ended the 30th June 2024 : Our New Business Premium registered a growth of 13% over previous period and stands at Rs. 70.3 billion and maintained private market leadership with share of 21.8%. Individual New Business Premium stands at Rs. 47.5 billion with a growth of 17% and private market share of 25.9%. Gross return premium stands at Rs. 155.7 billion with a growth of 15%. Protection New Business Premium stands at Rs. 7.2 billion. Profit after tax stands at Rs. 5.2 billion with a strong growth of 36% over corresponding period of last year. Value of New Business stands at Rs. 9.7 billion, registering a growth of 12% over last period. VoNB margin stands at 26.8% for period ended June 30th, 2024. Our asset under management has crossed a milestone of 4 trillion mark with a growth of 26% over corresponding period last year. Robust solvency ratio of 2.01 as against the regulatory requirement of 1.50.

We will now update you on each of the key parameters in detail :

Let me start with the premium

The growth of Indian insurance industry for the current quarter has rebounded and has

demonstrated a robust performance during the quarter. It grew by 22.9% over previous period. We have successfully maintained our market position amongst private players in individual and total New Business Premium and have delivered an enduring performance for the quarter. In the year ahead our endeavor is to continue to maintain and grow our market share as compared to the previous year. Individual New Business

Premium has grown to Rs. 47.5 billion with a growth of 17% over last period. Single premium contribution is 36% of individual New Business Premium, which is mainly attributed to growth in our individual annuity product. If we exclude the annuity business, single premium contribution is at 18% of individual business. The Company's private market share stands at 25.9% and industry market share stands at 15.7%.

On individual rated New Business Premium, we stand at Rs. 32.2 billion with a growth of 21% over last period and maintaining our leadership position with private market share of 22.4% and total market share of 15%. Also Group New Business Premium stands at Rs. 22.9 billion with contribution of 32% in New Business Premium and a growth of 6% over last period. Having said that, we have collected total New Business Premium of Rs. 70.3 billion. The Company's private market share stands at 21.8% and total market share stands at 7.8%. Renewal Premium grew by 16% to Rs. 85.4 billion which accounts for 55% of the gross return premium. To sum up gross return premium stands at Rs. 155.7 billion with a growth of 15% over corresponding quarter of last year. In terms of APE, premium stands at Rs. 36.4 billion registering a growth of 20%. Out of this individual APE stands at 33.1 billion with growth of 22%.

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During the quarter ended June 30th, 2024, total 4.25 lakh new policies were issued. We remain committed towards the goal of increasing the penetration and achieve holistic growth. Number of lives covered during the quarter ended June 30th, 2024, is 4 million. The Company is aligned with the regulator's vision of insurance for all and will continue to focus on various reforms enabling deeper penetration of the life insurance industry. Individual New Business sum assured registered a growth of 16% over corresponding quarter of previous year.

Let me give you some details about the product mix:

As on June '24, our guaranteed non-PAR savings products are contributing 21% of individual APE basis. Individual ULIP New Business Premium is at Rs. 27.5 billion which now constitutes 58% of individual New Business Premium. Growth in ULIP is attributed to positive movement in equity market and change in customer preferences. Individual protection New Business Premium is at Rs. 1.5 billion. Group Protection stands at 5.7 billion. Credit Life New Business Premium has grown by 6% and stands at 4.7 billion. On Protection Business contribution 8% of APE stands at Rs. 3 billion. Retirement plans assist customers in building a substantial corpus of funds to maintain the desired lifestyle and manage expenses in their golden years. Our comprehensive solutions ensure a secure, comfortable and fulfilling retired life for our valued customers. Total annuity and Pension New Business underwritten by the Company is Rs. 15.4 billion. Annuity Business is at Rs. 11.5 billion and contributes 16% of New Business Premium. Individual Annuity Business contributes 90% of total Annuity Business.

Moving to updates on the distribution partners:

With a strength of more than 59,000 CIF's, SBI and RRB's Bancassurance business contributes a share of 63% and on individual APE basis it stands at Rs. 20.7 billion with a growth of 12%. SBI branch productivity on individual APE terms stands at Rs. 3.5 million for the current quarter and registered a growth of 14%. With enhanced focus on agency channels

strategic launch of agency 2.0, we have made impressive strides in agent activation, agency channel productivity and onboarding of new agents and better collaboration. Our agent productivity for the quarter stands at Rs. 1.7 lakhs on individual APE terms, registering a growth of 27% over corresponding quarter of previous year.

Agency registered New Business Premium growth of 28% over corresponding quarter of previous year and contributes 21%. Agency channel individual APE showed a growth of 48% over last period and stands at Rs. 10.7 billion. As on June 30th, 2024, the total number of agents stand at 2,57,266, a growth of 15% over previous year. During the quarter ended the Company added a net of 11,188 agents. The share of agency channel in individual rated premium has increased from 27% in previous period to 32% in current period.

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During the quarter ended June 30th, 2024, other channels that is the direct channel, corporate agents, brokers, online and web aggregators grew by 61% in terms of New Business Premium and 38% in Individual New Business. Linked business through other

channels registered growth of 89% on A PE basis. The share of other channels in New Business Premium have increased to 28% in current period from 19% in corresponding quarter of previous year. We are focused to strike optimum balance among various distribution channels and we expect to grow by leveraging these multiple drivers and further strengthening our distribution network.

Now to some updates on profitability :

The Company's profit after tax for the quarter ended June 30th, 2024, stands at Rs. 5.2 billion with a robust growth of 36% as compared to previous quarter of previous year.

Our solvency remained strong at 201% as against regulatory requirement of 150%.

Value of New Business stands at Rs. 9.7 billion with growth of 12 % as against Rs. 8.7 billion in last period. VoNB Margin stands at 26.8% for the period ended June '24. The shift in VoNB is mainly on account of increase in share of ULIP business as compared to previous period and for a specific period in non-PAR savings, the impact of yield movement was absorbed by the Company instead of being passed on to the customers.

Talking of operational efficiency :

OPEX ratio stands at 6.1% for the quarter ended June 30th, 2024, as compared to 6.8% for corresponding quarter of previous year. Our total cost ratio stands at 10.5% for the period ended June 30th as compared to 10.8% for corresponding quarter of last year.

With respect to persistency of individual regular premium, 13th month persistency stands at 86.5% with an improvement of 150 basis points and 61st month persistency stands at 59.0% with an improvement of 229 basis points.

As mentioned in my opening remarks, asset under management stand at Rs. 4.15 trillion as at June 30th, 2024, having a growth rate of 26% as compared to June 30th, 2023. Death claim settlement ratio stands at 98.7%. The Company has registered an improvement of 107 basis points over last year. At SBI Life an unwavering commitment to our customer centric approach remains at the heart of everything we do. Our mis-selling ratio stands at just 0.04% which is lowest in the industry. To further strengthen it and keeping customer at the center stage in order to better address the customer grievances, we have created the position of internal ombudsman and appointed an industry veteran to set a new benchmark in customer satisfaction. This is first in the entire insurance industry. We are committed to delivering need-based solutions that address the ever-evolving customer needs based on customer profile, life stage and goal prioritization. The Company continues efficient usage of technology for simplification of processes. With 99% of the individual proposals being submitted digitally. 42% of individual proposals

are processed through automated underwriting.

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We have aligned our business strategies with IRDA vision and other regulatory initiatives, emphasizing the importance of consumer empowerment in driving growth of the industry. IRDAI has issued a master circular on life insurance products that encompasses a series of forward-thinking reforms aimed at enhancing the efficiency, transparency and overall functioning of the insurance sector. These reforms are designed to foster innovation, improve customer satisfaction and ensure the stability and growth of the industry. Measures like increase in special surrender value, increase in free look cancellation period, loan against policy for all non-linked saving products, offering surrender value and robust processes to address customer grievances will further increase insurance penetration. We at SBI Life fully support these initiatives and are committed to aligning our operations with the new regulatory framework. We believe that these changes will bring about a positive transformation in the insurance industry benefiting all stakeholders involved.

To conclude by fostering a culture of resilience and continuous improvement and with our expanding multi-distribution network, committed team members and best in class customer service, we are confident of our ability to navigate the future and maintain our position as a trusted leader and preferred market player. We will continue to focus on long term, sustainable and profitable growth. Thank you all and now we are happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: A couple of questions. The first one is more around what will be your strategy around protection, encompassing both the retail protection and credit life? Because I mean on the credit life side you have a large bank like SBI as a partner and also on the retail side you have a big reach. But since last almost more than a year, protection somehow seems to be losing momentum, at least on a relative basis to savings. So, what is going

to be the strategy to sort of improve our protection share in the product mix , particularly the retail protection and credit life , GTI separating for the moment ? So that 's first question and the second question if you can sort of outline on your strategy or plans around product design or the commission tweaking post September 30th. Once this new product has to be sort of filed where you have this enhanced special surrender value . So, what are your thoughts on sort of our impact in terms of how we are going to deal with the you know balancing the margin or payout to the persistent customers at the same time the commission payout?

Management: So, taking your protection question first , there was a slight blip during the quarter in the protection sales as we saw in the result. And that was basically I think was being driven by more demand of U LIP products in the market depending on the returns that are being generated through U LIPs and our natural attraction of the customer segment for these higher returns. But having said that being in the insurance industry , protection remains SBI Life Insurance Company Limited
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very important and this is on top of our mind also. To improve the protection business , we have gone into a huddle with our main Banca partner S BI and depending on the data analytics of SBI on its database , we are going to offer a product very soon on the digital platform of State Bank of India , that is Y ONO , and this will be a simpler product with three click kind of issuance based on the data analytics and pre-approved kind of sum assured with very competitive rates and being o

n the digital platform , the journey

will be very easy for the customer , the rates will be very competitive and we expect a very good response through this particular product. In addition to that , we are also designing a product for the ultra HNI kind of segment where higher sum assured is needed. This product should also be launched sometime during the month of August, and we expect to garner a good business out of this higher sum assured product also. Of course , underwriting offering higher non-medical limits and simplified medical procedures also are being introduced to improve the individual protection business. The group protection of course has shown some growth and we expect that with the property market in boom , the group protection business especially with the Banca partner will definitely show further growth during the year.

Coming to your second question about the strategy and plans , we have maintained that the new customer centric approach of the IRDA , the better surrender value and also the customers , SBI Life being the lowest cost operator and also because of the kind of product mix that we have at SBI Life , we will be the least affected Company . As of now we are not planning any commission structure change for our corporate agents or for our individual agents and the rate structure will continue to be the same.

Avinash Singh: On first part on credit life , do you have any plans to sort of meaningfully improve traction beyond home loans? Because now SBI of course is pretty big in auto loan , even in personal loan their reasonably big. Are you looking to sort of increase penetration of credit life in auto loan customer or personal loan customer or is the home loan going to be the core area?

Management: Home loan continues to be the largest portfolio for the bank also and we see good value increasing penetration there. In addition to that with these new protection products also , on individual basis as well as on the group term basis , we will be targeting the education loan customers . So, for these young customers the protection will be priority and we will try to cover them through group or through individual products.

Moderator: The next question is from the line of Nishchint Chawat he from Kotak Institutional Equities .

Nischint Chawathe: I'm not sure if I really understood the reason for year -on-year decline in margins. As I understand , your margins in ULIPs at least in the past you 've had kind of highlighted are higher than margins in the PAR book. So , what has driven the compression in margins?

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Management: Nishchint the main thing is our protection has not grown to the extent we wanted. That is one of the key reasons why our margin has gone down. And in opening remarks MD also stated for that for a short while the drop in interest rate was not passed on to the customer. That is also there , of course non-PAR remains high margin product. But within non-PAR our margins have gone down comparatively slightly compared to last year because we did not pass on the drop in interest rate to customer. So , it's

combination of product mix , slightly higher ULIP sell and these two factors which have caused decrease in margin.

Nischint Chawathe: Slightly higher ULIP sales should have actually lifted your margins and you are saying that these two components probably more than offset that and which is the reason why your margin have margins have dropped.

Management: Correct .

Nischint Chawathe: If I just look at purely the savings vertical versus protection vertical margins , is the savings vertical margin kind of almost stable or gone up or how should one think of ?

Management: They are almost stable.

Nischint Chawathe: So then practically it 's only the protection swing in which you probably have around maybe 60 %-70% margin on individual protect

ion which is practically driving all the difference in numbers this quarter .

Management: I mean directionally correct. We will not comment on the amount I mean the numbers .

Nischint Chawathe: And just one more thing is you know on the regulatory side , there have been you know quite a few changes. Anything else that we are now really envisaging at this stage ?

Management: So, we have always stood by the changes that the regulator brings in because we firmly believe that whatever is being done by the regulator is to ultimately benefit all the stakeholders in the industry , be it customer , be it the insurance companies or the distributors . So, whatever comes in we are ready to implement that and in fact we have gone ahead. If you notice during my comments , we said that some of the customer centric approach like the introduction of internal Ombudsman in the Company , that is for the first-time insurance industry that we are doing that. So , all the customer favoring decisions of regulator we fully stand by that.

Nischint Chawathe: And because of the surrender penalty guidelines change , what could be the impact on margins? Because I think you mentioned somewhere that you 're going to absorb it and naturally share it with the distributors .

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Management: Not much. As you know our product mix is not towards the Unit Linked , less than the non-PAR. Secondly , we always used to be very prudent in terms of setting our assumptions. Our surrender value is higher than the regulatory required. So , we don 't penalize the customers . Our approach in the pricing the product is to ensure consistency and continuity in terms of what return we offer to the continued policyholder and things. We 're not banking our return based on the surrender penalty coming from that. So , to that extent there is very less impact. Only impact will come on the year one and year one our assumptions , our experience is also very low. So , we don 't see much impact will come on that perspective.

Nischint Chawathe: And just finally any guidance that you would want to give for the growth for the financial year?

Management: So, we stand by the guidance that we gave during the end of the last financial year results . Our top line growth will be in higher teens to 20% and regarding the margin also, we will be in the same range of plus/ minus 28% kind of.

Moderator: The next question is from the line of Pra yesh Jain from Mo tilal Oswal Finan cial Services.

Prayesh Jain: A couple of questions. Firstly , on commission costs that have gone up , what could be the reason for that? Secondly there is a slowdown in annuities as well. Could you highlight the reason for that? What is the outlook there ?

Management: For the commission part, as you know we have provided as required under the expense of management guideline , which was not there in the last year 's first quarter. That is the reason there is a little spike shown in the current quarter. And as far as the annuity is concerned, we have been very focused on the individual annuity . For group annuity , this is coming based on the transactions which you do over a period of time, so which are in pipeline. So , we expect that annuity will also pick up over all for the financial year in the next few quarters .

Prayesh Jain: And just lastly in the surrender charges , you are saying that if your product mix remains the same and the new products are launched from October , your margins would not be impacted. Is that a fair assumption to go with?

Management: We are saying that there will be very minimal impact. We can 't say there will be no impact. But looking into our product mix and the surrender value that we are currently offering , there will be much minimal impact will come on our margins , on overall margin for the Company .

Prayesh Jain: How do we kind of come

to (+/-28%) VoNB margin guidance that you are giving and the second half margins are likely to be lower would be impacted by this and how do we arrive at the guidance of 28%?
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Management: So, we are saying that product mix will improve and that will compensate for the loss in margin that you are seeing in the first quarter.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have two questions. First is on the Banca channel, SBI Channel, I know in last quarter also they were slow. But in general, the trend for this channel last year through the fourth quarter it didn't decline but the growth sort of slowed down. So, has there been any SBI stance over insurance or anything that you can share on that? Second is on the competitive landscape, after last year's taxation change had entered Tier-III-IV geographies which is your home turf in a way. So, are we seeing any increased competition in your geographies, any color you can give around that?

Management: If you are following Company's result, you would have noticed that there is very strong seasonality, especially in the Banca channel. After a very robust December quarter our growth in March quarter for the Banca channel was flat, in fact a little negative. But if you notice the numbers for June, we are back on the growth path. Although it is in the lower double digit, but the growth is back and second and 3rd Quarter usually are stronger for Banca and we expect that we will be back on the same growth path in Banca again.

Management: The second one I think you referred about the Tier-II, Tier-III cities for change in that. So, as you know we have been very strong on the Tier-II, Tier-III cities, almost kind of 48% to 50% of our business comes from these regions. And the presence of SBI across geographies in these particular regions are very high. So, we don't see much competition per se from any quarter. And we will try to enhance our penetration more on these regions to take the target which we have planned for the Company.

Shreya Shivani: So even incrementally right now you're not seeing any increased competition or is that what you're trying to indicate?

Management: You can see that the industry is having very robust growth, so there is enough in the market for all the players to take in. We won't say that we are being affected by the competition in any major way.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: My first question is on the agency channel. Now the agency channel has been growing fairly strongly and one of the key drivers behind that has been the number of agents that you have been adding over the last 2 years. Just wanted to understand that you know how sustainable is this agent addition and do you have an annual target about how many agents you would like to add every year? So that would be my first question before I come to my second question.

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Management: So, as you would have noticed in my address, I talked about our agency strategic initiative of Agency 2.0 what we are calling it internally in the Company. As you yourself said that you have been noticing the agent accretion during last few quarters in the Company. And the first quarter, growth in agency business is the result of the addition of these agents over previous quarters. As we recruit the agent it takes some time to mature and increase the productivity. And we are now noticing that increase in productivity of our agents and the consequent growth in agency number. Agency almost grew by 43% on IRP basis. And that is the kind of growth we are looking for in the current year so that our overall distribution mix, the contribution of agency is slated to go up.

Su

Supratim Datta: And could you give us a breakdown of how the margins across the different channels, typically would the agency be higher, or a lower margin channel as compared to Banca and the other channel? Could you give us some sense around that?

Management: So, we don't divulge the distribution channel wise margins for the products as such. So that is the Company strategy and that is how we want to continue in the current year also.

Supratim Datta: And lastly, I understand that you have indicated that in the second and 3rd Quarter, the growth typically picks up. But if I see that in the second and 3rd Quarter, you're citing fairly strong growth over the last 2 years. If I see on a 2-year basis in both quarters you're citing steady strong growth. So, could you give us a sense that will this growth

that you are targeting going to come from new product launches or are there other strategies in cue that you will focus on in the 2nd and 3rd Quarter which will result in the growth acceleration?

Management: So, we will have some segment specific product launches to drive growth in protection which we mentioned earlier. And we do believe that certain initiatives on digital platform of the bank that are underway will fructify in this quarter that is Quarter 2 of Financial Year and our normal activity level in bank, all three of them will result in higher sales in Banca channel.

Moderator: The next question is from the line of Dipanjan Ghosh from Citibank.

Dipanjan Ghosh: Just a few questions. First if you can give some color on the business growth in the others channel which is non-agency, non-SBI. What are the underlying constituents in terms of both product, and which is the fastest growing subsegment within that particular segment in terms of the channel mix? Second you mentioned on the protection product pipeline but is there any other products that is expected to be launched in the next few quarters? Also, will you be re-filing your products before 1st of October and if so, what would be the new contour? Are you planning for any changes? And you mentioned you won't be tweaking the commission structure but is there going to be any other product structure tweaking that you kind of would be doing? And lastly, we have seen some dichotomy in the non-PAR growth that we have seen across all the players have reported till now and you have reported a (+20%) sort of YOY growth. We just wanted to get some color on the policy growth versus the ticket size growth or the quality of customers who are really buying this policy.

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Management: I will take the question on the other channels and Prithesh will answer on the product. So, on the other channels it's a mix of PSU bank partners we have, non-PSU bank partners we have, brokers, online channel and direct channel, all everything. So, we have seen good growth in the online channel and good growth in some of the partners that we have. There has been a subdued growth in some of the bank partners we have. So, net it is there is what we expect is the bank partners which have shown subdued growth will come back in Quarter 2, Quarter 3, Quarter 4 and we will continue to show robust growth in our online channel, that is our expectation and this channel depending upon the partner, the product mix keeps varying. So, in some partner the share of, some channels share of protection and PAR, non-PAR is very high. In some other channel we are offering only NP S like products, so there is a different color partner by partner analysis will have to be done in terms of product mix for this channel. On the product structure and Prithesh will mention on the launch.

Management: On the product side what MD has also mentioned that we will be launching some plan for the ultra HNI customer also for the bank. What we are doing that we are

so looking into revamp our PAR portfolio, so you see few products we are working on the PAR business. We are also coming out of the PAR, on the non-PAR and as you mentioned that we are adopting the segment-wise approach, so we have a different geography, different kind of customers, try to understand their need and come up with the product with them, suitable to their profile, demographic profile and their income profile. What we identified another on the child segment is the growing segment for the country, so we will be revamping the product and child segment, and you will see the planning to introduce the child product in all three major segments, PAR, non-PAR and Unit linked platform and in addition to that we are revamping our rider portfolio. So, this month, month of August we'll be launching the extender rider and there is other few protection rider in pipelines. Objective is to give the complete solution to the customer, and we hope that will help us not only to meet the need of the customer but also help us to improve the growth and along with the improvement in our margin.

Dipanjan Ghosh: On the unexpected re-filing of products prior to the 1st October?

Management: Yes, we will. So, we have planned, and we are going to reprice and refile all this products in the phased manner, not limited to filing on the 30th September, so in gradual manner we will file these products.

Dipanjan Ghosh: If you can get the credit protect APE for the quarter?

Management: Yes, we will. So, we have planned, and we are going to reprice and refile all this products in the phased manner, not limited to filing on the 30th September, so in gradual manner we will file these products.

Dipanjan Ghosh: If you can get the credit protect APE for the quarter?

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Management: Credit protect APE is around Rs.47 crores.

Moderator: The next question is from the line of Aditi Joshi from JP Morgan.

Aditi Joshi: So, two questions from my side. Firstly, on the composite licensing thing. So, are you still expecting that this composite licensing might come into play and then if it actually takes into effect then what sort of benefits can you reap out of it? And from a channel perspective again from a composite licensing perspective which will be a key focus of channel in terms of distribution? And second on this agency side, do you have any particular product mix on that particular distribution channel in terms of what products you would like your agency to sell? Because in this quarter we saw that the ULIP growth was pretty much higher even in the agency side. But going forward do you think that we might see some higher share of protection products coming in from that side? And just lastly on these new high net worth, higher sum assured products that you mentioned, which distribution channel are you focusing on for this product segment?

Management: So composite licensing is in the talk for almost last more than a year or so and regulator has and government have to take a call on that. But having said so the contours of business in life and general insurance are very different but have some synergies also.

The risk, the asset liability management, everything is quite different. But the distribution channel and certain other things there are synergies. So, it has its pros, it has its cons.

As far as SBI Life is concerned, our parent bank has Company in life insurance and there is a separate subsidiary which looks after the general business. So as and when the composite licensing is introduced, the parent will take a call depending on the market condition and we will be guided by the parent bank in this regard.

Regarding agency channel, we do not offer differentiated product from agency and Banca channel. Their products are common, and the other features are also common to both the channels. The current growth in agency channel is basically being driven by our increased focus, improving infrastructure, opening more number of branches, employing more agent and focusing on the per agent productivity which happens to one of the highest in the private sector industry.

So going forward we will continue to focus on the agency channel.

Your third question about the ultra HNI product, we will be focusing on our direct channel as well as Banca and agency channel both because we are simplifying the underwriting processes. We are going to give higher non-medical kind of facility also in protection business and these will be uniform across the channels.

Aditi Joshi: And can I just make a quick follow up question, on your comment that going forward we will be focusing on riders as well. So, is it going to be higher rider attachment on the ULIP products as well? So, what sort of products will we have this increased attachment in the rider?

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Management: So, our objective is to make this rider available to all line of business. So, it will be available to the PAR, non-PAR as well as ULIP linked products. So, this is for all products. And we expect that the more and more offering we'll have in the rider side, it will give opportunity to customer to fulfill their need and hence there will be a lot of expectation that our rider attachment will go up.

Moderator: The last question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: It's the same question on Bancassurance channel. See our APE growth is just 12% in that Banca, that is SBI channel. So, if you are guiding for 18% to 20% kind of a growth for the full year, then the expected growth from the Banca channel should be at least 15% to 16% for the full year, if the momentum in the agency remains at the current level. So just wondering whether if it is 12% in the next 9 months you are expecting a growth of around maybe 18%-19% in the Banca channel. Are you fairly confident that 18% to 19% kind of a growth will happen to deliver that high teen to 20% kind of a growth what you have guided for APE that's the thing and what will lead to it? I understand the seasonality part but just want to understand that part little better. And second is that you said there is a marginal impact you did not quantify the number. But assuming this current product mix remains true for the entire year, maybe how much that impact would be maybe less than a percentage or 50-60 basis point means if you can give a ballpark number assuming the current product mix will remain true what will be the likely impact on the margins because of the surrender norms? Those were my questions.

Management: So, you yourself answered what you asked for that the 12% growth rate is based on the seasonality in the Banca channel. The March quarter growth rate was almost nil. It came back to 12%. Second and 3rd Quarter are usually strong for Banca. And in addition, we are expecting good business in the protection segment. The digital product that we are going to offer on the Yono channel, we have very high hopes because it is a much -

simplified product with a lesser premium and we expect very good growth in this also. The strong growth in ULIP is continuing so that also in second -3rd Quarter will provide us good growth opportunities and pushing it from 12% to the number, you yourself said around 15 %-16%. That is not much of a difference. We are very sure, very sanguine that the kind of 18 %-20% growth guidance that we are giving we will be able to stick to that.

Sanketh Godha: And if you can quantify the bps impact on the margins with the current product mix? Management: We will not exactly quantify but this will be definitely much lesser than the 1% number that you quoted.

Sanketh Godha: And lastly if I can squeeze in one, see even your group protection has slowed down I understand. Group annuity has slowed down I understand which could be tactical based

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on when the corporates will do it. But even individual number, individual

I annuity see ms

to have declined 10% year -on-year. So, anything to read there? Is it because of the IRR pressure, competitive pressure or the competition has launched more customer friendly products and that is leading to bit of slowdown individual annuity?

Management: Sanketh, there are two things to it. Credit life as of today it is growing at 5%. But as MD has already mentioned that there is a big uptake on the housing loan side because of the various things going on in the economy. So, we expect that the credit life will grow better than what we have seen in the first quarter. Second as far as the GTI businesses are concerned, it is a business which is getting negotiated during the course of the year and we expect that some transactions will fructify during the next two-three quarters and will definitely get as desired for us in the current financial year. As far as the annuity is concerned, it is a bulky business, and we don't have much pressure as far as the pricing is concerned. But we will see what is the beneficial for us as far as the VoNB attrition is concerned. If it is a positive VoNB definitely we will be going forward for the larger deals in the coming quarter. So overall we expect that the group from the credit life as well as from the group annuity will go up in the coming quarters.

Sanketh Godha: My question was on individual annuity which has also declined by 10%. Is there any pressure there in that sense?

Management: No, it has subdued this quarter. But our rates are quite competitive and we expect that this will bounce back in the coming quarters to come.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Amit Jhingran – Managing Director and CEO for closing comments.

Amit Jhingran: Thank you very much everybody, ladies and gentlemen for the time and the queries and the interest shown by all of you. You may get in touch with our investor relations team in case you have any follow up question at any point of time. Thank you. God bless.

Moderator: On behalf of SBI Life Insurance Company, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward-looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward-looking statements.

Call: Oct 2024

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

www.sbilife.co.in

October 30, 2024 SBIL/CS/NSE -BSE/2425/174

Assistant Vice President

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NSE Symbol: SBILIFE General Manager

Listing Department,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001

BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q2 of FY 2024-25

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2425/163 dated October 19, 2024 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Wednesday, October 23, 2024.

The transcript of the earnings conference call with analysts/investors is also hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Girish Manik

Company Secretary

ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Q2FY25
Conference Call "

October 23, 2024

MANAGEMENT : MR. AMIT JHINGRAN - MANAGING DIRECTOR & CEO
MR. SANGRAMJIT SARANGI - PRESIDENT & CFO
MR. ABHIJIT GULANIKAR - PRESIDENT , BUSINESS STRATEGY
MR. SUBHENDU BAL - CHIEF ACTUARY & CHIEF RISK OFFICER
MR. PRITHESH CHAUBEY - APPOINTED ACTUARY
MS. SMITA VERMA – SVP, FINANCE & INVESTOR RELATIONS

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Moderator : Ladies and gentlemen, good day and welcome to SBI Life Insurance Company Q2 FY25 Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran, Managing Director & CEO. Thank you and over to you, sir.

Amit Jhingran: Good evening, everyone. We are happy to welcome you all to the results update call of SBI Life Insurance for half year ended September 30, 2024. We appreciate and thank you wholeheartedly for your time for analyzing our results and attending our Earnings Call. Updates on our financial results can also be accessed on our website as well as on the websites of both the Stock Exchanges .

Along with me, Mr. Sangramjit Sarangi – President & CFO; Mr. Abhijit Gulanikar – President (Business Strategy) ; Mr. Subhendu Bal – Chief Actuary & Chief Risk Officer; Mr. Prithesh Chaubey – Appointed Actuary and Ms. Smita Verma – SVP (Finance) & Investor Relations are present here on the call.

I am pleased to share that we have seen progress in several key areas as compared to previous corresponding periods, demonstrating the strength and dedication of our teamwork. We are building a strong base for the year ahead by improving the Banca and agency productivity levels, onboarding new agents and digital initiatives . This will ensure that in the long run the Company meets its goal.

In response to the evolving needs of our customers, we have taken significant steps to enhance our product offerings. Over the past period, we successfully relaunched 15 existing products , ensuring they align with regulatory requirements, current market trends and customer expectations. In addition to our relaunch efforts, we introduced nine new products that cater to the emerging needs of our customers. Five unit linked insurance products , two term insurance products, one endowment product, etc. Further, in its endeavor to provide retirement solutions to the Company has also launched annuity product. As of today, the Company has 24 products in its portfolio. These new offerings reflect our commitment to proactive approach to addressing the changing landscape of customers and regulatory requirements.

By leveraging insights from the market research and customer interactions, we developed these products to provide greater flexibility, improved protection and tailored solutions. While we have experienced slower growth in premium numbers than anticipated, due to the high base from last year, we are optimistic that our new product

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launches and approach in reaching out to the customers will drive growth moving forward .

Our focus on adapting to customer needs underscores our dedication to delivering value and security. We believe these initiatives not only strengthen our portfolio but also reinforce our position as a trusted partner in the insurance industry. Moving forward we remain committed to continuously assessing and refining our offerings, ensuring that we are well equipped to meet the dynamic demands of our customers. We recognize that staying attuned to customer preferences and market trends is essential for our continuous success.

Now let me give you some key highlights for this half year -ended September 30th, 2024 :

The New Business Premium stands at Rs. 157.3 billion and maintains private market leadership with share of 21.3%.

Individual New Business Premium stands at Rs. 114.9 billion with a growth of 13% and private market share of 25.7%. Gross written premium stands at

Rs. 359.9 billion, a growth of 7%.

Protection New Business Premium stands at Rs. 17.2 billion. Profit after tax stands at Rs. 10.5 billion with a strong growth of 38% over the corresponding period of last year. The value of New Business stands at Rs. 24.2 billion. The value of the New Business margin stands at 26.8% for the period ending September 30, 2024. Embedded value stands at Rs. 660.7 billion registering a growth of 29% over Rs. 512.6 billion in the last period.

Our Assets Under Management stand at Rs. 4.39 trillion. The solvency ratio is at 2.04 as against the regulatory requirement of 1.50.

Now I will update you on each of the key parameters in detail :

Individual New Business has grown to Rs. 114.9 billion with a growth of 13% over last period. Single premium contribution is 33% of individual New Business Premium. If we exclude the annuity business, single premium contribution is at 17% of Individual Business. The Company's private market share stands at 25.7% and industry market share stands at 15.5%.

On Individual Rated New Business Premium, we stand at Rs. 81.0 billion with a growth of 15% over last period and maintain our leadership position with private market share of 22.7% and total market share of 15.4%. The Company's two-year CAGR of individual rated New Business Premium stands at 16% out facing the industry CAGR of 14%. This

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is on backdrop of a consistent growth in performance which Company delivered year-on-year.

We have witnessed some headwinds in group business particularly with our group savings product due to unsustainable rates offered by few in the market. Group New Business Premium stands at Rs. 42.4 billion with a contribution of 27% in New Business Premium. Having said that, we have collected a total New Business Premium of Rs. 157.3 billion. The Company's Private Market Share stands at 21.3% and total market share stands at 8.3% on the New Business Premium parameter.

Renewal premiums grew by 16% to Rs. 202.6 billion which accounts for 56% of the gross written premium.

To Sum Up:

Gross written premium stands at Rs. 359.9 billion with a growth of 7% over corresponding previous period.

In terms of APE, premium stands at Rs. 90.3 billion, registering a growth of 9%. Out of this, individual APE stands at Rs. 82.6 billion with a growth of 16%.

During the half year ended September 30, 2024, total 9.87 lakh new policies were issued. Number of lives covered during the half year ended September 30, 2024, is 11 million.

The growth in sum assured serves as a positive indicator of consumer confidence and the increasing awareness of the importance of financial protection. This upward trend reflects a shifting mindset among individuals who recognize the need for comprehensive coverage to safeguard their future. Individual New Business Sum Assured registered a growth of 20% over the corresponding previous period. Further as we continue to innovate and customize our offerings to meet evolving needs and demands, we anticipate growth in the upcoming period. This is already evident in our quarterly growth of individual New Business sum assured which stands at 51%.

Let me give you details about the product mix :

As on September 30, 2024, our guaranteed non-PAR saving products are contributing 19% on an Individual APE basis. Individual ULIP New Business Premium is at Rs. 70.4 billion with a growth of 19% over corresponding last year. And it constitutes 61% of individual New Business Premium.

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The growth in ULIP can be attributed to the positive movement in equity markets and evolving customer preferences. This trend is evident across the industry as more customers seek products that blend investment opportunities with protection.

Individual Protection New Business Premium is Rs. 3.2 bi

lilion. Individual Protection

Business for Q2FY25 has grown 15% on NBP basis as compared to Q1FY 25.

Group Protection New Business Premium stands at Rs. 13.9 billion. Credit Life New Business Premium has grown by 3% and stands at Rs. 10.5 billion. Protection Business Contributes 8% of APE and stands at Rs. 8 billion. Retirement plans assist customers in building a substantial corpus of funds to maintain the desired lifestyle and manage expenses in their golden years. Total annuity and pension New Business underwritten by the Company is Rs. 32.8 billion.

Now moving to update on distribution partners

With the strength of more than 58,000 CIFs, State Bank of India and RRBs Bancassurance business contributes a share of 58% on total APE basis and on individual APE basis it stands at Rs. 50.9 billion with a growth of 7% . SBI branch productivity on individual APE terms stands at Rs. 4.3 million for the period and registered a growth of 8%.

In the first half of the year, we witnessed slower growth in our Bancassurance Channel as we are prioritizing on the development of robust digital platforms and advanced data analytics with a clear goal to reinvigorate the business model and enabling the Bancassurance channel to better serve specific customer needs both in person and digital ly. While this may result in a temporary slowdown, we view the phase as a strategic investment for future. The focus will be on customer -initiated journeys on Yono platform of State Bank of India with little or no manual intervention. By enhancing these capabilities, we are laying the groundwork for sustainable growth and improved customer engagement in the long run.

With enhanced focus on agency channel and strategic launch of Agency 2.0, we have witnessed improvement in agent activation, agency channel productivity and onboarding of new agents and better collaboration between agents. Our agent productivity for the period stands at Rs. 2.6 lakhs on individual NBP terms registering a growth of 21% over corresponding previous period.

Agency registered New Business Premium growth of 14% over corresponding previous period and contributes 23%. Agency channel individual APE showed a growth of 36% over last period and stands at Rs. 27.9 billion. As on September 30, 2024, the total number of agents for the Company stand at 2,64,058, a growth of 11% over the previous period. During the half year end, the Company added more than 50,000 agents, a fair

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mix of both urban and rural areas. The share of agency channel in individual rated premium has increased from 29% in previous period to 33% in current period.

During the half year ended September 30, 2024, other channels that comprise of direct channel, corporate agents, brokers, online web aggregators etc. grew by 28% in terms of Individual New Business Premium . Linked business through other channel registered a growth of 59% on APE basis. We are investing in building our online business channel. Individual rated premium through this channel has grown by 73% for the current period as compared to the previous period. Last year and protection business through this channel on IRP terms grew by 10% as compared to previous period. We are focused to strike optimum balance among various distribution channels and we expect to grow by leveraging these multiple drivers and further strengthen our distribution network.

Coming to updates on profitability :

The Company's profit after tax for the half year ended September 30, 2024, stands at Rs. 10.5 billion with a robust growth of 38% as compared to previous period. Our solvency margin remained strong at 204% as against regulatory requirement of 150%. Value of New Business stands at Rs. 24.2 billion with a growth of 2%. VONB margin stands at 26.8% for the half year ended September 24. The shift in VONB is mainly on account of

increase in share of ULIP business as compared to previous period.

Embedded value stands at Rs. 660.7 billion, a growth of 29% over previous period.

Embedded value operating profit stands at Rs. 54.4 billion and operating return on embedded value is 19.5%.

Coming to operational efficiencies :

OPEX ratio stands at 5.8% and total cost ratio stands at 10.6% for the half year ended September 30th. With respect to persistency of individual regular premium, 13th month persistency stands at 86.4% , an improvement of 98 basis points and 61st month persistency stands at 61.9% , an improvement of 438 basis points.

As mentioned in my opening remarks, Assets Under Management stands at Rs. 4.39 trillion as at September 30th having grown at a rate of 27% over corresponding period.

Death Claim Settlement Ratio stands at 99.2%. The Company has registered an improvement of 68 basis points over last year.

An unwavering commitment to our customer -centric approach remains at the heart of everything we do. Our mis-selling ratio stands at 0.03%, which is one of the lowest in the industry.

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Digitization is transforming the life insurance industry, enabling us to deliver enhanced services and a more seamless experience for our customers. As we embrace this digital transformation, we remain committed to innovation and excellence, ensuring that we stay ahead in an increasingly competitive landscape. The Company continues efficient usage of technology for simplification of processes, with 99% of individual proposals being submitted digitally. 44% of individual proposals are processed through automated underwriting.

We have aligned our business strategies with IRD AI vision and other regulatory initiatives, emphasizing the importance of customer empowerment in driving growth of the industry.

To conclude :

By fostering a culture of resilience and continuous improvement supported by our multi - distribution network and d edicated team, we are confidently positioned for the future.

Our commitment to exceptional customer service strengthens client relationships and reinforces our status as a trusted leader in the market. With a focus on long -term, sustainable and profitable growth, we aim to create lasting value for our customers, shareholders and communities paving the way for a prosperous future together.

Thank you all and now we are happy to ask any questions that you may have.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. First question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Two questions. First one, broadly on the growth outlook, we heard you outlining your priorities. Now, if we see the reality, I mean, even the first half, 15% retail AP E growth has broadly come, the challenges were partly also on the group side and even retail within your bank SBI. And you sort of suggested some kind of a strategic shi ft you are doing within that channel. Now in this backdrop, I mean, the reality of what is happening in the group saving markets or the pricing pressure on GTI, that 's all affecting , credit life depending upon of f take of loans, entirely affecting the grou p business. And on the retail side, what you are sort of doing within banks . So, now, how do you see the growth panning out and also, we have this new surrender that led to some bit of disruption and also, we are getting festive months. So, a lot of externalities as well. How do you see sort of a growth panning out in H2? And within bank, I mean, how will it take this transition and how long this phase will last? I mean, when can we expect sort of a growth to ramp up within banks also? So , a broader sort of your commentary on growt h. And second, again, related to the margin, now ULIP, of course, has grown, and thankfully for you also, non -PAR has grown, and that is wh

ere the margin has come

relatively better. But again, the credit life has been slower, probably group term

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insurance pricing seeing some pressure, and now you have this surrender regulation.

So, how do you sort of, in this backdro p, with changing sort of your product distribution mix and growth trajectory, how do you see that margin to be playing out? So, these are my two questions, thank you.

Management : So, talking of the growth first, we have grown in the first half on IRP basis at the rate of 15%. And when you compare our base for the last year and the industry base for the last year, this 15% growth has come on a much higher base. If you look at the two-year CAGR, we are better placed in that industry. Talking of the bank, we are trying to shift the business to the digital channel, where the customer will be initiating the journey on the YONO platform itself. And that shift is creating this temporary kind of blip, b ut we are very sure that this growth will return. Again, ban cassurance and particularly SBI is providing the bulk of the business to the Company and this growth again is coming on a very high base. So, we must be cognizant of that fact. Regarding the futur e, we are sure that we will be able to maintain and maybe improve on this 15% growth. So, for the entire year, we look forward to a 15 % to 17% kind of growth on an IRP basis. Talking of margin , you have seen that our margin are the best in the industry and you are

already talking about the product mix and that it is helping the Company . In the recent past, we have launched two new products in the protection segment which offer higher margins and one of these products is a protection product for H NI individuals and there the product is very competitive when compared to the industry rates and we expect good growth with good numbers in that. In the Banca channel also we have launched a protection product which is based on the data analytics, and it is kind of a pre - approved and auto underwritten kind of product and in the first month itself we have seen more than 33,000 policies being sold on the Yono channel initiated by the customer himself. So, going forward we expect that the protection numbers will be better, and they will affect us , they will positively affect our margin also.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: First of all, if I look at the business trends on a sequential basis, have we seen margin changing at a product level, which means that either you let margins going up or down on sequential basis or non -PAR margins going up or down on sequential basis ?

Management: This is the timing issue. There is some point in time that when you try to optimize the value both for the customer and for the shareholder in terms of the margin, we do try to reflect the reality of the market. So, some point in time, if you see the last quarter, we have passed on the interest. We have not repriced. So, there was pressure coming on the non -PAR. Last month, we have repriced our non -PAR product and ULIP . And hence, we 'll see some improvement coming on the margin side. So, point we are trying to make is that , in the business, we try to optimize the value for both the customer and

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shareholder. In this context, you may see there will be some change in the line of business margin, but not significant on that.

Nischint Chawathe: So, what you are essentially trying to say is that non -par margins were probably a little lower in 2nd Quarter . I think that is what you are trying to say ?

Management: No, I am saying that first quarter was slightly lower, 2nd Quarter is higher and we are expecting that in the Q3 it will be even better from the current level.

Nischint

Chawathe: Another data , essentially on operating variances change in assumptions , you know in EV walk and VNB walk if you could just kind of fill out the components ?

Management: First to clarify , there is no change in assumption . So, if you look into the VNB walk since we are doing from last September to this September there is impact coming from . This impact is only what assumption we made the change in March , there is no change and other aspects. If come to the EV walk, there is no change in the assumption , because you are comparing from March to September, and you see there is the operating variance coming from, and just to clarify, this operating variance is on account of positive variance coming on account of expenses, mortality and persistency . There is no offsetting impact from us, or each and every variance is giving a positive contribution to this. And like we are always mentioning that we follow a sustainable approach in long term and always we get a positive variance all the component on this.

Nischint Chawathe: And the economic assumption between debt and equity, it 's a fairly large number for you this quarter ?

Management: So, we don 't disclose basically, but you see this component of the economic moment in the market. So , you see the equity has grown up around 13 % to 14% in the period of six months . The bond has gone down by 30 basis points. So, most of the contribution is coming mainly on account of the equity side as well.

Nischint Chawathe: And just one last qualitative question is on the agency business . You reported almost a 25% growth on the agency's side. So, how should we think about this going forward and what gives you confidence on sustaining such a high growth rate ?

Management : So, we are consciously driving our agency business. And as you must have heard in my initial remarks, we started a program called Agency 2.0 at the Company level, where the focus is on improving not only our physical infrastructure, that is the number of branches, but also the number of active agents , the agent productivity, the agent activity per frontline manager. So, there are several initiatives we are taking on the agency's side to push the agency business further. And we are happy to note that the first half year our growth on IRP basis in agency is 33% which exhibits that our efforts are paying

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dividend, and we expect to continue this agency enhancement program for the full year

and in the medium term also.

Nischint Chawathe: And are you facing any pushback or resistance from agents as you implement the new, the surrender value guidelines that you 'll probably share some part of the burden with them?

Management: No, so we have not changed our commission structure at all, unlike many players in the industry. And in fact, on the surrender value front, our surrender values earlier also were much better than the industry level and the new guidelines have affected us as a Company in the least. So, as such there is not much effect of surrender value. Our product mix, also if you see it is very heavily tilted towards ULIP where again there is no effect of surrender value.

Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: My question is on the protection segment. So, last quarter, we had mentioned about launching a new product on the YONO app and an HNI product from August. So, in spite of that, the growth is not very strong for the quarter. Is it purely a function of that digital transformation happening in the YONO side? Or if you could give some color on how has the uptick been on that product given that it 's been around for two months to three months at least. And so my second question is on the topic of surrender value itself. So, you'd mentioned last time that if at all there 's what

tever impact there is

from surrender value maybe up to 50 b ps for us, so is it fair to say that the 26.8% VNB margin that we are at right now will decline to a 26.3 % in the second half or keeping everything else constant that is, so some color on that will be useful. Thank you.

Management: Okay, so since you talked about the protection guidance we gave it last time , unfortunately the products that I referred to in the last call were a bit delayed and were launched only in the middle of September. So, in fact the numbers for the September quarter and the effect of the new product launches could not be captured. As I told you that in the last one month we have sold around 30,000 policies , more than 33,000 policies on the YONO platform, that product I was talking about. So, that number will be reflected in the current quarter. So, that is what is making us give the guidance of higher protection percentage in the third quarter of the year. And talking of surrender value as I already explained, we as a Company are the least affected by the surrender guidelines. And in line with the IRDA 's prescription, I think we were the first Company to start relaunching our products from the middle of September itself instead of waiting for the quarter end because we found that these steps, these guidelines are in the interest of the customer and we at SBI Life value the customer centricity as the most. So, the effect of the same on the margin , we don 't foresee any effect on the margin of SBI Life Insurance

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the Company, and we continue to stick to say 26 % to 27 % is kind of margin for the full year also.

Shreya Shivani: One just follow up on that bit. You spoke about you launched your products in September itself. So, any color you can give us around how has been the off take of the new surrender value products to the customers ? Are customers finding it more attractive? Are distributors finding this one easier to sell because it favors the customers? Something on that line .

Management: When the sales pitch happens, the surrender value is never talked . Let us be honest , you talk to customers that you have to pay premium for 7 years, 10 years, 12 years. So, surrender value is in rare cases if customer raises objections only then surrender value discussions happen. So, you would not have any you know color from the customer of surrender value acceptance honestly. He said eventually customers will benefit from the new regulation there is no doubt about that but in the sales conversation surrender is not the topic that you got discussed when the sales conversation happens.

Management: If you are launching a new product for a long term, say 15 years -20 years, you don 't tell the customer that you come and get it surrendered in the first year itself.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: I have two questions, and both are on the growth side. So, I wanted to understand the strategy that you are taking within the banca channel a bit more. So one, in the previous quarter, you have indicated that there is a lot of opportunities still to penetrate within the bank branches. Now, I wanted to understand if there is still so much opportunity within the bank branches, why are you looking at YONO, the digital platform as a key source of growth going forward. That 's one reason why we pivot towards YONO. And the second one was on the YONO, the self -drive business we have seen aggregators also

move from a self-drive model to an assisted model when it comes to growth through digital channels. Now, I wanted to understand that, would you be supporting the YONO channel with your own direct sales team? Or how do you, once it reaches a certain size, how do you plan to drive growth after that? So, those were my two questions. Thank

you.

Management: So, YONO, the State Bank of India is developing YONO as a marketplace also. It is already working towards launching YONO 2.0 with very enhanced features. So, our initiation of customer-initiated transactions for the insurance on the YONO platform is also step in that direction only where we will be offering our products on the YONO marketplace. Having said that the opportunities you were talking about in the State Bank, you know that our penetration in State Bank account is only around 2% of the actual coverable accounts, so the opportunities remain huge, and we are developing SBI Life Insurance
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this YONO channel as an eye on the digital transaction and digital is the future in coming years. So, we want to initiate that journey from the very start itself.

Supratim Datta: Just one last question. So, if I look at your product development, it has happened. A lot of the product development that has been on the protection side or non-PAR-side or agency side, now, typically in the bank, your model is a bit different wherein you don't have your own people in the branches. So, wanting to understand, and typically these are products which are more difficult to sell. So, how are you bridging this gap? Are you providing more education to the branch reps or how are you incentivizing the branch reps to sell these new policies or motivating them to sell these new policies where I understand there is no incentive?

Management: So, yes, you are right that we don't have our employees at the bank who do the sales. The entire banker sales is being done by what we call certified insurance facilitators, the CIFs. For that, they have to pass examination, and then only they are certified as CIF. To these CIFs we provide regular training about all our products, including all the products that are being newly launched, be it ULIP, be it non-PAR or PAR product. As far as the protection product that I was talking about, that is a product which is offered through YONO platform to the pre-selected customer based on the data analytics. The bank is running a lot of data scrubbing based on the customer balances, customer income level and his age profile etc. And based on that, this product is being offered on selective basis to the customers and this product sales are the customer oriented itself which are, I will say that this is a three-click kind of product offered to the selected customers. So, the leads are going, the offer is going to the YONO customer on his YONO app itself and they are initiating their journey. The role that the branches will play here is making the customer aware that this product is available on your YONO app.

Supratim Datta: And on the motivation side, is there something that we are going to motivate the branch reps?

Management: No, so that we have made very clear from the very start that the individual incentives to motivate staff were stopped by Reserve Bank of India since 2017 itself and there is no incentive for any of the bank employee to sell the insurance.

Supratim Datta: You've this HNI protection for that. Just wanted to understand, you know, what is the contribution of that to your overall protection you see and how are you selling that? Are you clubbing that with your ULIP for that? Or how is that being sold if you could get some color on that? That would be helpful.

Management: So, this product has very recently been launched and this is again a product with a minimum sum-assured of Rs. 2 crore and to tell you the actual sales experience, the product has been very recently launched so I will not be able to comment on actual sales experience. Maybe next quarter we can talk about the numbers and everything
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but we have trained our agency force as well as the bank CIFs about this product and we hope to see good numbers because

this I assure is a very competitive kind of product when compared to the protection plans being offered by other companies.

Supratim Datta: And is it being clubbed with the ULIP product or is it being sold separately?

Management: It is not clubbed as such but yes, the ULIP customers with good premium it can be a good option. I will not say that it is being clubbed but it may be offered to those

customers also.

Moderator: Thank you. The next question is from the line of Manas Agarwal from Sanford -C. Bernstein. Please go ahead.

Manas Agarwal: Sorry to harp on this again, some things are not making sense . So, I'll ask it in a different way. Has there been any change in the channel dynamics with SBI? I 'll lay the context before you answer. ULIP is doing very well for the market and you guys are the leader in that. Ban ca channel is very skewed towards ULIP . 2Q and 3Q is seasonally strong for Ban ca for us historically. So, all of that does not tie in with the fact that our growth in the Banca channel is not doing well. Your comment on investing in the digital sales on the bank side is an incremental effort. I don 't understand why that should harm your BAU sales. So, is there any change in how SBI is approach ing SBI life sales? That 's the question.

Management: If you are talking about any harm to our sales, I don 't see any harm. We have grown. Only thing is that growth has come down from say 15 %-18% kind of growth that we had last year to 9 % this year. So, as such there is no harm, and you have to mind that this 9% growth is coming on a very high base. So, the sales are there and there is no change in dynamic s between SBI life and SBI. We continue to be the sole Company being offered by SBI to its customers and we don 't foresee any change in the near future in that dynamic s.

Supratim Datta: Your investment in digital sales in the Ban ca channel, why should they affect the BAU sales is the question ?

Management : It is definitely not affecting. The 9% growth is coming on from that channel and those partners only. The digital initiative is very recently launched. What I am saying is that , going forward the growth from this channel will be in addition to whatever is being sold from the branches and the CIS . But we are investing in that channel and we expect good numbers going forward.

Moderator: Thank you . The next question is from the line of Madhukar Lad ha from Nu vama Wealth . Please go ahead.

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Madhukar Ladha: Again, on the same point actually. So, what exactly are you doing in the S BI channel? Because I think you mentioned that you are trying to move that channel into digital.

Does that mean that you are trying to also change the way a walk -in customer buys insurance from you, and is that what is impacting your sale s? So, I think that has not come out clearly as to, how the digital channel is actually impacting your overall sales from the SBI channel. So, maybe if you can elaborate on that a little bit that would be useful. And second, you mentioned that your VNB mar gins will be in the range of 26 % to 27% for the full year. In the first half, you are already at 26.8%. I understand that there may be some negative impact because of surrender value changes, but that you are yourself also saying that will be minimal. But shouldn 't then with operating leverage, the margin then for the year should be higher than the current number? That 's my second question. So, yes, so these would be my two questions right now.

Management: So, I think if you are referring to the operating leverage, we have already accounted for in our assumptions, correct? So, what we are saying is that currently we hold up the margin of 26.8% and depending on how the business will g row over the period, because we have to also op timize the VNB rather than the margin perspective. And in order to optim

ize the VNB, we need to ensure that there is appropriate growth in the AP E term is coming out. And in that context, we are saying that our margin might be arranged between 26 % to 27 %. This is the lower side that we are looking into. There is always an upside on the side and that we long term guidance we are always saying that our aim is to maintain the margin of 2 8%. But I 'm saying since we are sitting today, 26.8 % we have to also opt imize the AP E growth. In that context, there is possibility that margin will be range bound, nothing else.

Madhukar Ladha: Just a follow up on that. So, then what would be sort of your VNB growth target, like in terms of optimizing, then instead of a margin target, maybe it 's better to talk in terms of a VNB target for the year .

Management: It will be commensurate to the APE growth. So, if APE growth is happening around 15% to 16%, you are expecting 15% to 17% target, I think VNB growth will be in rang e of 12% to 15% kind of things.

Madhukar Ladha: And then on the sales in the SBI channel, that first question there ?

Management: I already explained that we are trying to develop this digital channel where the SBI customer is able to initiate the insurance purchase journey on the YONO platform itself and the role of CIFs and the branches will continue and the customer base of SBI will

be a captive kind of base for SBI Life also going forward too there is no impact as of now, but in future when we are able to develop this channel fully, there will be a positive impact on the number.

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Madhukar Ladha: And so at the branch level, then for physical walk -ins or that the way the business is happening right now, that has not changed at all. Is that understanding, correct?

Management: Yes, Madhukar, you are absolutely right. The SBI, the way the sale is being happening today will continue. The CIFs will sell on behalf of SBI. As MD said, the digital penetration is also another way of looking at the sales, which SBI is looking very strongly and that is why they have developed the YONO . Now they are venturing into YONO 2.0. That will help definitely to penetrate the customer base of digital savvy customers. So, it will be a kind of a digital channel within the SBI channel, which we expect that both will flourish and we expect that the growth is, today it is a 7% growth on a higher base. We will see how it will develop in the next six months or so, but this is the best opportunity in SBI who are actually tech savvy to buy the insurance products. Many of these tech savvy customers who are digitally enabled and who are using internet banking and YONO platform, they are not even visiting the branches. So, this will be, that is why we said that it will be having a positive impact once we are able to develop it.

Madhukar Ladha: And just finally, then, you know, historically we've sort of done quite well on growth. And year after year, we've done quite well. We know that penetration within SBI also remain low. But you pointed out a high base, and especially if you look at the last two months, the AP E numbers don't sort of add up or are a little weak, right? So, we do expect that to change. Anything specific that has played out over the last two months that you would like to comment on in the SBI channel?

Management: Madhukar, there is no change at all of the strategy in SBI is concerned. As already said, last year's base was quite high for us. So, we were actually growing at 18% and 2nd Quarter was also significantly high, almost 30% plus for us as compared to the industry. And Banca contributed the maximum for us. So, that is the reason the base effect has been seen this year. And the initiatives which we have taken now, we think that it will come back to the mainstream. But last year we grew by 12% in SBI. So, we expect similar kinds of numbers in this year also

Moderator: Thank you. The next question is from the line of Sanketh Godha from Aventus Park. Please go ahead.

Sanketh Godha: Sir, again, sorry to ask the question on bank. But just the growth for half is 7% from the bank channel. Do you expect the growth from State Bank of India to be in teens, at least in the current year, given the current growth trajectory? And probably we'll have a little favorable base in fourth quarter. So, just wanted to understand how you are looking from a full year perspective, the growth to play out. And accordingly, you can also give us a guidance how agency will do going ahead, because that number is pretty strong, 36 percentage. So, how do you expect this number to play out in numbers? And the second thing is basically, they just wanted to check whether in non-PAR products have

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you made any IRR change to just accommodate higher surrender value? You said that you did not change any in commissions, but any IRR meaningful change you have made just to accommodate surrender low limited impact on the non-PAR business?

Management: I will take the last question first and then pass on to MD sir to comment on that. I think non-PAR we do reprice the product and as a part of continuous pricing, we pass on the yield reduction to the customer because yield is going down and we have repriced. So, all the non-PAR product has been repriced and launched in the month of August. We do ensure that the product is in compliance with the regulation in terms of the surrender value. So, surrender value in our product is in line with the regulation. As we keep mentioning earlier as well, that our surrender value even before regulation is much higher than our peers. And when we change the product to comply with these things, there is not much impact on the surrender value. Except in the year on, where earlier regulations don't allow surrender in year one. Most of the impact in our surrender value coming in year one. To that extent, I can say that the repricing do take care of the falling interest rate and to some extent might be on the surrender value but not entirely with passing into the impact of surrender value to the customer because it is not beneficiary

to the purpose of regulation to bring this surrender. If you are going to reduce IRR, then this means purpose get defeated. So, most of the repricing is drawn on account of falling interest rate. Some parts here and there might be passed on to the customer on account of surrender value.

Sanketh Godha: On the Banca?

Management: So, on the agency, I think MD already mentioned that we have grown at 33% in first half, and we expect similar kind of growth, 30% kind of growth for the second half also.

And in Banca we should expect high single digit or 10% kind of growth.

Management: So, on IRP basis in the first half in Banca we have grown by 9% and you are aware that October, November, December for the Banca channel for SBI Life has always been very strong. So, we have a very high base out there. So, I expect that the growth in the current quarter will also be somewhere around 9% only.

Sanketh Godha: So, basically, sir, the second point is that 30% odd in agency and 10% in the banca is the most likely number to be achieved for the full year?

Management: Yes, we agree with that.

Moderator: Thank you. The next question is from the line of Aditi Joshi from J.P. Morgan. Please go ahead.

Aditi Joshi: The first question is actually related to the product mix. Just some details will be helpful.

I mean, firstly, why the annuity product was slightly weaker in the 2nd Quarter. And

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also, can you explain as in especially related to the participating products? We saw very strong growth in the 2nd Quarter. So, just from a product proposition perspective, what is

attractive to the customer and how are you trying to sell it because just very strong growth in that particular segment? And a related question is that if we are able to provide some mixed outlook for the second half will be helpful? Just one clarification is needed if I can ask that on the YONO, is it just select products that are gaining traction in the YONO especially only on the protection side because as you said that when the customer walks in, the employees in the banks or the CIF, they ask the customers to check the app and buy the product. Is my understanding correct? Thanks so much.

Management: So, regarding the YONO product, what I said is that this protection product that we have launched in particular, that is a pre-approved kind of product, and this offer is going to select customers based on our data analytics. The offer is going to the YONO apps of these particular customers. In addition to that, the concerned branches are also aware about the offer to these customers and when these customers visit the branches, staff makes them aware that this offer is available to you. So, they can initiate the journey and complete the project.

Management: On the annuity side, you know we had had some small degrowth in the current quarter, but I think there will be we don't expect that to be the guidance for full year. We would expect the annuity growth to come back, that market is large, and we would want to tap that market. On PAR, I think the base is very small and on that small base with some focus we had a substantial increase in Quarter 2. Our new products will be launched after product repricing very soon, one or two are already there, one is already there and the remaining will be launched very soon and we would expect PAR. But PAR is a small component, our main growth for traditional, we would expect from protection and focus will also be non-PAR.

Aditi Joshi: And any guidance on how product mix will look like in the second half?

Management: We will continue to maintain our stand of 60-40. So, that is what we have maintained, and we will continue to do that. So, as Abhijit said, our non-PAR protection and PAR will continue to be part of 40 and 60 will be in the ULIP.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just two questions from my side. First, can you shed some color on your growth across the non-SBI banca partnerships? And do you see traction in some of these channels or your counter-share across those channels? And second, while you've seen improvement in persistency across most of the buckets on 1H or 2Q, I just want to get some color on, is it more a function of back book product mix? Are we seeing

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improvement in persistency across each of the product classes? So, if you can give some color on the product level persistency trends?

Management: Amit, I think it's a combination of both. So, one is the product mix changes, and another is the one that we are trying to do. We do a lot of investment in terms of the sales initialization to ensure that the customer is buying the appropriate product, not pushing any particular product. We do have taken several initiatives at the Company level, both from the branches to the corporate level, to ensure that we should have a continuous connect with the customer, try to understand their pain point, and try to address those challenges. I think that both are helping us to improve the persistency. And there is improvement in persistency is being observed at most of the cohort at this point in time. And we hope this will be continued in future as well.

Management: So, on the non-banca partner, there is mix in some partners we have seen strong growth, some partners we have not seen growth. But taken as a group together, we have seen small d

egrowth in quarter to compare to the previous quarter. We are working on these partnerships how we can have growth across all partners and not only select partners.

Dipanjana Ghosh: Just to get some clarification on the second part, is it more of a degrowth at this partner or is it more of some competitive pressure?

Management: No, we have seen that in some of the partners, the overall business also has gone down. Overall business, not across all partners, all the life insurance players.

Moderator: Thank you. The next question is from the line of Nitesh from Investec. Please go ahead.

Nitesh: First, the data keeping question. What percentage of the retail protection is ROP for Q2?

Management: Same, actually the 90-10. So, at this moment ROP is 90 and 10% non-ROP.

Nitesh: And second, sir, on the non-PAR side, because surrender value, you have not increased, you have not changed the payout or the commission rates. And what I understand that IRR has also been not changed. So, just because the surrender value changes should we expect margins decline, margins will be absorbed by the Company, margin reduction will be absorbed by the Company?

Management: Not much, already I just clarified and mentioned that when we repriced those product we passed on to reflect the fall of the yield curve and also to some extent reflect the surrender value. Objective is not to pass on the entire impact of surrender value to the customer. This is for first. Second point, we keep mentioning that our surrender value was much higher as compared with our peers in the market earlier as well. And as and SBI Life Insurance

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when this regulation came and recomputed the surrender value, there is not much impact coming on the surrender value, except in year one where surrender was not allowed, and we are offering per policy getting loss. So, that's the reason there's not much impact coming from. We have passed on in partially to some extent to the customer. We try to optimize, and this is the other product category because within the non-PAR product, you see there are different product policy terms, PPT term, ticket size and other will have the different margin. So, we try to look into, analyze the aspects that how we can give the better value to the customer at the same time maintain this margin at the product level as well.

Nitesh: And on the credit life, in H1 what was the APE this year and last year, if you can get that number?

Management: Credit life is flat. So, last year it was 102 crores and currently also this year, YTD September is 104 crores.

Moderator: Thank you. The next question is from line of Harshit Toshniwal from Premji Invest. Please go ahead.

Harshit Toshniwal: I think on that Banca channel part itself, clearly that base effect fatigue is something which we saw probably this year in 10% YoY growth. But I just had two questions. One is that when we see this year, would it be good that at least from life insurance perspective, SBI Life perspective, that this is a year of reset of the base? But that 15%, the ability of SBI banks to be able to grow 15%, that still remains there. Or do you think that the base is becoming large incrementally every year to justify a 10% to 12% kind of a banca growth? That's the first question. And the second part is, so insurance as a product to what we have seen is that needs that physical element of understanding physical push. So, to that extent, do you think that so high focus on YONO, at least for a product like life insurance, can that lead to the CIF's distraction in terms of the ability to cross-sell their targets? If you can throw some light there from their KRA perspective, how have things changed versus a YONO distribution or selling through YONO or selling through a normal Banca channel? Is it the same for them or are they incentivized more if there is

a KRA difference between the two channels per se ? But I think the first part also if you can also help that if this 10% is a one-off as a reset of the base or the ability of bank to grow at this base is 10 %-12% itself ?

Management: So, I talked about the insurance penetration amongst the population in general and State Bank in particular which is our major partner. So, the under insurance or the insurance penetration remains quite low and lot of opportunities and with the kind of economic growth that the country is seeing and the financial awareness that is improving in the country, I am sure that the opportunities are even better than what were there say 5 years, 10 years back.

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Harshit Toshniwal: So, one part itself so rry to interrupt that when we say a product like ULIP, PAR, non-PAR, I agree that the penetration is low, but these are in a way pseudo financial products cum insurance products, a mix of both of the coverage. Now in that case, that under penetration story has been there, but I am just thinking from the ability of the CIF to be able to do volume because to be very fair, we are at volumes which are exceptionally large. Even at Ban ca channel, the AP E numbers of 13 ,000 crores , 14,000 crore s per year is something which is very large . So, I just want to understand that from a practical viewpoint, should we have that expectation of the bank to keep running at 15% or internally we should moderate that to a rightly more modest number which is more sustainable?

Management: Another part I wanted to clarify you talked about the incentivization of the CIF. So, in response to one earlier question also I have told you that since 2017 there have been no individual incentives to any of the CIFs. Whatever sales are being generated they are sans any incentive to individual employees of the bank. The ability to sell and ability to make customer understand the product of the CIFs is in no doubt these CIFs are being trained by us at regular interval about vario us products about various new products about various opportunities available in the market and in addition to that now the bank is also running data analytics on its customer base and giving leads to the branches about the potential customers who can be insured. So, this data analytics will help in identifying the customers in more precise way in the future and our CIF and our branch managers will be in a better position to target the customers who need insurance. So, going forward, I will stick that the ab ility to grow at 15% remains intact.

Harshit Toshniwal: This is very helpful because I think that ability is the key thing to understanding . Maybe this year could be a one-off and reset of the base. And sir, on the second part itself that whether, I unders tand there is no incentive, but more from a KRA of the branch manager 's perspective, is there some, because for them to be promoted, for them in normalcy of the business operations they would be targeting to grow the business by 10% of what it was last yea r or 15% of what it was last year. Now in that sense, is YONO as a channel or direct as a channel, do they have any different preferences from top level at SBI?

Management: YONO as a channel also the business is attributed to the branch to which the customer belongs to and as far as the target is concerned bank employee or a bank manager has 50 to 60 lines of businesses to cater to and cross selling is a very small part of that. So, it does not materially affect his KRA, but yes, it is a KRA amongst many lines of businesses, many lines of parameters that any branch manager has.

Moderator: Thank you. Next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equiti es. Please go ahead.

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Rishi Jhunjhunwala: Most of my questions have been answered. Just one th

ing , historically, if we see our

business from a retail premium perspective used to be equally divided between 3Q and 4Q, it 's probably 3Q being slightly better than 4Q in terms of absolute size. We saw that trend breaking down in the past couple of years and to some extent it was also driven by potentially SBI 's focus a little bit more around CASA in the last quarter of the year . Given our guidance of 15 % of grow th on AP E for the full year, it requires that trend to break and go back to a level where 4Q can match 3Q on absolute basis. Just wanted to understand, do we have any kind of visibility there? Is there a reason why the trends of the past two years may not continue this year?

Management: Q1 has always been stronger than 4Q as far as SBI Life is concerned and banca channel , SBI channel is concerned. So, 3Q this year also , I already said that we have a very high base of last year. The growth was pretty good. So, expecting a 9% -10%

kind of growth in the Q3 is somewhat reasonable. And that is what will maintain going forward also.

Rishi Jhunjhunwala: I was just trying to understand that drop in 4Q on a sequential basis was quite stark in the past two years. So, are we expecting a similar drop, or do you think that could be better this year?

Management: We are evaluating multiple strategies at how we can actually look into the, particularly on the January and February, because as you know, the third quarter used to be a very strong quarter for us. So, immediately post that, Jan-Feb used to be a little slow for us. But this year we are targeting in a different manner because a lot of products have been launched and we want to capitalize particularly on protection and non -PAR. So, these two we plan to run some campaign in SBI Life. So, let's see how it will step up in this year because yes, you are right. We plan to change that cycle for SBI Life, and we are optimistic that this will help in this year to see that result going forward.

Moderator: Thank you. The next question is from the line of Subramanian Nair from Morgan Stanley. Please go ahead.

Subramanian Nair: So, my question was on VNB margin. So, essentially you are talking about 26% to 27% margin percent for the second half. Now you already have 27% for the first half. And if you are targeting a 60 -40 mix, it's actually going to be better in terms of margin accretive products in the second half, and plus you are also talking about a higher protection mix as well. So, is there anything else that is holding you back from guiding for a margin higher than 27%? Because mathematically, the margin has to be higher in the second half, assuming the product mix. So, yes, that's my first question. You can answer that.

Management: I think you are right. So, if you look at the mathematical side, I think the margins should not be anything less than 27%. And we internally are also expecting that margin will be much more than what we are given guidance. Only the point that we are holding up is SBI Life Insurance

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to ensure the growth because the VNB growth is most critical for us and like we always keep mentioning that margin is a number, we are always aiming to grow the VNB. In that context, we are thinking that there is a possibility, though we are trying to drive the protection growth will be there, non -PAR growth will be there, and all the products will contribute. But we also need to ensure the growth in APE term. And there is a possibility if there is some changes happen over the period on the shift to the ULIP or even if slightly yield will fall, and then recently we have revised the product. And that point in time to be competitive with the market, if you are holding up our return to the customer, there will be certain pressure will come upon the margin. In that context, we are saying margin will be 27%. But internally, our long -term guidance and

expectation is to our

margin will be around 28%. So, that's a point I'm making. There's nothing hidden in between on this side.

Subramanian Nair: The other question is the same question, unfortunately, everyone is harping upon that. But I will ask you very directly, this change in the nature of engagement with SBI, has it got to do with basically reducing the involvement of SBI employees? Because we obviously keep seeing a lot of media articles about mis-selling and all that. Although I do understand that your mis-selling ratios are best in class, they are the lowest. But is it basically got to do with reducing the involvement of SBI employees in any way? And does it also, I would say, kind of coincides with change in guard at SBI? So, does that have to play a role as well? So, yes, I'm asking it pretty directly.

Management: I don't think what you are saying is correct in any way. The ability of SBI employees to sell insurance is well established and it has been growing over the years. In the last 10 - 15 years there have been several changes, regulatory changes, stopping of incentives etc. But all that the sales have withstood the test of times and have continued to grow. Our effort to digitalize the initiation of insurance purchase journey on digital channel that is something which we want to take advantage of the digital technology and the tech savvy customers. We are not undermining the CIF ability to sell and we don't want to lose that advantage also. And as far as mis-selling is concerned, you already said that our Company is having one of the lowest mis-selling ratio at 0.03%. But having said that even one case of mis-selling is not acceptable to us and wherever customers are complaining any such thing, we are cancelling the policy and if anything is proved, we are also taking action against employees and all. So, that portion is very well taken care of. This initiation on YONO, I will again reiterate that we want customer to initiate journey and the role of CIF will be important even in that scenario because as earlier also somebody was saying that insurance is a product which needs some kind of explaining. So, the role of CIFs in the branch staff will continue to maybe explain the products and

guide the customer to initiate the journey on the YONO platform also. So, this is one channel which we can use in multiple ways. Customers can initiate on their own, customers can initiate by the way of assisted journey from the branch staff and all. So, SBI Life Insurance
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that is what our stand on developing this product is and we are very sure that going forward this will be a very helpful and very potential channel.

Subramanian Nair: Just clarifying, so in terms of the CIF channel, you will continue basically investing in that and growing that as well. So, the investments in that will continue. Is that understanding correct?

Management: Yes, definitely. Our training programs for the CIFs are going on.

Subramanian Nair: And the footprint will increase basically?

Management: Yes.

Moderator: Thank you. Next question is from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh: I have some questions on the credit life business. So, I mean, it was sluggish for us. The understanding is the broader market, personal zones and MFI is going down. But SBI Life has traditionally had a, I think, an 80% share coming from home loans. So, why is credit life not growing for us?

Management: So, credit life is flat with the penetration levels in the bank are slightly lower than what we were expecting but we expect the penetration levels to come back to the numbers we are expecting. So, we expect 9 %-10% kind of growth in credit life for the full year. What we have seen is that the ticket size of the housing loan in the bank is increasing and keeping in mind that thing, we are also easing the process

of

underwriting on the credit life business that is supposed to take effect from sometime in this month itself or maybe in the first week or second week of November. So, there the underwriting process for the higher ticket size will be lower and we expect that the same will help in improving the coverage ratio.

Raghvesh: 80% remains mortgages for us in terms of the credit life business.

Management: Majority is mortgages. Majority is coming from mortgages, housing loans here.

Moderator: Thank you. The last question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just wanted to understand, on the HNI protection plan that you have been selling, what is the kind of premium that we've collected in this quarter or quarters?

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Management: I told you this product was just launched towards the end of the quarter, September, so the numbers are negligible, but we expect this product to catch up and provide good numbers in coming quarters.

Prayesh Jain: And the profitability of the product would be similar to the retail protection plans?

Management: Yes, the profitability is similar to the retail and also competitiveness. So, both the perspective because the greater proposition for the customer and the share older perspective. We expect this product will have a financial different segment. So, there's no cannibalization happening from one product to another. We expect this will be more attractive and it will help us to not only increase our protection share but also fulfill the underinsured population because a lot of people have taken the insurance but with a lower sum assured that will help them.

Prayesh Jain: Last question, how has October result been so far? Any trends that re-trends on the new product with respect to growth or product mix?

Management: We will disclose the number by end of the month.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to end the conference over to Mr. Amit Jhingran – Managing Director & CEO for closing comments.

Amit Jhingran: So, thanks to all the analysts who are present here and thank you for giving this time and for all your queries. If you have any other questions you may get in touch with our investor relations team, and we will provide you the requisite clarification. Thank you.

Moderator: On behalf of SBI Life Insurance Company, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward -looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward -looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward -looking statements.

Call: Jan 2025

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction

Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

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Vice President

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Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q3 of FY 2024-25

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2425/216 dated

January 13, 2025 and in compliance with the provision of Regulation 30 read with

Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015, we enclose transcript of the earnings conference call

held on Friday, January 17, 2025.

The transcript of the earnings conference call with analysts/investors is also hosted on

the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,

Girish Manik

Company Secretary

ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited

Q3 FY 25 Earnings Conference Call"

January 17, 2025

MANAGEMENT : MR. AMIT JHINGRAN - MANAGING DIRECTOR & CEO

MR. SANGRAMJIT SARANGI - PRESIDENT & CFO

MR. ABHIJIT GULANIKAR - PRESIDENT, BUSINESS STRATEGY

MR. SUBHENDU BAL - CHIEF ACTUARY & CHIEF RISK OFFICER

MR. PRITHESH CHAUBEY - APPOINTED ACTUARY

MS. SMITA VERMA – SVP, FINANCE & INVESTOR RELATIONS

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Moderator : Ladies and gentlemen, good day and welcome to SBI Life Insurance Company Limited

Q3 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the

listen-only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please

signal an operator by pressing star then zero on your touchtone phone. Please note

that this conference is being recorded. I now hand the conference over to Mr. Amit

Jhingran, MD and CEO, SBI Life Insurance. Thank you, and over to you, Mr. Jhingran.

Amit Jhingran: Good evening, everyone. We are happy to welcome you all to the Results Update Call

of SBI Life Insurance for the period ended December 31, 2024. We appreciate and

thank you whole heartedly for your time and efforts attending our earnings call. Update on our financial results can be accessed on our website as well as on the website of both the stock exchanges. Along with me, Sangramjit Sarangi, President and CFO; Abhijit Gulanikar, President of Business Strategy; Subhendu Bal, Chief Actuary and Chief Risk Officer; Prithesh Chaubey, Appointed Actuary and Smita Verma, Senior Vice President, Finance and Investor Relations are present.

As we reflect on our results for this quarter, we would like to begin by acknowledging that Q3 2023 was an exceptionally strong period, setting a very high benchmark for us. Despite the high base from last year's Q3, we are pleased to report that company has continued to perform well. Not only did we manage to sustain our momentum, but we also achieved growth. During the quarter, December month's new business premiums were one of the highest ever collection for the company.

This speaks volumes about our team's resilience, adaptability and commitment to delivering strong results regardless of the high benchmark we set last year. I am pleased to share that we have seen progress in several key areas as compared to previous corresponding period, demonstrating the strength and dedication of our teamwork. We are building a strong base by improving the agency and bancassurance productivity levels.

By leveraging customer insights and industry trends, we have created solutions that provide enhanced coverage, greater flexibility and more tailored options, ensuring that we continue to deliver exceptional value. I am delighted to share that as per our ongoing commitment to meet the evolving needs of our customers, during the month of December we have successfully added one more product in our Platina series that is Smart Platina Supreme, a non-par guaranteed savings product which provides a stable guaranteed income stream, ensuring financial security and it is for any life stage. The initial response has been encouraging and the company collected more than INR2.5 billion of premium under this product within a span of 20 days. Moving forward, we remain committed to the continuously assessing and refining our offerings, ensuring that we are well equipped to meet dynamic demands of our customers. We recognize that staying attuned to customer preferences and market trends is essential for our continued success.

SBI Life Insurance Company Limited

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Now let me give you some key highlights for the period ended 31st December 2024.

New business premium stands at INR 262.6 billion and maintained private market leadership with a share of 22.4%. Individual new business premium stands at INR198.6 billion with a growth of 12% and private market share of 27.8%. For Q3 FY '25, the company's individual new business premium grew by 10% as compared to industry growth of 6%.

Gross written premium stands at INR609.8 billion with a growth of 9%. Protection new business premium stands at INR27.9 billion. Profit after tax stands

at INR16 billion with

a strong growth of 48% over corresponding period last year. Value of new business stands at INR 42.9 billion. VoNB margin stands at 26.9% for the period ended December 31, 2024. Embedded value of the company as on December 31, 2024 stands at INR681.4 billion, registering a growth of 17% over March 31, 2024.

Our assets under management stand at INR4.42 trillion with a growth of 19% over corresponding period last year. Solvency ratio of 2.04 as against the regulatory requirement of 1.50.

We will now update you on each of the key parameters in detail.

Let me start with the premium

Individual new business premium has grown to INR 198.6 billion with a growth of 12% over last period. The company's private market share stands at 27.8% and industry market share stands at 17.4%. For the quarter 3 FY '25, the company's individual new business grew by 10% as compared to industry growth of 6%. On individual rated new business, we stand at INR145.5 billion with a growth of 14% over the last period and maintaining our leadership position with private market share of 25.3% and total market share of 17.8%.

The company's 3-year CAGR of IRP that is individual rated new business premium stands at 17%, outpacing the industry CAGR of 13%. This is on backdrop of consistent growth in performance which company delivered year-on-year. We have witnessed some headwinds in group business, particularly with our group savings products. Group new business premium stands at INR64.0 billion with contribution of 24% in new

business premium.

Having said that, we have collected to tal new business premium of INR 262.6 billion.

The company's private market share stands at 22.4 % and total market share stands at 9.5%. The company's 5 -year CAGR of new business premium stands at 15%, outpacing the industry CAGR of 7%. Renewal premium grew by 15% to INR347.3 billion which accounts for 57% of the gross written premium.

To sum up, gross written premium stands at INR609.8 billion with a growth of 9% over corresponding previous period. In terms of APE, premium stands at INR159.7 billion, registering a growth of 11%. Out of this, individual APE stands at INR147.3 billion with a growth of 14%. During the period ended December 31, 2024 a total of 15.88 lakh new

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policies were issued. That is 1.58 million. Number of lives covered during the period ended December 31, 2024 is 18.4 million.

The growth in sum assured serves a s a positive indic ator of consumer confidence and the increasing awareness of the importance of financial protection. This upward trend reflects a shifting mindset among individuals who recognize the need for comprehensive coverage to safeguard their future.

Individual new business sum assured r egistered a growth of 33% over corres ponding previous period and for the quarter growth was at 46%.

Let me give you detail about the product mix. As on December '24, our guaranteed non par saving products are contributing 18% on individual APE basis. Individual ULIP new business is at INR127.4 billion with a growth of 25% over corresponding last period and constitutes 64% of individual new business.

The growth in ULIP can be attributed to the movement in equity markets. The trend is evident across the industry as more customers see k product that blend investment opportunities with protection. Individual protection new business is at INR5.2 billion.

Individual protection business for Q3 FY ' 25 has grown by 12% on NBP basis as compared to Q2 FY '25. Group protection new business stands at 22.7 billion .

Credit Life new business has grown by 8% and it stands at to be INR 17.3 billion.

Protection business contributes 8% of APE and stands at INR13 .5 billion. Retirement plans assist customers in building a substa

ntial corpus of funds to maintain their desired

lifestyle and manage expenses in their golden years. Total annuity and pension new business underwritten by the company is INR 53.1 b illion.

Moving to update on distribution partners.

With the strength of more than 57,000 CIFs, SBI and regional rural banks bancassurance business contributes a share of 63% on total APE basis and on individual APE basis it stands at INR97.2 billion with growth of 8%. SBI branch productivity on individual APE terms stands at INR5.5 million for the period and registered a growth of 9%.

As mentioned in our last quarter's call, the digital channel within SBI Bank relationshi p is garnering good numbers of customers. And during the quarter, it attracted more than 50,000 customers opting for protection policies through self -initiated journey. With the enhanced focus on agency channel and strategic launch of agency 2.0, we have witnessed impressive st rides in agent activation, agency channel productivity on boarding of new agents and better collaboration between agents.

Our agent productivity for the period stands at 2.9 lakhs on individual NBP terms, registering a growth of 27% over corresponding previous period. Agency registered new business growth of 36% over corresponding previous period and contributes 26%.

Agency channel individual APE showed a growth of 31% over last period and stands at

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INR44 .0 billion. As on December 31, 2024, the total number of agents stands at 2,41,251. During the period ended December '24, the company added more than 75,000 agents on a gross basis.

As part of our strategic initiative to strengthen our presence across the c ountry, we have opened 46 new branches this year. By the end of the financial year, we plan to add an additional 4 0 branches. The expansion is aligned with our vision to create infrastructure that supports the long -term development of our agency channel. O ur expansion targets

are carefully designed to cater not only to Tier 1 and Tier 2 cities, but also to underserved Tier 3 and Tier 4 regions. All these steps have resulted in increase in the share of agency channel in individual rated premium from 26% in previous period to 30% in current period.

During the period ended December 31, 2024 other channels that is direct, corporate agents, brokers, online and web aggregators grew by 26% in terms of individual new business premium. Linked business through other channels registered growth of 53% on APE basis.

We are investing in building our online business channel. Individual rated premium through this channel has grown by 71% for the current period as compared to previous period of last year and protection business through this channel on IRP terms grew by 23% as compared to previous period last year.

Coming to updates on profitability. The company's profit after tax for the period ended December 31, 2024 stands at INR 16 billion with a robust growth of 48% as compared to previous corresponding period. Our solvency remained strong at 2.04 against regulatory requirement of 1.50. Value of new business stands at INR 42.9 billion with a growth of 6%. VoNB margin stands at 26.9% for the period ended December 2024. The shift in VoNB is mainly on account of increase in share of ULIP business as compared to previous period.

Embedded value for the company as on December 31, 2024 stands at INR 681.4 billion, registering a growth of 17% over March 31, 2024. Coming to operational efficiencies. Our opex ratio stands at 5.3% and the total cost ratio stands at 10.2% for the period ended December 31, 2024. With respect to persistency of individual regular premium, 13th month persistency stands at 86.10%, an improvement of 83 basis points and 61st month persist

ency stands at 63.29%, an improvement of 521 basis points.

As mentioned in my opening remarks, asset under management stands at INR 4.42 trillion as at December 31, 2024, having growth of 19%. Debt claim settlement ratio stands at 99.3%. The company has registered an improvement of 44 basis points over last period. Our misselling ratio stands at just 0.03% which is one of the lowest in the industry and this is achieved through our consistent approach adopted to ensure right selling to the customers.

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Digitalization is transforming the life insurance industry enabling us to deliver enhanced services and a more seamless experience for our customers. As we embrace this digital transformation, we remain committed to innovation and excellence, ensuring that we stay ahead in an increasingly competitive landscape. The company continues efficient usage of technology for simplification of processes with 99% of the individual proposals being submitted digitally. 50% of the individual proposals are processed through automated underwriting.

To conclude, by fostering a culture of resilience and continuous improvement, supported by a clear focus of developing agency channel along with the partner bank network, we are confidently positioned for the future. Our commitment to exceptional customer service strengthens client relationships and reinforces our status as a trusted leader in the market. With a focus on long-term sustainable and profitable growth, we aim to create lasting value for our customers, shareholders and communities paving the way for a prosperous future together. Thank you all and now we are happy to take any questions that you may have.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Avinash Singh with Emkay Global. Please go ahead.

Avinash Singh: Thanks for the opportunity. Good set of numbers, particularly considering the backdrop.

A few questions. The first one would be more that now, I mean, of course, we have crossed the 9 month. So there should be more clarity around what's happening with your main channel bank SBI Bank and also how agency is performing. And also the impact of surrender regulation of course it is known in reported numbers.

So if you can just sort of provide your guidance regarding growth and margin for the full year FY '25. And related to that, if you can just try to quantify if at all, there was some impact from this product filing under new surrender regulations. That's the question number one. Second would be agency, of course, the addition and deletion are kind of a pretty regular, but if I see particularly this quarter, somehow agency deletion seems to have picked up, I mean, nearly 50,000 -odd. So addition is like a 25,000 per quarter that has been happening for the last 3 quarters. But deletion has certainly picked up in

Q3. So what is going on there with the agency? If you can just sort of provide more color. And lastly one more, protection side again I see that individual protection, the decline had kind of nearly arrested more or less quarter has been flat Y-o-Y basis. And if we understand the pickup with the product like the Smart Shield Premier and that of product targeted bank customer is good. But I think the premium growth for individual protection is not kind of still coming into positive. If you can just help understand if there is a significant change in regular protection vis-a-vis a return of premium product on a year-on-year basis?

Management : First of all, thanks for congratulating on our numbers. Your first question about the growth, banca and agency. So you would have noticed that our growth for the first 9 months is in line with the kind of guidance that we had at the end of second quarter, the first half year when we said that we will be growing somewhere around 15%. And on IRP basis, that growth is more or less there. On both the channels, agency as well as banca, the growth is more or less is in line with the targets that we had taken for the year. And banca channel grew by almost 10% in first 9 months whereas agency channel is growing by almost 29% to 30% in the first 9 months. For the remaining period also, we expect the growth to be in the same range and overall basis, we continue to stick to our guidance of 15% on IRP basis.

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that we had at the end of second quarter, the first half year when we said that we will be growing somewhere around 15%. And on IRP basis, that growth is more or less there. On both the channels, agency as well as banca, the growth is more or less is in line with the targets that we had taken for the year. And banca channel grew by almost 10% in first 9 months whereas agency channel is growing by almost 29% to 30% in the first 9 months. For the remaining period also, we expect the growth to be in the same range and overall basis, we continue to stick to our guidance of 15% on IRP basis.

Your second question was regarding the number of agents addition as you said is around 75,000. But net addition is less because the deletion for the period is a little higher. The basic reason behind that is that the company has changed the definition of active agents. And now with the stricter enforcement of the activation guideline, we have deleted a large number of agents who were not active as per company's definition during the quarter.

So that number is approximately 40,000 - 45,000 during this quarter. So going on – this was a one time exercise and going on we will continue to stick to this definition only. So going forward, the net addition numbers will be better. Coming to protection. We have seen a shift towards the pure protection products as compared to the return of premium policies.

Now 57% policies out of the protection segment. I mean 57% policies are with the return of premium whereas the mix in pure protection has increased to 43% and that is being reflected in our product portfolio for December quarter.

Avinash Singh: And if you can just sort of provide some color on any impact from this surrender regulation changes on the margin? Because I mean in the margin walk, of course, I mean, that part might be included somewhere in the operating assumption changes or something. So if you can just help understand if there was any impact on the surrender regulation changes.

Management : Yes. So all our products have been relaunched with the new guideline of first year surrender. But one quarter is a very, very short period to have any kind of experience and any kind of margin impact on overall company basis. We will see that how this surrender in the first year pans out and how it affects our margins.

Management: Just to add that as we have mentioned earlier that our impact even potential impact is very minimum. We don't see much impact will come in on account of the surrender value.

Avinash Singh: Okay. Thank you. All the best.

Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA. Please go ahead.

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Shreya Shivani : Thank you for the opportunity. My first question is on the individual protection. So we had mentioned in the last quarterly call that we've launched the 3-click products on YONO and that should see better growth in the quarter to come. So while there is a good quarter-on-quarter pickup, but wanted to understand is it far more difficult to scale up a product just on YONO app or is this product also available in other channels? I wanted to understand some color around this product and whether the margins of this product are higher or weaker than our earlier versions of individual protection products that we have. Second is just an update on the banca channel. There were quite a bit of

noise around the misselling or the concentration risk, etcetera on this channel. And we've also noticed that the regulator has set up a task force on the banca channel in October 2023.

So if you can give us any update on what came out of it? Any commentary on any interactions that you've had and how should we look at this channel? I understand you've given us a growth guidance that it should pick up, but from the regulator

s point

of view and the different task force that have been set up around it, what's going on, if you can help us with this?

Management : So first talking about the individual protection product on the YONO platform that we were talking, which we informed last analyst call and which you were referring to. So this product, we are happy to say that contrary to your perception that it is difficult to sell. In the last 4 months, we have been able to sell more than 70,000 policies of this product, almost 73,000 as on date.

So one thing that we have noticed here and in the earlier question I responded also, that in this particular product we are seeing a good growth in pure protection policies in place of the return of premium policies. That has improved our sum assured. Of course, the ticket size in pure protection is much lesser than the return of premium products. So it is not reflecting on the total premium side, but the number of policies. And overall, we are happy the way this product is faring.

Talking of banca channel, you are right that there is a lot of noise in the market, but as on date, we have not heard anything from the regulator on this particular subject. And I would like to emphasize that IRDA always had a consultative kind of approach on every subject whatever they have done, they have done after floating a paper, circulating draft guidelines, taking industry view and then only they have decided on anything.

On banca channel, we have not received any consultation paper or any task force that you were talking about. We have not heard about that. So it is all around in the market, but nothing concrete as on date from either the regulator or from the ministry side.

Shreya Shivani : So the taskforce actually there was a document on the IRDA I know it's old. It's back in October 2023, but there were other life insurers who have said they have the representatives who are going to be a part of the task force. I saw that SBI Life was not SBI Life Insurance Company Limited

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mentioned there. So I mean it seems a little confusing because it's not just there in the media. They have said, a year before they started speaking in media.

They also put out this document on their own website. So then it adds to the fire, unfortunately. I mean, it adds to the confusion unfortunately. That's why these questions are coming up?

Management : So I mean in the recent past, we have not heard anything on this subject from the regulator and that is what we stand by as on date. Having said that, whatever guidelines will come in, we will definitely go along with those guidelines. And you must have noticed we are also focusing on our agency channel to take care of any contingency. But as on date, there is no such thing in the discussion stage.

Shreya Shivani: Got it sir. Thank you very much. This answers my question.

Moderator: Thank you. Next question comes from the line of Supratim Datta with Ambit. Please go ahead.

Supratim Datta : Thanks for the opportunity. My question is on the agency side, I understand you have laid out certain plans that you want to do this year, but if I have to take a 5 year view, by when do you think agency can go up to around 50% contribution to the overall APE and what all building blocks we would need to put in place for agency to contribute 50%? If you could give us some color on that?

And then in that what would be the banca growth we'll have to build in? If you could give us some color on that, that would be very helpful. That would be my first question. Then on the banca growth when do we think the banca growth will get ramp up and get closer to the overall APE growth that we are delivering. Currently, it's still in the single digit. So by when do we think that gets up to the double-digit figure that we used to do 1 year back and what again, what

all will be the drivers of that? If you could give us some color on that?

And lastly coming to the new products you launched, a new product in the non-par side recently. If you could give us some color that how that has tracked in December, if you could give how do you see that play out over the remainder of the year? And two, given

ULIP has been a key driver of growth and we are entering a cycle where the overall equity market growth might be muted.

In that scenario, what would be the key products that we would be focusing on to drive growth? If you could give us some color on that, that also would be very helpful?

Management : So, if you look at our distribution mix, the overall banca contribution is much higher than the agency. And if you are talking about 50% agency share then obviously agency growth will be higher than banca growth. So we cannot have a situation where banca growth is in line with the overall APE growth and agency share is also growing. It itself becomes contradictory.

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So we have identified a lot of opportunities on the agency side. And we want to take advantage of that and that is why we are strengthening our agency channel by opening more number of branches, employing more agents, increasing agent productivity and all. And that is already getting reflected in our first 9 months number. Going forward also, we will keep on adding more branches and more agents and have a higher agency growth.

Banca growth at 10%, I will say with the kind of base that we have is pretty satisfactory. And with the very strong partner bank with us we will continue to explore all kinds of opportunities. And as I already informed in the last analyst call also that in addition to the CIF network, we are also developing the alternate digital channel on the banca side. And as I already informed with one product and more than 70,000 policies in the first year, we are pretty confident that this channel will also start contributing in a bigger way in coming times.

So we stand by our overall growth forecast in the medium term of 15% to 17%. And with the kind of growth in the banca channel, let's say, 10% and agency channel at 30% plus. Would like to take that question on product, Sangram.

Management : Product we have launched in this quarter that is Smart Platina Supreme which is on the non-par side and which has done very well. And we expect that this momentum will continue into this quarter. But subject to the kind of rate of interest which is expected to come from the RBI, but at this moment it is going as per expectation and we expect that it will continue the same momentum in this fourth quarter of FY '25.

As for ULIP, you have mentioned about the market going down and it will have some impact. The last 3 months the market correction has happened, but we have not seen any kind of connection between the market going down and the ULIP business going down because similarly if you have seen already in the SIPs where mutual funds have been increasing month-on-month, the last 3 months consistently.

And we don't see any kind of challenge for the ULIP per se. Because the experience in the past these numbers shows that whenever the market is getting corrected, ULIP doesn't get much impact per se. And that is the right opportune time for the customers to invest because you get a lower NAV. And subsequently by the time of 5-year to 7-year horizon, you get a better opportunity for a good return. So we don't see any challenge for us as far as ULIP is concerned.

Supratim Datta: If you could tell us what is the APE of the Smart Platina Supreme in December, if you could give us some color on that, that would be helpful?

Management: INR 250 crores is the number. I think it is there in our opening remarks.

Management : Approximately INR 250 crores in

the month of December.

Supratim Datta: Got it. Okay. Thank you.

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Moderator: Next question comes from the line of Prayesh Jain with Motilal Oswal Financial Services Limited.

Prayesh Jain: A good set of numbers. Just, sir, one question is on the SBI channel. We saw, I think, a decent growth coming back in this quarter what different did we do in this particular quarter as compared to the first half, where we had seen some slowdown? Extending that question, the YONO sales, sales from YONO app, did you classify under SBI Bank itself?

And what about the other group companies of SBI, like SBI Securities or any other companies that kind of sell products of SBI Life. Would they be classified in SBI? Would

be my first question.

Management : So YONO product does get classified under the channel. But the other group company, that is SBI Securities, they are our corporate agent. That sales is a very small in volume and that does not get classified under the banca channels. That is getting under the corporate channel. Regarding growth, I mean, even if you look at the 3 quarters of this financial year.

The first quarter was pretty strong. Third quarter was pretty strong. So one quarter growth, 2% or 3% year-over-year doesn't matter much. These kind of things do keep happening. But overall, growth strength is intact, and we stand by that.

Prayesh Jain: And sir, just the banca channel, do you plan to tie up with more banks and diversify your product distribution mix further with respect to the banca channel in particular? What is the strategy there?

Management : So we are always on a lookout for good partners, and it is an ongoing process. Wherever we get good partners at the mutually acceptable terms, we will definitely be onboarding. So there is no embargo on that or there are no additional efforts also on that. It is a normal business practice of the company.

Prayesh Jain: Sir, on product-level margins, how would they have behaved this quarter? And particularly on ULIP, the profitability, how would it have moved in this quarter?

Management : Prithesh, please.

Management : I think there is not much significant change on the margin. So, margins remain even the part level is more or less similar to that, except in case of non-PAR or even protection. Because as you know we have repriced most of our non-PAR product in the Q2. And Q1, fall of interest rate will pass on to the customer, and that fully reflected in Q3.

So, if you look into the Q3 product level margin, there is an enhancement coming from. Also, we have launched some protection riders that attach to the savings product and the attachment rate is quite encouraging. So that's also helping us to enhance the product line margins. So more or less, product line margin in the product line is similar.

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Particularly to the unit linked product, I think margin is at around earlier expectation as well. So not much changes on that side.

Prayesh Jain: Sir, last question. You have guided for a 15% to 18% kind of growth. That would be an APE basis, right? And what would be your guidance or outlook on VNB growth, per se?

Management : We are expecting an individual APE growth of around 15% to 17%. And the VONB will be in the range of around the current rate, which is going at around single digit or will be around 10%.

Prayesh Jain: Okay. So value of new business growth rate will be lower than individual APE growth. That is what you're saying?

Management : It all depends. So most likely ideally should be similar to the APE growth. But if you look at our base, our base is much higher and our target for growth is also much higher. So, growing to a higher base with higher growth rate with the same range of margin is a difficult task. So, what we are saying th

at there is a rationalism already happened to report the margin of 31%.

We have fall to 27%. Our objective is to maintain the margin in the range of 27% to 29% kind of thing. So that perspective, we are saying that there is a possibility that our VONB growth might be slightly lower than the APE growth.

Prayesh Jain: This is for FY '25?

Management : FY 25, we will definitely slightly lower. But going forward, because this year already, we grew by 14%. VONB growth is 6%. The next 3 months, we can't compensate that. But my guidance is in the longer-term perspective. The ongoing basis, we expected to maintain this margin and grow on that level.

Prayesh Jain: Got it. Long term, 15% to 17% individual APE growth and VONB margin in the range of 27% to 29%, right?

Management : Yes. That's right.

Moderator: Next question comes from the line of Dipanjan Ghosh with Citi.

Dipanjan Ghosh: Just a few questions from my side. First, if I look at the embedded value between the third quarter and the second quarter, there seems to be a significant decline. So, I would assume this would be because of the equity market movements. If you can just break that up? I know you gave it on an annual basis.

So, if you can just give some color on the EV movement and if there were any assumption changes or operating variance on the negative side. And if it was investment variance, if you can break it up between equity and debt. Second would be

your non -PAR growth through the agency was quite strong during the quarter.
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So, is it a function of both term and non-PAR and whether most of it was driven towards last month of the quarter? And is the new product that is witnessing growth in the fourth quarter also being driven through agency? If you can give some qualitative understanding on that. And lastly, one question on your agency.

When you mentioned that your agent activation rates have increased and you are witnessing productivity benefits also, could you share some kind of positive understanding on the differential activation rate or the differential increase in activation rates that you've witnessed between, let's say, newer agents versus higher vintage agents?

And a similar qualitative data on the productivity side?

Management : So, I'll take the second one first about the agency product mix, which you have asked.

Let me tell you that quarter 3 product mix per agency has been very strong for both non-PAR protection as well as for non -PAR savings. And that has also continued in the 9-month ending. So non -PAR protection has seen a higher double -digit growth as well as in the non -PAR protection also.

And which we expect that will continue for the fourth quarter. As far as your activity or productivity of agents are concerned, as we have already mentioned, earlier in the opening remarks, so productivity level of our agents have been very strong. It has gone up to 2,91,000. And as far as our active productive agents, productivity also has gone up to now 17 lakhs.

So, we have been investing a lot as far as agency is concerned, and we expect that it will continue to give us not only the growth but also the higher activity. Because the agency growth comes generally from the activity increases, and that is what our focus.

On the first part is EV, I'll request Prithesh to answer.

Management : So, I see on the first part, when you mentioned there is a quarter -on-quarter decline in EV, I don't see there is a decline. The EV has grown over the quarter. So, you look into September to December, there is a 3.1% growth in EV. Also, we keep disclosing the sensitivity of the economic variance, economic sensitivity, both in terms of equity and interest rate.

If you see the equity has fallen and, to that extent, EV movement is in line with our sensitivity. Second other point that you asked, we can confirm

, though we are not disclosing. We are disclosing the September, and eventually we're disclosing the year. All our operating variance is positive.

As a company, we adopt the long -term sustainable assumptions. So always there is a positive variance coming from each and every component, be it the mortality, persistency or expenses.

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Dipanjana Ghosh: Got it. Sir, just one thing I would like to highlight. In the presentation, there is some typing relating to the Indian embedded value. It's mentioned at INR618.4 billion. I think 1 and 8 have got reversed between the BSE filing of the presentation. So...

Management : Yes, I think that -- we'll update that.

Dipanjana Ghosh: Just one follow -up on the productivity for active agents, which you mentioned at 17 lakhs. Could it like -to-like number for, let's say, Y -o-Y or maybe 2 years back so that we can compare it?

Management : So for our agency, as I said, the productivity is increasing. And Y -o-Y, I can tell you that active agent productivity has increased by 16%. And this is generally the phenomena for us. And which is an increasing trend for us as far as our active agent productivity is concerned. But overall, agent productivity also is increasing. So that is also a very good sign. I think we are one of the best in the private industry as far as agents productivity is concerned in both the parameters.

Moderator: Next question comes to the line of Sanketh Godha with Avendus Spark.

Sanketh Godha: Sir, my first question is related to individual protection business. So the individual protection business in APE terms have declined by 18% for 9 months. But you said that the mix changed towards what you call pure protection business as compared to ROP led to that decline. So, if I do a NOP calculation, that is a number of policies calculation

growth.

Whether we have seen the growth -- and this mix, 57-43, what you alluded to, is now have stabilized. So going ahead, we can see a growth coming back to protection business? Or you believe this mix will keep on changing? And the growth will remain muted probably till an optimal mix, what you want to have will impact the protection business now?

So that's my first question?

Management : Sanketh, as we said, the focus is on the protection and that too within the protection -- pure protection. And as already mentioned about our quarter 3 numbers, so it has seen a drastic change in from the ROP to pure protection. So now it is doubled around, I can say, it is between 60-40. We are -- at this moment is 57-43.

But if we are comfortable that it will be in the range of 60 -40 in this year. As far as our ROP movement, so you said 19% degrowth in the protection, but the massive growth in our pure protection which is 53% in Y -o-Y. And in the ROP, it has come down. But we expect that this overall protection will continue to be good for us in the next 2 to 3 years.

As already mentioned, the focus is YONO. And YONO has already garnered 70,000 - plus policies. And we expect that pure protection will definitely grow. And overall
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protection also is on the focus for the company in the next FY '26 to '27. And we will stabilize around 60 -40 as the ratio for us in the ROP to non -ROP.

Sanketh Godha: Got it, sir. But just for 9 months you said 70,000 for the third quarter. But for 9 months, the number of policies in the protection has seen a growth. And if it is, then what is the quantum?

Management : It has seen a growth. But at this moment, we don't have basis. But I can tell you that number in the individual protection, which is in the pure protection, has seen a significant growth of 53%.

Sanketh Godha: Okay. Got it, sir. And sir, the second question, what I had said is that you launched -- as you told, that Smart Platina Supreme

plan, which contributed INR250 crores to

December business. So just wanted to understand two points. One, you said whether the momentum of this growth continues in fourth quarter, you see a product mix change in the fourth quarter towards more non -PAR compared to ULIP?

And second thing is if that happens, that impact on the margin. And second, is this product, that is Smart Platina, has a margin better than the overall company average. So if the mix increases, whether it will lead to a better margin profile going ahead. So that is my second question. And lastly, the related point is that if non -PAR APE growth about 7% for 9 months FY '25.

Then if this contribution increases, will you expect this growth to be much better for full year and then FY '26 in that sense?

Management : So on the new product, Smart Platina Supreme, the margin is better than the company margins so if this product contribute and that we are expecting that a product contribution will increase. It will help us to enhance the margin going forward. Second part is that we do expect the product would also help to change the product mix for the company as well.

And both will result into the better company margin and better VONB growth as well.

Sanketh Godha: Sir, but you usually just made a comment to one of the questions that you expect VONB growth to be lower compared to APE growth. Then if you have already launched a product which is better margin profile compared to company average and you expect that needs to go up, then I'm just wondering that your VONB growth to be lower than APE growth doesn't tie up to the point what you said right now?

Management : So, let me try to reemphasize this point. What we're saying in the longer term, growing with a high growth rate and also maintain the similar level of margin -- enhancing the margin will be slightly challenging. So, over the period with a longer -term basis, you see the margin that we mentioned that it will remain in a range of 26% to 29% with objective to maintain minimum 27% that we're looking for.

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But some quarter, depending on the growth, you may have to rationalize the margin

over the period. And then again, even you're able to achieve the product growth, but if there is a change in the product mix, non -PAR reduction will happen. That also has some impact. So that's the reason by saying that there is a possibility that VONB growth might be slightly lower than APE growth.

Example is the part of the current financial if you look last 9 months.

Sanketh Godha: Got you. But on an immediate basis, you see a benefit because of the new product launch, and there could be a possibility of margin outlook to be better. That's a fair point to make on a near -term basis.

Management : Yes, that's correct. .

Sanketh Godha: And lastly, sir, your total APE growth is 11 for 9 months. And individual APE growth is 14% for 9 months. So just for FY '25, would you want to give a ballpark number what you will grow at? You gave that number for FY '26 or little medium term to be 15% to 17%. But for immediate fourth quarter included, what kind of a growth we can expect for '25 on total APE and individual APE separately?

Management : So we will maintain the same rate of growth what we have done 9 months for this financial year. So as we have already mentioned previously, Sanketh, the individual APE will be in this range of 14% and total APE will be in this range around 10% to 11%. Strategically, if you have seen that why the overall APE has come down, is because of the group fund management business.

And here, already has MD in the opening remarks said, so the market where we want to be in a profitable business. So that is the reason we are concentrating on individual APE this financial year, around 14%, 15% and this total APE of around 10% to 11%. .

Moderator: N

ext question comes to the line of Rishi Jhunjhunwala with IIFL Institutional Equities.

Rishi Jhunjhunwala: Just a couple of questions. Firstly, on the margin side. I just wanted to understand, you've been able to maintain margins sequentially, whereas the product mix has gotten tilted more towards ULIPs in this quarter. So what were the tailwinds that helped you in this quarter? And also, you mentioned 27% to 29% in the long term.

Then outside of a change in product mix where, say, ULIP comes down and traditional goes up and protection goes up in the future, are there any other levers that you can call out?

Management : On the first part, despite ULIP mix, there are multiple reasons are there. First reason that we have explained a few minutes back that in Q 1, we are not able to pass the impact of the yield fall on the customer . And that part we have all the non -PAR products , repriced in the Q2. And that's reflected in the Q3. That's the reason the non -PAR margin has gone up as compared to Q1.

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So that's compensated to some extent the impact on the margin on account of increase in ULIP business. Also, we mentioned that we launched several protection products, and we also mentioned that pure protection has better margin. So that's also helping us. Second aspect is that we have launched the protection rider and attached to our savings product.

And attachment rate is also quite encouraging. They're also helping us to enhancing the margin of that. So, despite the product non -PAR is stable at the similar level, we have seen this. Other aspects that we've mentioned that we get some better terms and condition from the reinsurer, particularly for the credit life business.

And that also helped us to enhance the product level margin. And all together, if you club together that helped to maintain the margin, even enhance the margin for this quarter, if you look into the quarter on a sequential basis, despite the ULIP mix has increased. And we're also working and we're going to run some of the protection rider under unit linked business.

And we hope that this also help us. Other than product mix, there will always be the lever and that we keep saying that, as a company, we try to optimize the value of both for the company as well as the policyholder. And in that prospect, we have evaluating and exploring each and every customer segment and try to design the product for that particular segment, optimize value.

And that optimization and segmentations is helping us to enhance the margin. And that is another lever available with us going forward that may improve and enhance our margins going forward.

Sanketh Godha: Okay, sir. And just a second question on banca. And I know in different ways, it has been asked during the call, but just wanted to get some color on in terms of slightly medium -term growth from our parent bank. For us to grow double -digit in that channel,

how much of it is dependent on the penetration levels being lower and the banks willing to push that versus some of the base effect that is already there?

And probably a caution around the products being sold. So, what I'm trying to understand is, how do we get comfort that, that channel even in the future with the kind of base we have will continue to grow double-digit, if it all?

Management : See, for channel in the banca, particularly we are considering, as usually said, not only for SBI particularly but other banca partners also. So we have currently 5 banca partners. And we also have tied up with Indian Postal Payment Bank. So all across, we are seeing that how to penetrate or increase our penetration across the partnerships.

As far as the current quarter is concerned, so we have seen a big base.

So, last year, if you remember, the industry grew by 8% and we grew by 18%. With such a large base of the third quarter

, that is the biggest quarter for us. We have seen

a growth in the banca also. So, we believe that there are a lot of levers available for us

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the penetration, particularly because we have seen till date. There is hardly 2.5% to 3% penetration in the overall market in the banking side, wherever our partners are.

And we will capitalize all our relationships with various models, which we have already been very successful. And we expect that the penetration will increase and the growth will come back. So whatever we have seen during this financial year, I think it will settle down as we have already mentioned. And there are various news which we don't see that any point of reaction. But going forward, it will definitely help us for improvement in our growth rate for the banca partners, along with SBI.

Moderator: Next question comes from the line of Raghvesh with GM Financial.

Raghvesh: Congratulations on a strong set of numbers. Sir, just a couple of questions. First, on the protection piece. I'm just doing some math a round INR100 would have come directly from the new protection plan that you're selling through. So, is there a conscious decision to stop selling ROP products?

And is it because there has been poor mortality experience in that segment, understanding is ROP is typically sent to sold to a less affluent segment. So, have we seen some negative mortality experience on that?

Management : No, it is purely a customer's choice in this particular product on the YONO channel. We have seen a welcome kind of change that customers are going in for pure protection products. There is no conscious decision. We are offering both the options to the customer. But this is a welcome change that customers are opting for pure protection products.

Management : But you do know that under the new guidelines, we have stopped one small ticket ROP, which we wish to sell earlier. So, to that extent, there will be some reduction in ROP in the future.

Raghvesh: Okay, sir. And secondly, sir, with a very strong under-penetration in insurance, a 10% growth target from banca, I mean, is it not very low?

Management : You see, there is a lot of under-penetration and under-insurance both in Indian market. And the same kind of demography is in the State Bank customer group also, because the State Bank has now 53 crores-plus customer. Almost every third Indian is having an account with the State Bank. So, we are very sure that the growth in the banca channel will be in line with the industry growth at least, and that is why we are projecting these kinds of numbers.

You would have gone through the Swiss Re report also. Their expectation for the Indian industry to grow is around 7%. 7.3% for the next 5 years. So, projecting a 10% growth, I think, that is a fair enough number. But we are all set to explore and exploit all kind of opportunities available in the market.

Moderator: Next question comes from the line of Neeraj Toshniwal with UBS Securities.

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Neeraj Toshniwal: Sir, just one question on Credit Life. I have missed the number. How is the growth in this quarter on Y-o-Y in APE terms?

Management : So Credit Life in this quarter has grown 16% over last year.

Neeraj Toshniwal: And quarter-on-quarter?

Management : Quarter-on-quarter only I'm saying, Q3 FY '25 compared to Q3 FY '24. That is 16%.

Neeraj Toshniwal : Versus Q2?

Management: Q2 versus Q3...

Management : Sequential growth is also quite strong.

Management: Q2 was a little muted Credit Life side. So Q3 numbers are much better than...

Management : 25% growth over Q2 according to me...

Neeraj Toshniwal: What is the absolute number, if you can share, this quarter, absolutely like APE?

Management : No, I'll give you. 17% growth should be there sequentially.

ally.

Neeraj Toshniwal: And absolute number, please.

Management: INR171 crores.

Moderator: Next question comes from the line of Gaurav Jain with ICICI Prudential Mutual Funds.

Gaurav Jain: Congratulations on a good set of numbers. And also, sir, helpful to see that you started giving EV disclosure on a quarterly basis. That is also helpful. Sir, two questions from my side. One is on reported profit after tax, we are seeing very strong growth both on a quarterly basis and on the 9-month basis. So if you can share some light as to, is it the new normal? We can expect PAT to really grow in this manner? Or is it this year phenomenon?

If you can help us understand what exactly helps the PAT growth. Second, sir, on this new non -PAR product that we had launched and growing and also maybe on the existing products that we have, have we set the clawback provision or the deferred commission payout structure, etcetera, in place?

Management: So, coming to your first part, which is profit after tax. So this is a reflection of multiple things. One is that the major contributor of the profit is coming from the investment income. So, investment income from both from our traditional portfolio, which is excluding PAR, so non -PAR and shareholders has contributed the profit for the company. And secondly, the back book also is very strong for us.

So, renewal premium has grown by 15%. So, there is a big back book available for us through which we are garnering good numbers as far as the total PAT is concerned.

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And secondly, the profit growth projection which is currently seen, we will not give you any kind of guidance because it depends on the product mix and the kind of market movement during that period of time.

So, because today, we have made profit because of the lesser growth in my traditional business as compared to ULIP early business. So, if tomorrow the product mix shifts towards more on non-PAR and PAR, so there will be a strain on the PAT. So at this moment, we expect that it will be in the range of around 10% to 15% growth for the year-on-year as far as PAT is concerned.

And on the new product, the new non -PAR which you asked, I think I'll request Prithesh to answer.

Management : The commission is in line with our previous product. The commission structure has not changed. The benefit structure has changed slightly, but commission structure has not changed.

Moderator: Our next question comes from the line of Madhukar Ladha with Nuvama Wealth Management Limited.

Madhukar Ladha: Congratulations on good set of numbers. Just a couple of questions. See, the medium-term growth you're still guiding for is 15% to 17%. Now banca channel, as I understand, is not expected to grow that fast. So it'll probably grow at the, whatever, 8% to 11% sort of a range. And it's contributing almost about 65% to individual APE. That basically means that the other channels have to grow at almost probably 25% sort of a number. Now my question is that what is our right to win? How will we be able to recruit that productive and agency channel? And we are also not that competitive when it comes to commission payouts. So would that mean that in order to grow at this rate, we would have to like aggressively also increase our commission payouts? And that would then also result probably in an impact on the margins coming from this channel.

So, some sort of clarification. And like what confidence do you have that you will be able to grow that other channel at that faster rate and the margins on that channel? So that would be my question. Yes, if you can give me some color on this?

Management : So, we just tell you that agency channel for SBI Life has been a consistent growth story for many years now, so more than 10 to 15 years. And the pressure to pay commissions or whatever you were mentioning has always been there.

ways been there. It's not a new phenomenon.

Our advantage is that our dependence on new agents is very limited. We have a very wide base of agents and activation rates which are quite good compared to some of the other peers.

And that helps us widen the agency distribution. We think this strategy, we will continue.

And it's a sustainable strategy, by which we will be able to grow the agency channel without having to really compete on commission. Commission competition happens

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largely for large agents and not for mass of agents and large part of our business comes from mass of agents.

And there is enough and more scope in India to recruit more agents and grow.

Management: And we are helped in this particular aspect by being -- by having a very strong brand.

People have a lot of trust. So despite whatever shortcomings you talked about of the agency channel, we have the largest agency channel in private sector, and it is second only to LIC in India. Despite all these shortcomings, we have been able to create that kind of sales force in the market.

And with the kind of policies we have for our agents, we are pretty sure that we will continue to grow in an even better manner in coming times with the kind of opportunities that we have across India.

Madhukar Ladha: Okay. Just a follow-up also on protection. You mentioned that 57% is now pure protection -- sorry, is ROP and 43% is pure protection. I just wanted clarification. This is on value basis, right, on a premium basis, right? Or is it on number of policies?

Management: Madhukar, the overall 9 months ending the ROP to non-ROP has moved from 90-10 to now 80-20. And we said for the quarter 3, this ratio has changed to now 75-25.

Management: And this on premium in basis

Moderator: The last question comes from the line of Supratim Datta with Ambit.

Supratim Datta: I have just one follow-up. So if you could give us some clarity around how the cost structure in bank versus agency differ? And hence, given we are now going to grow in agency, we have been growing faster, but that proportion is going to go up. Then how does that impact the VNB margin? Because I just wanted to understand if 1 ULIP or 1 non-PAR is sold versus in the agency?

How does the margin or cost structure differ there? If you could help me understand that, that would be very helpful?

Management: See, the major component, the differentiator between the banca and agency is the fixed cost in agency as compared banca. As far as the commission structures are concerned, it is almost similar. And for us, as already said, the agency is a consistent investment for us and which we have been doing it for the last 2 decades. And we will continue to do that. The cost efficiency, which are coming from agency is through product mix and the consistency.

And that is very well reflected in our all parameters as far as the margins or the VONB is concerned. And we don't expect any challenge, per se, for our agency margin to go further down as compared to banca. Because banca is definitely profitable for us as compared to agency. But yes, at the same time, product mix also plays a bigger role.

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And we expect the product mix the way it is now shaping up in agency will definitely give us the better margin going forward.

Supratim Datta: Got it. And could you quantify how much is the delta between bank and agency VNB margins?

Management: Generally, depends on a very various parameters. So we don't disclose on those aspects.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to Amit Jhingran for closing comments.

Amit Jhingran: Thank you, everyone, for the time and all the

queries. I hope that all the queries were responded to by our team and me in a satisfactory manner. But just in case you have anything else, you can get in touch with our Investor Relations team with any follow-up questions. Thank you once again. God bless.

Moderator: Thank you. On behalf of SBI Life Insurance Company Limited, that concludes this

conference. Thank you for joining us. You may now disconnect your lines.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward -looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward -looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward -looking statements.

Call: May 2025

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

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May 02, 2025 SBIL/CS/NSE -BSE/2 526/16

Vice President General Manager

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Exchange Plaza, Phiroze Jeejeebhoy Towers,
Plot No. C/1, G Block, BKC, Dalal Street,
Bandra (East), Mumbai 400051 Mumbai 400001
NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q4 of FY 2024-25

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2 526/10 dated April 17, 2025 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Thursday, April 24, 2025.

The transcript of the earnings conference call with analysts or institutional investors is also hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Girish Manik
Company Secretary
ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited
Q4 FY '24 Earnings Conference Call"
April 24, 2025

MANAGEMENT : MR. AMIT JHINGRAN - MANAGING DIRECTOR & CEO
MR. SANGRAMJIT SARANGI - PRESIDENT & CFO
MR. ABHIJIT GULANIKAR - PRESIDENT , BUSINESS STRATEGY
MR. SUBHENDU BAL - CHIEF ACTUARY & CHIEF RISK OFFICER
MR. PRITHESH CHAUBEY - APPOINTED ACTUARY
MS. SMITA VERMA – SVP, FINANCE & INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of SBI Life Insurance Company Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone.

I now hand the conference over to Mr. Amit Jhingran, MD and CEO, SBI Life Insurance Company Limited. Thank you, and over to you, sir.

Amit Jhingran: Good afternoon, everyone. It is a pleasure to welcome you all for the results update call of SBI Life Insurance for the year ended March 31, 2025. We appreciate and thank you wholeheartedly for the valuable time and efforts for joining our earnings call. Update on our financial results can be accessed on our website as well as on the websites of both the stock exchanges. Along with me, Mr. Sangramjit Sarangi, President and CFO; Mr. Abhijit Gulanikar, President, Business Strategy; Mr. Subhendu Bal, Chief Actuary and Chief Risk Officer; Mr. Prithesh Chaubey appointed actuary and Ms. Smita Verma, Senior Vice President, Finance and Investor Relations are present.

It is a momentous occasion as we announce our financial results today while stepping into the 25th year of business operation of SBI Life Insurance Company. Looking back, we have witnessed significant transformation, not just within our organization, but across the insurance industry itself. From introducing life insurance to a relatively untapped market to becoming a household name with a comprehensive suite of products, SBI Life has consistently evolved into a trusted brand.

Our ability to adapt, innovate and respond to the changing needs of our customers has been key to this journey. The milestones stand as a testament to the enduring trust of our customers and the dedication of our people who deliver on our promise of protection and peace of mind every day.

Our strong partnerships, the expertise and commitment of our employees have been instrumental in our growth. Through strategic investment in technology and an unwavering focus on customer satisfaction, we have delivered robust performance and strengthened our position in the market. Over the past year, we have strengthened our foundation, enhancing customer experience, driving innovation and reinforcing our position in a dynamic and competitive industry.

The results we share today reflect not just financial growth, but the real impact we have made in the lives of our customers. I am pleased to report progress across key areas particularly in agency and bancassurance productivity, thanks to focused efforts and strong teamwork.

We have also continued to evolve our offerings by staying close to customer insights and market trends. In 4 months, we added 4 new non-ulip products to our portfolio. Smart Platina Supreme, Smart Bachat Plus, Smart Platina Young Achever and Smart Future Star. These products sold more than 1.5 lakhs policies and collected more than INR1,100 crores of new business premium from just these 4 products.

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Moving forward, we remain committed to continuously assessing and refining our offerings, ensuring that we are well equipped to meet the dynamic demands of our customers. We recognize that staying attuned to customer preferences and market trends is essential for our continued success.

Now let me give you some key highlights of the year ended 31st March 2025. New business premium stands at INR355.8 billion and maintained private market leadership with share of 20.8%. Individual new business premium stands at INR263.6 billion with a growth of 11% and private market share of 25.3%. For Q4 FY '25,

the company's individual new business premium grew by 7% over the same period last year as compared to industry growth of 5%.

Gross written premium stands at INR849.9 billion, a growth of 4%. Profit after tax stands at INR24.13 billion with a strong growth of 27%. Value of new business stands at INR59.5 billion. VoNB margin stands at 27.8% for period ended March 31, 2025.

Embedded value for the company as on March 31, 2025, stands at INR702.5 billion, registering a growth of 21% over March 31, 2024. Our asset under management stands at INR4.48 trillion, with a growth of 15% over last year. Our solvency ratio of 1.96 as against the regulatory requirement of 1.50. Now we will update you on some of the key parameters in detail.

Let me start with premium. Individual new business has grown to INR263.6 billion with a growth of 11% over last year. The company's private market share stands at 25.3%, and industry market share stands at 15.8%. On individual rated new business, we stand at INR193.5 billion, with a growth of 12% over last year, and we maintained our leadership position with private market share of 22.8% and total market share of 16.1%.

The company's 3-year CAGR of individual rated new business premium stands at 15% outpacing

the industry CAGR of 11%. We have witnessed some headwinds in group business, particularly with our group savings product.

Group new business premium stands at INR92.2 billion with contribution of 26% in new business premiums. Having said that, we have collected total new business premium of INR355.8 billion. The company's private market share stands at 20.8%, and total market share stands at 9.0%.

The company's 3-year CAGR of new business premium stands at 12%, outpacing the industry CAGR of 8%. Renewal premium during the year grew by 14% to INR494.1 billion, which accounts for 58% of the gross written premium. To sum up, the gross written premium stands at INR849.8 billion with a growth of 4% over corresponding previous year.

In terms of APE, premium stands at INR214.2 billion registering a growth of 9%. Out of this, individual APE stands at INR195.9 billion with a growth of 13%. During the year ended March 31, 2025, total 22.03 lakh new policies were issued. Number of lives covered during the year ended March 31, 2025, is 25.5 million. The growth in sum assured tops as a positive indicator of consumer confidence and the increasing awareness of importance of financial protection. Individual new business sum assured registered a growth of 43% over corresponding previous period and for the quarter growth was at 67%.

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Let me give you some details about the product mix. For FY '24-'25, guaranteed non-par savings products grew by 18% on new business premium basis, while in quarter 4, guaranteed non-par savings product registered growth of 56%. On individual APE basis, the segment now contributes 20%.

Individual ULIP new business is at INR162 billion with a growth of 18% over last year, and it constitutes 62% of individual new business. However, in last quarter, ULIP witnessed degrowth. The movement of ULIPs can be attributed to the movements in equity market and this strength is evident across the industry. This apart from our focus on the traditional products.

Individual protection new business is at INR7.9 billion. Individual protection business for Q4 FY '25 has grown by 40% on NBP basis as compared to quarter 3 FY '25. Group protection new business stands at INR33 billion. Credit new life business has grown by 11% and stands at INR25.2 billion. Protection business contributes 10% of APE and stands at INR20.5 billion.

Retirement plans assist customers in building a substantial corpus of funds to maintain the desired lifestyle and manage expenses in their golden years. Total annuity and pension new

business underwritten by the company is INR71.6 billion.

Moving to update on distribution partners. With the strength of more than 59,000 CIFs, SBI and RRB's bancassurance business contributes a share of 61% on total APE basis. And on individual APE basis, it stands at INR127.5 billion, with growth of 9%. SBI branch productivity on individual APE terms stands at INR5.4 million for the year and registered a growth of 9%.

With enhanced focus on agency channel and strategic launch of Agency 2.0 in last financial year, we have witnessed impressive strides in agent activation, agency channel productivity and onboarding of new agents and better collaboration between agents. Our agent productivity for the year stands at INR2.9 lakhs on individual NBP terms, registering a growth of 20% over previous year.

Agency registered individual new business growth of 28% over corresponding previous year and contributes 27%. Agency channel individual APE showed a growth of 23% over last year and stands at INR59.5 billion. As on March 31, 2025, the total number of agents stands at 240,304. During the year ended, the company added more than 97,500 agents on a gross basis. As part of our strategic initiative to strengthen our presence across the country, we have opened 70 new branches this financial year. This expansion is aligned with our vision to create infrastructure that supports the long-term development of our agency channel. Our expansion strategy targets are carefully designed to cater not only to Tier 1 and Tier 2 cities, but also to underserved Tier 3 and Tier 4 regions.

All these steps have resulted in increase in the share of agency channel in individual rated premium from 28% in previous year to 30% in current year. During the year ended March 31, 2025, other channels that is direct corporate agents, brokers, online and web aggregators grew by 22% in terms of individual new business premium. Linked business through other channels registered growth of 39% on APE basis.

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We are investing in building our online business channel. Individual rated premium through this

channel has grown by 66% for the current year as compared to previous year and protection business through this channel on IRP terms grew by 31 % as compared to previous year. Coming to updates on profitability. The company's profit after tax for the year ended March 31, 2025, stands at INR24 .1 billion, with a robust growth of 27% as compared to previous year. Our solvency remains strong at 1.96 as against regulatory requirement of 1.50. Value of new business stands at INR59.5 billion with growth of 7%, and VoNB margin stands at 27.8% for the year ended March 31, 2025 as compared to 28.1% in FY 2024.

The shift in VoNB is mainly on account of incr ease in share of ULIP business as compared to previous period. We have doubled our VoNB in the last 4 years. However, during the fourth quarter, VoNB grew by 10% as compared to the same period previous year, faster than Q4 APE growth and VoNB margin stands at 30.5% for the quarter, a gain of 220 bps as compared to the same period previous year. The shift is driven by change in product mix.

Embedded value for the company as on March 31, 2025, stands at INR702.5 billion registering a growth of 21% over March 31, 2024. Embedded value operating profit stands at INR117.8 billion with a growth of 20% over previous year and operating return on embedded value stands at 20.2%.

Coming to operational efficiency. opex ratio stands at 5.3% and total cost ratio stands at 9.7% for the year ended March 31, 2025, as compared to 4.9% and 8.9%, respectively, for the year ended March 31, 2024. With respect to persistency of individual regular premium, 13th month persistency stands at 87.41%, an improvement of 63 basis points and 61st month persistency stan

ds at 62.69%, an improvement of 528 basis points.

As mentioned in my opening remarks, asset under management stands at INR4.48 trillion as at March 31, 2025, having growth of 15%. Death claim settlement ratio stands at 99.4%. The company has registered an improvement of 23 basis points over last year. Our mis -selling ratio stands at 0.02%, which is one of the lowest in the industry And this is achieved through our consistent approach adopted by the company to ensure right selling to the customers.

Digitalization is transforming the life insurance industry, enabling us to deliver enhanced services and a more seamless experience f or our customers. As we embrace this digital transformation, we remain committed to innovation and excellence, ensuring that we stay ahead in an increasingly competitive landscape.

The company contributes continues efficient usage of technology for simpli fication of processes with 99% of our individual proposals being submitted digitally, 54% of the individual proposals are processed through automated underwriting. To conclude, by fostering a culture of resilience and continuous improvement supported by a clear focus of developing agency channel, along with the partners banca networks, we are confidently positioned for the future. Our commitment to exceptional customer service strengthens client relationships and reinforces our status as a trusted leader in the market.

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In order to maintain our leadership position, our strategy moving forward will center on three main areas: innovation, customer centricity and sustainability. And we will achieve this by enhancing digital capabilities, expanding reach with st rengthening distribution networks and product development. With a focus on long -term sustainable and profitable growth, we aim to create lasting value for our customers, shareholders and communities paving the way for a prosperous future together.

Thank y ou all. And now we are ready to take any questions from you.

Moderator: Thank you very much. Th e first question is from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.

Avinash Singh: Very impressive show on margin. And I m ean this again demonstrates your ability to tweak the product mix and your cost effectiveness that, of course, helps deliver this margin. My question will more be focusing on growth. The first one is that now, of course, this year, your conscious choice to leave a space or vacate space due to hyper competition in group business has also kind of led to head line numbers being a bit muted.

Now with this base and also whatever is happening now the base turning favorable. But on the retail side, of course, thrust on non -banca and also banca base turning reasonable, but the noise remains around banca. So in all , if you were to connect the dots, how do sort of you see growth next year because that's one of the key metrics?

And second, I mean if I see, of course, I mean, your focus on non -banca is delivering numbers, agency has improved. But two things I noticed about agency. If I look at just Q4 in isolation, the growth in agency just like a very, very muted 4%. So the agency channel th at was growing at 28% in 9 months, the full year number has come to 21%. So Q4, what happened to this agency growth?

And in relation to that, agency has seen a large number of deletions, is there some sort of a strategic choice that you are kind of removing the inactive agents or so. There has been a large amount of deletion, so there has not been a net addition this year in agency. So these are my 2 questions. Growth outlook, and second on agency.

Management : So talking of the growth first of the Q4, you would have noticed that the overall industry growth in Q4 has been sluggish. And our company, although agency chan

nel was somewhat affected,

but there were other reasons also for the agency slower growth. Our focus on agency channel during the quarter was making more agents active by way of our traditional and protection product.

So while the overall agency growth was only around 4%, but there was substantial growth in contribution of non -ULIP products from the agency channel. So that number is reflecting in our overall product mix also.

Talking of overall growth, we delivered on individual IRP basis, 12% growth and going forward, we expect that we will continue to grow at around 13% to 14%, which will be slightly above the industry growth that is being expected today at around 12%. So this growth we are expecting

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from our continued focus on agency channel, where we are again opening more branches, having addition of more agents and increasing agent productivity as well as their activation. So that growth from agency channel, we are again expecting at around 25% on this strong base.

On the banca side, we have grown by around 8% during the year. And we expect that going forward, we will be growing at around 10% or in low double digits in the banca channel. Overall, the growth expectation of 13% to 14%, we are standing by. As far as the number of agents you talked about, so you rightly picked that despite a gross addition of around 97,000 agents, our net addition was slightly negative, marginally negative.

That was rightly on account of de-weeding of inactive agents. So we stuck to our minimum business guarantee from agents and all those agents who are not contributing substantially to the company, to the business were removed.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: Just trying to understand that in the group protect business, what has driven such high growth this quarter?

Management: Grown very strongly in quarter 4 for us in group protect business. And there has been some other GTI deals, employer -employee kind also, which have come. So the big degrowth has happened in fund business, but the protection business has done well in quarter 4.

Nischint Chawathe: Yes. Credit protect is up, I think you mentioned around 10%, right?

Management: That is for the year. For the quarter, it is higher.

Nischint Chawathe: Credit Life, okay.

Management: MD sir told for the year figure. Quarter figure, if I remember number right, is 20%.

Amit Jhingran: In the Credit Life?

Management: Yes.

Nischint Chawathe: Got it. In the VNB walk, what is the change in operating assumption? I believe if I look at the 9-month walk, the number was or the ratio was higher and it's now gone down in this quarter.

Management: So if you look at the 9 months, that comparison was the last year March. And when it come to this year, it is last March to this March. And the assumption we take mainly on account of the mortality and persistency because you've seen this as a company, we use the sustainable assumption for future. And continuously, we are making operating surpluses on both account on mortality as well as persistency. So some part of that we capitalized as that reflected in this assumption change.

Nischint Chawathe: And when we look at the rolling 12 months in the 9 -month presentation, versus now, I mean, it kind of means that maybe some of the assumptions may have been toned down?

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Management: No, actually, if I understand correctly, last year, we made assumption change and the VNB walk is around 1% impact. That is from last March '23 to '24. And when we are reporting the 9 -month number, that keep reflecting. And if I compare the March '24 assumption to March '25 assumption, its impact is only 20 basis points that's reflected in this one. And tha

t is mainly on

account of some refinement and some capitalization on account of mortality and persistency.

Nischint Chawathe: Sure. And similar question in EV walk, we have an operating variance of around INR 750 odd crores. And the assumption change of INR220 crores. So if you could just maybe give a breakup of that?

Management: So if you look into this INR727 crores operating variance, INR277 crores is coming on account of persistency, INR423 crores on account of mortality, INR17 crores is coming from approximately on expenses. So you see this mortality has significant INR423 crores, persistency also, because we've seen significant improvement in long-term persistency. And we're looking to long-term persistency 61st month and onwards that we have turned out to be positive that we capitalize d in some of the assumption that also reflect in the EV because the EV walk is bigger, the impact we might be seeing in the EV walk is higher than what we're looking into the VNB walk.

Nischint Chawathe: Sure. And just one final question. There was a very smart product mix change this quarter, which supported margins. How do you see the product mix in this financial year?

Management: Going forward, what we are looking for is a 65% -35% kind of product mix. I mean 65% of ULIP and 35% of our traditional policies that include participating, nonparticipating and protection products. So there, we're expecting a 5% tilt towards traditional products from ULIP during the year.

Nischint Chawathe: So this year, ULIP was 65%, right, 64%. So what you're trying to essentially say is it more or less remain at a similar level.

Management: This year, it was 70%. So this is FY '25, Nischint, it is 70% -30%.

Management: Correct.

Management: So we are expecting that it will go towards 65% -35% in FY '26.

Nischint Chawathe: Got it. As a percentage of sales. Got it.

Management: Quarter 4 will be less than that.

Management: Right. You are talking on the APE basis, I was talking on the IRP basis basically. So that is the difference.

Nischint Chawathe: Got it. So basically around 500 basis point swing is what we're talking about.

Management: Yes.

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Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: My first question is on the P&L. If I look at the net commissions and rewards as a percentage of total premiums, that is slightly up between FY '24 and '25. So what can it be attributed to? I mean, are you paying more to the agents? Or has some terms and conditions been changed with banca channels? And my second question is on any idea you can give us on the possible regulation, if anything can come up on banca channel? Are there any advanced talks with the regulator or with any government entity? Any idea over there would be useful.

Management: So the thing is that this talk on banca channel, I have been listening from either the journalists or the analysts, but not from any of the IRDA authority or from the government authorities. So you are aware that the IRDA's process is very consultative. And till date, they have not floated any paper or any draft guidelines regarding any restrictions on banca channel or anything. So this has been going on for more than 9 months, almost a year now. But as of now, there are no formal discussions or formal guidelines or even formal draft guidelines for these restrictions or anything. So that is our stand. We have, of course, always weaned with the regulator on any front, and we will keep discussing. And if anything comes, we will adjust the company's stance with that.

And with reference to the net commission, which you have seen there is a little increase on that part is due to the product mix change during the last 2 quarters, quarter 3 and quarter 4. So it is basically the traditional movement has started for us in

the last 2 quarters. That is the reason the net commission has gone up. And overall, opex and the total cost ratio, if you see it is under the control in a single digit, and we are quite comfortable on that.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Firstly, with respect to VNB margins during the quarter, are we also seeing some improvement in margins at product level with respect to protection or with respect to ULIP where the attachment could have gone up? Or could you give us the mix in the individual protection, how has been the mix between return of premium and the normal?

Management: So there will be slightly improvement because there are 2 reasons mainly movement happened on account of product mix. But within the product, if you look into that, we have launched high sum assured protection product 6 months back. We also launched several riders and rider attachment also coming from.

So when the rider attached with the product, the in-built margin is going up. We have launched children product where we also make some of the in-built protections. So that protection is also

in-built protection also helping the enhancing the margin. So you can say the inherent margin enhancement is also, to some extent, reflected in this quarterly margin.

Prayesh Jain: Okay. Sir, while you gave the guidance on growth and also you give the guidance on product mix, is it fair to expect the VNB margin for full year FY '26 to be closer to the fourth quarter average? Or how should we think about VNB margins if your product mix kind of pans out the way you have highlighted for us?

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Management : So, in our last analyst call, we had given a guidance of around 28% margin. And I'm happy to note that our overall margin was in the same range. So barring spikes or dips from quarter -to- quarter, we expect to maintain the margin of around 27% -28% for the full year.

Prayesh Jain: In spite of the fact that the product mix will have such a large share towards non -linked products, which are having higher margins, why should the margins be stable?

Management: Partially, it will also be shift towards par and par and ULIPs have similar margins. There could be some uptick. But broadly, I think MD has guided what is the broad margin.

Amit Jhingran: Around 28% of margin. Yes.

Prayesh Jain: Okay. Just my last question on bancassurance channel, you mentioned that the productivity growth has been around 8%, 9% for the year. The premium growth also has been in a similar range. So there is no incremental branch that's kind of contributing? Or how should we read this? Only the gains are coming in from productivity only and there is a lot of scope, right, to penetrate into SBI Bank. So how should we read this? And how should we think about the outlook going ahead?

Management : So all SBI branches are authorized to sell our banca products. So any increase in number of branches by the bank will automatically increase the number of branches authorized to sell insurance for us also. The increase, of course, is coming from the per branch productivity, and that is what we are focusing upon also. You are rightly saying that banca is one channel which has a lot of opportunities, and we will continue to harness these opportunities in the best possible way with our parent bank and other banca partners also.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: So three questions from my side. First, you guided for around 25% growth at the agency counter. Now if you look at for FY '25, your productivity growth at agency was around 15%, mainly coming in from incremental agency. So if I were to look at the future guidance of 25% growth at agency, how would that break up between new agent additions versus productivity improvement? And how much

scope is there to improve productivity?

Second question on this part is on the agent part, are you also focusing on improving the product mix at the agency counter, basically saying that maybe trying to improve the margin at the agent base? The third question is in terms of the contribution of the parent bank. While you have mentioned the APE mix, can you give some color of the contribution of the parent bank to the overall VNB of the company? Those are my three questions.

Management: So, on the agency front, the growth will come from increasing agents and increasing productivity both. And 65% -35% kind of product mix broadly is also target for agency. Agency might be slightly lower ULIP than the company average .

Management : On the banca side, I mean, we don't divulge the VoNB margin channel -wise or that way. But of course, in the banca partner, parent bank, the growth is coming from higher activity and better productivity per branch. We have grown by 8% in parent bank, and that is the dominant banca

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partner for the bank, almost more than 90% business is coming from parent bank itself. So the guidance that we are giving for the current year, the same stands for the parent bank also.

Dipanjan Ghosh: Just one data keeping question. If you can give the credit life APE for the year or quarter?

Management : Credit Life APE is around INR250 crores for the financial year FY '25.

Management: INR250 crores, he said.

Dipanjan Ghosh: Okay. This is for the financial year, you're saying?

Amit Jhingran: Yes.

Management: This is full year.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: My first question is I just wanted a clarification. When you are saying 13%, 14% growth, is that on total APE or individual APE alone? If you could clarify that? And then if I take that into consideration and take this 500 basis point product mix improvement that you're talking about,

it seems like back of the envelope math suggests that you're still expecting around 8%, 9% kind of growth in the ULIPs front. In this quarter, you have seen a decline. So what gives you confidence that ULIP growth will come back next year given how our markets are?

And my second question is on the non-par side in FY '23 as well when you had launched Smart Platina, we had seen a significant surge in non -par. And then it kind of fizzled out and the mix again went back to what it was prior to that product launch. So can you just help us understand why you think that this time it's going to be different and this time the product mix shift is going to be more permanent as compared to what happened in FY '23? Those are my two questions.

Management : See, the first one is about the growth that is related to individual APE and that we are expected to grow between around 14%. And the product mix switch, which will happen, why we are confident is that we have already seen this during the last quarter, which is fourth quarter of FY '25.

And that precisely also shown a positive side of the agency because agency, which has been doing for the last 3 quarters, that is first 9 months, and they have shifted significantly towards the product mix, which is non -par protection, non -par Smart Platina, which is guaranteed as well as the par. That is a big boost to us that we are very optimistic that it will help us in the agency side. And with this product mix, the banca, as already said, the banca also is being moving towards that. So overall, we believe that, that will help us to achieve our product mix along with the growth.

Management: This product mix shift is not based on any single product like the last time. It is more broad - based. As I told in my opening remarks, we have launched 4 products, which cater to different market segments, including guaranteed returns and there are children plan also, and we are seeing good numbers across the products.

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Supratim Datta: Got it. And I had another question on the agency bit, agency channel, when I compare the kind of commissions that you would be paying in the agency channel versus peers, it seems like not only are you more efficient on the banca channel, but your commission levels on the agency channel are also fairly lower as compared to peers. I understand there is a ULIP mix.

You have a higher ULIP mix in the agency channel as well. But adjusting for that as well, it seems like your agency commission costs are significantly lower than peers. Could you help us understand what is really allowing you to operate at such a low commission? And why isn't there a risk to it?

Management: So, what happens as agency, we have been consistent investors for many, many years and have had a steady focus on agency for last at least 15 years plus and never wavered even in 2012, '13 when the whole agency was going down for the industry. So, to that extent, agents appreciate the steadfastness of SBI Life focus on agency in spite being a banca dominant insurance company.

Second, we are present across all tiers of the market, not only in Tier 1 and in metros but also in smaller towns. So to that extent, our SBI brand plus the way we have managed agency has helped us keep agency cost in control for last many years. It's not a new thing. This is a phenomenon which you would see for last 8, 10 years at least that the agency cost for SBI Life is significantly lower than the agency cost for anybody else in the industry.

Moderator: The next question is from the line of Swarnab Mukherjee from B&K Securities.

Swarnabha Mukherjee: I had two, three questions, specifically first one on the channel side. So I just wanted to understand that in terms of the cost structure and the margins in banca, just if you could highlight, say, between banca and agency, which one is margin accretive. And given that you have highlighted that agency would be growing faster than banca, this built in the mix, would there be any impact on margin when I think about FY '26? This is the first question.

Second is in terms of the group protection side, so Credit Life and Group Term Life, as you have highlighted that both have done well. In Group Term Life also you have gotten some new mandates. Just wanted to understand that your peers have been highlighting that there is some pricing pressure in this part of the business.

So I mean, how are the pricing that you are getting? And whether as a whole in terms of Group Term Life, for example, has the margin profile deteriorated in the last year compared to what it was previously? I understand that it is possibly a lower proportion of our mix than Credit Life, but just wanted to understand this part?

And lastly, the drop in ULIP this quarter that we are seeing, this degrowth, is this a conscious strategy or due to the lack of demand? Because particularly in agency, we see that there has been a sizable drop and you have highlighted that the focus was on the traditional side more. So just wanted to understand that part. And also how easy or difficult is it to reorient the product mix in the agency channel, particularly? These would be my questions .

Management : So if you talk of the cost structure in reply to the previous question, we said that we continue to have a low -cost structure even in the agency channel and the agency channel costs are lowest in the industry, the kind of commission we pay. Of course, the total cost structure, if you look at, then agency channel is slightly costly because of the physical infrastructure that we have to create and maintain by opening more number of branches.

So that way, there is a slightly higher cost in

agency channel compared to the banca channel.

The cost of commission for both the channels is almost similar. As far as drop in ULIPs in the last quarter, you are saying, for last 1 year, we have been trying to change this product mix, and we have been working. You have rightly identified that it is slightly difficult to change the orientation of the agents or the partners in selling the product mix. But these are efforts of 1 year, which have started fructifying this.

Of course, this also might have helped by the volatility in the market. Demand might have gone down. But the good thing is that even in the current month, we are seeing the similar trend as of now in the first 22, 23 days of this month. So this is a conscious strategy also. You will see that we launched new products also during this period in the non -ULIP segment. So this has been in works, and we have been making efforts because this is margin accretive for the company and a good value proposition for the agents and partners also.

On the GTI, overall, if you see the group protection, the Credit Life has been good for us and which is very consistent. For the last 2 quarters, quarter 3 and quarter 4, we have been seeing good traction in the Credit Life. So we ended with around 12% growth in our Credit Life. And as far as the GTI is concerned, so it is doing good.

And as a policy, we don't get into the business where we have a negative VoNB. And that has also grown this year around 5%. So our conscious call is that the negative VoNB business, we generally avoid and we go for a good client, good business as far as the GTI is concerned. So overall, this portfolio has given a better result as compared to what others are doing.

Swarnabha Mukherjee: Understood, sir. Just a couple of follow -ups on this. So one is on the credit life side, sir, if you could highlight what would be your mix between different categories, say, home loans, personal loans, etcetera, which would be the more dominant because normally, we're hearing that MFI part is under a bit of stress. So if you could provide your comments on that?

Management: See, majorly, our credit life portfolio is from the home loan customers that we cover as far under the credit life portfolio.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: Congratulations on a great set of numbers. Just two quick questions. First, on individual protection, we're seeing some weakness over there. So this year, and we've seen a little bit of a decline in that part of the business. So can you help understand what is happening over there? And while persistency has improved across most buckets, but in the 49th month, I think there is still some decline over there. So some understanding on that as well?

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Management: See, as far as the protection on the individual side is concerned, we have started seeing good numbers in the last quarter because we have launched some new products in the last 6 months, and we just started now seeing the traction. So, we are very optimistic that this will give us a good number in the FY '26.

As far as this persistency is concerned, the 49th -month persistency is generally call it as a COVID cohort. So there, we have seen some of the geographies where the persistency is getting hit. And this is also we have taken a lot of measures, and we have got some positive result on that. So we have launched revival campaigns, and we have got actually control of this particular situation. And we don't see much dent on this going forward. But overall experience is good for us as far as the persistency across cohorts are concerned.

Madhukar Ladha: Right. And just on this 49th month, you said...

Moderator: Mr. Madhukar, I would request you to please come back in the queue for further questions. The next question

is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, you told in the call that your contribution of pure term has improved in the entire protection and that is probably one of the reasons your term protection has slowed down a bit. So just wanted to know what is the mix between ROP and pure term and how much delta contributed

to the margin?

And second thing is that you also alluded to the point that you're trying to attach more riders.

So, I just wanted to understand in the total savings business, how much business has a rider attachment or has a sum assured which is more than INR10 lakhs?

Management: No, so rider attachment for ULIP policies came only in late quarter 4. So you would see some impact on that. On traditional policies, it came a little earlier. So there is impact of that. And yes, pure protection proportion has improved this year, both on high term INR2 crore plus product that we have launched also on the eShield Insta that is available on ULIP.

Sanketh Godha: Can you quantify the number?

Management: Yes. So just to give you the proportion of the business has tilted from 90% -10% to 80% -20%, so which is a very positive for us.

Sanketh Godha: 80% is ROP and 20% is pure term, right?

Management: Yes.

Moderator: The next question is from the line of Aditi Joshi from JP Morgan.

Aditi Joshi: Just one question from my side. And this is with respect to the solvency ratio. So quarter -on-quarter, we have seen some 8 percentage point decline in the solvency ratio, whereas at the same time, look at the interest rate, those have gone down, so you could have some gains on the bond valuation. And equity markets were also broadly flat quarter -on-quarter basis. So I'm just wondering apart from the macro being either flat or favorable, what actually caused to that decline?

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Management: So first thing we value the assets for solvency purpose, asset is not valued at market value, asset is valued at book value. So with the market movement, be equity, there's no impact on the asset side. If you see the fall on this solvency is business as usual. So we make the dividend pay-outs. So that has some dent coming on that basis.

Subsequently, this quarter, we have retained protection and non -par and solvency requirement in the protection and non -par is higher than unit -linked product. That's the reason required solvency margin has gone up. And as a result, you might see some fall in solvency margin. But still, if you see compared with the last year to this year, last March to this March, it is stable at the same level.

Moderator: The next question is from the line of Mohit Mangal from Centrum.

Mohit Mangal: Just one question. Non SBI Banca partners . I just wanted to know how much of this 14,000 branches are actually actively selling our products? What products they sell? What are the growth rates? If you can give some color, that would be helpful.

Management: So non -bank partner, the experience is different from partner to partner. Obviously, the activation growth ratios are much lesser than activation ratios that we see in SBI. But the endeavor is to see that in every branch, we are able to sell at least few products. But as of now, that is not the situation.

Mohit Mangal: Okay. But what products they mostly sell, the growth rates, anything that you can share?

Management: So broadly speaking, 30% of the product portfolio is ULIP, 70% is non -ULIP as far as non -SBI banks are concerned.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS Securities.

Neeraj Toshniwal: Congrats on the good set. Just wanted to understand on the guidance, given we have a higher base in agency and a lower base in banca, we are guiding on a kind of still lower growth from the banca and higher from agency. How confident we'll be making 25% growth

on a high base

in agency and is the 10% new normal, which will kind of remain or we can see improvement maybe going ahead?

Management : See, as far as agency growth is concerned, we are very, very clear about the trajectory which we are focusing for SBI Life as far as our next 2 to 3 years are concerned. This year, we have delivered with a base of 17% growth in FY '24. Now we have delivered 23%. And the kind of investments as we have been making in the agency channel and which is very consistent and our productivity per agent is also quite encouraging.

And our number of addition of agents are also quite good. We are expanding our reach across Tier 2, Tier 3 cities also through our branch. Last year, we opened 70 branches. This year, we are planning to open around another 87 branches. So all taken into account, we are very confident and optimistic that the agency can grow around this rate.

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As far as banca is concerned, I think that, as already said, we are in the range of around 9%, 10%, which we are aspiring for the banca channel to grow. So overall, taken into account, it will be approximately around 14%, 15% growth, which we are looking for FY '26.

Neeraj Toshniwal: Got it. And sir, the VNB margin bit as somebody also asked, as given the mix is kind of improving, why are we guiding for a higher faster growth in VNB compared to what we are guiding currently?

Management: There are 2 aspects to look at it. One is that is growth, then corresponding to that, the product mix. But at the same time, we are also, as I said earlier, we are expanding our reach through opening of branches. We are putting a lot of investment in our infrastructure. That is like our IT cost plus our number of employees.

We have already crossed 26,000 employees. And this year also, we are going to add another 1000-500 employees. So if you see all together, there will be a contrast from the product mix growth vis-a-vis the expense. So in that, the situation, the range which we are guiding is around 28%, which is, I think, quite good as far as the current product mix, which we are proposing for FY '26.

Management: And also, as I said, some of the mix is going through ULIP to par.

Management: Yes.

Management: And not everything is going to non-par.

Moderator: The next question is from the line of Sumit Sharma from HDFC Securities.

Shobhit Sharma: Am I audible?

Management: Yes.

Shobhit Sharma: Sir, my first question is on your product mix. You said you want to continue increasing the non-par saving mix. So we are in the middle of the rate cut cycle and due to the rate cuts, the product offering becomes less lucrative. So how will we ensure that the product mix stay at the top of what we are expecting? And secondly, what would be the impact of margins due to the rate cuts as we may not be able to pass on that rate cut towards the end customers?

Secondly, there have been a significant reversal in the rewards section, if you look at the commission cost. We have seen similar trend in the last year Q4. So is there something else we have to read into that because the product mix in both the quarters have tilted towards the traditional products? These are my two questions.

Management: See, on non-par product perspective, as question, we're looking to first thing that we are looking to increase the mix of the non-par, including protection. So it's not only our non-par saving, is non-par and protection and annuity as well. So all together clubbing a bucket, we think improvement will happen on side. So, this is the part

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As far as rate cut is concerned, as we keep mentioning that we keep doing the active pricing both annuity and non-par guarantee product. And interest rate as much possible, we try to pass on to as quickly as

possible, pass on to the customer. So from that perspective, rate cut will not have any adverse impact to our margin as per non-par saving is concerned.

Now reflecting into rate cut will have less attractive, slightly passive but at the same time, we have to look into other financial instrument available in the market, be in the fixed deposit other part. And you might notice the equity market is also slightly volatile. So that will also make this non-par product more attractive.

Most important point that I would like to mention here in non-par saving is as a company, we are giving non-par saving, people give a guarantee. So even slightly lower guarantee, but longer-term guarantee continue to be attractive. And hence, we expect that we're able to drive this product mix that we are aiming for.

Shobhit Sharma: And sir, just a small follow-up on this. Sir, what's the IRR rate at which we are operating at currently?

Management: It differs from product to product.

Management: Product to product, different type of products.

Management: Yes. The second one, I think you were referring about the expense provision. So that is generally part and parcel of our overall mix and the partners. So we generally do that. And by end of the year, whatever is not done, we reverse that.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: So, in the notes to accounts, it's also mentioned that there is a change in expense allocation methodology, which has resulted in about a INR48 crores increase in policy liabilities. And I mean, is that sort of set off against the assumption change that you've made? And can you explain what this is regarding?

And second question on what you mentioned about the COVID cohort, I wanted to just know, is that any particular type of policy or any specific product because of which this is what we've

been observing. Or is it just because of that time frame?

Management: Regarding persistency, its across cohort and it is also similar for all the channels, including agency as well as other bancapartners and banca. So we don't have any differential experience we have seen in this particular cohort. And as far as the expense allocation methodology, which we have changed, this is basically we do once in 3 years to 5 years as far as our expense methodology assumption change based on the feedback experiences and with the guidance. That is what we have done. In fact, we have done it in the month of second quarter itself and this is just a disclosure. So, there is not much on this, it is just a change between the existing assumption to new assumption. So whatever has the change, we have disclosed that.

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Management: Just to supplement on this side, we do this time, motion study things, try to refine these things. And you see the year-on-year, the time is spent and time, motion, there was some refinement happened. So we just incorporate those refinements in our expense allocation policy. And as a result, there is some expenses shift happen from the different LOB.

And when we also look into this each year, we look into our split of expenses, both in acquisition and maintenance perspective and really reflect in our calculation of VoNB. So there is a slight movement happened from unit-linked to non-par. And that resulted to slightly increase in non-par unit expense in the future. And that's a result, you see some increase in liability coming from in non-par segment.

Madhukar Ladha: So sir, just a follow-up. When you had an increase in policyholders' liability, that would mean that this is an adverse variance?

Management: No, no. It's not variance in perspective because we already explained that if you look at the operating profit, we see there is expense profit coming from. So if there is an expense profit

coming from, there is a positive variance, that's not adverse.

What we said just realignment to reflect the current time, motion activity and that's reflected in the unit cost and that's why we incorporated in a very scientific way we do and that's reflected in our increase in liability in that perspective. There's no additional provisions that have been made that you might be referring to.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Mr. Amit for closing comments.

Amit Jhingran: Thank you very much, everybody, for your time and queries. You may get in touch with our Investor Relations team in case you have any follow-up questions at any point of time. Thanks and regards.

Moderator: Thank you. On behalf of SBI Life Insurance Company Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information

contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc.,

and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These statements by the

Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our

business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and

are not guarantees of future performance. Because forward-looking statements relate to the future, they are subject to inherent

uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward-looking statements.

Call: Jul 2025

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

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July 31, 2025 SBIL/CS/NSE -BSE/2 526/62

Vice President General Manager

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Exchange Plaza, Phiroze Jeejeebhoy Towers,
Plot No. C/1, G Block, BKC, Dalal Street,
Bandra (East), Mumbai 400051 Mumbai 400001
NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q1 of FY 2025-26

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2 526/56 dated July 20, 2025 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Thursday, July 24, 2025.

The transcript of the earnings conference call with analysts or institutional investors is also hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,

Girish Manik
Company Secretary
ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited
Q1 FY '26 Earnings Conference Call"
July 24, 2025

Management: Mr. Amit Jhingran – Managing Director and Chief Executive Officer
Mr. Sangramjit Sarangi – President and Chief Financial Officer
Mr. Abhijit Gulnikar – President, Business Strategy
Mr. Subhendu Bal – Chief Actuary and Chief Risk Officer
Mr. Prithesh Chaubey – Appointed Actuary
Ms. Smita Verma – Senior Vice President, Finance and Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the SBI Life Insurance Company Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you

to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Amit Jhingran, Managing Director and CEO, for opening remarks. Thank you, and over to you, sir.

Amit Jhingran: Good afternoon, everyone. It is a pleasure to welcome you all to results update call of SBI Life Insurance for the quarter ended June 30, 2025. We appreciate and thank you wholeheartedly for your valuable time and efforts involved in analysing the results and joining our earnings call. Update on our financial results can be accessed on our website as well as on the websites of both the Stock Exchanges.

Along with me, Mr. Sangramjit Sarangi, President and CFO; Mr. Abhijit Gulanikar, President, Business Strategy; Mr. Subhendu Bal, Chief Actuary and Chief Risk Officer; Mr. Prithesh Chaubey, Appointed Actuary; and Smita Verma, Senior Vice President, Finance and Investor Relations, are present here.

As we celebrate 25 remarkable years of SBI Life, we take immense pride in reflecting on our journey to becoming one of India's foremost life insurance providers. The journey has been characterized by resilience, innovation and an unwavering commitment to serving the financial protection needs of millions of our fellow citizens. This milestone is a testament to our unwavering commitment to excellence, innovation and most importantly, the trust that millions of customers have placed in us.

The first quarter of FY 2026 has set an optimistic foundation for the year ahead, successfully achieving the desired targets on various key business parameters that we have set for ourselves, all thanks to the collective efforts of our dedicated team. Our employees' productivity and commitment have been outstanding, driving enhanced operational efficiencies and customer centricity across all touch points.

The performance of this quarter reflects our focus not just to drive business, but on complete ecosystem like mix, persistency and operational indicators.

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This can be witnessed through our 13th and 61st month persistency ratios, underscoring the strengthening of our customer relationships and the overall quality of our business. Additionally, we have observed a traction in our individual new business premium towards the end of the quarter.

Alongside a favourable shift in our product mix towards guaranteed non-par savings and protection solutions, reflecting evolving customer preferences and our strategic focus to shift towards balanced product portfolio. Though we still strive to maintain this shift in our mix, our endeavour is to achieve company's growth aspirations.

Despite operating on a high base from the corresponding quarter last year, our ability to maintain growth above the industry in Individual Rated New Business reaffirms the resilience of our strategy and the deep trust our customers place in us.

Our agency and bancassurance channels continue to be the pillars of our distribution strength. Notably, in this quarter, other distribution partners like broker, other bank partners, web sales have also contributed meaningfully. The integration of these channels with our broader ecosystem has significantly enhanced our market penetration and expanded our reach, allowing more customers to benefit from our comprehensive insurance solutions.

Another standout feature of this quarter has been the

significant focus on

protection plans, which have gained impressive traction. Notably, protection segment witnessed growth of 53% on APE basis and contributes 11.7% of total APE. As the insurance landscape evolves, the need for enhanced protection solutions becomes increasingly critical. SBI Life is committed to innovating and expanding its product portfolio to address the growing financial security needs of our customers.

As we move forward, our continued emphasis on customer trust and product portfolio will be key drivers in sustaining our growth momentum and creating

long-term value for all stakeholders.

Now let me give some key highlights for the quarter ended 30th June 2025.

New business premium stands at INR72.7 billion with a private market share of 21.3%. Individual rated new business premium stands at INR34.7 billion with a growth of 8% and private market share of 22.3%. Gross written premium stands at INR178.14 billion with a growth of 14%. Profit after tax grew by 14% to INR5.94 billion as compared to corresponding quarter last year. Value of SBI Life Insurance Company Limited

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new business stands at INR10.9 billion with a growth of 12%. VoNB margin stands at 27.4% for quarter ended June 30, 2025, a gain of 62 basis points.

Indian embedded value for the company as on June 30, 2025, stands at INR742.6 billion. Our AUM, the Asset Under Management stands at INR4.76 trillion with a growth of 15% over corresponding quarter last year. Solvency ratio of 1.96 as against the regulatory requirement of 1.50.

We will now update you on each of the key parameters in detail. Let me start with Premium.

On Individual rated new business, we stand at INR34.7 billion with a growth of 8% over corresponding quarter last year and maintained our leadership position with private market share of 22.3% and total market share of 15.4%. The company's 3-year CAGR of individual rated new business premium stands at 10%, outpacing industry CAGR of 9%.

Group new business premium stands at INR23.3 billion with contribution of 32% in new business premium. We have collected total new business premium of INR72.7 billion.

The company's private market share stands at 21.3% and total market share stands at 7.8%. The company's 3-year CAGR of new business premium stands at 9%, outpacing the industry CAGR of 8%.

Renewal premium grew by 24% to INR105.5 billion, which accounts for 59.2% of the gross written premium. To sum up, the gross written premium stands at INR178.14 billion with a growth of 14% over corresponding previous quarter. In terms of APE, premium stands at INR39.7 billion, registering a growth of 9%. Out of this, individual APE stands at INR35.08 billion with a growth of 6%. During the quarter ended June 30, 2025, total 4.07 lakh new policies were issued. Number of lives covered during this quarter ended June 30, 2025, is 4.4 million.

The growth in sum assured serves as a positive indicator of consumer confidence and the increasing awareness of the importance of financial protection. Individual and group new business sum assured registered a growth of 73% and 117%, respectively, compared to corresponding quarter last year.

Let me give you details about the product mix. As on June '25, our guaranteed non-par saving products are contributing 19% on individual APE basis. Amidst aggressive pricing trends across the industry, the company has remained SBI Life Insurance Company Limited

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disciplined, aligning its non-par savings product pricing with the market yields and has still achieved a steady and sustainable growth in this segment.

Individual ULIP new business is at INR27.4 billion, and it constitutes 55% of the individual new business. Individual protection new business is at INR1.7 billion. Individual protection business for Q1 FY '26 has grown by 10% on NBP basis as compared to

Q1 FY '25. Traction in participating products continues and witnessed growth of 28%.

During the quarter, the company witnessed growth in all its retail products and the flagship child plans that is Smart Future Star and Smart Platina Young Achiever, which were launched in previous quarter, sold more than 24,000 policies and collected more than INR185 crores of new business premium from these 2 products.

Group protection new business stands at INR8.1 billion with a strong growth of

43%. Credit Life new business has grown by 25% and stands at INR5.9 billion. Protection business contributes 12% of APE and stands at INR4.6 billion. Retirement plans assist customers in building a substantial corpus of funds to maintain the desired lifestyle and manage expenses in their golden years. Total annuity and pension new business underwritten by the company is INR15.5 billion.

Moving to update on our distribution partners. With the strength of more than 59,000 CIFs, the bancassurance business of SBI and RRB contributes 58% to the total APE basis. On an individual APE basis, it stands at INR22.4 billion, reflecting growth of 8%. SBI branch productivity on individual APE stands at INR3.8 million for the quarter, registering a growth of 7%.

Additionally, due to the recent merging of RRBs, that is regional rural banks, under the "One State, One RRB", the total RRBs have reduced from 14 to 9, resulting in lower contribution from these banks than last year.

The agency individual rated premium stands at INR10.88 billion in Q1 of FY '26. Our agent productivity for the quarter stands at INR2.15 lakhs on individual NBP terms. Agency channel has witnessed shift in product mix, increasing its contribution from non-par segments by 722 basis points and share of ULIP stands at 59% versus 68% in corresponding period last year. It is supported by robust growth of 78% in agency individual sum assured. During Q1 of FY '26.

The company added more than 31,000 agents on gross basis.

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We have opened 36 new branches this year. This expansion is aligned with our vision to create infrastructure that supports the long-term development of our agency channel. Our expansion targets are carefully designed to cater not only to Tier 1 and Tier 2 cities, but also to underserved Tier 3 and Tier 4 regions. As mentioned in opening remarks, during the quarter, other channels that is direct corporate agents, brokers, online and web aggregators grew by 16% in terms of individual new business premium and contributed 14% of total APE.

Linked business through other channels registered growth of 7% on APE basis. We are investing in building our online business channel, individual rated premium through this channel has grown by 46% in the current quarter, compared to corresponding quarter of the last year, and protection business through this channel on IRP terms grew by 58% as compared to previous quarter.

Some updates on Profitability. The company's profit after tax for the quarter ended June 30, 2025, stands at INR5.94 billion with a robust growth of 14% as compared to corresponding quarter last year. Our solvency remained strong at 1.96 as against regulatory requirement of 1.50.

Value of new business stands at INR10.9 billion with a growth of 11.7% and VoNB margin stands at 27.4% for the quarter ended June 30, 2025, as compared to 26.8% in Q1 of FY25. The shift in VoNB is mainly on account of shift in product mix as compared to corresponding quarter last year. Embedded value for the company as on June 30, 2025, stands at INR742.6 billion.

Talking of operational efficiency. The opex ratio stands at 6.3%, and total cost ratio stands at 10.8% for the quarter ended June 30, 2025, as compared to 6.1% and 10.5%, respectively, for the quarter ended June 30, 2024.

With respect to persistency of individual regular premium, 13th month

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persistency stands at 87.12%, an improvement of 58 basis points and 61st month persistency stands at 62.8%, an improvement of 501 basis points.

As mentioned in my opening remarks, asset under management stands at INR4.76 trillion as at June 30, 2025, having growth of 15%. Death claim settlement ratio stands at 98.44% for the quarter ended June 30, 2025. Our mis-selling ratio stands at 0.02%, which is one of the lowest in the industry, and this is achieved through our consistent approach adopted to ensure right selling to the customers.

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Digitalization is transforming the life insurance industry, enabling us to deliver enhanced services and a more seamless experience for our customers. As we embrace our digital transformation, we remain committed to innovation and excellence, ensuring that we stay ahead of an increasingly competitive landscape. The company continues efficient usage of technology for simplification of process with 99% of the individual proposals being submitted digitally. 62% of individual proposals are processed through automated underwriting.

To conclude, by fostering a culture of resilience and continuous improvement, supported by a clear focus of developing our agency channel along with the partner bank networks, we are confidently positioned for the future. Our commitment to provide exceptional customer service, strengthen client relationships and reinforces our status as a trusted leader in the market.

In order to maintain our leadership position, our strategy moving forward will centre on three main areas: innovation, customer centricity and sustainability. And we will achieve this by enhancing digital capabilities, expanding reach, strengthening distribution networks and product development. With a focus on long-term sustainable and profitable growth, we aim to create lasting value for our customers, shareholders and communities, paving the way for a prosperous future together.

Thank you all. And now we are happy to take any questions that you may have.

Moderator: Ladies and gentlemen, we will now begin the question and answer session.

The first question comes from the line of Avinash Singh from Emkay Global.

Avinash Singh: A couple of questions. The first one is on margin front; it's a commendable performance. But my question is that, I mean, given that now you sort of have been focusing to move more or grow more outside the bank as well. And that's where I mean, agency expansion and opening of branches has been planned. So, I mean, this opex assumption in this margin calculation.

Keeping that in mind, I mean, whatever your branch expansion and agency addition for kind of plans you have. So if you were to kind of accelerate those branch opening this year, will that have some kind of any changes in your operating expense assumption or the current margin calculation keeping sort of that part of assumption?

And second piece, again, related to agency only. Agency has been kind of a focus area, and I mean, you have a strong track record of your agency being SBI Life Insurance Company Limited

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productive. But if we look at this point in time, the growth in agency looks weak. So I mean, is there something, I mean, not clicking or is it unexpected lines, if at all by when we can expect a turnaround or other acceleration agency growth?

Management: So if you look at the industry growth figure for the agency, the growth was only at around 1%, and we grew substantially higher at 6% plus for the agency channel. Now the 6% plus comes on top of a very robust first quarter of last financial year when our agency grew by 43%. So this growth, although a little lower than what we expected is in line because this is broadly in line with our plans for the year, as you talked about increasing more number of branches.

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This quarter, we added 31,000 plus agent on a gross basis. So now these branches, which we opened last year and this year also, we are opening, along with these new additional agents, we are sure that going forward, we will be getting the agency numbers also as we have planned for the current quarter. Talking of effect on the margins because of the branch opening, so last year also, this agency, you are aware that agency 2.0, we started from the first quarter of last financial year itself. Last year also, we opened a similar number of branches, but the productivity improvement and the additional business and additional profits from these branches, taking care of any additional cost. So last year also, there was no effect on our opex margin as such, and we continue to project the same this year also.

Moderator: We take the next question from the line of Nischint Chawathe from Kotak.

Nischint Chawathe: Just a couple of questions. One was, again, if you could just remind us about your growth kind of target for the year. I believe you had in the past mentioned

that you look at the agency to grow in kind of mid -teen levels. And is that kind of any change over there? And any specific cohort or segment of agency that has seen slow down?

Management : No, we continue to be bullish on agency and our plans are in place. We are going as per our plan. The number in this quarter definitely was a little lower than what we expected, but the kind of product mix that we achieved in the agency channel during the quarter is in line with the product mix that we are expecting for the company as a whole . In fact, better than that and that is taking care of slightly lower growth. But going forward, we are sure that our numbers will also come back along with the product mix that we are getting in this quarter.

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Nischint Chawathe: Sure. The other one is , if I look at the margin expansion this quarter, which product has actually contributed to highest to expansion because if I understand rightly, your margins in ULIP have actually been higher than margins in the par business. So I was just curious what are the expansion drivers this quarter?

Management : See, the margin expansion happened on 2 accounts. One part is that if you see there is a shift in the product mix. So non-par has gone up, protection has gone up. Subsequently, we just mentioned that we launched the protection product , active repricing of the non-par has also contributed.

Third aspect is that we have launched a rider and rider attachment rate is almost 40% . That's also contributing. So I say that not any specific product, but the obtaining optimal product mix has help us towards this margin e xpansion.

Nischint Chawathe: And just one last question is on the IEV that you have reported. Is there a large capital gain during the quarter? Because if I just try to work the number backwards, it appears to be that either there is a release or a large capital gain.

Management : So nothing specific. Only you see that there is a market movement happening , on account of the equity has done better and yield has gone down. So we get MTM gain on that side that's affecting the IEV. And also if you look at our ROEV is quite healthy. So unwinding plus positive earnings during the quarter that also contributed to the IEV growth.

Nischint Chawathe: Sure. And there is no major variance, I would believe?

Management: No, no major variance.

Moderator: The next question comes from the line of Aditi Joshi from JP Morgan.

Aditi Joshi: Just a couple of questions on the product mix within the channel. So there is quite a varying growth in the particular product. For example, non -par in the banca was weak, whereas it was strong in the agency. And similarly, there was some differential within the ULIP sales as well, which was strong in the banca, but weak

er on the agency. So if you can just help us understand that what is causing th is variance or differential in the mix across the products, it will be helpful.

And second question is on there has been some news on the new Chairman appointment by the regulators. So if you can just comment on, what policy expectations will you have from the new Chairman? And what is the outlook or your view on those? That would be helpful.

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Management : So product mix, we have a broad guideline for the company for the year, and that has been also in place for the last financial year that we want to move to a healthier product mix and by healthier, I mean, which provides a good set of margin numbers also f or the company. We have been able to move the needle on the agency part as per the company's guidelines.

And there has also been a movement in the product mix on the banca side. Though it has not happened in the first quarter as we wanted to, but there is a positive shift. There is a 2% reduction in ULIP in the banca channel also, and we want to bring it further down by improving our non -par and protection business in banca further.

And I'm sure that in the remaining 3 quarters, we will be able to align the banca product mix also as per our expectation and as per our guidance set for the year. As far as new Chairman is concerned, I welcome him on my personal behalf and on the behalf of the company in his new role and we look forward to work with him constructively for betterment of the industry and all the stakeholders in the industry.

Aditi Joshi: Just a follow-up question. On the agency side, you think the mix that we had posted in the first quarter could likely be continued in the coming quarters as well?

Management : Yes, definitely. We are working on that line only. I mean our guidance and our monitoring of our field forces, our frontline managers, everybody is aligned, and we are sure that we will be able to maintain this product mix broadly with some kind of seasonal variations of this.

Moderator: The next question comes from the line of Nidhesh Jain from Investec.

Nidhesh Jain: Sir, first question is on protection growth. If you look at the monthly disclosure, our individual sum assured growth was upwards of 70%, but retail protection grew 7% Y-o-Y in APE terms. So what explains this difference?

Management : So the pure protection business has increased. The share of pure protection has increased compared to TROP. That is the only reason why sum assured has increased faster than premium.

Nidhesh Jain: So retail protection growth is 70% Y-o-Y or retail protection APE growth?

Management : No, APE growth is only 7%. But the growth has come because in TROP, the premiums are higher for same sum assured, right? Pure protection the premium growth will not be seen, when the product mix shift towards pure

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protection compared to TROP. And that has happened from 90-10, we are 75-25 now.

Nidhesh Jain: 75 is pure protection now or?

Management: No, no TROP.

Nidhesh Jain: TROP. Okay, okay. Second, sir, for a like-to-like basis, is it right to understand that banca margins will be better than agency margins for the same product like ULIP and same product non-par selling through banca versus agency?

Management: See, generally, we don't bifurcate between our channel-wise margins are concerned. So similar for us, both the channels are giving us good margin as far as the segments are concerned.

Nidhesh Jain: I was trying to understand if there is a distribution mix change towards agency, whether that will have a negative impact on margins or it is neutral or positive benefit on margins?

Management: See, as far as our mix is concerned, you have seen that since last year, the agency has been dominating and age

ncy has done as compared to banca, very strongly last year. But the margin also has picked up because of the product mix and the cost structure which we drive in the market. So on similar lines in this year also, we don't anticipate any kind of deviation from our guidance as far as the margin is concerned.

Nidhesh Jain: Sure, sure. And the third question is on group protection. In that product category, we have seen very strong growth. So if you can give the split of group APE in terms of group term and Credit Life, which segment has shown growth in this quarter?

Management: Both these segments have shown growth, Credit Life as well as GTI. So Credit Life has grown by 25%, and the GTI also has grown in the double digit, very significant double-digit growth. So both have shown growth.

Management : So Credit Life growth will continue. The group business, GTI is lumpy. So you may not see such high growth in future. You may, you may not see because it is lumpy. You can't really comment.

Nidhesh Jain: Sure, sir. So what is the quantum of group term GTI in this quarter in terms of APE?

Management: So we don't have the specific number per se, but both are together is giving us almost kind of 60% of our total protection number.

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Nidhesh Jain: Okay. And the last question is on economic assumption change in VNB walk. What is driving that?

Management: It is just impact of the yield curve movement, nothing else.

Moderator: The next question comes from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabha Mukherjee: Congrats on strong margin. I just first wanted to understand from the growth point of view. So if you could help us understand that in terms of the individual business, I mean in the month of June, we saw a sharp improvement in growth. So which channels and products are contributing for the same? Because just wondering that if it is led by, say, for example, retail protection because ticket sizes are lower there, would that be so needle moving in terms of growth? So if you could give us a broad sense how June growth was or maybe also some comments on July that from which channels and what product mix is driving the same? And given that keeping the June growth in perspective, could we expect any upward revision to the guidance in terms of growth for the year, which you had previously given? So that is the first question, sir. Second is, I mean, I'm estimating that our Group Term Life growth is even much stronger than the Credit Life growth. Just wanted to understand about the pricing environment in Group Term Life. Has it improved significantly compared to what it was maybe a few months back. So if you could comment on the same? And thirdly, sir, in terms of the 49-month persistency, if you could highlight what kind of impact in that number? Yes, sir, these will be my questions.

Management: If you look at the kind of growth curve that we are having and you are asking regarding the products that have contributed, our guidance in last 2, 3 quarters has been that we are moving towards a healthier product mix. And our product launches also in the last 6 to 7 months, have been in the non-par segment and protection segment where we have launched a suite of very strong products. And thanks to our field forces and the features of the product, we are getting very good response in the non-par and protection segment products. The June growth, of course, there was a green shoot visible in the banca channel also, and that contributed positively during the June of month, adding to our quarter numbers.

We expect that going forward, this trend will continue, and we stick to our guidance of growth for the year in the mid-teens, which will definitely be at par
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or above the industry level, private

te industry level specifically. Your second question...

Swarnabha Mukherjee: Persistency.

Management: It was about the persistency in the 49 months. This is something which if you are looking tracking the numbers for last 2, 3 years, we would have seen that this cohort is moving from 13 to 25th and 37, now it has reached to 49 months. And this is a cohort, which is creating a problem in the persistency for that particular period. By the end of the year, I think this cohort will move to 61st month, and then it will like go out of the tracking. So this is a cohort where despite our best of efforts, we have not been able to recover and get those customers on board again.

Swarnabha Mukherjee: Okay. Understood, sir. I had also asked on the Group Term Life side, if you could highlight on the pricing environment?

Management: See, the pricing scenario for the group term business has continued to remain very competitive in the market as others. So there is no change as per industry pricing competitiveness is concerned. As we keep mentioning that at our company, we look into the scheme by scheme. And when we get a reasonable profitable scheme, we try to take underwrite with us.

And in this process, we're also taking certain support from the reinsurer, premium reinsurer as well as the cross-border reinsurers, and that's also helping us. So this is a lumpy business that we keep mentioning. This quarter, we get very good retail schemes and we get all profitable term conditions that we take in that. And that's the reason growth happens.

Difficult to comment what will happen in the Q2 and Q3. If we continue to get a good deal, we are more than happy to underwrite and take it in our book, because we don't have any challenge in the capital perspective. But we'll keep mentioning that we're not going to get the GTI account which will have adverse impact on the margins. We'll continue to only healthy margin.

Swarnabha Mukherjee: Understood, sir. Just a quick follow-up on the June numbers that you highlighted that banca has seen a traction. Just wanted to understand that is there any I mean, in banca ULIP picking up? Or is there a possibility that ULIP might come back slightly higher in the mix going forward? Or do we strictly control it at this current level?

Management : So as you would have noticed in response to somebody's previous question, I told that during the quarter, even the banca product mix improved by 2%. I

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mean, the ULIP sales contribution was 2% lesser than the previous year. So we are expecting that the product mix in banca will also move as per our expected line during the year.

Moderator: The next question comes from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So just a few questions from my side. First, in terms of the agency, despite a shift in business mix towards more of par and non-par, the agency activation rates are up Y-o-Y. So just wanted to get some sense in case the market environment improves, and let's say, the ULIP kind of picks up, what sort of agent activity rates improvement are you really factoring in, in your overall growth estimate for the year?

Second, in terms of your overall commentary at the start of the call where you mentioned that there were green shoots towards the end of the quarter in your guaranteed return products and in terms of the overall business also. I mean, are you seeing similar trends playing out, let's say, even in July? And I mean how is the feet on street clearly kind of giving their response to it?

And last question is on the entire kind of journey of ULIP margins across the industry, we have seen pick up in the ULIP margin profile. In terms of your positioning out there, how much more scope do you see in terms of improving the margin profile across each of the product segments and more specifically U

LIP?

Management: So first one is related to the agency. I think the product shift is as per the plan.

And we have seen that last year, vis-a-vis this year, it has been a positive shift. But as already said, this overall productivity enhancement might also improve further in this next 9 months because the kind of targets we are aspiring for us in the agency channel, which will definitely be achieved through the productivity enhancement. And we are quite optimistic that the agency productivity will improve going forward.

As far as the third one you asked about the ULIP margin expansion, I think based on our trend of margins in the ULIP, which has always been better because of the cost structure, which we are driving in the SBI Life, so which will continue to deliver us the good margins going forward. Which was the next one. Second one, non-par guaranteed product, Prithesh, you want to add?

Management : No. I think as we mentioned that we launched this new guaranteed product, particularly for child segment and income. We continue to see this demand in the market, particularly where interest is going down and we are able to actively

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price to ensure that we give the optimal return to the customer. We do see the interest of the policyholder or prospective customer will continue to be there. And we're able to drive this mix non-par to obtain our product that we're looking for.

Dipanjan Ghosh: Got it. Just on the second question, just a follow-up that my question was more in terms of the commentary that towards the second half of June, probably things picked up. You mentioned on the banca side, things are looking good. You mentioned that guaranteed return is looking good. So I just wanted to

understand, is the trend continuing going into July? Or is it more of like a June end phenomenon, which probably kind of did not spill over to the second quarter?

Management: I think June is one quarter where there is no quarter-end phenomena kind of thing. So this is a result of our efforts that we have been consistently making to improve the product mix to improve the sales in various channels and all.

Moderator: We take the next question from the line of Shreya Shivani from CLSA.

Shreya Shivani: I just have one question. It's on the growth guidance for the year. So at the end of fourth quarter last year, you had mentioned that individual APE growth of about 13%, 14%, driven by 25% growth from agency channel, 10% from banca channel. Now unlike the past 6 months, when the commentary in the media about the PSU bank sales of insurance was very negative.

In the last 1 month, there have been a few media articles which suggested that government is telling the PSU banks to focus on selling insurance products, along with core banking operations as well. So with that in the background, would we be revising our guidance upward?

Is there any different outlook you're getting from your banca partner? Any commentary on that? And whether the growth guidance, you're still sticking to the same growth guidance or you're looking at a different number that will be useful, particularly for the banca channel.

Management: Same has consistently been asked for last 1 year almost. And you yourself have said that the earlier reports are in media and the new reports are also in media. We have consistently been saying that from the regulator side, there has been no indication, no formal indications or anything like that. And that is why the growth was on a continuous basis.

There was no point of time there where we faced any negative kind of growth because of such news articles or media murmur. So we will say that there will

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not be any effect or guidance that we provided, and we stick to the kind of guidance of mid-teens growth on an overall

basis in the current financial year.

Moderator: The next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.

Prayesh Jain: Just a couple of questions. Firstly, just asking that point on the growth in the month of June and so prior to June, the banca channel for us had been growing at a much slower rate. And I think you alluded to the fact that in June the banca growth has come back. What changed in the month of June that kind of allowed you to grow at a faster pace versus what was reported in the earlier months, right? That was my first question.

Second is on the cost front, where we have seen some increase in cost ratio from 6.1% to 6.3%. Is it just because of the opening of new branches and we should see this coming down going ahead? Or it should remain elevated at these levels? Those are my 2 questions.

Management: So as regard to previous question also, I said that the growth was never absent. In the current quarter also in the banca channel, April and May both have had positive growth, but June, the number was a little higher than the previous 2 months. This is basically mobilization of our field forces, and we got some good business in the month of June.

Going forward, we expect that the seasonally affected quarter usually, first quarter is slightly slower. Going forward, we expect that we will be able to achieve the numbers that we have budgeted for and that we have guided for in the next 3 quarters.

Management: And relative to the cost, as you rightly said, I don't think so we will have any surprises going forward because it will be definitely going to be stable around this rate of 6-6.5% because we are expanding our infrastructure, not only on the branches, but also on the digital assets and which will help us on the agency side.

So agency channel, which has been growing since last year. So that is requiring an investment. So which you continue to do that. But at this moment, we don't see any big spike in the opex per se for the financial year FY26.

Management: In fact, there is a slight increase in the manpower cost because we have added around 3,000 employees. In last 1 year, we have opened new branches. We

have increased our IT spend. So all these are like infrastructure creation. And
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as we get incremental business out of these infrastructure creation, the effect on opex will be further rationalized.

Prayesh Jain: One follow-up, what will be your outlook for V oNB margins for this year?

Management : So we continue to stick to our earlier guidance of 26% to 28%. And you would have noticed that all along, we have been in this range, and we are sticking to our margin guidance with some positive bias.

Moderator: The next question comes from the line of Mohit Mangal from Centrum Broking.

Mohit Mangal: Congratulations on a good set of VNB margin numbers. My first is that you said that the growth basically in the protection business was primarily from the lumpy group business. But if I look at retail protection, I just wanted to understand 2 things. The 1 2% growth, I mean, how are we going to increase that? That's point number one. Point number 2, the growth in the retail protection is in Tier 1 or basically in Tier 2 and Tier 3 cities. If you could show some kind of a colour on that, that would be helpful.

Management : On the growth of retail business, you're right. So we revamp our protection product portfolio to adapt more refined the segmented approach. So 2-3 months back, we launched the product with the high ticket size, INR2 crores and above. That's also contributing. So that's the reason. And then we, again, revamping other existing term plan to make it suitable to the customer, both from underwriting perspective as well as their demographic profile to ensure that we get a margin enhancement as well.

So objective

is to optimize these things. So that's also contributing. We launched that we mentioned that bank platform, we launched a very simplified product where cover has gone to INR40 lakhs. Now we are going to enhance this further. That is quite easy to sell. That is also contributing to the growth of individual protection.

And to your question that is it coming for any specific city, I will say that our production growth is coming across all the tiers because we are focusing and offering this optimization for all segments, including Tier 1, Tier 2, Tier 3 city as well. And both from the bank as well as agency.

Mohit Mangal: Understood. No, this is helpful. Lastly, in terms of the bancassurance. So basically, we have got 14,000-plus partner branches as well. So just wanted to know how much of them is activated? And perhaps how many of the non-SBI banks actually contribute to the bancassurance? So if you can just throw some light into that, it would be helpful.

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Management : So in our numbers, we show non-SBI partners in others, not in our banca. I mean though they are banks, we don't deny that. So the partner-to-partner contribution varies in terms of branches that are active. But typically 10% to 20% branches are active on a monthly basis for our partners.

Our endeavour essentially is to drive higher branch activation with those partners. That is the key initiative that we want to take, to increase that business. But it will take some time. So over the next couple of years, we will hope to drive higher growth from other bank partners.

Moderator: The next question comes from the line of Supratim Datta from Ambit Capital.

Supratim Datta: My first question is on the agency side. So we have created a highly productive agency, and the recruitment numbers have also been fairly strong. But what we're seeing is the peers have also getting more aggressive on agency, both in terms of recruitment and expansion, particularly in Tier 2 and Tier 3 cities. So I wanted to understand what are you seeing from the field with respect to competition when it comes to recruitment or commissions that you have to provide?

Are you seeing any changes there? If you could throw some colour on that, that would be helpful. And my second question is, there has been rumours, media articles around extending free-look period from 1 month to 1 year or

slightly longer than 1 month. I wanted to understand if that happens, what would be the margin impact on the product? That would be very helpful.

Management : So on the agency front, it was always competitive. We have faced on-ground competition for recruiting agents always. And I would say that, that intensity waxes and wanes at various points in time. This is not the first time that competition has also focused on agency.

So we have faced competition, and we are quite well equipped to handle that in the coming years because we have a good structure and support system for agency, which has paid us dividends over the last many years, and we think we'll be able to use that support structure and monitoring system in future also.

And on the free-look cancellation...

Supratim Datta: Sir, I have just one follow-up on this. So if you could just elaborate what is the support structure that differentiates your agencies from that of peers?

Management : No. So there are so many things. I mean I cannot tell over a call what are the various support structures we have in place, what is the supervisory mechanism we have. The focus on though we were a banca dominant

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company we never closed down any agency branch ever. So there are so many other things that have come into play. I don't think I can explain all that in a call.

Management: So one thing we'll just add here is that, Supratim, th

e consistency on the

strategy of agency growth, which is the total the differentiator between the SBI Life and the other private insurers. So we have been very consistent as far as our strategy is concerned. Even we are a banca-dominated company, we have been very strong on agency because of our structure, strategies and the kind of R&R and commissions, which we pay, that is the reason why the stickiness of our agents are with the SBI Life. And also the biggest help is the brand, which plays also a great role.

So overall, if you see from that angle, we have in any scenario, we always scatter to 1/3 of the agency business among the private insurers.

Management : I will add that not only the commission and R&R, which makes any agent stick to a company. It is the kind of policies that we have towards agents, the kind of connect that we have with them and the kind of faith they have in this brand is paying us dividends all along, and this will continue in the same way.

Management : On your question on FLC, we don't see any impact on the margin. There are 2 reasons. One reason is that when you compute the margin, we can put the policies net of free-look. So secondly, we see the free-look ratio of our company is very low and so the mis-selling ratio. So challenge will be for those companies where there saving is much higher, you see the longer free-look period will move to the more cancellation that we're not expecting in our case.

Moderator: The next question comes from the line of Shobhit Sharma from HDFC Securities Limited.

Shobhit Sharma: Sir, my question is on your rider attachment. You have mentioned that the rider attachment during the quarter was around 40-odd percentage. Can you help us understand how has this moved as compared to last year Q1 and last year, Q4 FY '25? And what would be our aspiration to take this number to ? and lastly, if you can clarify whether this rider proportion of the premium is categorized in the term segment or the respective business segment?

Management : So I think our objective is to offer this the rider in term of protection to meet the need of the customer. Particularly, if you look the child segment, where the payer benefit is required or accidental benefit is required that we're offering.

And we are always aspiring to achieve the better attachment ratio from the

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current, not just to drive the profitability, but more on the need for the customer because the rider there is no expense loading coming from.

So if a customer is buying a rider, it is much cheaper benefit the customer is deriving. So that we try to do that. And that will continue to that. We expect that

our attachment ratio will be much better than what we're looking for. But again, depending on what kind of situation emerge at that point in time.

Management: Last year, we did not have any big riders at this point in time. They came later half. Second half was when the rider started ruling for our products. For ULIP, they came in last quarter, non-ULIP they came in late second quarter.

Shobhit Sharma: Okay. Okay, sir. And sir, if you can help us understand where this rider premium is classified as? Is this part of the term business segment? Or it belongs to the respective product category?

Management : Respective product category, yes.

Shobhit Sharma: And so is it right to assume that the rider premium will contribute close to 4% to 5% of the Individual APE?

Management : No, rider premium is much lesser, so not that level.

Shobhit Sharma: Also, sir, last question. Are we also driving rider attachment on our renewal policies? Or is it only for the new business policies?

Management: So now we are offering to the new policy, but our objective is to offer this rider to the existing policy customer as well because it is beneficiary to the customer.

So going forward,

we will provide rider to them as well.

Shobhit Sharma: Okay, sir. And sir, last question. So over the last 6 months, we have done multiple product intervention. So if you can help us understand any particular project intervention we are about to do in this current quarter or the quarters coming forward?

Management : So we are revamping our protection portfolio on the lower sum assured basis. And then also, we are working to where we might be launching in this quarter the money back plan for the par portfolio. Objective is to give the better money back -- provide liquidity to the customer. So that's the reason we are working on that side. So these are 2 things that we are immediately looking into. And maybe we further enhance our protection offering in terms of the health segment.

Moderator: We take the next question from the line of Prithvish Uppal from Elara Capital. SBI Life Insurance Company Limited
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Prithvish Uppal: Congratulations on good results. I just have one question, which is on the competition intensity that you alluded to in the non-par segment. So I think the understanding was that post implementation of surrender regulation, there would have been a little bit less intensity here at least in terms of the pricing. So just wanted to get your thoughts on the same and your outlook for this particular product category for the year ahead?

Management : I don't think there will be much impact will happen on the competitiveness is concerned, with respect to surrender, where most companies have repriced.

So intensity and the competition will continue to remain similar. What will happen that how actively and dynamically you are repricing those products with the movement in the yield curve because you see this yield is not only changing the shape, yield curve is also changing.

So we try to actively reprice those products to reflect the yield curve movement so that we're not only able to offer the return to the customer commensurate to the yield curve, but also protect our margin. So I think this phenomenon will continue. I don't see because of surrender there will be impact on the competitiveness of the non-par segment.

Moderator: We take the next question from the line of Jeet Suchak from Asian Market Securities.

Jeet Suchak: So in the current quarter, Credit Life grew by 25%, but what I'm hearing from the market so that credit disbursements are lower from the few quarters in the industry? So the growth is coming from the lower base or what is the strategy that is driving the growth? And also what is the Credit Life mix in the group protection?

Management : So Credit Life, we have changed some policies, including underwriting policy.

So 25% plus growth, we think we should be able to deliver in the current year.

Bank is growing 10% plus in home loan portfolio. And with better attachment rates, we should be able to deliver this 20%, 25% growth in the coming years.

That is what we think we should be able to deliver. And largely of our overall business, Credit Life is 1.6% of the overall business that we are writing in the current year.

Jeet Suchak: Okay. And so 25% -- so we are basically having lower base because...
Management : The bank is expected to grow 10% to 15% in home loan. We think better attachment rates we will be able to deliver a higher growth than the bank growth rate, the home loan growth rate.
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Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question -and-answer session. I now hand the conference over to Mr. Amit Jhingran for his closing comments.

Amit Jhingran: Thank you very much for your time and the queries, everyone. You may get in touch with our Investor Relations team in case you have any follow -up questions. All the best to all of you. God bless.

Moderator: Thank you, sir. On behalf of SBI Life Insurance Company, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward -looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward -looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward -looking statements.

Call: Oct 2025

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction

Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

www.sbilife.co.in

October 31, 2025 SBIL/CS/NSE -BSE/2 526/124

Vice President General Manager

Listing Department, Listing Department,

National Stock Exchange of India Limited, BSE Limited,

Exchange Plaza, Phiroze Jeejeebhoy Towers,

Plot No. C/1, G Block, BKC, Dalal Street,

Bandra (East), Mumbai 400051 Mumbai 400001

NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q2 of FY 2025-26

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2 526/116 dated October 13, 2025 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Friday, October 24, 2025.

The transcript of the earnings conference call with analysts and institutional investors is also hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,

Girish Manik

Company Secretary

ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited

Q2 FY '26 Earnings Conference Call"

October 24, 2025

Management:

Mr. Amit Jhingran – Managing Director and Chief Executive Officer

Mr. Sangramjit Sarangi – President and Chief Financial Officer

Mr. Abhijit Gulankar – President, Business Strategy

Mr. Subhendu Bal – President and Chief Risk Officer

Mr. Prithesh Chaubey – President and Appointed Actuary

Ms. Smita Verma – Senior Vice President, Finance and Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the SBI Life Insurance Company Q2 FY '26

Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran, MD and CEO. Thank you, and over to you, sir.

Amit Jhingran: Good afternoon, everyone. It is a pleasure to welcome you all to the results update call of SBI Life Insurance for the half year ended September 30, 2025. We appreciate and thank you for your valuable time and efforts involved in analyzing the results and joining our earnings call. Update on our financial results can be accessed on our website as well as on the websites of both the Stock Exchanges.

Along with me, Mr. Sangramjit Sarangi, President and CFO; Mr. Abhijit Gulanikar, President, Business Strategy; Mr. Subhendu Bal, President and Chief Risk Officer; Mr. Prithesh Chaubey, President and Appointed Actuary; and Ms. Smita Verma, SVP, Finance and Investor Relations, are present.

First of all, we welcome the government's recent GST reform aimed at improving the affordability and accessibility of life insurance. This move underscores the critical role of life insurance sector that it plays in providing financial security across diverse segments of society and supports the sector's long-term sustainable growth. It is also in line with the government's goal of insurance for all by 2047. However, the industry players are required to reassess and realign the strategies in light of non-availability of input tax credit under individual business segments.

We believe the industry players will comfortably navigate these changes and work on implementation of various measures to handle the said impact. Adhering to the core principle of customer-first approach of the company, the company has passed entire GST benefit to its customers. Additionally, in September, we enhanced the benefit amount, the return rate in the Platina series of our non-participating guaranteed products by passing on the benefit of the yield curve to customers.

Q2 was a good quarter for the company, marked by a strategic shift in the product mix with robust performance in both individual and group protection segments. During the quarter, we introduced two new products, Smart Shield Plus, a protection product and Smart Money Back Plus, a participating product, tailored to meet the evolving needs of the customers.

Notably, Smart Money Back Plus received a good response and more than 8,500 customers opted for the product in less than 15 days of its launch. Also, Smart Shield Plus contributes 11% of the total protection sum assured. This strong early performance underscores the product's relevance and its wide acceptance amongst customers.

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Despite operating on a high base from the corresponding period of last year, we have achieved the highest new business premium in private industry, which reaffirms the resilience of our strategy and the deep trust our customers play in us. As the insurance landscape continues to evolve, the importance of protection-oriented solutions is more pronounced than ever. SBI Life remains committed to expanding and innovating within this space to meet the increasing financial security needs of our customers.

SBI Life remains committed to expanding and innovating within this space to meet the increasing financial security needs of our customers. Looking ahead, our unwavering focus on customer trust, a well-diversified product portfolio a

nd disciplined execution will continue to drive sustainable growth and long-term value for all stakeholders.

Now let me give you some key highlights for the period ended September 30, 2025.

New business premium stands at INR 183.5 billion with a 17% growth and private market share of 22.2%. Individual rated new business premium stands at INR 86.8 billion with a growth of 7% and private market share of 22.6%.

Gross written premium stands at INR 429 billion with a growth of 19%. Profit after tax grew by 4% at INR 10.89 billion as compared to the corresponding period last year. Value of new business stands at INR 27.5 billion with a growth of 14%. VoNB margin stands at 27.8% for the period ended September 30, 2025, a gain of 98 basis points.

Indian embedded value for the company as on September 30, 2025, stands at INR 760 billion. Our assets under management stands at INR 4.81 trillion with a growth of 10% over corresponding period last year. Solvency ratio at 1.94 as against the regulatory requirement of 1.50.

We will now update you on each of the key parameters in detail.

Let me start with the premium. On individual rated new business, we stand at INR 86.8 billion with a growth of 7% over the corresponding period last year and maintaining our leadership position with private market share of 22.6% and total market share of 16.1%. The company's 3-year CAGR of individual rated new business premium stands at 12.7%, outpacing the industry CAGR of 10.2%.

Group new business premium stands at INR 61.7 billion with a contribution of 34% in new business premium. We have collected total new business premium of INR 183.5 billion. The company's private market share stands at 22.2% and total market share stands at 9%. The company's 3-year CAGR of new business premium stands at 12%, outpacing the industry CAGR of 4%. Renewal premium grew by 21% to INR 245.5 billion, which accounts for 57% of gross written premium. To sum up, gross written premium stands at INR 429 billion with a growth of 19% over corresponding previous period.

In terms of APE, premium stands at INR 99.2 billion, registering growth of 10%. Out of this, individual APE stands at INR 87.8 billion with a growth of 6%. During the half year ended

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September 30, 2025, total 9.6 lakh new policies were issued. Number of lives covered during the half year ended September 30 is 11.9 million.

The growth in sum assured serves as a positive indicator of consumer confidence and the increasing awareness of the importance of financial protection. Individual and group new business sum assured registered a growth of 76% and 107%, respectively, compared to corresponding period last year.

Let me give you details about the product mix. As on September '25, our guaranteed non-par saving products are contributing 20% on individual APE basis. Amidst aggressive pricing trends across the industry, the company has remained disciplined, aligning its non-par saving product pricing with market yields and has still achieved steady and sustainable growth in this segment. Individual ULIP new business is at INR 67 billion, and it constitutes 55% of individual new business. Protection business contributes 11% of APE and stands at INR 10.6 billion. We continue to maintain a strong focus on the protection business, which remains a key pillar of our growth strategy.

The Protection segment recorded robust performance with a 33% year-on-year growth on an APE basis. Individual protection APE is at INR 3.7 billion. Individual protection business for H1 FY'26 has grown by 16% on APE basis as compared to H1 FY'25. It is noteworthy that the individual pure protection category, which saw exceptional growth of 143% on an APE basis, reflecting rising awareness and demand for comprehensive

financial protection, while the

individual sum assured in the protection segment grew by 108%.

Group protection APE stands at INR 6.8 billion with a strong growth of 44%. Credit life APE has grown by 26% and stands at INR 1.3 billion. Traction in non-participating products on APE basis continues and witnessed growth of 26%. Participating products witnessed a strong momentum in Q2 with new business premium has increased by 57% compared to Q1.

New business premium in participating product has increased to INR 2.7 billion in Q2 as compared to INR 1.7 billion in Q1 of FY'26. Retirement plans assist customers in building a substantial corpus of funds to maintain the desired lifestyle and manage expenses in their golden years. Total annuity and pension new business underwritten by the company is INR 37.8 billion. Moving to update on our Distribution partners. With strength of more than 58,000 CIFs, the bancassurance business of SBI and RRBs contributes 57% of the total APE business. On an individual APE basis, it stands at INR 54.7 billion, reflecting growth of 7%. SBI branch productivity on individual APE term stands at INR 4.6 million for the period, registering a growth of 6%. Banks other than SBI Group are also growing at 29%. In Q1 FY'26, our banca share on NBP basis was 27% of the overall industry.

The agency individual rated premium stands at INR 28.3 billion as on 30th September 2025.

Our agent productivity for the period stands at INR 2.7 lakhs on individual NBP terms. Agency channel has witnessed shift in product mix, increase in contribution from non-par segment by 738 basis points and share of ULIP stands at 62% versus 70% in corresponding period last year, supported with robust growth of 83% in agency individual sum assured.

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During the half year ended, the company added more than 64,000 agents on a gross basis. We

have opened 44 new branches this year. The expansion is aligned with our vision to create infrastructure that supports the long-term development of our agency channel. As mentioned in opening remarks, the other channels, direct, corporate agents, brokers, online and web aggregators grew at 36% in terms of individual new business premium and contribute 14% of total APE as compared to corresponding period last year.

Non-par business through other channel registered growth of 35% on APE basis. We are investing in building our online business channel. Individual rated premium through this channel has grown by 34% in the current quarter compared to corresponding quarter of last year. And protection business through this channel on IRP terms grew by 55% as compared to corresponding quarter of last year.

Moving to updates on profitability. Our financial performance reflects the transitional impact of revised GST rates on life insurance premiums, which led to increased GST expenses and some pressure on profitability. The company's profit after tax for the half year ended September 30, 2025, stands at INR 10.89 billion with a growth of 4% as compared to corresponding period last year. Our solvency remained strong at 1.94 as against regulatory requirement of 1.50.

Value of new business stands at INR 27.5 billion with a growth of 14%. V oNB margin stands at 27.8% for half year ended September 30, 2025 as compared to 26.8% in H1 of FY 2025. This shift in V oNB is mainly on account of shift in product mix as compared to corresponding quarter. For Q2 FY'26, the V oNB margin is 28.0% as compared to 26.8% for the same period last year, and V oNB stands at INR 16.7 billion, a growth of 15%. The said V oNB and margin is post accounting the impact of GST changes. Without the GST impact, the H1 V oNB growth is at 17% and margin would stand at 28.5%

. Embedded value for the company as on September 30, 2025, stands at INR 760 billion, growth of 15% over corresponding period and operating return on EV is at 17.6%.

Coming to operational efficiency, the opex ratio stands at 6.2% and total cost ratio stands at 10.9% for the half year ended September 30, 2025, as compared to 5.8% and 10.6%, respectively, for the half year ended September 30, 2024.

With respect to persistency of individual regular premium, 13th month persistency stands at 87.11% with an improvement of 70 basis points. As mentioned in my opening remarks, asset under management stands at INR 4.81 trillion as at September 30, 2025, having a growth of 10%.

Death claim settlement ratio stands at 99% for the half year ended September 30. Our mis-selling ratio stands at 0.02%, which is one of the lowest in the private industry, and this is achieved through our consistent approach adopted to ensure right selling to the customers.

Digitalization is transforming the life insurance industry, enabling us to deliver enhanced services and a more seamless experience for our customers. As we embrace this digital transformation, we remain committed to innovate and excellence, ensuring that we stay ahead

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in an increasingly competitive landscape. The company continues efficient usage of technology for simplification of processes with 99% of individual proposals being submitted digitally. 59% of the individual proposals are processed through automated underwriting.

To conclude, by fostering a culture of resilience and continuous improvement, supported by a clear focus of developing our agency channel, along with partners bank network, we are confidently positioned for the future.

Our commitment to provide exceptional customer service strengthens client relationships and reinforces our status as a trusted leader in the market. As I mentioned in opening remarks, the company is confident that the recent GST reform in the long term will add in the overall growth potential of life insurance sectors in India.

With few structural changes, the industry will reap long-term benefits from this reform. We remain optimistic about our H2 growth with improved customer sentiment. With a focus on long-term sustainable and profitable growth, we aim to create lasting value for our customers, shareholders and communities, paving the way for a prosperous future together.

Thank you all. And now we are happy to take any questions that you may have.

Moderator: The first question comes from the line of MW Kim with JPMorgan.

MW Kim: Sir, I note that overall, the protection business is expanding rapidly. However, on the review of the EV movement, it appears that the current EV unwind is substantial relative to the new business addition. So, I have two questions. The firstly, is the company targeting higher growth in the protection sales over the coming period? If so, what is the management expectation for the mix of the protection business contribution over next 12 to 24 months?

Secondly, given this focus, should we expect potentially the milder near-term earnings growth potential as a greater portion of the profit may be deferred and recognized over the longer period

if the protection book starts growing larger ? So that is my question. Thank you.

Management : So, as we discussed in last conference calls also and as has been the company's guidance, protection is one of the focus areas for the company. And we have been consistently introducing new product lines in protection segment for both agency and banca channel as well as also on YONO channel for the digital customers of our partner bank.

Our expectation of protection growth has met with success and the growth in the protection segment has been higher compared to the overall growth of the company. That is the result of our products that we have introduced,

which are very competitive as far as the price point is concerned.

And with the recent GST reduction, the most benefited segment will also be the protection segment. So, we expect that going forward, the growth in protection segment will be even higher. It also gels with the increasing financial awareness amongst the young population of India. The company expects to increase its protection share to above 10% of APE, and it is in line with our H1 growth.

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Management: What is your second question?

MW Kim: The second question is about the profit recognition is that we have the bigger portion of the protection book. And then once this is accumulated in the reserve, how this could translate into the E V unwind and then overall the earnings in general?

Management: See, as you know, the protection business is a high -margin business. So, if protection business keep growing, unwinding will happen. And I think protection is a long -term business. So, unwinding for the protection will be gradual in nature, and it will unwind over the longer period.

Management: Only one thing we have to keep in mind that protection business is increasing in proportion. And we think that trend will continue a little. To that extent, the premium growth as a proportion of share will not be in line with sum assured growth , which will be much higher than premium growth.

Moderator: The next question comes from the line of Kushagra Goel with CLSA.

Kushagra Goel: Just a clarification. So, you said you expect individual protection to be more than 10% of individual APE. Can you give some timeline as to when do you expect this to happen?

Management : Actually, it is not of the individual business. It is on the overall APE basis. We expect it to be more than 10%. Sorry for the slip.

Kushagra Goel: Okay. Individual protection to be more than 10% of total APE?

Management: Protection business to be more than total more than 10% of APE, not the individual protection. Sorry for the slip.

Kushagra Goel: Okay. Sure. So, moving to the main question. So one is, if you could sort of help us clarify the GST impact. So you have said that it's 70 to 80 bps on the first half, right, but that would have happened only on the September sales ?

So, if I try and calculate the annualized gross number, that's coming to be quite high. So, if you could like call out what would be the gross impact of this GST change on VNB margins, that would be quite helpful ?

Management: So if you see, we have clarified this total GST impact is 80 basis points for the H1. Out of that, the business written on 22nd and onwards has impact of only 20 basis points. So this 9 days business constitute around 11%, 11.5% precisely. So, if you extrapolate the impact for the margin, it will be 1.74%.

And given you see the profile in the business is more than 100 basis points. And given that our protection sales is increasing, we have been launching the protections, and we are also in the -- about to launch the protection rider and current protection rider attachment is more than 38%.

So, we're expecting this uplift in the profile and product mix in H2 will be more than sufficient to absorb this GST impact of 1.74%. And hence, in H2, our impact will be maybe able to

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maintain similar level of margin. Otherwise, might be 20 to 30 basis point impact might be happened, not more than that.

Kushagra Goel: Okay. Sure. That's very helpful. Just one final question. So are you negotiating with your distributors about this impact? Or as you said, like the product mix shift will help you absorb it, so you won't be changing any distributor commissions or anything of that sort?

Management : No. As of now, we are not considering any changes in the distribution commission and company

will be utilizing other levers on operational side and the product mix side to manage this impact.

Moderator: The next question comes from the line of Avinash Singh with Emkay Global.

Avinash Singh: Just two clarifications. The first one is, again, on margins. So, the 20-basis point margin impact is for last 9 days or 11% of first half individual business. Does that mean that 60 basis point impact is coming from that 89% of the business that you wrote where you had to kind of adjust your maintenance expense assumptions?

So is my understanding correct that this 60-basis point impact is coming on the business written after 1st April 2025 until 21st September. And on that business, you have to now readjust your maintenance expense assumption? So that's one.

And the second piece clarification, of course, I mean, you clarified that you are going to adjust or rather pull-on other levers at the product level and operational efficiency to drive or rather adjust for this margin loss, GST impact. But does that mean that, okay, I mean, if you are not going to touch the distributor commission of course, that's already very low.

But if you're not going to touch that and also, if you are not going to touch your product construct in ULIP, I mean, your reduction in yield, does that mean -- I mean, at the product level, ULIP is going to see some softer margins? These are my two questions.

Management: On the first question, we'll again reiterate that total GST impact is 80 basis points. And why we classified 0.2 separately is the input credit available for the business written prior to the 22nd October and after the 22nd October is different because in 22nd onwards, you will not get the input credit for all premium, including the first year premium, whereas in the business written prior to 22nd, right from the 1st of April, we'll have the input credit available for the first premium, but the input credit will not be available for renewal premium. So that's the impact clarified.

Second question on ULIP, we don't expect there will be compression on the ULIP margin. In fact, we expect the ULIP margin slightly go up given the product that we launched has a longer premium paying term. And secondly, we have also introduced the rider attaching to those products. So, if I look into the totality of the ULIP business, along with the protection rider attached to the ULIP business, we are expecting there will be some uptick in the ULIP margin itself.

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Another part is you are saying that the ULIP business, you see the impact also not there on the charges. So, you get the secondary order benefit from the removal of GST that also will help to compensate the impact of the GST in ULIP business.

Moderator: The next question comes from the line of Swarnabha Mukherjee with B&K Securities.

Swarnabha Mukherjee: A couple of questions on other products. I mean, so first of all, non-par, just wanted to understand that in this category, we have seen strong growth. I think our overall absolute numbers also look very strong compared to what we have seen in the last few quarters. Now what is the headroom for growth in this product? I think essentially, this quarter, growth was largely driven by this product. So, what is the headroom for growth?

And given the third quarter, normally, we see an uptick on the ULIP side, this year, would we be able to replace with non-par in terms of the mix going forward? So, what will be the strategy there? And given that you mentioned that you have passed on the benefits of the yield curve movement to customers, then how should we think about the margin in this product? Is there a bit of a margin squeeze there? If you could help us understand that.

Second is on the group savings side. So is this group fund management product or is also group annuity classified in this? Because the

reason why I'm asking you the question is because I think

the sizable jump in this product. However, your overall margin profile has been very strong this quarter.

So just wanted to understand that is this a detractor in terms of margin this quarter? And had this growth been not there, then would we have expect the overall margin profiles to be even stronger? So I wanted your comments on that. Yes. So these are my two questions, sir.

Management: If you look at the growth of our various lines of businesses, the entire growth is coming from the non-par and par segment. In the non-par segment, all 3 segments, annuities, protection as well as the guaranteed return lines are showing strong growth and so is the protection growth. We also introduced new par products during the first half year and in the last month of September also. And in both these products, we have seen strong growth coming in.

You are right about the third quarter having a ULIP strong quarter. But in the first 23 days, what we have seen is that we are maintaining the trend of the month of September specifically, and the growth is coming from the non-par and par segment. ULIP, we are maintaining at the same level.

Our ask from our distributor is to not to deny ULIP sales, not to deny ULIP product to our

customers, but at the same time, the focus for growth should be on the non-par and par products, which are margin accretive for the company also. So we see good growth coming in, and we expect that this trend will continue in the third and fourth quarter also.

Management: And group fund is a lumpy business, so you don't expect such kind of growth to come forward. We get some couple of big clients and then in certain quarters, we will show large growth. I would not read too much into growth of group fund business....

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Swarnabha Mukherjee: And the -- yes, please go ahead, sir.

Management: Other question that passing on the benefit to the customer yield curve movement that already baked in. So what we do that we keep monitoring the interest rate movement, and we keep repricing those products to pass on the benefit to that.

So our endeavour is to maintain the margins at the current level. So in case yield curve movement move down, we will go and reprice the product. As of now, the benefits of yield curve -- giving the party benefits, we have just passed on to the customers.

So, we don't expect any dent, or any reflection will come on the because of the repricing. We have been keep doing the repricing and the repricing has done both the way, depending on the which direction yield curve is moving up.

Swarnabha Mukherjee: Right, sir. Understood. Sir, just to clarify once more that you said maybe next quarter, 20, 30 basis points kind of impact coming due to the GST impact. And given that group fund management business is relatively lumpy, so maybe only be there next quarter. And if our product mix remains steady, then would it be correct to assume that maybe next quarter, we'll be able to even build up on the margin profile that we have reported this quarter?

Management : So, our guidance for the margin remains what we had given earlier in the range of 26% to 28%. And we are kind of happy that we are sticking to that range despite the headwinds. Going forward also, our guidance and our expectation remains the same of around what we guided earlier.

Swarnabha Mukherjee: Okay, sir. So would it be fair to assume that if it crosses 28%, then you might reinvest in the business? Would that be a fair assumption?

Management : Hypothetical. Let's see how going forward, right?

Moderator: The next question comes from the line of Sanketh Godha with Avendus Spark.

Sanketh Godha: Sir a small clarification. So if the product mix, what you have done after September 22 remains broadly the same, then the impact you are expecti

ng to be on the full year margin is 174 basis points. That's the right understanding, sir, right?

Management: Yes. So, what we're saying that the product mix will remain there. We'll continue to get on the profile mix, and that will more or less offset the impact on GST. So, in H2, particularly, if we are able to maintain this product mix, we are able to deliver the margin that we have reported for the September.

Sanketh Godha: Got it. Got it, sir. And second thing, sir, is on growth. See, a large part of your growth in the current half came from the other channels, while your banca and agency still seems to be lower compared to your own standard 7% growth, 2% growth seems to be very muted on individuality. So, any colour you want to give why these channels are still struggling when we can expect this growth to come back in December?

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Management : So our dominant channel are banca and agency channel. We keep reviewing our business strategies, our distribution strategies in line with the growth. And when we saw that up to the month of August, the expectations were not being met, we tweaked certain norms, and that has resulted in a very positive environment in the month of September. If you look at the individual September month numbers, the growth was around 15%.

And we are happy that the same trend is continuing in the month of October also. So I think that both the channels agency as well as banca are back on track since the month of September. And on the same basis, we are expecting that we will be able to meet the guidance that we had provided for originally.

Sanketh Godha: Okay. So, the conclude is that in second half, banca and agency can grow mid-teens or teens at least in that sense?

Management : Definitely, definitely, yes.

Sanketh Godha: Okay. Okay, sir. And in ULIP, you alluded to the point that higher riders, maybe longer plans will improve the margins for the negation of the GST impact. So just want to understand at the

current juncture, how much of the total ULIP, what we sell have attachments of riders, percentage terms, if you can quantify? And how much you can take it to basically?

Management: So, for products which are eligible, around 40% products, we have rider attachment in the first half, 37% or 38% precisely, yes.

Sanketh Godha: And sir, how much you expect it to grow potentially?

Management: Yes. Twofold policy. That is the area which we have not yet explored. So, we are attaching only to new business now, and we are working on how we can attach to renewals also.

Sanketh Godha: Okay. Understood, sir. And lastly, if I can squeeze in. Impact of GST, when you said in the press release immediately after the GST announcement, it was 20 bps. Now it seems to be around 47 bps. So, any reason for the difference between 20 and 47 bps?

Management: See, when we make the release, that is given by the end of year impact so EV year -end. And we what we reported today as on date. We have not built up any efficiency that we're looking into. So by March end, we expect there will be efficiency will come on side.

And at the same time, EV growth will also be there. And that as a result, we are able to reach the impact what we have initially estimated, so be closer to the estimate number. As of now we have reported, not building up any efficiency for the future.

Moderator: The next question comes from the line of Nidhesh with Investec.

Nidhesh: First question again is on the GST impact. I'm not able to understand why in V oNB box the impact is 80 basis points, while you are saying that the recurring impact is only 20 basis points.

So, what is leading to this 60-basis point impact that we have seen in H1 because of GST change?

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Management: As I explained earlier as well, there is a difference in the availability of input credit from GST.

So while the business written prior to the 22nd of October, they have availed the GST input credit for the first year premium, but the same input credit is no longer available for the renewal premium.

Whereas in the business written 22nd and onward, the GST impact will not be available for the premium. So even for the business written prior to 22nd October, there will be impact on the GST. That's the reason you see the number that reported is 0.8.

Nidhesh: Okay. Understood. And secondly, what is the APE growth guidance for the full year ?

Management: APE growth, as we have mentioned, it will be in the around 13% to 14%. And we are talking about individual APE for the overall for FY '26.

Nidhesh: Sure. And sir, lastly, if you can break up the group protection APE in Credit Life APE and Non - credit Life APE for the quarter?

Management: Credit Life has grown by about 25% remaining is Non -credit Life.

Moderator: The next question comes from the line of Madhukar Ladha with Nuvama Wealth Management.

Madhukar Ladha: Sir, just first on the GST. So, what I understand is if we don't do anything, then there is about 174 basis impact point on the margins, which you are saying is that currently, the new business mix profile, if that sustains, then it will completely offset this negative impact. Is that understanding correct?

Management: Yes, to some extent, you're right. So what you're saying that 1.74% is if you would be doing the product mix that we had done the last year. You have seen that there is accretive coming on the margin on account of the profile change. Second point is 1.74% is the margin for the new business and second half is approximately, right, 58% kind of business.

So even if we've not done anything, the margin impact will not be 1.74%. It will be around 1% kind of things which is 60%. And then the new business profile upgrade, we'll be able to offset this.

So we are quite optimistic on that basis. The work that we have done and the channel -- distribution channel is doing that in terms of getting the better profile product mix and within the product mix also is the better profile rider that will be to offset that.

Madhukar Ladha: Got it. Sir, and if I look at the EV walk from March '25 until now, there are certain operating experience variances and economic assumption changes. So, we've not made any assumption changes, right? It's only sort of operating experience variance.

Management: Yes. So you're right. So we have not made any changes in the assumption. So assumption remains the same. Only this is economic assumption is just a matter of the movement in the yield curve that we have taken. And other aspect will come on the operating variance that we're getting.

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Madhukar Ladha: Got it. And sir, final question on the growth side. Our pillars of growth have always been banca and agency, but growth in first half and even last year was weaker in these channels. So what should we expect going forward? Yes.

Management : So yes, first half growth, if you look at the consolidated half year numbers, that is lower at 7% on individual rated premium basis. But when we look at the number of stand -alone month September, the growth is around 15%. What happened that when we saw that the kind of growth that was happening till the month of August, we tweaked certain schemes, and we reengaged with our distributors and all.

So the month of September provided a growth of around 15% in the IRP basis. And we are seeing that the same kind of trend is continuing in the month of October also. So we, as of now, are sticking to our guidance for the full year that was provided at around 13% to 14%. And we are optimistic that we will be able to meet this growth by the end of the financial year.

Moderator: The next question is f

rom the line of Dipanjan Ghosh with Citi.

Dipanjan Ghosh: So, a few questions. First, you mentioned your growth on the online business, both in terms of IRP and also in terms of protection. And those are quite strong numbers. So, I just wanted to get some sense of the strategic change on the online side and what is really driving this growth? And is there a vision that you have discussed with your counterparties on the online side in terms of the counter share that you would want to have at those specific counters?

Second question is on the non -SBI banca. In your opening commentary, you mentioned that there has been a strong growth in those channels also. So, could you give some colour on your counter share in those channels or the overall growth trajectory or the product mix that you are targeting in those non -SBI banca channels?

And third, you have touched upon this, but just wanted to kind of dig a little bit deep in terms of what norms were there till August, which got tweaked in September because of which you are seeing incremental growth picking up at agency and banca. If you can give some granular colour on that part?

Management: Okay. So that is -- we keep tweaking our contest from time to time on what works, what does not work. So we can't provide any picture on details of what we tweaked in September. But be assured that we do watch very carefully how distributors and sales force respond to the schemes and the products we have and then try to meet , their expectations from time to time. As far as the online business is concerned, it is coming almost solely from our own website and not from any partner.

And we have been working on our side for quite some time. You will further see improvement in the tech that we are providing back -end tech, also the products that are getting offered. The new products, Smart Shield Plus and Smart Shield Premier have been e xtremely well taken in online channel because it is extremely competitive.

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So we will continue to see improvement in online as a combination of the product offering and the tech support. There is still a long way to go. We are not market leaders there like we are in our other businesses. So our -- we would have a long way to go t here.

As far as other banks are concerned, non -SBI Bank, the ULIP share there is much lower than our main channels, agency and banca, less than 25%. And we will continue to grow at this 15% kind of growth rate that we have seen in the first half, maybe slightly higher but I wouldn't want to say anything around same numbers, 15 percentage growth in non -SBI channels -- non-SBI partners.

Dipanjan Ghosh: Just one follow -up. What is the mix of non -SBI banca within the overall individual business, APE?

Management: I think 3%?

Management: Yes.

Management: 3%. I'll double check the number, but it is small.

Moderator: The next question comes from the line of Vinod Rajamani with Nirmal Bang.

Vinod Rajamani: So I had a question on this par construct specifically. If you're saying that you're not going to tinker with, say, the commission payouts and so on, and you're trying to also increase , trying to attach more riders and also increasing tenor and so on.

But given the issues with the participating product construct, will it be fair to say that a lot of the costs of this GST and so on will be borne by the end consumer in the sense that the returns might be below what it was, say, before this input tax credi t was allowed. So that's the only question I have on the participating product.

Management: So not really. As you keep saying that we have been the fair to the customer. And in case of non -par product where we would have been infrared our margin, we have passed on the benefit to

the customer. So there is no question for charging this passing on -- borne by the policyholder. What we

say that we try to grow the participating business and our business composition you might be seeing is not 3% to 4%. We do have the existing book on that perspective. And when we price -- and we do the supportable bonus because if I compare to us to the other player, our commission rate and expenses were much lower.

And that will help us to absorb this impact and that will not have adverse impact on the participating business. Our participating fund is significant and they're also giving a very handsome return. If you look into the bonuses that we give to the customer, we have -- last 3 years, we keep increasing the bonuses, and we have always declared the bonus what we have illustrated even more than that.

So that perspective will continue to ensure that what bonuses we have illustrated despite, as a company, we are able to deliver that. So no point we are trying to pass on the expenses to the SBI Life Insurance Company Limited

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end consumer for par. And to be noted, our par business is only 3% to 4%, so not as significant that we are going to use the participating business to our expenses.

Moderator: The next question comes from the line of Nischint Chawathe with Kotak.

Nischint Chawathe: I was just looking at the impact on EV because of the GST change and likewise on the margins. And I understand that you shared a part of the margin impact basically happening to the renewal business.

But if I try to really do the ratios, the way it works out to be is that the impact on EV is around 40-odd basis points, 40, 45. But if I pick up the renewal business for the -- basically, it works out to something like around 67, 70 basis points. So first of all, is my math accurate? And why would there be distraction?

Management: See Nischint, I think it is not appropriate to compare the impact of EV to the new business, correct? Because EV has the existing book that have a different mix, and there is a significant profit coming from. Whereas if you look into the EV renewal -- new businesses that written there, the -- all the -- is a longer product because we're selling non-par and the longer tenure as compared to existing one.

So that's the reason you might see the impact for the unavailability of input credit for renewal premium has higher impact. But I will suggest not to -- there is no way link between the VoNB impact as compared to the EV impact.

Nischint Chawathe: I understood what you're trying to say.

Moderator: The next question comes from the line of Shreya Shivani with Nomura.

Shreya Shivani: Congratulations on a good set of numbers. I have two questions. My first question is on the expense ratio side. This is the non-commission expenses. That seems to be slightly higher this year versus trends in the previous year. Any colours on what is adding to this?

My second question is on the other channel, which has been doing well for us. Now I understand you mentioned that the non-SBI bank is about 3% of the mix. So, 14 minus 3%, what is the split of the remaining 11%? How much would be our website, how much would be brokers?

And sorry, one more question, third question. Can you give us in descending order, what is the product which gets hit the most because of the GST cut and which one would be the least impacted for SBI Life?

Management: See, as far as the expense ratio is concerned, I think it is normal, which is planned accordingly in sync with the business growth, which we have aspired for FY '26. So, there is no such kind of variances as we planned. As far as the non-SBI to SBI, as already mentioned that we have got almost around 3% business, and the rest is coming from group business. So that is the reason the overall number which we see that is, as a total business, including the non-SBI.

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And the last one, product-wise, the

GST impact, I don't think so there is any such kind of bifurcations are warranted. So, what we have done is, overall, we have calculated and given as per the requirement on the VoNB, and the margins are concerned.

Management: The increase in expenses, you can also attribute to our planned expansion of our branches that we had guided for. We have opened 44 new branches, and there is increase in employee count by more than 3,500 during first half year. So that is coming in as increase in operating expenses.

Shreya Shivani: Right, sir. Sir, my question on the non-SBI banks was basically the channel mix, 14% is other

channels. In that 3% I get is non -SBI banks, what is the other 11%, split between brokers and our own website?

Management: See, it is all group business. So, our internal, what we do is showed it as a direct business.

Shreya Shivani: Okay. All right. So bancassurance channel is only SBI. Others have non -SBI banks and the group business, right?

Management: Correct. Correct.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for their closing remarks.

Amit Jhingran: Thank you very much, everyone, for your time and queries. You may get in touch with our Investor Relations team in case you have any follow -up questions. Thank you, and good day ahead.

Moderator: Thank you. On behalf of SBI Life Insurance Company, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward -looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward -looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward -looking statements.

Call: Feb 2026

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

www.sbilife.co.in

February 03, 2026 SBIL/CS/NSE -BSE/2 526/172

Vice President General Manager

Listing Department, Listing Department,

National Stock Exchange of India Limited, BSE Limited,

Exchange Plaza, Phiroze Jeejeebhoy Towers,

Plot No. C/1, G Block, BKC, Dalal Street,

Bandra (East), Mumbai 400051 Mumbai 400001

NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q3 of FY 2025-26

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2 526/165 dated January 22, 2026 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Wednesday, January 28, 2026 .

The transcript of the earnings conference call with analysts and institutional investors is also hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Girish Manik
Company Secretary
ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited Q3 FY'26
Earnings Conference Call "

January 28, 2026

Management:

Mr. Amit Jhingran – Managing Director and Chief Executive Officer

Mr. Sangramjit Sarangi – President and Chief Financial Officer

Mr. Abhijit Gulanikar – President, Business Strategy

Mr. Subhendu Bal – President and Chief Risk Officer
Mr. Prithesh Chaubey – President and Appointed Actuary
Ms. Smita Verma – Senior Vice President, Finance and Investor Relations

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Moderator : Ladies and gentlemen, good day and welcome to SBI Life Insurance Company Limited Q3 FY '26 Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran – Managing Director and CEO, SBI Life for his opening remarks. Thank you and over to you, sir.

Amit Jhingran: Good afternoon, everyone. It is a pleasure to welcome you all to the results update call of SBI Life Insurance for the period ended December 31st, 2025. We appreciate and thank you for your valuable time and efforts in analyzing the results and participating in the earnings call. Updates on our financial results are available on our website as well as the websit es of both the stock exchanges.

Along with me, Mr. Sangramjit Sarangi – President and CFO , Abhijit Gulanikar – President (Business Strategy) , Subhendu Bal – President and Chief Risk Officer , Prithesh Chaubey – President and Appointed Actuary and Smita Verma – Senior Vice President (Finance and Investor Relations) are present.

The life insurance industry witnessed improved momentum during the 3rd Quarter, supported by recent regulatory measures and a gradual shift in customer preference towards protection -oriented products. The exemption of GST on individual policies contributed to improved affordability and added demand during the quarter. We have achieved significant milestone that underscores the strength and scale of our business. Our assets under management, the AUM, sur passed INR 5 trillion i.e. INR 5 lakh crores, reflectin g sustained customer confidence and long -term value creation d riven by disciplined execution.

In December, S BI Life outperformed the overall industry on an IRP basis driven by volume growth and higher individual policy sales, while in Q3 the company led the private life insurance segment with a 68 basis points gain. Besides, it achieved a 192 basis point gain on a total -rated premium basis, reinforcing its strong market position and competitive performance. This performance reflects the resilience, operational efficiency, and productivity across all our distribution channels, agency, bancas surance, direct, and digital. As customer needs continue to evolve, S BI Life remains focused on innovation and strengthening its offerings to drive sustainable growth and long -term value for all stakeholders.

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Now let me give you some key highlights for the period ended 31st December 2025 :

New Business Premium stands at INR 313.3 billion with a 19% growth and a private market share of 23.5%. Individual -rated New Business Premium IRP stands at INR 166.8 billion with a growth of 15% and a private market share of 25.6%. Gross Written Premium stands at INR 733.5 billion with a growth of 20%. Our profit after tax grew by 4% to INR 16.7 billion as compared to the corresponding period last year.

Value of New Business stands at INR 50.4 billion with a growth of 17%. VONB Margin stands at 27.2% for the period ended 31st December 2025 with a gain of 34 basis points. Indian Embedded Value for the company as on December 31, 2025 stands at INR 801.3 billion. Our Assets Under Management stands at INR 5.1 trillion with a growth of 16% over the corresponding period last year. Solvency Ratio of 1.91 as against the regulatory requirement of 1.50.

We will now update you on each of the key parameters in detail :

Let me start with the premium :

Individual -rated premium stands at INR 166.8 billion with a YOY growth of

15%. While

retaining our leadership position with a 25.6% private market share and an 18.6 % total market share, it grew by 14.4% with a three -year CAGR, outperforming the industry

average of 10.4%. Total New Business premium is INR 313.3 billion with private market share of 23.5% and total market share stands at 10.1%.

Group New Business premium stands at INR 87.8 billion with a contribution of 28% in new business premium. Renewal premium grew by 21% to INR 420.2 billion which accounts for 57% of the gross written premium. To sum up, gross written premium stands at INR 733.5 billion with a growth of 20% over corresponding previous period. APE stands at INR 185.2 billion registering a growth of 16%. Out of this, individual APE stands at INR 168.8 billion with a growth of 15%.

During the period ended December 31st, 2025, total 16.5 lakh new policies covering 18.3 million lives were underwritten. The growth in sum -assured reflects strong consumer confidence and rising awareness of financial protection. Individual and group new business sum -assured increased by 74% and 67% respectively compared to the same period last year, while rider sum -assured has grown significantly now contributing 30% of the individual sum -assured.

Let me give you details about the product mix :

For nine months period of FY2026 , guaranteed non -par savings are contributing 18% on individual APE basis while ULIP stands at INR 114.3 billion contributing 68% versus SBI Life Insurance Company Limited
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72% last year for the same period. Protection business contributes 9% of APE and stands at INR 16.6 billion. We continue to maintain a strong focus on the protection business which remains a key pillar of our growth strategy. The protection segment recorded robust performance with a 24% year -on-year growth on an APE basis. Individual protection APE is at INR 6.4 billion with a growth of 21% as compared to nine -month FY '25. It is noteworthy that the pure protection category saw strong growth of 98% on an individual APE basis reflecting rising awareness and demand for comprehensive financial protection while the individual sum -assured in the protection segment grew by 87%.

Group protection APE stands at INR 10.2 billion with a strong growth of 25%. Credit life APE has grown by 20% and stands at INR 2.1 billion. GTI APE has grown by 27% standing at INR 8.1 billion. Individual APE for participating products stands at INR 12.3 billion with an exceptional growth of 116% year -on-year.

Our recently launched product Smart Money Back Plus has garnered a premium of INR 5.6 billion. Traction in individual non -par saving products on APE basis continues and witnessed growth of 20%. Retirement plans assist customers in building a substantial corpus of fund to maintain the desired lifestyle and manage expenses in their golden years. Total annuity and pension new business underwritten by the company is INR 64.1 billion.

Moving to update on our distribution partners :

With a strength of more than 58,000 CIFs, the Bancassurance business of SBI and RRBs contribute 62% of the total APE. On an individual APE basis, it stands at INR 112.3 billion reflecting growth of 16%. SBI branch productivity on individual APE terms stands at INR 6.4 million for this period, registering a growth of 15%. Banks other than SBI Group are also growing at 24% on total APE basis. As on 31st December 2025, agency individual APE stood at INR 48.8 billion, growing 11% with agent productivity at INR 3 lakh. The channel witnessed a shift in product mix. Non -ULIP share increased from 31% to 37% for a nine -month period. Supported by robust 86% growth in agency individual sum issued, the company added over 94,000 agents on a gross basis.

We have opened 66 new branches this year. This expansion is aligned with our vision to create infrastructure that supports the long -term development of our

agency channel.

The other channels, direct corporate agents, brokers, online and web aggregators, for nine months grew by 33% and contributed 11% of total APE. Non-par-business growth through other channels registered growth of 32% on individual APE basis. We are investing in building our online business channel and for nine months this channel has grown by 45% on APE basis.

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Coming to updates on profitability :

Our financial performance reflects the impact of GST and revised labor law. Taking these factors into account, the Company's profit after tax for the period ended 31

December 2025 stood at INR 16.7 billion, representing a 4% growth over the corresponding period last year. Excluding this impact, the profit after tax for the period ended 31st December 2025 would have been INR 21.5 billion with a growth of 34%. Our solvency remained strong at 1.91 as against regulatory requirement of 1.50. Value of new business stood at INR 50.4 billion, reflecting 17% growth with a margin of 27.2% for the period ended 31st December 2025, up from 26.9% in nine -month FY25 driven by both volume growth and favorable shift in product mix. The margin is reported after accounting for the impact of GST. Excluding this impact, the VONB margin would have stood at 28.3% with a gain of 140 bps. In Q3 FY26, VONB reached INR 22.9 billion, registering a 22% increase over the same quarter last year. Embedded value for the Company as on December 31st, 2025, stands at INR 801.3 billion with a growth of 18% over the corresponding period. OPEX ratio stands at 6.2% and Total Cost Ratio stands at 11.2% for the period ended December 31st, 2025, as compared to 5.3% and 10.2% respectively for the period ended December 31, 2024.

With respect to persistency of individual regular premium, 13th month persistency stands at 87.1% with an improvement of 101 bps. While there has been a slight decline in other cohorts during the current period, we remain confident that persistency will improve by the end of the year. As mentioned in my opening remarks, Assets Under Management stands at INR 5.12 trillion as at December 31st, 2025, having a growth of 16%. Death Claim Settlement Ratio stands at 99.3% for this period. Our Mis-Selling Ratio stands at 0.02%, which is one of the lowest in the private industry and this is achieved through our consistent approach adopted by the Company to ensure right selling to the customers.

Digitalization is transforming the life insurance industry, enabling us to deliver enhanced services and a more seamless experience for our customers. As we embrace this digital transformation, we remain committed to innovation and excellence, ensuring that we stay ahead in an increasingly competitive landscape. The Company continues efficient usage of technology for simplification of processes, with 99.7% of the individual proposals being submitted digitally. 58% of the individual proposals are processed through automated underwriting.

In conclusion :

By embedding resilience and continuous improvement at the core of our culture and by strategically strengthening our key channels, we are well positioned for sustained growth. Our unwavering commitment to delivering exceptional customer service not

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only deepens client relationships but also reinforces our reputation as a trusted and leading force in the market.

Thank you all and now we are happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Hi, good evening. Thanks for the opportunity. Good set of numbers considering the GST level code impact, the kind of consistent margins and a very strong VNB growth,

particularly in the quarter. That's kind of a great achievement. First is particularly a bit I would like to know on product mix. So, in the current environment where there has been a kind of a repo rate cut that leads to deposit rates going down, but bond yields kind of holding or inching up, typically a non-par savings growth one would have expected to be better or rather stronger than the overall growth. But at least in the quarter it has not been. So, what's happening there, I mean, that is kind of a hampering the demand of non-par in the market, I mean, your experience. And secondly, slightly unrelated, solvency at 191% is far, far above, I would say, the regulatory requirement of 150%.

But typically in your embedded value assumption and all, I guess, management threshold is 180 % odd. So, do you see, I mean, this solvency and organic profit generation to be sufficient enough for you to allow a strong growth across product segment like, say, whatsoever product is growing, maybe protection non-par. So, I mean, do you see any sort of a limitation coming from that side that can kind of lead to some optimization on product or rather your solvency or capital is totally adequate to provide a strong growth across the products? So, these are two questions. Thank you .

Management : Thank you , Avinash, for your appreciation. So, product mix, as far as you were talking about non-par growth, so I would like to highlight that on IRP basis, the growth in pure non-par products, excluding protection, is 10%. Protection has grown by 44%. The numbers of non-par could have been better, but during the quarter, we launched our

participating product, Moneyback, and a lot of our distributors got diverted to that new product, and it showed very strong growth. So, if you look at the non-par & par combined growth, it has been much better than our overall IRP growth. As far as solvency is concerned, yes, it has slightly come down in the H1 numbers, but then that is also a result of our product mix. A lot of protection is being written, and if you look at the total sum assured that has been written by the Company, we are one of the highest with more than 74% growth on total sum assured. That is having some impact on the solvency. But at 1.91, we are comfortable, and we are very sure that going forward in the short term, this will continue to support our growth.

Avinash Singh: Thank you. And just a quick follow-up. If I were to see the labor code impact or GST impact, everything now particularly is already in numbers, and also in product mix terms,
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typically, I mean, par have done or other outgrown non-par. So, all these factors are already in base. So, is it safe to kind of assume that going ahead, the margins typically would be better than where it has been in the quarter? Is it a safe kind of assumption? Management: No, as far as margin is concerned, we are very happy that the guidance that we had provided of between 26% and 28%, we have been able to maintain that at the middle range of that. As far as GST impact is concerned, see that impact is going to continue because the business will be there and commission payment will be there. The GST payment on that commission will continue to be there. But by our internal processes, by strengthening our product mix, our distribution mix and having leverage on our other operational expenses, etc., we have been able to maintain the margin as per our guidance. So, we continue to stick to our guidance of between 26% and 28% in the coming quarter also.

Avinash Singh: Got it. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Hi. Congrats on a great set of numbers. Just coming to the channel performance, how do you see the SBI as a channel gro

wing from here on? It's been showing a very strong momentum in the last few months. Do you see this momentum getting stronger going ahead? How should we think about SBI as a channel and what are the kind of levers we have there to grow this business more aggressively?

Management: So, as far as channel mix is concerned, we are happy that our overall growth number that the guidance that we had provided of about 13%-14%, we have been able to maintain that and slightly maybe even better than the guidance. Within the channel mix, different channels have their seasonality and third quarter specifically has always been very good for SBI Life. There is some good traction being seen in the SBI also of late and we are very sure that in the 4th Quarter also, we will be able to maintain our overall growth number as per our guidance of 13%-14% and within that, all the channels are performing as per our expectations.

Prayesh Jain: The 13%-14% guidance is for the full year APE growth?

Management: Yes.

Prayesh Jain: So, what would be your thought process with respect to say now we are already into the 10th month of this year, how do you see the next year shaping up from a growth perspective?

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Management: So, there is good traction being seen in the last quarter. As a company and as a player in the industry, we hope that this trend noticed in the last quarter will continue for some time this quarter and in the coming year also.

Prayesh Jain: Got that. So, second question is on the cost ratios, while we are among the best in the industry, by far the best in the industry, but we have seen this increasing, the total cost ratio has gone up to about 11.2% in 9 months. I am sure there will be some implications of GST and labor laws in it. But as you said, the GST impact is going to be there and by labor law could be one time, but how do we see this cost ratios going ahead? Do we see this topping out at anywhere close to current levels or do you think this will continue to increase?

Management: You see the product mix is also one of the factors for the cost ratio. As you rightly said, GST and the labor code impact has also been there. Going forward, I think we will continue to maintain in the same range plus minus approximately.

Management : We have to differentiate between operating cost and commission. Operating cost, like MD said, we will continue to maintain and if our product mix further improves, there could be some increase in commission ratio, but that is part of the overall mix. So, that should not matter.

Prayesh Jain: Okay. So, last question, anything on, there have been a lot of discussions going around with respect to commission capping in the industry. Any thoughts that you want to share on this one?

Management : So, we continue to be the lowest cost operator in the industry and we are ready for any kind of changes, if any, coming from the regulator side on the commission front.

Prayesh Jain: Okay. Thank you.

Moderator: Thank you. Our next question comes from the line of Madhukar Lada from JPMorgan. Please go ahead.

Madhukar Lada: Hi, good evening. Congratulations on a good set of numbers. I have a couple of questions. First on the VN B margin, I think in the first half call you had mentioned that ceteris paribus the impact of GST is about 175 basis points. That would be sort of on a full year basis compared to like FY '25 full year margins. I wanted to get a sense that now that this quarter is over, what would that number be? And, what is the sort of benefit that we have got because of a better product mix in 3Q? So, if I were to just look at 3Q margins, where are we tracking in terms of the impact of just the 3Q margins, just GST on the 3Q margins? And second, so when I look at, protection growth, so versus peers, our individual protection growth has been lower. And in this

environment, because of the GST cut, etc., one would expect like even stronger protection growth. So, what's the thought process over there? And how are you sort of looking at protection over next

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couple of years, if we can see further acceleration happening over there? Lastly, for these new labor laws, can you quantify what is the impact? I may have missed that in your opening remarks. And have you accounted for this impact in your EV disclosure that you have given? Those would be my three questions. Thanks.

Management : So, I will come to your second question first. The protection growth for the year on the IRP basis has been 26.1%. And including group also, we have seen some good protection growth in credit life, 27% plus. So, overall, the protection growth is better than the Company's overall growth numbers. Our focus on protection products, as you must have noticed, we have launched several products in last one year in the protection segment and very competitively priced. Our protection product on the YONO channel is also giving us very good numbers. We have sold more than 1.5 lakh policies in last nine months in this financial year. So, the focus on protection continues to be there. As far as impact of new labor laws is concerned, it is 135 crores, which has been accounted for in our profitability statement. And yes, this has also been counted under the EV calculation. Now, regarding VONB margin, I will request our Chief Actuary Mr. Pritesh Chaubey to respond. Thanks, sir.

Management : Margin front, what we explained last time that the full year impact will be 175 basis point. And that we primarily will try to get offset by the better product mix. If I look into this quarter, the full year business impact is around 150 basis point. And this is coming because you might have noticed that there is slightly increase in the ULIP mix and that part. But that also helps us to get lesser impact on the GST. So, if you look at YTD basis, it's 110 basis point. So, we are still holding up that by the end of the year, most of the impact will get offset by the better product mix and maybe left with 30 -40 basis point, not more than that at the end of the year.

Madhukar Lada: Got it. And just one follow up. We are seeing a reduction in persistency in the 25th, 37th, 61st month a little bit. Any comments on that and have we assumed enough or do we have some margin of error over there or would that result in some negative operating experience?

Management: There is no concern at all in the persistency is concerned. We have got a very good strong growth in our renewal premiums, almost 20 %-21%. If you see the 13-month persistency also has shown the growth better as compared to the previous numbers. Only the 61st month persistency which has come down, which previously also we have communicated that this is the COVID cohort, which is going to hit this year. This is going to be the last cohort, which we are expecting. 25th month and the 37th month, it is just a marginal, which we are very hopeful that it will cover up in the current quarter itself. And 49 -months, we are very clear that it is going to be positive. So, we do not have any issue at this moment as far as the persistency is concerned across cohorts.

Madhukar Lada: Got it, sir. Congratulations on a good set of numbers and all the best.

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Management : Thank you.

Moderator: Thank you. The next question comes from the line of Sanket h Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Sir, if I understood right, you said in 2Q, annualized impact was 175 bps on the margin due to GST, which you cut it down to 150. And by end of the full year, the impact should not be on annualized basis more than 30 -40 basis points. That is the way

ay you are trying to tell, sir?

Management: The impact net of this product mix will be nothing more than 30 -40 basis points.

Sanketh Godha: Okay. So, basically, compared to the last year, if you do not make any assumption changes, which you typically do in the 4th Quarter, then the margin for the Company will be 30 -40 basis point lower compared to the last year. That is the way I need to understand, right?

Management: Yes, that is correct.

Sanketh Godha: Okay. And actually, assumption changes which will play out in 4th Quarter will probably add or maintain the margins, maybe, hopefully.

Management: Yes, that will come back another year in.

Management: It will also depend on the product mix.

Sanketh Godha: Understood. And the second question, sir, is on the growth. So, basically, if I look last three odd years, the 4th Quarter is typically 20 %-22% lower compared to the third quarter. Maybe that was not the case pre -COVID. I just wanted to understand that the trend will continue because sales typically get upfronted more in 3Q. So, is it fair to say that in 4th Quarter, your growth will be 20% kind of lower compared to 3Q?

Management: So, as far as growth is concerned, for the entire year, we had given a guidance of 13 %-14%. And we continue to stick to that for the entire financial year also.

Sanketh Godha: Understood , sir. So, which means that you are already at 16% growth in 9 months. So, if you don't beat the guidance, then it's like 10 %-11% growth for the 4th Quarter. I am assuming that number will be a little conservative. So, I just wanted to understand that point.

Management: No, we will definitely be much better than 10 %-11% if you look at the individual quarter. But overall guidance for the year remains at 14%.

Management: But saying that, 3 will remain our biggest quarter in absolute numbers.

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Sanketh Godha: So, basically, 4th Quarter should be a little bit smaller than the 3rd Quarter in that sense ?

Management: Yes, absolute number, yes.

Management: Absolute number, yes. But the growth numbers are different than the absolute numbers.

Sanketh Godha: Understood, sir. And if you can quantify the guidance for 2027, if you have already started working on budget, that will be useful. And second question is, now you are the only company among all the listed names, even the recently listed names, you don't have any exposure to deferred annuity. So, any thoughts you have on maybe growing the annuity business by launching a deferred annuity? Because now entire industry has launched it. So, just wanted to understand your thoughts on that particular product ?

Management: So, on the deferred annuity, we have already working on that. So, we will do that just to get this. So, we have one product. So, as of now, this is not that we don't have deferred annuity. We have deferred annuity, but that is on single premium. And what we realize that people are looking for the more limited pay kind of deferred annuity. So, we are working on that and hopefully we will go and launch those products as well.

Management: And annuity is 36% for annuity business, individual annuity in this quarter, with single annuity on rated basis. So, annuity is seeing good traction even without the regular pay deferred product.

Sanketh Godha: So, the reason I am asking, sir, is that this typically, it is believed that regular pay deferred annuity has a superior margin. And maybe the growth could have been much more accelerated if you would have had that product in your kitty . So, from that perspective, I am just asking any thoughts or fundamentally, you believe that a regular pay deferred annuity is not a great product and therefore, it cannibalizes into non -profit and that's why you don't want to launch it.

Management: No, no. We are working on that and we will launch that. So, not a q

uestion.

Management: It is not that if we don't have one product, then our growth is suffering because of that. We continue to take advantage of all available market opportunities and if something is missing from our arsenal, we have definite reasons for that and we continue to work on those reasons and introduce appropriate product at appropriate time.

Sanketh Godha: Understood, sir. And maybe if you can, if you're working on the budget, '27 numbers, if you can guide. And lastly, you gave rider numbers for the individual sum assured, which is 30%, but if I want to check on ULIPs, what is your rider adjustments on premium basis or in policy count, I mean to say?

Management: Policy count, it is approximately 35 % to 40%. Premium, we don't look into because if you see the most of the saving product to compare rider, premium doesn't stand out,

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but we are more than happy and we are trying to improve further this attachment, rider attachment. And 35%, 40%, our objective is to improve from there. This also indicates that how riders are important for the customer to provide the protection, which is the sole objective for any insurance company right now.

Management: As far as FY '27 guidance is concerned, we are still working on the numbers. We have seen very good traction in the last quarter and we are keeping very close watch and how these one or two months of this quarter pan out and you will have to wait a bit for the final guidance for the next financial year. But I will assure that it will not be lower than what we are currently growing at.

Sanketh Godha: Perfect, understood. Thanks for your answers.

Moderator: Thank you. The next question comes from the line of Rishi Jhunjhunwala from IIFL. Please go ahead.

Rishi Jhunjhunwala: Yes, thanks for the opportunity. A couple of questions. One is this quarter, the amount of par that we have sold is almost more than what we have sold the entire last year or last four quarters. So, just wanted to understand, I mean, what is driving this, right? I mean, is there a specific push towards this product because it was easier to absorb some of the GST impact here or how do we look at it if it is a one-off and then it will drop down to the normal rate going forward?

Management: This is a par portfolio, as we earlier also mentioned, even if see calls earlier as well. We are continually revamping our product suite and the last year when the regulation came, our priority was to prioritize annuity product and non-par and protection and subsequently we are having less par products. There is significant demand in the market for par particularly for the child segment and the money back. So, this year we have launched both the products, one on the child segment, other in the limited pay money back par and other is the regular pay money back. So, this product, it was a lot of requirement from our field force from the last 15 to 18 months that we have launched. They were delayed from our side but when the product has gone, there is a lot of traction and that's the reason we see the growth in the par business. But if you look at the absolute, if you just ignore this growth but if you look at the composition of the par in our portfolio, it still is much lower. So, you may see the growth in the par going forward but this is our product management approach that we have finalized two years back and working on including the riders and there is nothing linked with the GST for the growth of the par.

Rishi Jhunjhunwala: Understood, sir. The second question is on solvency. So, it is now in this quarter at a multi-year low and we have a potential dividend announcement coming in 4Q when we typically see 10 to 15 percentage point for the drop in solvency. So, how do we look at that and any need for capital requirement if any that could lead to?

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Management: As far as our dividend distribution is concerned, we follow a principle which we are constantly following for the last few years. As far as the solvency is concerned, I think if you see it hovers between 192 to 202. So, we are pretty comfortable on this range and as far as business, the way we have been doing and the product mix is shifting, there was anticipated that there would be some kind of pressure on the solvency. But we are quite confident that our back books as well as our business growth which we are anticipating in the next quarter, we do not see any pressure on the solvency per se towards the declaration of dividend is concerned.

Rishi Jhunjhunwala: Understood sir. And just one last clarification. I am sorry to repeat this question one of the other analysts had also asked. Nine months we have grown 16%. Our guidance for

full year is 13 % to 14%. So, that implies that 4Q growth will be 10% at the higher end and 4Q last year was not a strong growth year for us. So, even the base is quite favorable. So, is there anything that we are missing out or is just that we do not want to revise the guidance at this point of time because otherwise it will mean a reasonable slowdown in growth next quarter?

Management: No, I am very sure that too much should not be read into these numbers. As far as full year growth is concerned, we had given a guidance and there is no point in revising that guidance at the end of 10th month. So, I am sure that you will be seeing that we meet our guidance with a positive bias.

Rishi Jhunjhunwala: Fair enough sir, that is clear. Thank you so much.

Moderator: Thank you. The next question comes from the line of Vinod Rajamani from Nirmal Bang. Please go ahead.

Vinod Rajamani: Thank you for taking my questions. I have two questions. The first one is on the protection products specifically. So, if I look at the individual sum assured that has gone up by almost 74% but your individual protection new business premium has grown by 25%. So, this sum assured inflation which is happening, is that because of say selling more of say return of premium kind of term plans or is it because the sum assured on your savings product itself has gone up? So, that is question number one. Second question was on this channel economics and so on. So, the bancassurance productivity has jumped around 15% and your agency productivity is at 3 lakhs despite adding some 25% more agents. This OPEX ratio has gone up by 90 bps to 6.2%. So, I just wanted to know how much of this OPEX increase is related to agency and what is the realistic timeline we should have in mind before this agency productivity also starts inching upward. So, these were two questions. One was on agency productivity going upward and the second is on why there is a divergence between the sum assured and the new business premium on the protection side ?

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Management: So, divergence between the sum assured and the premium is on account of the growth in the total protection and within the protection, the share of TROP has gone down.

Share of pure protection has gone up with where the premiums are lower. So, the total premium growth is lower than the total sum assured growth. That is as far as your protection query is concerned. Regarding the increase in OPEX , as already said that this is also a result of change in product mix. The productivity on the agency side, there is already an uptick not only on the productivity also on the number of agents have increased and despite that productivity is showing a good increase in the number. So, strengthening of agency channel is ongoing and we want to improve our total agency contribution in the channel mix.

Vinod Rajamani: Yes, so that's perfect. I understood the agency bit. Just on this sum assured , I

see the

individual sum assured has gone up by 74% whereas this is excluding the group business and your individual NBP protection has gone up by 25%. So, the reason why I was asking is why is there a gap between say the 74 and 25? Is this because you are selling more return of premium kind of products or is it because...

Management: No, it is actually reverse .

Vinod Rajamani: Okay, it is the other way round?

Management: For the same sum assured , TROP has a higher premium than pure protection. Here our mix is improving in favor of pure protection. So, the premium is going down for the same sum assured .

Vinod Rajamani: Understood. Okay, thanks so much. Those were my two questions .

Moderator: Thank you. The next question comes from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh: Hi sir, thanks for the opportunity. I had a couple of questions. So, first on the gross impact of GST in this quarter. So, on an absolute number, the impact is around 1.3 billion which is almost 5% of the 3Q VNB. So, I am unable to reconcile that how that fits with the overall 1.75% or 1.75% impact for the full year. And secondly, on the Banca growth. So, this quarter, in fact, starting from September, the Banca growth has been a positive surprise. So, anything to read into that? Should we start extrapolating this kind of growth in our models? Because say a couple of quarters back, weak growth from Banca was a key concern. So, these were my two questions.

Management: So, on the GST side, on the margin, what are we saying that the business that we written in this Q3, which is purely post -GST, the impact on the margin, that this is only for the one quarter, and the GST impact came on the 22nd of September. So, the impact that we are seeing in 110 basis points that we disclosed is on account of the new

business written after the 22nd of September. And the earlier business didn't have the SBI Life Insurance Company Limited
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GST impact on the renewal commission. And once going forward, once this will move to the next year, the impact for our business will be 150 basis points on an annualized basis. And what we are saying is that the impact that we are going to get on the new business on account of GST, 150 basis points will get offset mostly by the better product mix in terms of the line of business and within the product and different kind of products. And that will mostly offset and balance remain will be approximately 30-40 basis points at the end of this year. As far as Bancassurance growth is concerned, first, let me clarify that there has never been any degrowth in the Bancassurance channel in the last two years or even three years kind of period. Yes, the growth rate has come down to higher single digits. And fourth quarter growth as far as concerned, you are aware that you see, October, November, December has always been a very strong quarter for SBI Life. And this year's growth was also added by I will say that the GST issue, the GST exemption that has been granted, the affordability has improved and probably that has effect on the entire industry, including the SBI Life which has posted very good numbers in Q3. Raghvesh: Okay, so nothing specific which has changed in the SBI bank channel in the last 3-4 months?

Management: It's a natural growth progression.

Raghvesh: Okay, thank you.

Moderator: Thank you. The next question comes from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: Thanks for the opportunity and congratulations on a good set of numbers. I got three questions. My first question is that if you can throw some light on the ratio of return to premium to pure term, in the individual protection segment, at the end of nine months, and maybe how it has evolved over the last 2 to 3 years, then that would be helpful. My second question is towards the attachment rate, if you tell me what

was the

attachment rate in the credit life segment? And my third question is in terms of the number of branches, I think you said that, you have increased the number of branches by 66 in this year. So, wanted to understand your strategy in terms of how it will go in financial year '27 and will it impact the cost ratio?

Management: So, credit life, 52% is our attachment rate for home loans. On the pure protection for 3 years, we will give you that data offline for 3 years' time. And on the branches, we have a very large base and we start branch in a very standardized way. So, there is some impact on profit, but on the cost, sorry, but that is not very material in SBI Life scale. So, we start small 6 person branch unit, and it has not such a big cost in the first few years. We expand only when the branch stabilizes.

Mohit Mangal: Understood. And this will be opened in tier 2 and tier 3, right?

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Management: Some of them are in tier 1 also. So, depending upon what is the potential we see in a particular area is where we open the branch. Obviously, many of them are in tier 2, tier 3, but not significantly in tier 2, tier 3.

Mohit Mangal: Okay, this is helpful. Thanks and wish you all the best.

Moderator: Thank you. The next question comes from the line of Harshal Mehta from AMSEC. Please go ahead.

Harshal Mehta: Hi, sir. Thanks for the opportunity. Two questions from my end. First, in terms of non-par, so if you can just highlight how we see the traction in our new product launch smart platina advantage, and do we expect non-par side again inching up and par and ULIP going down? That was one. And secondly, in terms of ULIP, it is safe to assume like this year, it looks like 62% of the mix. Can we expect to reach to FY'23 level, 55% odd in the next two years? And par and non-par again inching up? So, that's two questions I would have had. Thank you.

Management: So, in the product that we launched in non-par segment we see very good traction in the market. And there are 2-3 reasons for it, because it gives more flexibility and also giving the longer-term guarantee. So, we introduced 30 years kind of guarantee as well. So, we see a lot of traction. And similar thing is happening in the par product that we have launched. I think going forward, you will see that the par and non-par together, you can see the growth. And that growth will help to improve the margin, because your ULIP will come down on that basis. And it's also a phenomenon of the, as we always

say that our objective is to give the full bouquet of the product to the customer. And depending on their needs, they will choose. Actually the product choice depends on the customers and it depends on their need .

Harshal Mehta: Thanks, sir. All the best.

Moderator: Thank you. The next question comes from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: Hi, sir. Thanks for the opportunity and congrats on a great set of numbers. Sir, my first question is on your rider attachment. You have mentioned that the rider attachment is currently in the range of 35 % to 40%. We had plans on attachment of riders in the renewal business. So, if you can share some updates on that, where are we on that? Secondly, Ban ca, we have seen very strong growth in third quarter. Can you comment some qualitative comments around how the growth has been for the month of January? And is it right to assume that the growth in Ban ca was primarily driven by the launch of the new par product, because it seems easier to shift from ULIP to a par product versus a non -par. So, if you can help us understand that. And we have been driving digitization initiatives in SBI Bank, which was a cause of slowdown in the SBI Bank channel via the YONO app. So, if you can comment on that, how the business is shapin

g up from the

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YONO app and all of that ? And lastly, on the product pipeline for the Q4, if you can help us understand how the product pipeline is building up for the Q4 and have we launched any product ? So, these are my questions. Thank you.

Management: So, on the rider attachment, we have just begun in this quarter rider attachment and renewal that has just started. Though we want to increase the set of products from which rider attachment is available, that will probably take the next quarter. So, current set of existing products which are in force with the rider attachment has started.

Products which are closed for new business, rider attachment has not yet started. That also we hope we will start. On the Ban ca, like we would continue to expect decent growth coming forward, going forward, similar in line with , maybe a little more less than the Company growth that we see in the Ban ca, overall company growth. As far as new product, we have already launched Smart Platin a Advantage and there is work going on the other products, which may come this year or maybe early first quarter, FY '27.

Shobhit Sharma: Okay, so just to follow up on the renewal rider attachment, so can you say is this pertains to a particular business segment, ULIP or non -par wherein we have started attaching the riders or some comments around that, please?

Management: Both.

Shobhit Sharma: On the renewal side, you mentioned we have started attaching. So, it is across all segment?

Management: Not closed for new business, which are open for new business where they have started from 1st October. Some of them have started a little earlier. So, first renewals have already started coming in for the products which we are currently selling. For that, rider attachment is in place.

Management: Just to add, we have given flexibility to the customer in case they are able to opt to attach the rider at the beginning of the policy, they are also to attach in the subsequent policy anniversary as well. So, you might see that renewal, not only the one chunk that before the new business which has been sold before the launch of this rider will get attached, but some of the policy which is missing today for rider, you may see that the customer will also go and opt for the rider in subsequent premium payment time.

Shobhit Sharma: Okay, and sir, what about the progress on the YONO , how much business are we able to channelize via that, if you can comment around that?

Management: 1.5 lakh policies we have already sold in current year and th at is a pure protection product that we are selling.

Shobhit Sharma: So, on the renewal business, you mentioned that we are attaching riders. So, since the policy, so the premium which will be coming on the rider will be classified as a renewal

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premium and, or a new business premium and how are we accounting for the new business margins on that?

Management: So, any, it's a rider is a new product. So, all riders is a new product. Any new riders sold in a particular year will be classified as a new premium.

Management: And the impact on margin is not material.

Shobhit Sharma: Okay, sir. Thanks. This is from my side. All the best.

Moderator: Thank you. Your next question comes from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: A few questions from my side. First, when I look at your segment-wise margins, it seems that the ULIP margins are probably somewhere close to your company level margins, maybe a few percentage points lower. Maybe due to some efforts that you have undertaken on riders or had some issues. So, just in terms of understanding the prospects of the ULIP margins for the next 2 to 3 years, how much more scope do you really see in this segment? The second question is o

n the non-SBI Banca part, you mentioned the growth data. I just wanted to get some color on the product mix in this channel and how that has shifted in the last few quarters or years? And the third question was, I don't know if I missed it, but could you spell out the APE for 3Q and 9-months?

Management: Sorry. So, on this margin, we don't disclose the margins of different lines of business, but each and every time we look into the company and margin is a byproduct for that. And we do see opportunity in improvement because each and every time when we revise our products we try to optimize the value and not only for the margin term of the shareholder, but also for the better return to the customer. In that process, there will always be scope for improving the margin from the current level for each product within the things, and that will ultimately help to improve the margin for the company level. We are not going to speak to the particular product margin.

Dipanjan Ghosh: Sir, I just wanted to ask for the Credit Life APE for the third quarter and also the non-SBI banca product mix and how that has evolved?

Management: So, Credit Life APE is roughly INR 75 crores in Quarter 3 and for the non-SBI partnership, roughly it is 20% ULIPs remaining non-ULIP, roughly split half-half between par and non-par with about 5%-6% protection. Roughly that is the mix.

Dipanjan Ghosh: Got it, sir. Thank you and all the best. Thank you.

Moderator: Thank you. Your next question comes from the line of Megha Bagaria from BNP Paribas. Please go ahead.

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Megha Bagaria: I wanted to check why is the par product growing so much? Like in the recent quarter, we see that par has grown more than non-par, which shouldn't be the case given the current yield curves. So, can you throw some light on that?

Management: So, as we explained earlier, in our product portfolio, we are mixing up the specific product in the par segment, particularly in the child segment and the money back that we have launched. So, while child products help to meet the customer requirement to protect their child, the money back also provides the liquidity to the policyholder because the payment is done on the regular interval. And this was the most awaited product to launch. And that's the reason we see a lot of traction in things. And that's the reason we see that growth is happening in the par. But if you look into totality, par is still much slower than what we expected to be.

Management: Par is expected to be roughly 15% of our business.

Management: We are looking to give approximately 15%-20% of the par because that will also help us to give the better return for the existing customers as well. And in the last few years, we have declared the bonuses which are higher than what I have illustrated and also giving attraction to the customer in terms of buying these par products.

Megha Bagaria: Got it. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Amit Jhingran for closing comments.

Amit Jhingran: Thank you everyone for your time and queries. You may get in touch with our investor relations team in case you have any follow-up questions. Thank you. God bless everyone.

Moderator: Thank you, members of the management. On behalf of SBI Life Insurance Company Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These

statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the SBI Life Insurance Company Limited
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economy and other future conditions and are not guarantees of future performance. Because forward - looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward -looking statements.

Call: Apr 2026

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

www.sbilife.co.in

April 28, 2026 SBIL/CS/NSE -BSE/2 627/22

Vice President General Manager

Listing Department, Listing Department,
National Stock Exchange of India Limited, BSE Limited,
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Plot No. C/1, G Block, BKC, Dalal Street,
Bandra (East), Mumbai 400051 Mumbai 400001
NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q4 of FY 2025-26

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2627/15 dated April 16, 2026 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Wednesday, April 22, 2026 .

The transcript of the earnings conference call with analysts and institutional investors is also hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Girish Manik
Company Secretary
ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited Q4 FY '2 6
Earnings Conference Call"
April 22, 202 6

Management:

Mr. Amit Jhingran – Managing Director and Chief Executive Officer
Mr. Sangramjit Sarangi – President and Chief Financial Officer
Mr. Subhendu Bal – President and Chief Risk Officer
Mr. Prithesh Chaubey – President and Appointed Actuary
Mr. Santosh Chacko – President, Business Strategy
Ms. Smita Verma – Senior Vice President , Finance and Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the SBI Life Insurance Company Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing the star key followed by zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran, Managing Director and CEO, SBI Life, for his opening remarks. Thank you, and over to you, sir.

Amit Jhingran : Good afternoon, everyone. It is a pleasure to welcome you all for the results update call of SBI Life Insurance for the year ended March 31, 2026. We appreciate and thank you for your valuable time and efforts in analyzing the results and participating in the earnings call. Updates on our financial results are available on our website as well as on the websites of both the stock exchanges.

Along with me, Mr. Sangramjit Sarangi, President and CFO; Mr. Santosh Chacko, President, Business Strategy; Mr. Subhendu Bal, President and Chief Risk Officer; Mr. Prithesh Chaubey, President and Appointed Actuary; and Ms. Smita Verma, Senior Vice President, Finance and Investor Relations are present here.

SBI Life delivered a strong performance during the year, demonstrating resilience in a dynamic operating environment. This was supported by a balanced approach to both product and distribution mix. The company maintained an optimal blend of protection and savings products aligned with the evolving customer needs, while leveraging a well -diversified multichannel distribution strategy, spanning bancassurance, agency and digital platforms. This enabled consistent and broad -based growth across segments.

The year marked a significant pace for the life insurance industry, driven by key regulatory developments, including GST exemptions, measures supporting long -term sectoral growth and the regulators' announcement on transitioning to the Indian Accounting Standards framework aimed at enhancing transparency and quality of financial information. The company has adopted a phased and well -governed approach to Ind AS transition and SBI Life Insurance Company Limited

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proposes to seek regulatory forbearance for an adoption from April 1, 2027, with comprehensive preparatory measures already initiated.

Looking ahead, the company remains confident in the long -term growth potential of the life insurance sector in India and its ability to navigate the evolving landscape with continued focus on profitable and sustainable growth. Now let me give some key high lights for the year ended 31st March 2026. New business premium stands at INR425.5 billion with a growth of 20% and private market share of 21.4%. Individual rated new business premium stands at INR219 billion, with a growth of 13% and private market share of 22.9%. Gross written premium stands at INR1,012.9 billion, with a growth of 19%. Profit after tax for the current year grew by 2%, standing at INR24.7 billion as compared to the previous year. Value of new business stands at INR66.7 billion with a growth of 12%. VoNB margin stands at 27.5% for the year ended March 31, 2026.

Indian embedded value for the company as on March 31, 2026, stands at INR807.9 billion. Our assets under management stands at INR4.9 trillion with a growth of 9% over last year. Solvency ratio of 1.90 as against the regulatory requirement of 1.50. We will now update you on each of the key parameters in detail.

Let me start with the premium Individual rated premium stands at INR219 billion with a year -on-year growth of 13%, while retaining our leadership position with a 22.9% private

market share and 16.5% total market share. It grew by 12.9%, 3 -year CAGR, outperforming the industry average of 8.5%. Total new business premium is INR425.5 billion with private market share

standing at 21.4% and total market share standing at 9.3%. Group new business premium stands at INR127.7 billion with a contribution of 30% in new business premium and year-on-year growth of 39%.

Renewal premium grew by 19% to INR587.3 billion, which accounts for 58% of the gross written premium. To sum up, gross written premium stands at INR1,012.9 billion with a growth of 19% over corresponding previous year. Annualized premium equivalent APE stands at INR242.7 billion, registering a growth of 13%. Out of this, individual APE stands at INR221.1 billion with a growth of 13%.

During the year, a total of 22.2 lakh new policies were sold covering 22.7 million lives. The growth in sum assured reflects strong consumer confidence and

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increasing awareness of financial protection. Individual and Group new business sum assured grew by 61% and 34%, respectively, year-on-year, while rider sum assured continued to expand, now accounting for 31% of individual sum assured.

The company continues to advance its product diversification strategy through focused and well-sequenced initiatives. During the year, product launches were aligned to key customer needs across child plans, protection solution and the non-par guaranteed segment, resulting in encouraging traction. For the year ended March 2026, guaranteed non-par savings have garnered business of INR42.7 billion with a contribution of 19% on individual APE basis.

ULIP stands at INR144.2 billion, contributing 65% vis-a-vis 70% last year.

Protection business contributes 9% of APE and stands at INR22.4 billion. We continue to maintain a strong focus on protection business, which remains a key pillar of our growth strategy.

The Protection segment recorded a year-on-year growth of 10% on APE basis.

Individual protection APE is at INR10.3 billion with a growth of 24% as compared to the previous year ended March 2025. It is noteworthy that the pure protection category saw a strong growth of 122% on an individual APE basis, reflecting rising awareness and demand for comprehensive financial protection, while the individual sum assured in the protection segment grew by 62%.

Group protection APE stands at INR12.1 billion. Credit life APE has grown by 14% and stands at INR2.9 billion. Individual APE for participating products stands at INR17.3 billion with an exceptional growth of 133% Y-o-Y. Also, Par segment sum assured has shown a strong growth of 166%. Retirement plans assist customers in building a substantial corpus of funds to maintain the desired lifestyle and manage expenses in their golden years. Total annuity and pension new business underwritten by the company is INR86.5 billion.

Moving to update on our distribution partners. With strength of more than 59,000 CIFs, the bancassurance business of SBI and RRBs contribute 60% of the total APE business. On an individual APE basis, it stands at INR141.2 billion, reflecting growth of 11%. SBI branch productivity on individual APE terms stands at INR6.0 million for the year, registering a growth of 10%.

As on 31st March 2026, agency individual APE stood at INR68.6 billion, growing 15% with agent productivity at INR2.6 lakhs. The channel witnessed a shift in product mix. Non-ULIP share increased from 34% to 39% for FY '26,

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supported by robust 76% growth in agency individuals sum assured. The company added more than 1,20,000 agents on a gross basis. We opened 120 new branches this year. This expansion is aligned with our vision to create infrastructure that supports the long-term development of our agency channel. The o

ther channels, direct, corporate agents, other bank brokers, online and web aggregators grew by 22% and contributed 11% of total APE. Banks other than SBI Group are also growing at 22% on total APE basis. We are investing in building our online business channel. For the current year, this channel has

grown by 47% on APE basis.

Moving to updates on profitability. Our financial performance reflects the impact of GST and the revised Labour Law. Taking these factors into account, the company's profit after tax for the year ended 31st March, 2026, stands at INR24.7 billion. Excluding this impact, profit after tax for the year ended 31st March 2026 would have stood at INR31.2 billion with a growth of 29%. Our solvency ratio remains strong at 1.90 as against regulatory requirement of 1.50. Value of new business stands at INR66.7 billion, reflecting 12% growth driven by both volume growth and favorable shift in product mix. Despite the impact of GST, we have sustained a healthy margin of 27.5% for the year ended 31st March 2026.

Excluding GST impact, VoNB would have been INR70.3 billion, representing 18% growth with a VoNB margin of 29%, an improvement of 150 basis points. Embedded value for the company as on March 31, 2026, stands at INR807.9 billion with a growth of 15% over previous year. Excluding the onetime impact, EV stands at INR813.6 billion with a growth of 16%. Return on embedded value stands at 19.7% with embedded value operating profit standing at INR138.6 billion.

Coming to operational efficiencies. Our opex ratio stands at 6.1%, and total cost ratio stands at 10.6% for the year ended March 31, 2026, as compared to 5.3% and 9.7%, respectively, for the year ended March 31, 2025. With respect to persistency of individual regular premium, 13th and 49th month persistency stands at 87.9% and 69.1%, showing an improvement of 53 and 107 basis points, respectively.

As mentioned in my opening remarks, asset under management stand at INR4.9 trillion as at March 31, having growth at 9%. Death claim settlement ratio stands at 99.4% for the year ended March 31, 2026. Our misselling ratio stands at 0.02%, which is one of the lowest in the private industry, and this is SBI Life Insurance Company Limited

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achieved through our consistent approach adopted at the company to ensure right selling to the customers.

Digitalization is transforming the life insurance industry, enabling us to deliver enhanced services and a more seamless experience to our customers. As we embrace the digital transformation, we remain committed to innovation and excellence, ensuring that we stay ahead in an increasingly competitive landscape.

The company continues efficient usage of technology for simplification of processes with 99.7% of the individual proposals being submitted digitally. 57% of the individual policies are processed through automated underwriting. In conclusion, by embedding resilience and continuous improvement at the core of our culture, and by strategically strengthening our key channels, we are well positioned for sustained growth.

Our unwavering commitment to delivering exceptional customer service not only deepens client relationships but also enforces our reputation as a trusted and leading force in the market.

Thank you all. And now we are happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session.

Our first question comes from the line of Avinash Singh from Emkay Global.

Please go ahead.

Avinash Singh: Congratulations on a great set of numbers. Thanks a lot for the opportunity. A couple of questions. The first one, if I see persistency has done well across the cohort, barring 61st month where it has seen a drop, likely it would be coming out of some ULIP during the COVID time, the policies sold. And possibly, that is the explanation.

But i

n that context, I wanted to know, is that operating assumption changes that are kind of a negative in the VNB walk. Are they kind of leading to some bit of a reset in persistency assumptions or there are other factors behind this marginal operating changes? So that's one.

Second, again, if I look back how kind of you have delivered over the last 10 years and you have presented in the slide, I mean, in terms of your APE market share or individual APE market share or embedded value compounding. But if

we were to look back those 10 years and break it into 5 and 5, possibly the first 5, of course, coming from a lower base, had a very, very strong growth on all parameters, including the kind of a margin expansion and all.
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Now if we look back, when the margin is more or less stable, but expansion part is difficult. And of course, the base of growth and everything is coming into picture, the growth is also going to be measured. In this backdrop, if I kind of - I were to ask, I mean, what would be your experience over the next 5 years? Again, I'm not coming off to quarterly volatility. But if I'm saying that, okay, what would be the number in terms of your retail APE growth or kind of where the VNB or margins will come down for the next 5 years, what would you have to say?

Management : On the first question to persistency, you're right that there is a persistency drop on account of the business done in the COVID period, so we know that. As far as assumption is concerned, we always said that we keep this exceptional item separately and looking into the long-term view.

So, as we always keep mentioning that year-end, we keep refine our assumption looking to reflect the current experience. So, there are some changes in the mortality, some on the persistency. We've also seen some improvement coming on account of the long-term protection improvement on the persistency.

So that does reflect in the VNB assumption. But in this 50-basis point is not a significant point. So, I will say there's no significant change in assumption. It's a combination of all minor refinement across all the assumptions, including demographic as well as expenses and other parameters.

Management : Coming to growth prospects, you are aware that the company 3-year CAGR is at 12.9%. And last financial year, we have grown by 13.2%. Going forward also, we intend to maintain the growth rate at around 14%, which has been our CAGR for the last 3 to 5 years. And we will continue to maintain this kind of growth rate in coming year also.

Avinash Singh: Okay. And lastly if I can ask one more. I mean in this par, of course, in your mix it is still a smaller portion. But typically, you have been more like a ULIP protection and guaranteed non-Par. What I mean is, it is kind of intent or what is the demand factor that is kind of bringing this strong growth in par?

Management : The par product portfolio growth of this year has come on a lower base of the last year. Last year, we had just a couple of products. This year, we launched new products in the par category and we got very good customer response in this category. That has resulted in a very robust growth in the par segment in the current year.

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We have been a company which had dominant sales of ULIP in the past. But as you are aware, you have been attending these analyst meet for the last couple of years, our focus has been to improve the product mix in favor of non-ULIP products also. And if you look at the product launches in the last couple of years we have very good product launches in all three, non-par segment, par segment and also in the Protection segment. So this is our effort to improve the profitability of the company also by having a healthy product mix. And we are happy that our strategy and our product launches are helping achieve this objective.

strategy and our product launches are helping achieve this objective.

Avinash Singh: Thank you.

Moderator: Thank you. Our next question comes from the line of Supratim Datta from Jefferies. Please go ahead.

Supratim Datta: Yes. So thanks a lot for the opportunity. My first question is on what are you seeing with respect to customer behavior over the last 2 months, given you have been typically a ULIP-heavy company and last 2 months we have seen pretty significant volatility in the equity markets. Just wanted to understand how are customers reacting to that volatility?

And how is that shaping ULIP demand? And how in this environment hence, looking into FY27, how are you thinking about the product mix and product strategy, given you have a growth aspiration of 14% like you highlighted. So that's the first question. Second, again, like you rightly pointed out at the start that you have been looking at changing the product mix for the last 2 years in favor of non-par products. Just wanted to understand what is the share of protection now within SBI Bank versus 2 years back? And what proportion of these policies overall in the SBI channel are being sourced through Yono? If you could give us some color there, that would be very helpful?

Management: So talking about the customer behavior in the last couple of months, you are aware, the geopolitical events that are taking place. And that definitely is having some impact on the market, on the performance of the equity market also and there are effects seen on the fixed income side also.

But at the same time, if you look at the equity market, there are robust inflows into the mutual funds also. And overall, people wherever they are seeing value, they are investing. That is what we have seen in the company. Our growth in February and March has been decent enough and we have been able to meet our guidance for the year despite these events.

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So going forward also, we expect to continue to have good sales growth in the coming quarter and coming year as well depending, of course, upon month-to-month variation, and we do not pay much attention to month-to-month and we like to keep our focus on our yearly goals and midterm goals. So that is regarding your first question.

Management: SBI, our share is 4% for pure protection, credit life is over and above that. And broadly that number has been flat, but the mix has changed favorably from TROP towards higher proportion of pure protection. So the premium numbers are not seen as a proportion. Obviously, absolute numbers have grown, but share has remained broadly constant, but sum assured we have seen significantly higher growth in the SBI.

Management: Number of policies also.

Management: Number of policies and sum assured also basically because pure protection have significantly higher sum assured.

Supratim Datta: Understood. And if I could ask one last question. So on the ULIP side, are you selling the higher sum assured ULIPs as well, the 20x, 30x sum assured products or you're selling only the vanilla 10x cover products? If you could give us some clarity there?

Management: No, as of now, we do not have higher sum assured ULIPs.

Supratim Datta: Okay. But do you plan to launch that this year?

Management: We will look at the opportunity and decide in due course.

Supratim Datta: Got it. Thank you.

Moderator: Thank you. Our next question comes from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani: Yes. Thank you for the opportunity. I had two questions. First is on the banca channel sales in the last quarter, in the fourth quarter. It's actually degrown Y-o-Y. Is it to do with the fact that March may have been slower month for us. Was it coming from that or was there any other reason?

Second question is there was a media interview by the Department of Financial

Services Secretary, where he yet again raised the topic of banks should be open architecture, etcetera. Is there anything you can share with us because obviously, it's a big part of our distribution mix and also what is our strategy on

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the distribution channel in case such a decision is finally taken by or mandated by the government?

Management: First, talking about the Q4, there you would have noticed that the entire insurance sector had a sluggish kind of Q4 and that may be related to various events taking place geopolitically across the globe. And coming to our growth

in Q4, as I already said that instead of looking month -to-month and quarter -to-quarter growth we like to focus on the annual numbers and we are happy that we have been able to meet more or less our annual guidance of 13%.

We have maintained our 3 -year CAGR slightly higher than that, in fact. And banca channel also has been able to meet our internal budget set for the year.

Regarding your other query, I would like to emphasize that SBI Life is now a 25-year-old company. And in this long journey, we have established various -- very robust system and procedure.

And we have seen various regulatory changes coming at different point of times. You will appreciate that the company has been able to navigate all these regulatory changes with ease and we have been growing at a consistent rate.

We are not aware about this particular topic as of now. But we are very sure that any regulatory changes, we will be able to meet with a robust response.

Shreya Shivani: Right. And sir, strategy on other channels. I know you've added a lot of agents and new branches. But on the other line item, what are the channels we would incrementally be focused on irrespective of what happens with the banca channel?

Management : So agency channel, for the last 2 years we have been strengthening a lot. And in fact, the contribution of agency channel in our distribution mix has improved in last couple of years. In addition to the agency channel, where we are opening more number of branches, adding more agents, having better productivity.

We are also focusing upon our emerging business channel, although as of now, it is a small channel, but the growth rate and the investment being made in this particular channel are giving us good results. We will continue to invest in our direct channel on our website and direct channel sales. And we are sure that this is also going to be a good formidable force in coming future.

Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Yes, hi. A few questions. Firstly, just extending the previous question. Has there been any communication from RBI in any form about open architecture SBI Life Insurance Company Limited

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or in form of offering more products at the bancassurance channel because the interview kind of stated that there has been some communication or request gone to the banks to adopt an open architecture.

Second is, if I look at your cost ratio, right, from FY24 your opex was at 4.9, has gone up to 6.1. Total was 8.9 and gone up to 10.6. And within that main thing, I think the product mix shift possibly to a certain extent, but also you have opened more branches and the agency channel has seen a really stronger growth.

So how do you see the cost ratios moving from here on, do you think that you would be capped at 10.6 or this ratio will kind of keep moving higher? And thirdly earlier, while you talk about a 14% kind of APE growth, what would be your thoughts on margins going ahead with VNB margins going ahead? Those are my three questions. Thanks.

Management : So RBI guidelines are draft guidelines, in fact, are in public domain for last couple of months and they

are supposed to come in force from 1st of July. It does not talk of open architecture. And we do not have any additional information other than what is in the public domain. As far as cost ratio is concerned, the impact on cost in this particular year, last financial year is substantially coming from the GST impact. As I already talked in my opening remarks.

The other factors regarding opening more number of branches, having higher IT spend for customer ease and the other processes and spends on training our agency force and our CIFs, etcetera. Those are the reasons which have resulted in slightly higher cost ratios. But going forward, I think these things have already planned out. And other than strengthening IT, there is no other major expense planned in the near future.

Prayesh Jain: Sir, just extending that question. So GST is not onetime, right? GST is going to be there for some time, it's a permanent thing, right, unless we kind of really do some cost savings, which will bring down our costs, right? So from that perspective, how do you see the cost ratio? And my last question was on VNB

margin trajectory going ahead?

Management : So that is what I said that now the GST is already in this cost of 10.8%. So that has already been built in. We do not see costs going higher on account of this particular thing. Prithesh, would you like to talk about the margin?

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Management : So I think the margin also, if you see we have reflected the 27.5 margin that already accounted for all the impact of GST. And last time also, we mentioned that we're working to enhance the product mix and profile mix. And we are very sure that enhancement in the profile mix will be able to absorb this impact of GST. So even if you see the VNB walk, closely, we have offset. So the better product mix and some benefits coming from the interest movement has been able to offset this impact of GST. So that's the reason 27.5 we're reflecting into.

As MD sir also mentioned that expenses are reflected and we are looking to better product mix from current level with a growth of 14%. So we expect that our margin will continue to be a similar range that we maintain about 26% to 28% range that we are seeing. And our endeavor is to report the margin above 27% kind of things.

Management : You will appreciate that despite the GST impact and other onetime impacts, we have been able to report VoNB margin at the higher end of the range of 26% to 28% that we had set at the start of the financial year. So we stuck to our range and we will continue to maintain that kind of margin in coming years also.

Prayesh Jain: Absolutely commendable sir there. But with all the costs and with all the onetime impacts in the margins in this year and now we're moving more favorably to move our product mix more favorably, should we shift our guidance to '27 to '29 versus '26 to '28?

Management : So I think we said '27 to '28, and we will stick to that.

Prayesh Jain: Got that. Thank you so much, sir.

Moderator: Thank you. Our next question is from the line of Madhukar Ladha from JPMorgan. Please go ahead.

Madhukar Ladha: Hi. Good evening. Congratulations on good numbers in a sort of difficult operating environment. So first question, in the EV walk, we see a very strong positive operating variance. If you can quantify how much is expenses, persistency and mortality. And if we have such a strong positive variance, then why are we strengthening our assumptions in the VNB? So I wanted to get a better sense of why are we seeing this divergence in EV and then in VNB?

And second, sir, our solvency is now at about 190%. We work at 180% solvency. So in terms of capital, what are your thoughts? Any additional need?

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And how will you sort of bridge that gap if required? Yes, those would

be my

two questions. Thanks.

Management : First on your question on the EV walk that we always mentioned that as a company, we set our assumption, we always have the longer term view and we ensure that it is sustainable in longer term. That always give us a very positive variance. And if you see year-on-year, we keep reporting the positive variance we have quality of businesses.

And this is not coming because we are using different conservative or prudent assumption. This is because our quality of business is reflecting much better than what we look into. So if I say most of the positive variance coming on account of mortality profit and persistency and lesser on the expenses. So that's where it's coming from.

If I link with the VNB assumption, 0.2% is not significant. And we appreciate that the products that we are currently looking in, selling in the new business. And what has been reflected in our existing book, both are significantly slightly different. It's not exactly same. So it may not be fair to correlate the assumptions in the VNB with that of operating variance in EV, generally reflective.

So there are maybe one or two product lines which we have tried to increase or promote their minor refinement we did in the assumption for VNB. And that's also, I will say, it is very emerging trends. And as a company, we always look into and adopt this assumption. So that's you see the VNB and EV.

Management : As far as solvency is concerned, you see the company is generating good cash accruals and strengthening its capital base through internal accruals. So we have not raised any fresh capital for strengthening our margin. And this is efficient use of capital that is resulting in solvency of 1.90 against the regulatory requirement of 1.50.

Going forward, we are assessing the impact of the Ind AS and RBC also that is being discussed at the regulatory level for introduction in near future. So we are keeping a very sharp eye and we will take appropriate call at appropriate time.

Madhukar Ladha: Just one final follow-up. Can you split the economic variance between your debt and equity?

Management : So see, our economic variance is more or less the sensitivity that we spend in EV. So majorly, you see the equity fall, and so major share coming from the SBI Life Insurance Company Limited
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equity and other part is coming from the bond. So if you total 3.66%, if you say around 2.15% is coming from the equity and balance is from the bond.

Moderator: Our next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, you said that our growth most likely will be in the range of 14 -odd percentage for the next few years. But if I look at your banca growth, maybe for last 3 years, it has been stuck in the range of 9 to 11 -odd percentage. So just wanted to understand if the 14% growth has to be delivered, then there should be a heavy lifting of the growth from the other channels, either agency or other relationships? Sir, just wanted to understand if you want to give a color of that 11% trend to continue in banca and it will be largely driven by the other channels in a way to drive the growth? That's my first question, sir.

Management : As already being guided for last 2 years, we have been telling that we are strengthening our agency channel by opening more number of branches, by having more agents, by improving agent's productivity, etcetera. So the clear focus is on further strengthening the agency channel and tapping all the opportunities that are available in this particular channel.

We already have a robust share of agency business in the industry, and we want to further strengthen it. We have also guided that in the distribution mix also, we would like to have greater share of agency channel, and that is already taking place if you look at the distribution mix in the last couple of years. So

this 14% will be an optimum mix of the agency growth and the banca growth.

Sanketh Godha: Sir, then is it fair to say that the banca growth in that range of 10% to 11% is a realistic number going ahead for us?

Management : I mean, we do not diverge the different channels growth targets as such. But this is the kind of base that we have been growing in despite all the circumstances and all, and you can say that...

Sanketh Godha: Sir, the reason I'm asking this question is that if I assume the nominal GDP growth or inflation-led growth with the natural increase in the ticket size, that will be in the range of 8 to 10 percentage, which means that a penetration in the banca channel largely being achieved, the growth in banca will be predominantly driven by the ticket size increase. That's the reason I was asking that more realistic growth penetration being largely achieved, it's more ticket size led growth like 8 to 10 percentage or 10 to 11 percentage kind of a number?

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Management : No. Our focus is also on the protection side. So I will not say that the growth is coming only from the ticket size increase. If you look at the number of policies also, the protection segment is growing, where the ticket size is very small. And there, also, we are getting substantial number of policies that has resulted

in good protection growth also. So we do not look at from quarter -to-quarter and month -to-month number, but we set our annual targets and medium -term targets and go around doing business on those lines.

Management: And Sanketh, my endeavor remains to further strengthen the penetration of customer base of bank. We are not saying we have facilitated the customer base of bank.

Management : Yes, the opportunities are there and we are tapping all the available opportunities in the best possible manner.

Sanketh Godha: Understood, sir. And my second question is again on the margin. Sir, at the start of the year, you guided 26 to 28, but at the start of the year, you did not have a GST impact. But if I negate the GST impact, you actually ended up reporting 29 instead of 27.5, which means you under -guided probably on the margin. So just wanted to understand this 27 to 28, what you're trying to guide now has an upside either because of the product mix or cost levers to play out in the next year?

Management : So this is a matter of perception. You can say under -guided or you can say over-delivered. This is a matter of perception only.

Sanketh Godha: So the realistic margins may be better than 28 is what I wanted to check rather than being a little conservative in that sense.

Management : So no, it is not about the conservativeness. You see the only reason to deliver this margin despite the GST impact is, as a company, we are working to improve the product mix, right? That's the reason we are able to absorb almost the heat on the margin. Why we're giving the higher range is, as you said, with the higher base, we have tried to grow with the 14%. And at the same time, we are also trying to achieve the better product mix.

So making a combination that product mix would give a better margin and a better value, as well as maintain that 14% growth is such a high value, it's not a very easier task, and that's the range what we give, it gives us some flexibility to play around, to maintain the good growth rate as well as maintain the margin. That's the reason we are trying to do that. It's not about that we are giving a prudent or conservative guidance.

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Management : So both growth and profitability, we keep a very sharp eye and we adjust accordingly.

Sanketh Godha: Understood, sir. And lastly, sir, two things. One is, in protection, can you give your premium mix or IP mix, individual protection I mean to say, broken down

into

pure term and RWRP, and whether RWRP as a product has seen a natural lower demand because of the GST benefit, which is available in pure term compared to RWRP? That's one thing.

And second, last time in the call, you said that you were working on deferred annuity plan. If you can give a bit of guidance or a color of how far you have come with the product, whether you are okay to launch that particular product in the current year or not?

Management : So our endeavor is to launch this deferred annuity product in this quarter itself.

So we are aiming to go live by June, we should launch the deferred annuity.

Otherwise, we'll go to the next quarter.

Sanketh Godha: Understood, sir. And on the protection side, sir?

Management : Protection side, the number we'll give offline to you.

Moderator: Our next question is from the line of Shobhit Sharma from HDFC Securities Limited.

Shobhit Sharma: Congrats on a great set of numbers. Sir, my first question is on your agency channel. That channel has consistently grown year -on-year for the last 2, 3 years and have provided stability to your overall growth. So what gives you the confidence? I understood you mentioned about the new agent additions and the new opening of the branches. So can you give us some color around these agents who have been recruited? Are these from the industry or are these new to the insurance business?

And secondly, if you can give us some qualitative comments about the branches, which has been opened in last 2, 3 years, what is the business contributed by them? Or if you can give some color around the contribution of these newly hired agents over the last 2, 3 years?

Management : Since we are new to the insurance industry, there is no open architecture on the agency side. So we have a very robust system of hiring and training agents, and we are happy that the agent increase is also being equally met with the agent productivity. So the good growth number is coming both from the side of increased number of agents as well as increased productivity.

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So as I already said that we want to tap the opportunities available on the agency side. We are happy that today we have one of the strongest agency force in the market, in the private industry and the largest player also. A substantial portion of the industry mobilization is coming through SBI Life. We'll continue to focus on this particular channel and our training methods to our agents to further tap the opportunities that are available here.

Shobhit Sharma: Sir, any number around the business contribution from the branches which you opened in the last 2, 3 years or the contribution of agents whose vintage is less than 3 years?

Management : We do not disclose those kind of numbers. And you will appreciate that of course, any branch which is newly opened, it takes some time to breakeven. But these branches are well on track. We are satisfied with the contribution that is coming through these branches.

Shobhit Sharma: Okay, sir. And sir, second question is on your NOP count. So over the last 3 years we have not seen the NOP count growing on the individual side. We had seen a very strong growth in Q3 beyond the NOP side. But in Q4 again it has turned negative. So when can we expect our growth to be led by NOP instead of the growth in the ticket sizes? And last question is on the GST impact. So I believe that the GST impact which we have seen during this year was actually a permanent -- it was actually permanent in nature?

And we would have made changes in our actuarial assumptions. So how should we think about the impact from next year onwards? Should we see a similar kind of impact of 1.5% on our overall margins? Or it would be on a higher side because this year we had an impact for only the second half primarily.

Management : So see GST impact has already ac

counted for in the margin the 27.5% is reflected. Only this is for the business done after 2nd September. So maybe next another half year we'll see some impact. But I think this is more or less similar level for the 6 months. Overall and that we have adjusted. And we are working to do that product mix profile so that offset that.

So that's the reason we're saying with the GST impact considering into reflecting our cost and all we are able to deliver the margin that we've just given the guidance of 26% to 28% range. So there was no adverse impact going to be reflected on account of GST.

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So that's the part. And actuarial assumption on GST basically a sense of the input cost. We are absorbing the commission -- GST payable on commission of agents and distributors. So that's already reflected in that.

Shobhit Sharma: Okay, sir. And on the NOP side?

Management : I think NOP we are giving this thing. And we are hoping that once we come with the deferred annuity product that also will help us to increase some of the NOP because we appreciate the single premium annuity. Most of the high ticket size, but when you come to the deferred regular annuity.

I think, ticket size will be much lower than single premium and more earning people will buy these things. So we expect that will help us not only to grow the annuity business, but also increase the number of annuitants who will buy the policy from us.

Shobhit Sharma: So you mean to say NOP growth next year would be driven by the annuity products, which we'll be launching in this quarter or the next quarter.

Management : No, we are not saying that. We are saying that will help us to increase the overall annuity business. Not specific that only we'll do that. I see we have the complete suite of the annuity. We have a deferred annuity in single premium.

We have the immediate annuity. And where we have the NPS annuity. And within the annuity, we offer certain options. Now we are lagging only on the regular pay a different annuity. So by launching that annuity, we'll have a complete suite of annuity product available to the customer. And we expect that complete suite will help us to grow the base line of business.

Management : I think the confusion is he is talking about NOP not only annuity. So overall NOP will also increase through other products and protection products will especially help in increasing the number of NOP.

Moderator: Our next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Sir, my first question on the VNB mix. I know that you don't give the margins across channels and every channel has a different product mix. But let's say if you were to take FY23 for the last 2 years and assume a similar product mix, channel mix, cost structure. What would be the VNB contribution across some of these channels or some qualitative color in terms of divergence between APE mix and VNB mix across channels, at least qualitatively?

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The second question is on the Credit Protect business for FY26. The growth seems to be a little bit on the softer side. So going into next year I just wanted to get some color on what are the attachment rates at SBI? Or what are the efforts that you're really undertaking to grow this business because it's a relatively high-margin business, I would assume.

And finally, the third question is on the operating release. Now if I look at the last 10 years, except of COVID I mean in almost all the years, you would have delivered a positive release. So just in terms of the assumptions that you have built in the back book transition into IFRS. And I understand you are taking the forbearance.

But does this sort of robust risk management or prudent underwriting that you would have done give you any sort of benefit relative to

any other company,

who should have probably taken a differentiated strategy on these assumptions? And one question on the data keeping question, if you can break the operating variance into mortality, persistency and expense and others?

Management : So I will start with the last question. I think as I explained that most of the operating variance is coming on account of the mortality and persistency and lesser is coming on the expenses. So this is the thing. Second, on your question to the channel-wise margin, I think we don't disclose that and we don't look into the specific, we don't drive particularly the product mix with the particular channel.

We offer the products to all the channels. We pay the similar commission to the different channel and do that. And that's the reason we don't disclose this and even don't look into those on a margin perspective for which channel we're driving this. Because we look into the longer term and company-level margin accretion on that.

Third question, if I remember correctly. Your actuarial assumptions and positive variance. I think that I mentioned earlier, most of the operating positive variance over the years, including the COVID periods, reflect the two set of things. One is the quality of business the company is writing and underwriting in one of the parts. So if you write a better quality of business, you expect the experience will be much better.

Secondly, also look into how you see your sustainability in the longer term. So when we set the assumption, we take a longer-term view. And each and every time, we will see that whenever we see the credible experience emerging and thus mandate to review our assumption and modify, we give that.

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So even the last year we have capitalized quite a few -- particularly for the persistency side, we capitalized some of the assumption. And that's the reason this year, the persistency variance is slightly lower to that. And we will continue to do that. Our view is to report the numbers and view is to -- not only the

pricing and reporting as well, keep a longer -term sustainable view on that perspective.

So this is the third question. I don't want to comment how this will play out in the IFRS 17 to us and how the others in the market. We normally avoid comparing our performance versus others. But definitely, if company is having the longer -term sustainable assumptions that will have the better place. And that will also reflect in IFRS regime as well.

Management: And the banca Credit Life, we think 14% is reasonable growth is faster than the bank's loan growth. We have increased our attachment in home loans by substantial amount.

Dipanjan Ghosh: Got it. Just one small follow -up. If I heard correctly, you mentioned that your persistency variance this year is a little lower than last year. And I think last year, you were around INR2.5 billion to INR3 billion. So that basically means that for this year you almost had like INR8 million, INR9 million of positive mortality variance. I mean, is that the right understanding?

Management : No, no. I'm not saying that. What I tried to tell you that each and every time whenever we see the credible experience and continuous positive variance coming into that will revise and do that. And when you revise you will get certain gap on that perspective , nothing else.

Moderator: Our next question comes from the line of Neeraj Toshniwal from UBS. Please go ahead.

Neeraj Toshniwal: Yes. Hi, just a follow -up on the Credit Life. This quarter, we see a big impact on the group credit. It's largely coming from GTI. Is the right understanding or how is the Credit Life ending quarter -on-quarter and Y -o-Y this quarter?

Management : No, this quarter, the GTI business has reduced as compared to the Credit Life. So that is the reason the quarter 4 growth in the group ,

credit group business
has actually gone up.

Neeraj Toshniwal: Okay. And do we have numbers on how much is Credit Life and how much is group?

Management : No, quarterly I don't have a number. We will give you separately.

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Neeraj Toshniwal: Okay. And on the product mix, I think we have mentioned that we will be likely around 60 -40; 60 ULIP and 40 for non -ULIP . I think we've only kind of achieved that. The mix will largely remain stable in terms of ULIP and non -ULIP will turn around between non -par and par is a fair understanding or we can further see ULIP in different types?

Management : No, we are driving at already in the initial remarks, MD has commented that we are driving for a right product mix in the longer run perspective. So today, we are at 66 -34. So depending upon the market, depending the customer's choice, we are offering the products across geographies. So we will continue to drive the better productivity or a balanced product mix rather going forward. So we will see how the experience will evolve. But yes, we are looking into the better product mix going forward.

Neeraj Toshniwal: Okay. I was coming from APE perspective. I think it's already 59% ULIP and that's coming from non -ULIP

Management: Yes, IRP basis, it is 66%.

Management: We are talking on individual APE basis. So you are talking about the APE.

Neeraj Toshniwal: That is 66 -34.

Management: Yes.

Neeraj Toshniwal: And non -par savings, are you taking or not taking any increase in IRR dependence like others have been recouping some of the GST impact or what is our strategy here because growth, while everybody has seen a decline, our decline has been a little moderate compared to peers? Any commentary here or the strategy going forward?

Management: So I think non -par, if I understand correctly your question on the non -par IRR perspective. So I think we continue to look into the interest rate movement and re-price the product. Currently, if you see there is a lot of volatility in the yield curve and this yield is not sustainable, that's holding up.

But in the meantime, we have launched a new non -par products that replace our existing non -par product and that reflects the current yield. So to some extent, we have passed some benefit to the customer by launching this new

product, but we'll continue monitoring and regular monitoring that I keep saying that the company will keep doing this adopting the dynamic approach as per interest rate sensitive product is concerned. And whenever we see this is a
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sustainable thing, we'll re-price and pass on to the benefit to the customer. So we try to balance between those.

Neeraj Toshniwal: Sure. Thank you. That is it and all the best.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity and question is on VNB margin. So if you look at the full year VNB margin, there is a 150 basis point impact of GST. So that is for half year. So does it mean that for the full year the impact would be around 300 basis points and our starting margin, let's say, on a like-to-like basis, it's 26% if the GST would have been implemented for the full year, which means that we have to show VNB margin expansion from 26% in FY27. So that is the first question?

Management: No, this is not the case. So if you see the business written post September is much higher than the H1. Secondly, that we mentioned is that when we declared the result on September of every year, we have already incorporated the GST impact in terms of the commissions and the renewal commission for the business written prior to the 22nd September as all.

So if I summarize, I say that all the business written after 22nd September, the

GST impact on commission reflected both first year commission and renewal. And for the business written prior to 22nd September, the GST impact on commission and renewal has been. Thirdly, we have incorporated the expenses, actual expenses including GST when we report these things.

So most of the part of the impact of GST in terms of renewal commission, commission of new business and expenses is included, only we are left with the first half first year commission for the business written until 22nd. So it will not be and if I remember correctly, we quantified this number. We're expecting the annual impact, maybe around 1.8, 1.9 kind of things, if GST would have been implemented from the beginning itself.

Nidhesh Jain: Sure. And second, sir, as we move towards non-banca channels over the next 2 to 3 years or the share of non-banca channel increases in our overall mix.

On a Ceteris paribus basis will that have a negative impact on margins because we believe that banca would be a slightly higher margin with channel versus non-banca. So if we don't do anything on the product mix side, will that have a negative impact on our overall margins?

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Management: No, I don't think and we don't think there will be any negative impact. In fact, any channel addition will bring value to the table by way of the fixed expenses get amortized and quality will happen. I think that is going to add the value to the company and there would not be any negative impact on the margins.

Nidhesh Jain: Sure, sir. Thank you, sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Harshal Mehta from Asian Market Securities. Please go ahead.

Harshal Mehta: Thank you for the opportunity. Two quick questions from my end. So firstly as you know like we are in the earlier days in those IFRS.

Management: Please, be louder.

Harshal Mehta: Yes. So my first question was that we know that we are in the initial days of IFRS, but if you can give some initial thoughts on how the KPIs will be for SBI Life under the IFRS, so that was one. And secondly, like our strategy has been to focus on additional products and within that, we have seen par growing significantly higher than non-par, but given the backdrop that we have recently launched a non-par product in Jan, how do you expect non-par as a category to move from here on?

Management: See, as far as the IFRS is concerned, we are prepared. And as you know, we

have submitted the pro forma to the regulator for the last two financial years. And as already mentioned in the initial remarks we are going to have a forbearance for this fiscal. And next year onwards we will be prepared to launch into the IFRS regime.

And we don't see anything as of now to bring in on a KPI into the company's performance or to disclose at any point of time during this financial year. So we will see first how it will evolve over the next 2 to 3 years' time and then to bring in because it has got implications into the business, because we cannot just bring the KPIs to the business, which will be definitely look into different aspects as far as IFRS is concerned. Second part, you asked about product .

Management: I think if I heard you correctly how we're going to see par product , still the contribution is around 7% almost in this perspective and non -par we have launched. So we do believe that the new launch in non -par will see a lot of traction on that, that will also bring the movement in the non -par. And again, if interest rate is going to be established at current level, we will re -price and we better return. So that also help us to improve the growth of the non -par business as such.

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Harshal Mehta: Sure, sir. Thank you.

Moderator: Thank you. Our next question is from the

line of Samant Singh from Phillip

Capital. Please go ahead.

Samant Singh: Yes. Thanks for the opportunity. I hope you can hear me. Am I audible?

Management : Sir, you are audible.

Samant Singh: Yes, okay. So just at the two data keeping questions. One was on online channel growth that was very strong until 9 months, so like 45% Y -o-Y basis.

So anything on the discrete Q4 number or the full year number that will be helpful. And the second is on a tachment rate on the Credit Life portion. So what is attachment rate on home loans? So if you can just give two data points?

Management: So as far as our online business, which is purely on our own website, it is almost in a similar range of 48% to 50% growth, which we have done for the full financial year and that we will continue to focus more on this channel on our road. And as far as t he attachment ratio of Credit Life, I think it is going in the similar what we have been doing it for the previous years around 50% of reported year.

Samant Singh: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Gaurav from MLP. Please go ahead.

Gaurav: Yes. Hi, sir. Good evening and thanks for the opportunity. Sir, the question was with regards to the cost ratio. So if I look at the operating expense ratio has moved up from 5.3% to 6.1% in FY26 versus last year. And you explained that this is due to GST, the impact of GST embedded in the cost now.

So is it only from September to March the cost impact that we are looking at here? So, let's say, for FY27, given that the entire year will have GST impact.

So hypothetically, I mean, is this 6.1 million only reflective of 6 months of GST or this includes the full year impact of GST?

Management: So this is obviously the second half of this year, half year of this fiscal impact of this GST. Next year, it will be full year. The other one -off item, I think you must have heard in the last call that it is a new item, which is the Labor Code.

So that h as also this year is impacting this increase in the operating expenses.

But we are confident that it will not go under our radar rather in the way we are managing the expenses of the company will continue to be in that range.

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Gaurav: Sure. So sir, if you can just quantify the deviation from 5.3% to 6.1% that we see, how much of that is attributable to GST? And how much of that is attributable to new Labor Code, if you can just quantify that?

Management: Yes, I can just tell you that if the Labor Code or the GST would have not been there, then the opex ratio would have been around 5.5 against 5.3.

Gaurav: Okay. Understood, sir. Got it. So safe to say that next year, it may go up slightly given that this only has 6 months of GST, but it won't go materially up from here. Is that the right thing to read it?

Management: It's not necessarily because the opex is not only a one-off item of the GST, which will impact. There are other measures which we take. So that will also help to rationalize the cost. And then we also look into the economics of the expenses where we want to do whether we want to do or not. But yes, as far as the growth is concerned, we are very focused that we will spend our money on the investments, particularly on the branches, IT infrastructure that will continue. But it will not have much impact as far as the opex is concerned for the company.

Gaurav: Understood. And sir, the next question is on the channel mix. While this year, we saw other channels contribution share improving. For next year also, do you expect the other channel contribution shares to improve? And let's say, from a 2 to 3 year perspective, what would be the, let's say, SBI contribution or any target sort of you are maintaining to reduce the contribution from SBI going forward?

Management: So we are not targeting any reduction from SBI. What

we are targeting is

tapping additional opportunity on the agency and the emerging business channel. And in line with that, the higher growth coming from these two segments will improve their contribution in the overall distribution mix. We are not targeting any reduction from SBI.

Gaurav: Understood. So with the effect of diversification, where would you see the overall mix, let's say, ex banca and within banca maybe ex SBI? What would be, let's say, target share of these other segments that you would want to keep?

Management: So in last 2 years, we have seen approximately 3% to 4% shift from banca to agency and emerging businesses and all. And we expect the similar trend in coming years.

Gaurav: Understood. That's all from my side. Thank you.

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Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Amit Jhingran for closing comments. Over to you, sir.

Amit Jhingran: Thank you, everyone, for your time and queries. You may get in touch with our Investor Relations team in case you have any follow-up questions and we will be happy to respond to that. Thanks again. God bless everyone.

Moderator: Thank you. On behalf of SBI Life Insurance Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward-looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward-looking statements.

Call: Jul 2026

SBI Life Insurance Company Ltd.

Registered and Corporate Office: Natraj, M.V. Road and Western Express Highway Junction
Andheri (East), Mumbai 400 069. Tel.: (022) 6191 0000/ 3968 0000

IRDAI Regn. No. 111. CIN: L99999MH2000PLC129113

www.sbilife.co.in

July 30, 2026 SBIL/CS/NSE -BSE/2 627/77

Vice President General Manager

Listing Department, Listing Department,
National Stock Exchange of India Limited, BSE Limited,
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Plot No. C/1, G Block, BKC, Dalal Street,
Bandra (East), Mumbai 400051 Mumbai 400001
NSE Symbol: SBILIFE BSE Scrip Code: 540719

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for Q1 of FY 2026-27

This is in continuation to our intimation letter ref. No.: SBIL/CS/NSE -BSE/2627/63 dated July 20, 2026 and in compliance with the provision of Regulation 30 read with Schedule III (Part A) (Para A) (15) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose transcript of the earnings conference call held on Friday, July 24, 2026.

The transcript of the earnings conference call with analysts or institutional investors is also hosted on the Company's website at www.sbilife.co.in

You are requested to kindly take the same on record .

Thanking you,

Yours faithfully,

Girish Manik
Company Secretary
ACS No. 26391

Encl: A/a

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"SBI Life Insurance Company Limited
Q1 FY27 Earnings Conference Call"
July 24, 2026

Management:

Mr. Amit Jhingran – Managing Director and Chief Executive Officer
Mr. Sangramjit Sarangi – President and Chief Financial Officer
Mr. Subhendu Bal – President and Chief Risk Officer
Mr. Prithesh Chaubey – President and Appointed Actuary
Mr. Santosh Chacko – President, Business Strategy
Ms. Smita Verma – Executive Vice President, Finance and Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the SBI Life Insurance

Company Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Jhingran, Managing Director and CEO of SBI Life Insurance Company Limited. Thank you, and over to you, sir. Management : Good afternoon, everyone. It is our privilege to welcome you to the SBI Life Insurance Results Update Call for the period ended June 30, 2026. We sincerely appreciate for your time and efforts in analyzing our performance and your participation in today's earnings call. Updates on our financial results are available on our website as well as on the websites of both the stock exchanges.

Along with me, Mr. Sangramjit Sarangi, President and CFO; Mr. Santosh Chacko, President, Business Strategy; Mr. Subhendu Bal, President and Chief Risk Officer; Mr. Prithesh Chaubey, President and Appointed Actuary; and Ms. Smita Verma, Executive Vice President, Finance and Investor Relations, are present.

The long -term outlook for the Indian life insurance industry remains encouraging, supported by strong economic fundamentals, a favorable regulatory environment and increasing digital adoption. Against this backdrop, SBI Life continued its growth trajectory from FY 2026 into the first quarter of FY 2027, delivering a 14% increase in Individual Rated Premium, supported by a favorable shift in product mix.

All product segments recorded growth on an Individual Rated Premium basis and all key distribution channels achieved double -digit expansion. The increasing contribution from protection solutions and guaranteed non -par saving products reflects evolving customer preferences and our strategic focus.

Looking ahead, the company remains confident in the long -term growth potential of the life insurance sector in India and its ability to navigate the evolving landscape with a continued focus on profitable and sustainable growth.

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Now let me give you some key highlights for the period ended 30th June 2026. New business premium stands at INR89.1 billion with a growth of 23% and private market share of 20.5%. Individual rated new business premium stands at INR39.7 billion with a growth of 14% and private market share of 22.2%. Gross written premium stands at INR212.9 billion with a growth of 20%. The company's profit after tax for the quarter stood at INR7.2 billion, registering a strong growth of 22% over the corresponding quarter of previous year. Value of new business stands at INR14.1 billion with a growth of 29%. VoNB margin stands at 26.2% for the period ended June 30, 2026. Indian embedded value for the company as on June 30, 2026, stands at INR852.9 billion. Our assets under management stands at INR5.2 trillion with a growth of 10% over the corresponding quarter last year. Solvency ratio of 1.96 is as against the regulatory requirement of 1.5. We will now update you on each of the key parameters in detail.

Let me start with the premium. Individual Rated Premium stands at INR39.7 billion with a year -on-year growth of 14%, while retaining our leadership position with a 22.2% private market share and a 15.2% total market share. The company's 3 -year CAGR of Individual Rated New Business Premium stands at 14%, outpacing the industry CAGR of 13%. Individual APE stood at INR39.9 billion, growing by 14% Y -o-Y. Total new business premium is INR89.1 billion with private market share of 20.5%

and total market share of 8.2%. Group new business premium stands at INR32.9 billion with a contribution of 37% in new business premium and year-on-year growth of 41%. APE stood at INR53.8 billion, registering a growth of 36% Y -o-Y. Renewal premium grew by 17% to INR123.8 billion, which accounts for 58% of the gross written premium. To sum up, gross written

premium stands at INR212.9 billion with a growth of 20% over corresponding period last year.

During the period, a total of 4.25 lakh new policies were sold covering 8.7 million lives. The growth in sum assured reflects strong consumer confidence and increasing awareness of financial protection. Individual and group new business sum assured grew by 46% and 265%, respectively, year-on-year, while rider sum assured continued to expand, now accounting for 39% of individual sum assured.

The company continues to strengthen its product portfolio through focused and customer-centric initiatives. Individual APE for participating products stands at

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INR2.4 billion with a growth of 35%. The Par segment also witnessed a considerable growth of 81% in sum assured during the period.

For the period June 2026, guaranteed non-par savings have garnered business of INR9.7 billion with growth of 27%. ULIP stands at INR24.5 billion, contributing 61% vis-a-vis 65% in Q1 FY 2026. Individual protection APE is at INR1.9 billion with a growth of 18% as compared to the corresponding quarter ended June 2025. The pure protection category registered a strong growth of 41% on Individual APE basis, reflecting rising awareness and demand for comprehensive financial protection, while the individual sum assured in the Protection segment grew by 40%.

Group protection APE stood at INR12.3 billion, registering a growth of 313% over the corresponding period of the previous year. Retirement plans assist customers in building a substantial corpus of funds to maintain the desired lifestyle and manage expenses in their golden years. Total annuity and pension new business underwritten by the company during the quarter is INR18.9 billion.

Moving to update on our distribution partners. With the strength of more than 60,000 CIFs, the bancassurance business of SBI and RRBs contributes 47% to the total APE basis. On an individual APE basis, it stands at INR24.5 billion, reflecting growth of 10%. SBI branch productivity on Individual APE term stands at INR4.1 million for the period ended June 2026, registering a growth of 7%. Non-ULIP product mix has shown improvement by 200 basis points over corresponding period of last year.

In the first quarter, agency individual APE stood at INR13.1 billion, registering a growth of 20% Y-o-Y with agent productivity at INR2 lakh. The channel's product mix improved with the non-ULIP share increasing from 43% to 46%, supported by a robust 63% growth in agency individual sum assured. During the quarter, the company added over 34,000 agents on a gross basis and 11 new branches.

The other channels, the direct channel, corporate agents, other banks, brokers, online and web aggregators grew by 160% and contributed 28% of total APE. Banks other than SBI Group are also growing at 31% on total APE basis.

Coming to profitability. The profit after tax for the period ended 30th June 2026 stands at INR7.2 billion with a growth of 22%. The quarter witnessed supportive market conditions, which aided investment performance and

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contributed to the overall financial outcome. The GST impact for the quarter is INR2.3 billion.

Our solvency margin remains strong at 1.96 as against regulatory requirement of 1.50. Value of new business stood at INR14.1 billion, reflecting 29% growth driven by both volume growth and favorable shift in product mix. We have sustained a healthy margin of

26.2% for the quarter ended 30th June 2026.

Excluding GST impact, VoNB would have been INR14.7 billion, representing 35% growth with a VoNB margin of 27.4%. Embedded value for the company as on June 30, 2026, stands at INR852.9 billion with a growth of 15% over June 2025.

Coming to operational efficiency, opex ratio stands at 7.7% and total cost ratio stands at 12% for the quarter ended June 30, 2026, as compared to 6.3% and 10.8%, respectively, for the corresponding period ended June 30, 2025. With respect to persistency of individual regular premiums, 13th and 49th month persistency stands at 87.7% and 69.1%, showing an improvement of 61 and 68 basis points, respectively.

As mentioned in my opening remarks, assets under management stand at INR5.2 trillion as at June 30, 2026, having a growth of 10%. Death claim settlement ratio stands at 98.8% for the period ended June 30, 2026. Our misselling ratio stands at 0.02%, which is one of the lowest in the private industry, and this is achieved through our consistent approach adopted by the company to ensure right selling to the customers.

The company continues efficient usage of technology for simplification of processes with 99.9% of the individual proposals being submitted digitally.

67% of the individual proposals are processed through automated underwriting.

In conclusion, by embedding resilience and continuous improvement at the core of our culture and by strategically strengthening our key channels, we are well positioned for sustained growth. Our unwavering commitment to delivering exceptional customer service not only deepens client relationships but also reinforces our reputation as a trusted and leading force in the market.

Thank you all and now we are happy to take any questions that you may have.

Moderator: We have the first question from the line of Avinash Singh from Emkay Global.

Avinash Singh: Strong set of numbers. The first question here, I mean, I would like to get some clarity around the VNB growth at 30% is very, very strong. But around the SBI Life Insurance Company Limited

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margins, of course, there's a GST impact. But importantly, also this time, typically, your mix, if I were to look at APE in terms of individual and group, generally, I mean, somewhere between 10%, 12% contribution has come from group typically.

But this quarter, given that, okay, very high GTI proportion, it's close to 25%. And by nature, this GTI being in APE terms 100% of premium, the margins will certainly be lower than your overall margin.

So, in that respect, I mean, if I do some math, it suggests that despite GST hit, your individual margins or ex GTI margins have improved very, very strongly. So can you help, I mean, provide some color on, okay, what kind of margins the GTI will contribute and where has been the overall direction of margins? Because as per my understanding, if I were to do kind of a one-off volume of GTI, if I adjust the rest of the margins looks very, very strong. So that's one, if you can provide some color around this.

The second, if I see the growth side in channel, I mean, agency seems to be finally firing up. Do you expect or like now you have all the ingredients in place to kind of for agency to deliver this impressive growth over the rest of the year and maybe in coming years? And additionally, will this kind of a shift of business mix gradually away from your core SBI to these channels have kind of any bearing on costs or margins?

Management : Yes. So thank you, Avinash. See, as a company, we have always communicated that our focus is on Individual Rated Premium. And the guidance for the year also we had given around IRP growth and the VoNB margin. We are happy that on both the fronts, IRP as well as margin, we have delivered what we had promised around 14%, 15% growth and our IRP growth is in that range. The margin guidance was 26%

to 28%, and we are within the range, although at the lower end of that.

But coming to your specific question, yes, the overall APE mix during the first quarter where we have always said that group business is a lumpy kind of business, and we had a higher share of group business in the first quarter. That has affected margin overall, and it has brought down as compared to last year.

But going forward, we are sure that this lumpy kind of business doesn't happen very frequently. And our growth projections for the year on IRP basis remains at 14%, 15%. And on the margin front, we have definitely seen the bottom in

the first quarter itself. And going forward, with higher focus on individual policies, the margin is going to be towards the upper range of our guidance.

Avinash Singh: Yes, sir. And my question on agency...

Management : Yes, your second question was regarding growth in agency. So as you are aware that company has been focusing for last 3 years in strengthening our agency channel. We have opened more than 100 branches in last 2 years, last 3 years. And our addition of agents, along with the productivity of agents has been going up because of the sustained efforts, what we earlier called Agency 2.0 and then the agency next program was launched, and this has resulted good growth in agency.

If you look at the figures for 2024 & 2025 also, the agency growth was pretty strong. And last year also, agency grew despite that very high base of FY25. The agency continues to deliver a strong number in the current year also, and the current quarter has seen 19% plus kind of growth. We are sure that the agency in the remaining 3 quarters will also be contributing even a stronger number.

As far as the business mix is concerned, SBI remains our strong point, and we are delivering strong growth numbers on the banca side, SBI side also. This quarter also, the growth was around 10%. But having said so, we have in the past also said that we want to explore the potential that is available on the agency side.

And we are happy that our strategies on the agency side are delivering results. So going forward, a very healthy mix of contribution from banca as well as agency will drive overall company's growth.

Moderator: We will take the next question from the line of Shreya Shivani from Nomura.

Shreya Shivani: Sir, I have 2 questions. First is on the GST drag. So it was about 1.1 percentage in third quarter and 1.5 percentage in fourth quarter. Again, it's another 1.1 percentage, one would have thought that by the time you are in the third quarter dealing with GST, a little bit of that impact would have gone away as you would have revised many of your expenses, etcetera. But it still seems to be at similar trend as of last 2 quarters. And should we expect the next quarter again, there'll be a drag of 110 or 120 bps or so? That's my first question.

Sir, my second question is on your other expenses. There has been a pickup in your other expenses, even if we adjust for the GST impact. So any color SBI Life Insurance Company Limited

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around this? Is this because we are investing in the agency channel, etcetera? I'll stop here.

Management : Thanks, Shivani. On GST part, what you're seeing the 1.1% drag in the margin is on account of GST only because last quarter, we compare with the last quarter. And what we keep mentioning that our expenses and the commission ratio are even on lower side. So we not looking to reduce our expenses or commissions, as they are already on lower side. What we keep maintaining that our product mix will be able to mitigate these things.

And that we see in the year in FY26 as well, we almost left with a 20, 30 basis points. So even this quarter as well, while the product mix in the individual side, is much more than offsetting

this GST impact because we have got a good profitable group business. As a result, you see the margin coming. But even you go to next quarter, you will see some impact on the GST. And thereafter, we see GST impact will run away.

Management : On the expense side, as you said, overall, I think -- if you can see that the sum assured have been increasing for SBI Life significantly. So the stamp duty is corresponding to that. So that is one-off item, which has been the impact in the first quarter.

And secondly, also, if you see compare between the June '25 to June '26, the labor code impact to a certain extent because of the number of employees, and this is the first quarter where we have seen this impact. So overall, I think

it is in the line what we anticipated and which will continue and the next 3 quarters, you will see it will streamline as per the plan.

Shreya Shivani: Right, sir. Sorry, just to understand that bit, you are saying that this elevated other expenses will continue for this year as well. Did I read that correctly? I hear that correctly?

Management : See, the other expenses will continue in tandem with the sum assured. The higher the sum assured. So you can assess that the stamp duty is also corresponding to that. So we are writing good protection business. So plus, in the ULIP in other products also, we are attaching a lot of protection. So that is the reason the sum assured has been significantly increasing for us. So that gives us some spike in the other expenses. Otherwise, it is in corresponding to what we plan.

Moderator: We will take the next question from the line of Supratim Datta from Jefferies.

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Supratim Datta: My first question is on the sum assured bit. So just wanted to understand what proportion of your ULIP policies that you're selling are now having higher sum assured attached with that? If you could give us some color on that? What is it today and what it was 1 year back? That would be helpful.

Two, on the GTI, the APE share that has gone up. Just wanted to understand that is this related to a certain PSU company? Or what is the nature of this contract? If you could give us some color on that because it's pretty large. So those are my 2 questions.

Management : So we do not have a high sum assured kind of ULIP. We have normal ULIP products in our portfolio. But rider attachment, we have increased in the ULIP.

And now almost 45% to 50% policies are being sold along with the rider attachment. So that is helping in higher sum assured at the company level.

Regarding the deal...

Supratim Datta: Sir, what was this in last year, if you could give us.

Management : So last year, we just started attaching riders in ULIP.

Supratim Datta: Okay.

Management : Right? And as far as the GTI business is concerned, we do not comment on individual contracts or individual policies.

Supratim Datta: Understood, sir. And lastly, sir, on the persistency, so the 61st month persistency has gone down versus last year. Just wanted to understand what's driving that?

Management : So if you are tracking company's persistency, you would have seen in the company are calling COVID cohort and that cohort is moving over the years from 13 to 25 to 37, 49, and now that cohort has reached 61st month, and that has resulted in a dip in 61st month persistency. So this cohort will move away from the 61st month by end of third quarter. So by end of the year, the 61st month persistency, we are expecting will be back to normal.

Moderator: We will take the next question from the line of Madhukar from JP Morgan.

Madhukar: Congratulations on a good set of numbers. So first, on the VNB margin. And so margin has come off despite we see par, non-par, etcetera, those lines of business doing well. So I suspect this is because of the GTI business. Can you quantify like of this negative

0.6% that is the margin impact, right, on overall

VNB, how much is it because of GTI? And then what was the positive impact

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in the individual business? So that will give us some color in terms of how do we think about normalized margins?

Second, individual protection growth, that seems a little bit softer. So if I'm right, that number on an APE basis is about 16%. That also includes the ROP. So why are we like growing a little bit lower than competition? That's the other question that I have.

Management : Thank you, Madhukar, for your wishes on that number. So as far as margin is concerned, there is nothing to suspect, in response to the first question itself, we had said that the contribution of overall group business to the total APE in

the total APE was higher during this quarter, and that had resulted in a drag on the overall margin of the company because the margin on group business is lower compared to the individual business. Going forward, as the IRP contribution in total business normalizes, the margin is expected to come back to our company's normal levels. Second question...

Madhukar: Can we quantify that drag? I mean that was what I would like.

Management : We don't generally discuss product -wise margins. We don't disclose those numbers. So I'll refrain from that. Your second question was regarding protection growth. So we had a strong protection growth of 22% during the quarter and against the IRP growth of 14.5%, 15% only. So the protection growth is higher than -- individual protection growth is higher than the IRP growth.

Madhukar: Right. And how much is ROP and non -ROP, if that split?

Management : Yes.

Madhukar: And the pure protection, what is the growth of that? I think last quarter, you had also given the pure protection growth.

Management : Yes, I'll come back with the number. So the overall, the protection growth, if you see individual and group together, it is coming obviously because of this GTI business is around 300%. But as far as the individual protection is concerned, if you see the ROP to non -ROP, actually, it has improved as compared to last. So now it is 68% against 73% of last year. And ROP is 68% and non -ROP is 32%.

Madhukar: Okay. Got it. Got it. Great.

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Management : And the pure protection actually just to add, the pure protection within the individual protection has actually significantly improved by 52% , on IRP basis. . So non -ROP is improving as compared to the ROP.

Moderator: We will take the next question from the line of Neeraj Toshniwal from UBS.

Neeraj Toshniwal: How has been the growth in credit protect given carve out GTI, if you can have that number. And second question is on -- again on GST impact ...

Management : Your voice is not very clear. Can you repeat?

Neeraj Toshniwal: How much is the impact -- so first question was on the credit protect growth number, if you can have. Am I audible now?

Management : Yes. Yes, you're audible.

Neeraj Toshniwal: Yes. First question is on the credit protect growth. Second is on the GST impact. I think we took some impact last year itself in EV. So the impact from second quarter should be much lower? Or how should we think about the impact from second quarter given some back dated impact we took in EV when we reported second quarter results last year.

Management : So the GST was waived from 22nd of September. So there will be some impact for 2.5 months in the current quarter also. And then it will be on par -to-par basis.

Management : So the credit protect, which you asked, Neeraj, it is flat as compared to the last year. And -- but it is going as per the planned number. So we will see some good uptick in the coming quarters.

Neeraj Toshniwal: Okay. And if you can highlight in terms of mix, we have seen non -

par picking

up a little. So how should we think about -- given ULIPs have been in markets where the markets are currently, how should we think the overall mix changing? And what is our goal i n terms of mix over the next 1 to 2 years?

Management : So you would have seen and we have communicated during last 2 years that we are working on our product mix, while ULIP continues to be a strong point for the company. What we are doing is strengthening our product portfolio on non-par and par side and also p rotection side and focusing on improved sales of these products also.

So this product strengthening has resulted in higher sales of these products, while ULIP continues to sell normally. This has resulted in a higher contribution coming from non -par and par products. And as at the end of quarter on IRP

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basis, ULIP contribution has come down to 62% and non -ULIP are contributing 38% with majority of increase coming from the non -par segment. For the year also, in fact, our target is to have this kind of product mix only.

Neeraj Toshniwal: Got it. And I missed the number on other bank growths -- the growth from other banks, how much was that number?

Management : Growth from other banks is at around 31% for the quarter , on APE basis ?

Management : Yes, yes.

Moderator: We will take the next question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, in the VNB walk, you have a negative 40 bps with respect to assumption change. So just wanted to understand what assumption change you have done, which impacted the margins by that bps?

And second, given -- I think you already answered that question, but still confirming it, that 60 bps negative impact on the product mix change despite non-par going up, par going up, ULIP coming down is largely because the onetime GTI business, what you have written is invariably lower than the company average, and that's the reason why there is a negative 60 bps. That's the right conclusion, sir?

Management : You're understanding right on the 60 basis points of product mix is concerned.

This is only on account of the GTI. As far as assumption change is concerned, in this quarter, we have not made any change in assumption. And as part of annual review, we made the assumption change in March '26. Since we are showing this walk from the June last year to this year, that's why impact is coming. Otherwise, there is no change.

Sanketh Godha: Sir, but last year, I was looking at the number FY26, waterfall, if I see, you had a 40 bps positive benefit with respect to assumption change. Still I'm not able to understand what this 40 bps is related to?

Management : No, no. Just one second. So even if you look into the March, the operating assumption change were negative by 20 basis points, if you look into. That has come to the 40 basis points because of base effect. The change assumption is mainly is a normal refinement we did in terms of the persistency , mortality and expenses as well. So this is the same change that we have made. And even for the financial, if you look into, it was negative, not a positive, sir.

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Sanketh Godha: Understood, sir. And sir, one small clarification. This GTI business is always treated as a regular plan instead of a single premium new plan. That's why your APE numbers look a little inflated than usually normal number. That's a fair point, sir?

Management : Yes, sir. There is a 1 -year renewable contract. We always consider our new premium as APE and renewal premium go to renewable premium.

Sanketh Godha: Understood, sir. And sir, if you look at the other companies' individual protection business, it has been very strong. If I look at only APE data, our number is around 15 percentage, still it looks a little weaker compared to the other

players who are reporting that number. Is it because of the mix change because you are focusing more on pure term and the ticket sizes are lower. That's the reason why there is a decline. And if that is the case, then if you can give me a mix of pure term in the total individual protection today compared to last year in the same time?

Management : So you're absolutely right because we are shifting, as I said, from the ROP to non-ROP and pure protection. And we have started this journey since last year. And it is gradually -- actually our focus and our targets we are achieving. So 22% growth in Individual protection, with 52% pure protection growth, which is lower ticket size as compared to the ROP. So that is the reason it is showing a little subdued as compared to the industry. But as far as our plan of actions are concerned, it is going exactly in that direction. And we will continue to focus on the -- more on the pure protection rather than the ROP.

Sanketh Godha: Sir, then if you can give a bit of color, pure term growth year -on-year, how much it would be because your total APE growth on protection looks 19%. So pure term is as strong at 30, 40, 50 kind of a number. Just if you can give a bit of color there, it will be useful, sir.

Management : Yes, it is exactly 41% growth in the pure protection.

Sanketh Godha: Understood. Understood. And lastly, sir, you guys were supposed to launch regular pay deferred annuity plan by end of the quarter. Just wanted to understand where is it and when you -- when we can see that benefit coming in our numbers?

Management : Hopefully within next quarter, you will be able to see that.

Management : We are working on the product, and we'll launch the product at opportune time.

And just a small clarification regarding earlier question regarding growth in

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other banks, I quoted 31%. It is actually 19% on Individual NBP & 31% on APE basis .

Sanketh Godha: Okay, sir.

Management : And during the quarter, we have entered into a new corporate agency tie -up with J&K Bank, and the business will be starting sometime in this quarter.

Moderator: We will take the next question from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: So just a few questions from my side. First, on the other banks part, if you can break that 19% growth between ULIPs, non -linked savings and especially for the other bank segment, that would be useful. And or in case you can give the mix for the other bank segment, that would also.

Second, you mentioned that you almost like 45% of your incremental ULIPs have some sort of riders being attached to it. Just 2 subparts to this question.

One is, if you can mention the same number, let's say, 1 year or 2 years back?

And secondly, a clarification, do you include the rider APE as a part of your protection, like individual protection business? Or is it like part of the ULIP or APE and then the margins for the ULIP business kind of shape accordingly?

Yes. So those are my questions.

Management : Yes. So the mix of the other bank partners, it is very strong, tilted towards the non-ULIP. So today, in the first quarter, it is almost kind of 20% ULIP and 80% non-ULIP.

And coming to your next part, which is riders. So riders, which is the protection part is taken as a part of the protection. And as far as the numbers, which you say the attachment, I think if I correctly heard, then it is almost kind of 50% attachment is our in all products, all ULIP and par and across it is being attached as far as the riders are concerned.

Dipanjan Ghosh: Sir, just one clarification. I mean this 45%, 50% number, how has that kind of moved over the last, let's say, 1 to 2 years?

Management : So this protection we launched 1 year back and 1.5 years back, initially, we attached to the traditional product and subsequently moved to the

unit -linked

product. And our attachment rate has been improving from, if I remember correctly, 35% to 45% and now 50%. So , we are also offering to the existing customer as well. So it's more or less similar range, and we expect it will improve from this level or maintain to that level.

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Dipanjan Ghosh: And possible by any chance to quantify the rider APE?

Management : Rider APE, we don't have right now. So we will share with you separately.

Moderator: We will take the next question from the line of Ansuman Deb from ICICI Securities.

Ansuman Deb: So my first question is on your margins. We have had continuously very healthy kind of a growth. Now with growth, shouldn't we expect some kind of an improvement in margin in terms of operating leverage because we have been maintaining a very stable, very steady band of 26% to 28% kind of a VNB margin guidance. So what are the things which limit kind of an improvement in margin because of operating leverage? That is one.

The second question is on the environment around non -par. How do you see the environment in non -par, especially because we have some differing views on the street? And lastly, on the regulatory side, we have the lowest surrender, we have the lowest grievance ratios and also lowest commissions. So overall,

from a regulatory perspective, we seem to be in a position of advantage. What will be your view on the regulatory landscape right now?

Management : See, if I can start from the last one, which is the regulatory part which you have asked. So I think, as you rightly said, we are placed as compared to the industry in a better position. And we expect that whatever regulations will be from the regulator will come, it will be definitely for betterment of the industry. And we will definitely wait and see how this whole architecture will shape in the near future.

So as you know, the last time also when the regulations were published, and it has actually given us the positive towards the growth of the industry, including SBI Life. So we will definitely wait and see that how the regulations will come, in what shape.

Management : As far as margin is concerned, we continue to be in the range that we guided in 26% to 28%, which is a very healthy range of margin. And as far as this particular quarter's margin is there, we have already clarified that this was one-off kind of a thing. And despite that, we remained within our range. Going forward, as the product mix normalizes, our margin will be moving towards the upper end of our band.

Regulatory landscape, of course, remains very positive. And with the kind of focus that we have on customer service as a company and as a group, I am
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very sure that the regulatory landscape will further turn positive whatever regulations come in.

Ansuman Deb: Yes. And on the non-par...

Management : Yes. So on non-par, we keep a very sharp eye on the yield movement. And we feel as a company that this is a product line which has a very good demand in the country for the assured benefit kind of a return. And our yields, we keep a close eye and reprice our products as per the yield movement. If you would have noticed that in the month of June also as per the yield curve movement, we improved IRR for the customers, and that is also resulting in good traction for this kind of product in the market.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I now hand the conference back to Mr. Amit Jhingran for the closing comments.

Thank you, and over to you, sir.

Amit Jhingran: So I thank everyone for their time and the queries. You may get in touch with our Investor Relations team in case you have any other follow-up questions.

Thank you, and good day.

Moderator: Thank you, members of the management.

On behalf of SBI Life Insurance

Company Limited, we conclude this conference. Thank you, everyone, for joining with us today, and you may now disconnect your lines. Thank you.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward-looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward-looking statements.